



ALIGNED TO THE FUTURE

AITKEN SPENCE HOTEL HOLDINGS PLC | ANNUAL REPORT 2017/18

ALIGNED TO THE FUTURE

At Aitken Spence Hotels, we stay focused on generating increasing value, year-on-year. We possess the vision, the values, the brands and the destinations for present and future success, while the skills and talent of our team and the rigour of our processes fortify our position of industry leadership.

The annual report you now hold is a blueprint of how we create value; describing how we delivered another set of fine results to all our stakeholders and plotting a timeline of our accomplishments, while outlining how we are aligned to the future.



Read the Report Online at
<https://www.aitkenspencehotels.com/about-us/investor-relations.html>

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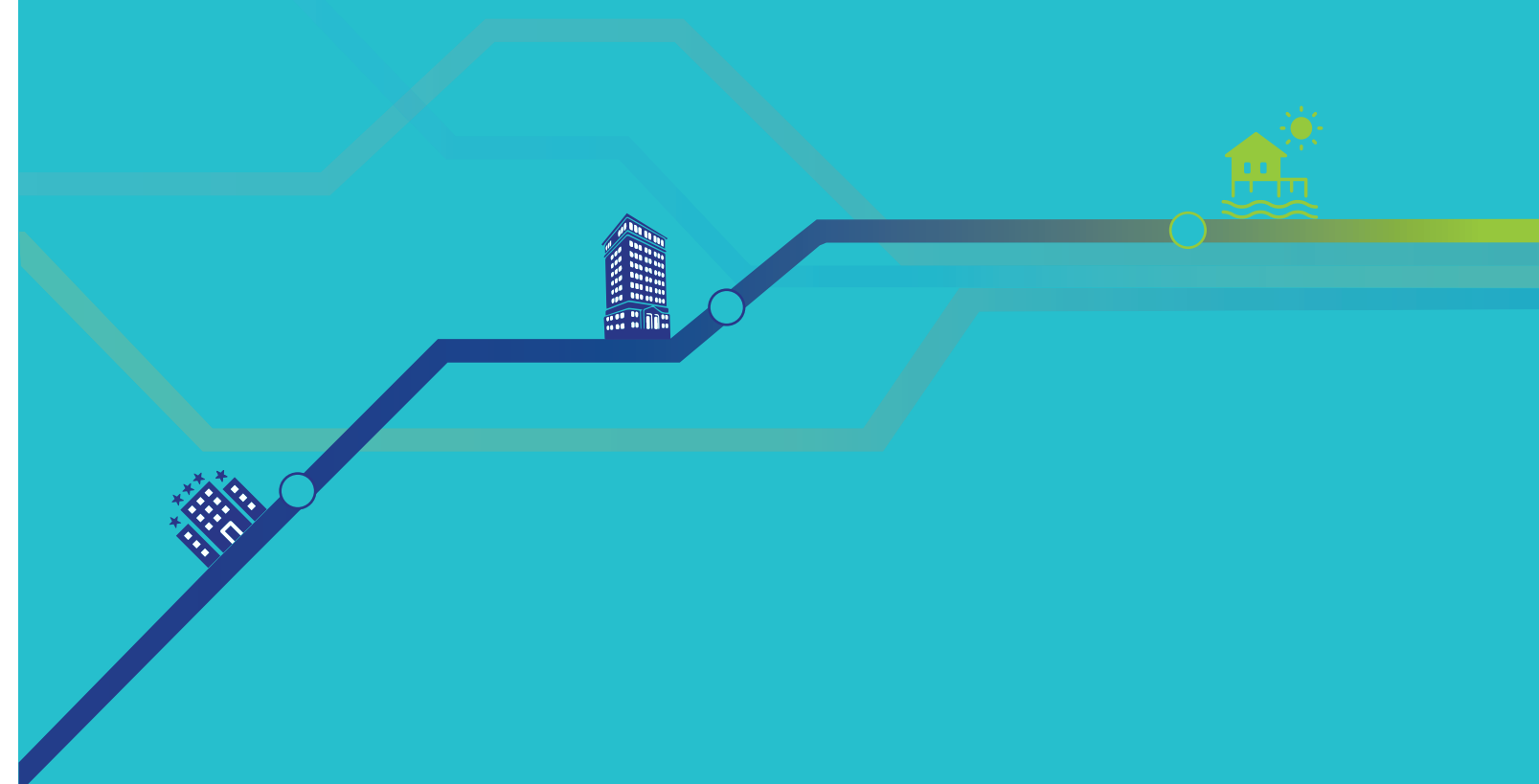
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Whatever you want...
there's an Aitken Spence
Hotel waiting for you...

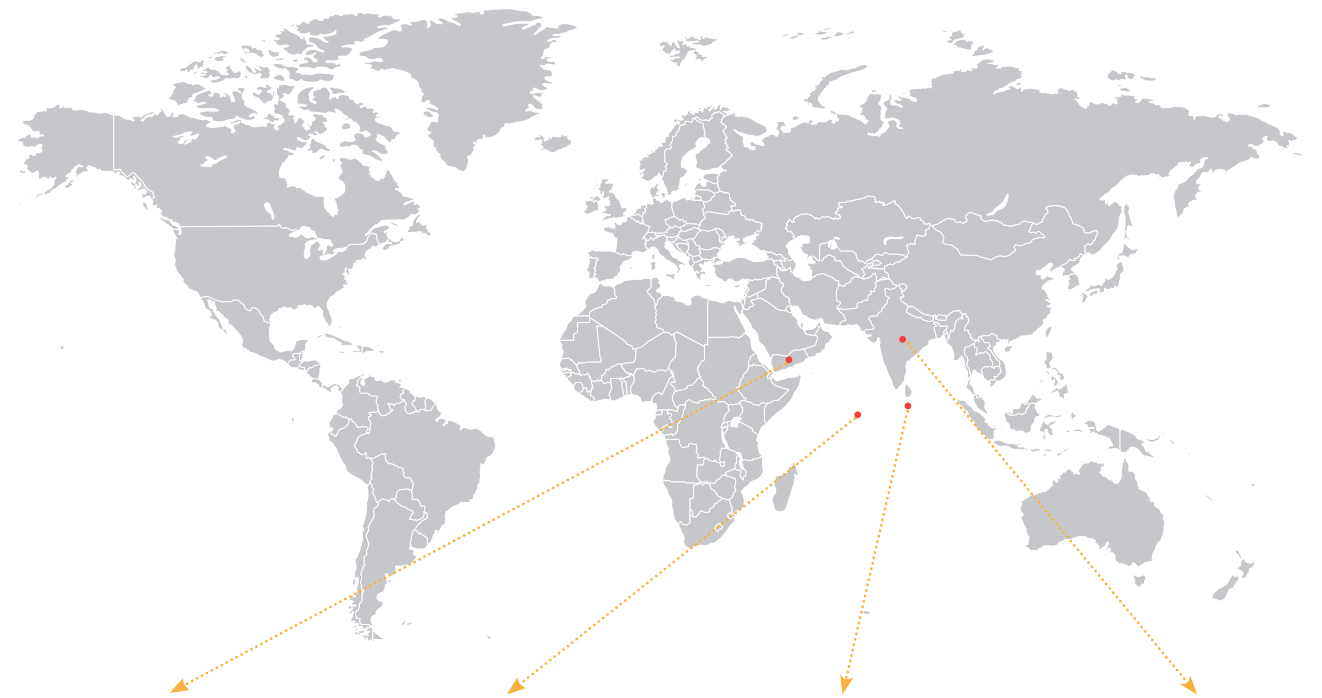


Management Information & Performance Highlights

Our properties will continue to undertake upgrades to ensure that their ambience, interiors as well as the technology on offer for guests is state of the art.

ACROSS THE REGION

We will continue to expand and harness many synergies of being a multi destination player whilst leveraging our unique brand attributes.



OMAN

Aitken Spence Hotels

Al Falaj Hotel
Desert Nights Camp
Al Wadi Hotel
Sur Plaza Hotel



MALDIVES

ADAARAN
MALDIVES

Adaaran Club Rannalhi
Adaaran Select Hudhuran Fushi
Adaaran Select Meedhupparu
Adaaran Prestige Vadoo
Adaaran Prestige Water Villas



SRI LANKA

HERITANCE
HOTELS & RESORTS

Heritage Kandalama
Heritage Ahungalla
Heritage Tea Factory
Heritage Ayurveda Maha Gedara
Heritage Negombo

turyaa

Turyaa Kalutara

Aitken Spence Hotels

Amethyst Resort Pasikudah
Earl's Regency
Earl's Regent
Bandarawela Hotel



INDIA

turyaa

Turyaa Chennai

GROUP PERFORMANCE HIGHLIGHTS

Performance for the Year ended 31st March		2018	2017	Change
Gross Revenue	Rs. '000	18,250,581	16,055,386	14%
Group Profit Before Tax	Rs. '000	2,189,891	1,549,562	41%
Group Profit After Tax	Rs. '000	1,583,395	1,013,739	56%
Group Profit Attributable to Equity Holders of the Parent Company	Rs. '000	1,169,314	675,873	73%
Earnings per Share (EPS)	Rs.	3.43	1.97	75%
Ordinary Dividend Interim/Final (Proposed)	Rs. '000	420,363	252,218	67%
Dividend per Share	Rs.	1.25	0.75	67%
Cost of Finance	Rs. '000	949,117	745,013	27%
Interest Cover	Times	3.45	3.31	4%
Return on Equity	%	5.98	3.55	68%

Position as at the Year ended 31st March				
Total Assets	Rs. '000	58,593,397	52,177,987	12%
Long term interest bearing borrowings	Rs. '000	18,154,051	14,450,707	26%
Total Equity	Rs. '000	27,894,003	27,432,688	2%
Number of shares in issue	Number	336,290,010	336,290,010	0%
Net Assets per Share	Rs.	58.30	56.49	3%
Debt/(Debt+Equity)	%	39.78	34.90	14%
Debt/Total Assets	%	31.26	28.01	12%
Current Ratio		1.01:1	0.95:1	6%
Quick Asset Ratio		0.97:1	0.90:1	8%

Market / Shareholder Information as at year ended 31st March				
Market Price per Share	Rs.	33.50	35.20	-5%
Market Capitalization	Rs. '000	11,265,715	11,837,408	-5%
Price Earnings Ratio	Times	9.76	17.91	-46%
Dividend Payout	%	36.41	38.16	-5%
Dividend Yield	%	3.73	2.13	75%

Value Added for the year				
To Government	Rs. '000	1,087,538	958,171	14%
To Employees	Rs. '000	3,103,254	2,746,929	13%
To Providers of Capital	Rs. '000	1,363,198	1,082,879	26%
To Shareholders	Rs. '000	420,363	252,218	67%
Retained for reinvestment and future growth	Rs. '000	2,564,205	2,006,892	28%
Total Value Added	Rs. '000	8,538,558	7,047,089	21%
Total Economic Value Added	Rs. '000	2,166	1,362	59%

Sustainability indicators				
Total Energy Consumption	GJ	330,208	325,324*	2%
Energy Consumption Per Guest Night	MJ	388.51	398.96*	-3%
GHG Emissions Per Guest Night (Scope 1 & 2)	Kg eq	40.17	41.44*	-3%
Water Consumption	m ³	755,044	769,313	-2%
Water Consumption Per Guest Night	Litres	888.36	943.44	-6%
Lost work days due to work related injuries	Days	181	247	-27%
Average Training hours per Employee	Hours	11.05	14.18	-22%
Community Engagement - Persons Impacted	Number	9,427	14,942	-37%

* Restated

CHAIRMAN'S STATEMENT

The Group performed well in a challenging year for Sri Lanka's tourism industry to achieve an increase in guest nights and higher operational profit across all its properties. Group revenue increased by 14% while profit before tax grew by 41%.

DEAR STAKEHOLDER,

It is my pleasure to welcome you to the forty first Annual General Meeting of Aitken Spence Hotel Holdings PLC. and to present to you the Annual Report and audited financial statements for the year ending 31st March 2018.

The Group performed well in a challenging year for Sri Lanka's tourism industry to achieve an increase in guest nights and higher operational profit across all its properties. Group revenue increased by 14% while profit before tax grew by 41%.

Let us briefly look at the industry's performance which provided the backdrop to the Group's performance.

TOURISM INDUSTRY PERFORMANCE:

Total tourist arrivals to Sri Lanka from January to December 2017 recorded a marginal growth of 3.2%, the lowest and the only single digit growth since the end of Sri Lanka's civil war in 2009. Arrivals during the post war period of 2010-2016 grew at an average compounded rate of 18% per year with total arrivals in 2017 reaching 2.1 Million. This subdued growth in arrivals (compared with a 10% growth in arrivals for South Asia) was the result of several factors such as the partial closure of the Airport for the renovation of the runway during the first 3 months of the year (the peak winter season for tourism); floods during the month of May; a Dengue epidemic during July-August and the withdrawal of direct flights by Sri Lankan Airlines to some key European destinations.

The inhibited growth in arrivals and the consequent limited opportunities led to more intense price-based competition in the market, thus reducing revenues for the industry as a whole. It is however reassuring that the last quarter of your Group's financial year saw a sharp rise in arrivals, growing by 17%. Arrivals in March fell slightly below the expected highs due to sudden rise of ethnic tension in the Kandy district, which the travel advisory portals were quick to report. Timely and stringent measures by the Government helped curb the spread of violence and eased the spate of cancellations.

Sri Lanka's arrivals continued to be led by India, China, UK, Germany and France which together accounted for over 51% of arrivals in 2017. India continued to be the largest source country during the year, accounting for 18% of all arrivals to Sri Lanka whilst Western Europe was the largest market, accounting for 32.2% of total arrivals. Arrivals from Western Europe also grew by 5.8% supported by the appreciation of the Euro. Leisure travel continued to account for over 83% of visitors to Sri Lanka whilst arrivals for business purposes accounted for 2.9% in 2017.

Despite a lower than expected growth in tourist arrivals, it is encouraging that earnings from tourism remained healthy with average spending and duration of stay increasing during 2017. Sri Lanka's earnings from tourism increased by 11.6% whilst the average spending per tourist rose to US dollars 170.1 per day, from US dollars 168.2 per day in 2016.

GROUP PERFORMANCE:

Your Company focused on consolidating the performance of the two new entrants to its portfolio - Heritance Negombo and RIU Sri Lanka - during the year whilst strengthening all aspects of the other properties to augment their offering and sustain their unique attributes and competitive advantages. Amid increasing competition and subdued growth in arrivals, all of the Group's Sri Lankan properties performed well to achieve a turnover growth of 19% and an overall operating profit growth of 87%.

Strengthening the online marketing channel continued to be a key strategic imperative and it is encouraging that this segment of visitors to the Sri Lankan resorts continued to grow in line with the Group's strategies as well as in line with global trends.

During the year, the Group divested its ownership of Hotel Hilltop Kandy and took on the management of The Regent Kandy, a newly refurbished property with a four-star rating located in the centre of the city.



D.H.S Jayawardena
Chairman

CHAIRMAN'S STATEMENT

2017 was an year of consolidation for the Group's Maldives sector as two of our Resorts Adaaran Select Hudhuran Fushi and Adaaran Club Rannalhi continued with a refurbishment program launched last year. The newest addition to the portfolio of resorts in Maldives – Heritance Aarah is nearing completion and is scheduled to commence operations in December 2018. This would mark the first foray out of Sri Lanka for the Heritance brand, making it a significant milestone in our plans to expand this premier hotel brand internationally. We are most heartened by the significant interest already being expressed by all major European and Asian tour operators in this product offering.

The Group continued with offline marketing of the Maldivian resorts through major tour operators in key markets of Germany, UK, Russia and the rest of Europe. In addition, Marketing Representation was established in all key emerging markets in which we do not have representation by major tour operators.

Continuous product improvement through refurbishment and intense training and development for service enhancement were also major components of our strategy throughout 2017.

Despite the challenges of being an unknown brand which has entered an already congested market, 'Turyaa Chennai' has achieved steady growth during 2016 to 2018. And it is most commendable and encouraging that the property was recognised during the year as 'The Best Five-Star Deluxe Hotel in Chennai' by the Tamil Nadu Tourist Board. The Hotel has achieved high occupancy within a short span of operations. Excellent service standards combined with a chic ambience and sophisticated accommodation are key elements in the allure of this property. The property performed well despite its challenges such as a law passed in India in April 2017, which prohibited the sale of alcohol by hotels near highways and subsequently uplifted negatively impacting Turyaa Chennai's performance during the year.

The fall in global oil prices has continued to impede Oman's economy since 2016, resulting in a deceleration of GDP growth, which in turn has led to a significant downturn in business activity. Prevailing political uncertainties and violence in the Middle East further exacerbated these adverse impacts, contributing to a six year low in the country's GDP. The resulting slowdown in business activity impacted the Group's hotels which primarily cater to the business traveler. The Group thus held back on some of the planned investments on its properties, such as the refurbishment of Al Falaj, during the year under review.

GOVERNANCE :

Corporate Governance is about engendering trust and entails effective, transparent and accountable governance by the management including the Board, which is the highest governing body. At Aitken Spence, the Board sets the tone at the top by promoting professional standards and corporate values that cascade down to senior management and other employees. Your Company believes that the highest standards of governance are indispensable to creating long term value to stakeholders and must be pursued uncompromisingly. The Group thus ensures that its mechanisms for good governance are constantly reviewed, benchmarked and strengthened to meet evolving requirements.

STRATEGY AND PROSPECTS:

Sri Lanka's tourism industry is expected to return to high double-digit growth in the year ahead. Aitken Spence Group, one of the largest resort and tour operators in Sri Lanka, is therefore uniquely positioned to promote the each of the properties based on the unique value proposition. This leaves us well positioned to capitalize on the expected growth and spearhead the industry's growth in to the future. Towards this end, The Group will focus on strengthening its competitive advantages whilst expanding its brand presence.

Our properties will continue to undertake upgrades to ensure that their ambience, interiors as well as the technology on offer for guests is state-of-the-art. Refurbishment of some of our Heritance branded properties is amongst the Group's priorities for the year ahead.

Your Group has also increased its investments into improved employee accommodation. Heritance Negombo, the latest to the Heritance portfolio that came on board in 2016, has already established new industry benchmarks in staff accommodation. The continuation of this strategy saw the commencement of upgrades to staff facilities at Heritance Kandalama during the year. Offering the best-in-class accommodation is in keeping with our sustainable approach and we have also identified it as a strategy to attract and retain the best, as well as to increase the gender balance in the industry by attracting more female cadre. Similar enhancements of employee accommodation facilities will be made at Heritance Tea Factory in 2018/19 and at Heritance Ahungalla in 2020.

We strongly advocate that the tourism Industry and its growth plans in an island such as Sri Lanka be based on a socially and ecologically sustainable model. It is our strategy to prioritize the Social and Environmental sustainability aspects in the design, construction and operations of all our properties.

The Group considers Online Marketing, using social media and search engines, as an important element of its Marketing Strategy and places significant importance on promoting and selling its rooms through online intermediaries as well as directly through its own web site. Managing the resorts' online reputation is thus a key strategic imperative across the Group.

Aitken Spence has been a pioneer in Sri Lanka's hospitality industry, venturing out beyond its shores to overseas markets; being the first to own properties in the Maldives, Oman and more recently, India. This strategy to venture out has yielded rich dividends and will continue to be pursued over the next few years. The Group will explore expansion potential into overseas markets in which the Aitken Spence Group's other businesses have established operations, harnessing the synergies of the Group's presence in those markets.

We are confident of the prospects for the Maldives as a destination in the years ahead as it continues to brim with potential. The country's ongoing infrastructure development such as the construction of the second runway at the Male airport and a bridge between the airport and the Male city will augment the nature endowed USP of this destination. Arrivals to the atolls at present stand at a mere 1.2 Mn for the year, indicating its vastly untapped potential. A focused destination campaign by the Maldivian tourism authorities remain overdue as the industry still seems to rely on an outdated positioning done many years ago.

Despite the current economic downturn faced by Oman, your Group remains buoyant about the prospects of the destination. Oman's GDP is projected to pick up to approximately 5.2% in 2018, supported by the commencement of the production of natural gas and the opening of a new airport in Muscat. The airport will nearly double passenger capacity to 12 million passengers per annum, and is expected to boost the country's tourism and hospitality sector. It is imperative to note that, 2018 also

marks the middle of Oman's five-year diversification strategy that builds on its long-term vision to shift from an oil-based economy towards other critical sectors such as tourism, fisheries, shipping, manufacturing and logistics.

SUSTAINING INDUSTRY GROWTH INTO THE FUTURE:

We strongly advocate that the tourism Industry and its growth plans in an island such as Sri Lanka be based on a socially and ecologically sustainable model. It is our strategy to prioritize the social and environmental sustainability aspects in the design, construction and operations of all our properties. The number of globally recognized standards we adhere to, the licenses we obtain and the accolades we continue to win are a result and a reflection of this commitment, which spurs us on to constantly evolve and improve what we do and how we do it.

We, as well as most stakeholders of the industry, have repeatedly articulated the importance and urgent need to undertake a cohesive and integrated destination marketing campaign as a national initiative. Such a campaign should highlight the country's unique product offering and be shown across key markets which possess high potential. We remain hopeful and are encouraged by signs of such a campaign being launched this year. It is also vital that such a campaign does not become a one-off effort but is sustained over a long period.

As we have repeatedly pointed out, the excess capacity in hotel inventory in some parts of the island such as the Southern coastline, has led to unhealthy price-based competition, posing challenges to the long term profitability and sustainability of the industry and all its stakeholders. Thus, generating increased arrivals across a wider spectrum of travelers is crucial to meet excess capacity, avoiding intense price based competition and harness economies of scale that enable Sri Lanka to be more competitive vis-a-vis other regional players. A concerted international marketing campaign which will effectively bolster the demand for destination Sri Lanka, is therefore imperative.

CHAIRMAN’S STATEMENT

The impacts of intense price based competition are further **exacerbated by the high costs of energy, infrastructure** development and construction, which impede the return on our investments and reduces the nation’s competitiveness **compared to regional players who enjoy lower input costs.** Hence essential for the Government to play the role of **catalyst and facilitator for infrastructure development** in the country. Facilitating speedy travel and improved accessibility to tourist attractions remain vital. The duration **taken to reach the Northern and Eastern coasts for example,** is a key impediment to promoting these destinations. Domestic airports and aviation services, and expediting the construction of the planned highways are thus important.

Just as attracting higher volumes would benefit Sri Lanka as mentioned above; it is also of critical importance that we **stay conscious of the long-term sustainability of our heritage** sites and national parks. The numbers of visitors permitted at national parks and cultural sites must be managed at a **healthy number to avoid the proverbial “killing the goose that lays the golden egg”.** As we are aware, Sri Lanka’s natural resources are already in danger due to a lack of policies and controls, and overcrowding of national parks has not only **become an eyesore but also threatens the safety of their inhabitants.** The need is clear for a long term sustainable policy framework and the effective implementation of such regulations.

ACKNOWLEDGEMENTS :

I would like to express my sincere appreciation to the Board Directors for their guidance and the unstinted cooperation **and support given to me; and the Senior Management and** the entire team of individuals that make up the team at **Aitken Spence Hotels in Sri Lanka and Overseas, for their** talents and commitment which continue to propel the Group forward whilst sustaining its heritage. My gratitude also to **all our stakeholders, including tour operator partners, our clients and shareholders for their win-win partnership, loyalty** and inspiration. We stay “aligned to the future” with renewed vigour to capitalize on the many opportunities and give **leadership to expand horizons and establish new benchmarks** for Sri Lanka’s tourism industry.



D.H.S Jayawardena
Chairman

28th May 2018



MANAGING DIRECTOR'S REVIEW

DEAR STAKEHOLDER,

It is my pleasure to present a review of how your Group created value in the financial year that just ended, and to share an outline of how we see and how we plan to stay 'aligned to that future' to enhance the value we create for stakeholders.

Our Hotels performed well despite a challenging year where subdued tourist arrivals resulted in the lowest growth since the end to Sri Lanka's civil war in 2009. The Group's performance is discussed at length further on in this message and in the ensuing Management Discussion and Analysis (MD&A) of this report. However, let me begin with a few salient points to explain the backdrop to this performance during the year under review and our plans for the year ahead.

ECONOMIC BACKDROP:

The global economy continued to gain momentum in 2017 with growth strengthening to 3.8% as per the IMF's statistics. **More than two thirds of world economies, comprising emerging, developing and advanced economies recorded higher growth in comparison to 2016. Stronger growth was driven by a significant recovery and substantial growth in global trade (despite the beginning of a series of successive trade restrictions imposed on each other by the US and China), an increase in investment and accommodative monetary policy in the advanced economies and a rise in private consumption in most emerging market economies.**

Although macro stabilization policy measures taken by the **Central Bank and the Government in the past two years resulted in a number of notable improvements and placed the country on a firmer platform for the medium to long term future; Sri Lanka's real GDP growth decelerated during 2017 to 3.1%, from the growth of 4.5% recorded in 2016.**

Following the agreement with the IMF for an Extended Fund Facility (EFF) in June 2016, the third review of the Sri Lankan economy's performance under the EFF programme, conducted in December 2017 concluded that Sri Lanka's "macro economic performance has been stable", and its fiscal performance 'satisfactory', resulting in the disbursement of the fourth tranche of US dollars 251.4 Mn for Sri Lanka. Moreover, in November 2017, S & P Global Ratings upgraded its outlook on Sri Lanka to 'stable' from 'negative'; further bolstering our positive outlook for higher investments and growth in the year ahead. S&P's stable outlook reflects the expectation that the "Government will maintain the reform momentum over the next 12 months and smoothen the upcoming surge in debt redemptions, particularly in 2019". At the same time S&P also reaffirmed its B+/B Sovereign Credit ratings on Sri Lanka.

Sri Lanka's economic growth trajectory is projected to gradually improve over the medium term, especially with higher private sector participation supported by conducive macroeconomic policies. Although the performance in 2017 remained subpar, the annual real GDP growth is expected to gradually improve to around 6% by 2022, whilst the IMF estimates Sri Lanka's GDP to grow by 4.8% in 2018. Inflation should decelerate in the year ahead to around 4 to 6%, as food supplies stabilize. Another spell of adverse climatic conditions in 2018 and a sharper than expected depreciation of the Rupee could however, reverse this trend and exert upward pressure on inflation once again. International oil prices would also be a key factor in Sri Lanka's inflation. A vibrant export sector is vital for the sustainable growth of Sri Lanka's economy; and the prospects for exports in 2018 also point to higher growth in the year ahead.

TOURISM :

As outlined in detail in the Chairman's statement, international tourism had a remarkable year, recording a 7% growth in arrivals – the highest since 2009. According to the latest UNWTO statistics, this growth translated to a total of 1,322 million arrivals across destinations during 2017. The Asia Pacific region grew over 6% pushed by a strong performance by the South Asian sub set which grew by 10%. This growth however was not reflected in our two key destinations of Sri Lanka and the Maldives.

It is encouraging to note that the UNWTO projects this strong growth momentum to continue in 2018 at a more sustainable rate of 4 to 5%, with the Asia Pacific region continuing to lead the way.

Although tourist arrivals to Sri Lanka crossed the milestone of 2 million for the first time in 2017, the performance of the industry was moderate as arrivals recorded the first single digit growth in the post war period, at 3.2% over 2016. Political unrest in the Maldives, combined with a dengue epidemic and floods in Sri Lanka and the partial closure of the Katunayake Airport up to April 2017, were key factors which adversely impacted arrivals from the Group's two main revenue generating markets.

GROUP PERFORMANCE :

The Group performed well to achieve a growth in Turnover and Profit Before Tax (PBT) across all its properties in a year of subdued growth in the industry as enumerated previously. Group's consolidated Revenue grew by 14% whilst PBT rose by 41%.



J.M.S. Brito
Managing Director

MANAGING DIRECTOR'S REVIEW

It is noteworthy that our properties in Sri Lanka recorded an 8% growth in guest nights over the previous year, despite the lackluster growth in arrivals to the country. Moreover, the Turnover and Profit Before Tax from the Sri Lanka Sector rose by 19% and a remarkable 292% respectively.

SRI LANKA :

It is noteworthy that our properties in Sri Lanka recorded an 8% growth in guest nights over the previous year, despite the lackluster growth in arrivals to the country. Moreover, the Turnover and Profit Before Tax from the Sri Lanka Sector rose by 19% and a remarkable 292% respectively. Heritance Kandalama, Heritance Tea Factory and Heritance Ayurveda Maha Gedara were the highest contributors to our profitability in Sri Lanka.

Heritance Tea Factory continued to outperform the industry as well as better the profits achieved last year. Its performance, despite an increase in competition in the region, underscores the uniqueness of the concept and the product offering, and its differentiation from all other products in the market. During the year, the Group made an offer to its 12% minority shareholders of Heritance Tea Factory to buy back their shares. The offer was well received and following the buy back the Group now owns 94.4% of the total shareholding.

Heritance Kandalama, the Group's flagship property faced a challenging year with the increase in inventory in the area but performed well in comparison to its competition. The property was able to maintain its usual high occupancy of over 80% due to its unique design and offering. The Group also commenced uplifting its employee quarters during the year, in keeping with a Group-wide strategy and the benchmark established by Heritance Negombo.

Heritance Ahungalla, another premium brand property, also performed well to achieve a growth in Profit After Tax as compared to the previous year which was partially closed for refurbishment.

Heritance Negombo, the newest member of our premium brand portfolio which came on board in April 2016, performed exceptionally well, exceeding expectations to command high rates as well as high occupancy by capturing the market for those who seek state-of-the-art lodgings based on a novel 'city hotel on the beach' concept, which combines proximity and convenience with a resort ambience.

Hotel RIU Sri Lanka, the 501 roomed partnership venture with Spanish Hotel Developer and Operator RIU International, which came on board in 2016 as the largest resort hotel in Sri Lanka, showed good results to achieve a 16% growth in operating profits as it moved into its second year of operations. Profitability was somewhat stifled by the Euro's appreciation vis-a-vis the Rupee. RIU continued to bring in charter flights from UK and Scandinavia in conjunction with TUI, one of the world's leading tour operators. Whilst RIU follows an essentially European-centric model, it also began to look at attracting the Chinese and Indian source markets.

Heritance Ayurveda Maha Gedara continued its commendable performance, consolidating its unique positioning and wide acceptance as a wellness resort that provides a unique offering of authentic Ayurveda treatment with the Heritance brand promise.

Turyaa Kalutara faced a challenging period, particularly in the first three quarters of the financial year, as arrivals from one of its key source markets declined and intense price-based competition amongst hotels in the southern coastal belt undermined the property's profitability. Nevertheless, the Hotel recorded an improvement in its operating results with Operating Profits growing by 42%.

Amethyst Pasikudah, an associate company of the Group, continued to be impacted by the challenges faced by all the other hotels on this stretch of the Eastern coast; that of accessibility (distance from the airport) and an extremely short season of 3 months whilst the rest of the year remains most uncondusive for its only product offering of sun and sea for local as well as foreign tourists.

The year under review saw the Group divest its share of ownership of Hotel Hill Top, Kandy; thus adding Rs. 308 Mn to Group Profits. The Group also took on the management of the Earl's Regent, a Four-star property in the city of Kandy.

OVERSEAS :

Amongst your Group's many pioneering initiatives for Sri Lanka has been the venturing out into the hospitality sector overseas; we entered the Maldives in 1993, India in 2007 and Oman in 2008. Our operational properties in the Maldives today command about 5% of the entire market of guest nights in the atolls. Our entry into Oman and India began with the venture into the management of hotels, which then prompted us to seek ownership of a property each in India and Oman, as a foundation for further expansion of our footprint in these regions. Your Group's overseas presence as at this financial year end includes 5 resort properties on 4 islands in the Maldives, one City hotel in Chennai, India a city hotel in Muscat, Oman and three more managed properties in Oman.

Our resorts in the Maldives, branded Adaaran, continued to be the stellar contributor to Group profits despite there being no growth in profits in 2017. The profitability remained almost stationary compared to the previous year due to the decline in arrivals during the peak period for tourism owing to internal political strife. However, a pickup in arrivals in December contributed to enable an overall increase of 8% in arrivals for 2017.

Upgrades and refurbishments to 96 beach villas at Adaaran Club Rannalhi and 45 rooms and select public spaces at Adaaran Select Hudhuran Fushi were completed during the year. We are most encouraged by the excellent endorsements and feedback these efforts have yielded, contributing to high occupancy – Adaaran Select Hudhuran Fushi has enjoyed a consistent 95% occupancy since November 2017. The Group also plans to enhance the product and F&B offering at Adaaran Prestige Vadoo, the 50-roomed resort, which despite intense competition in its segment, was able to achieve its performance targets during the year. It is encouraging that online bookings account for over 50% of arrivals to this property. We have identified the importance of an upgrade of Vadoo in the year 2019 to meet the intense competition.

I am proud to note that all our operational properties in the atolls received Travelife Gold certification during the year under review; endorsing and supporting the value we place on the social and environmental sustainability of our properties. The resorts and their teams also received a multitude of other accolades in recognition for their commitment to excellence across a gamut of aspects, and these are listed in the ensuing MD&A of this report.

The Group has an own property and 3 managed properties in Oman and the year under review saw it divest the management of Ruwi Hotel, Muscat due to a conflict of interest with its acquisition of Al Falaj Hotel in Muscat. Al

Falaj is located in close proximity to the new tourism port, which is currently under construction, and is well positioned to benefit from the expected pick up in economic activity, supported by the current rise in oil prices. Reflecting our optimism for the future in the Oman market are the planned refurbishment of select areas of Al Falaj, such as its swimming pool and surrounding landscape, two executive floors, the pub, the Japanese restaurant, the night club and the banquet hall.

'Turyaa Chennai' performed better than its peers in the five-star city properties category located in the 'IT Corridor' of India; despite the challenge of severe competition on room rates. Its reputation for service excellence, strategic solutions by the team and a sophisticated ambience and room design were key factors which supported the property's performance to achieve a 45% growth in revenue. The Hotel will look to increase weekend occupancies and also appeal to leisure travellers to increase overall occupancy throughout the week. It also plans to expand its F&B offering to include banquets, themed activity and out door catering in the year ahead.

Despite the current challenge on room rates, the Group is buoyant about the bright prospects for Turyaa Chennai due to its location, being in close proximity to some landmark economic development projects which are currently in progress. Furthermore, the Government of India has announced plans to establish a 'defence corridor' in Tamil Nadu, and the Defence Expo held in April 2018 gave a considerable boost for the month's occupancy. These economic activities will greatly augment the current position Chennai enjoys as India's 'IT corridor', and augurs well for significant growth in arrivals of corporate visitors.

STAYING FUTURE ALIGNED :

Ensuring that we stay 'Aligned to the Future' is about the sustainability of our business model. 'Sustainability' has been intrinsic to our enterprise long before it became a buzz word, and it extends beyond the sustainability of operations. Sustainability at Aitken Spence Hotels begins at the stage of conceptualization, design and construction of a hotel, and thereafter translates into a continuous improvement of the sustainability of operations at each locale. For example, our premier properties such as Heritance Kandalama, Heritance Tea Factory and Heritance Ayurveda Maha Gedara were built and are managed on a model interwoven with their neighboring social and natural environment as discussed in detail later in this report. The range of international social and environmental certifications and accolades obtained by the Group's properties reflects the commitment and rigour of operations and processes.

MANAGING DIRECTOR'S REVIEW

Ensuring that we stay “Aligned to the Future” is about the sustainability of our business model. “Sustainability” has been intrinsic to our enterprise long before it became a buzz word, and it extends beyond the sustainability of operations.

As we reported last year, the Group equipped Heritance Negombo (which opened in 2016), with the best-of-its-kind in staff accommodation; raising the bar for the entire industry. The Group commenced the refurbishment of quarters at Heritance Kandalama during the year and will continue to upgrade quarters at our other properties over the next few years, reflecting the Company's belief in taking care of its people. The move is also an investment towards the future of the industry as we anticipate increasing the appeal of Sri Lanka's hospitality sector for new recruits as well as those who have sought better prospects overseas to return to employment in Sri Lanka. In addition to enhancing our employee value proposition amidst the intensifying competition for industry skills, enhancing staff accommodation is also of strategic importance in our objective of improving the gender balance at our properties and in the industry, by enhancing the safety and comfort of lodgings.

“Aligning” ourselves with the future, as for most businesses, is also about ensuring the state-of-the-art in technology. The Group will continue to invest significantly in ensuring that its information technology and MIS remain state of the art in areas such as Customer Relationship Management, booking facilities, marketing communication and customer convenience and to create new paradigms in the offer of customized guest experiences. Refurbishments planned for the year ahead at some properties will take into consideration the need to meet the latest technological requirements of guests.

Whilst we will continue to expand our regional footprint in order to mitigate risks and capture opportunities across other markets, we will focus on harnessing synergies in markets where our parent Group already enjoys an established presence via its diverse businesses. We will also actively look to expand our portfolio of managed properties by harnessing and contributing our intellectual capital as the key value generator. The Group will also build on the partnerships we have with international tour operators to cross-sell and leverage our strengths.

The Maldivian atolls, due to its current political crisis is likely to see inhibited growth in arrivals in 2018 as well, as the impending presidential elections and a spate of negative publicity in key markets is likely to discourage tourists. However, we remain optimistic that the tourism industry of the atolls would return to its high growth trajectory and increase in significance to your Group's profitability by 2019. The infrastructure development which is on going would augment the potential of this unique and luxurious destination to support a vibrant growth in tourist arrivals.

As I mentioned in my review last year, the release of a large number of islands and lagoons by the Maldivian tourism authorities over the past three years has resulted in a proliferation of new resorts of varying standards, thus intensifying price-based competition, which has posed some challenge in the short term. However the Maldives currently reports 1.43 Million arrivals per year and has the potential to increase this number.

The infrastructure that is being established by the government and the unmatched allure of the islands for its 'sun and sea' point to significant growth in occupancy which better reflects its potential, in the next few years. In keeping with our strategies, the Group commenced its sixth resort in the Maldives, which is scheduled to be completed in winter 2018. This new resort, branded as 'Heritance Aarah', will take the Heritance brand overseas for the first time, and is to be the flagship brand in the Maldives. The Group will also look to establish management contracts where it will leverage its industry expertise and brand equity to manage new properties in the atolls as well.

The prospects for the tourism industry in Oman for the short-term seem lackluster due to the security situation in its neighborhood and the current economic downturn. However, the rise in oil prices which began in the last quarter of the year would support a more vibrant economy in Oman, and lead to higher arrivals of corporate guests over the medium term, therefore the Group remains optimistic about the medium and long-term future.

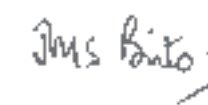
Our optimism on Sri Lanka for the year ahead is underscored by the performance in the last quarter of our financial year, which saw a sharp double-digit growth in arrivals in January and February of 2018. It is our fervent hope that political stability will be further strengthened to sustain the envisaged numbers in arrivals in the year ahead.

The Aitken Spence flagship properties remain inimitable and well differentiated from any other in the Sri Lankan market, for their unique concepts, architecture, design, ambience and service. Moreover, each of the properties within the Group's portfolio is distinctive, with its own identity and unique selling proposition (USP), in terms of destination as well as the product offering. The Group will continue to leverage and strengthen these USPs and competitive advantages for enhanced and sustained profitability into the future.

IN CONCLUSION :

My sincere appreciation to our Chairman and my colleagues on the Board for their guidance, constant support and cooperation. My heartfelt thanks to our Management Team and staff at our properties located across the country and overseas, for their passion and commitment to delight and deliver. I also wish to convey my sincere appreciation to our numerous stakeholders, shareholders and customers for their loyalty and the inspiration they provide to keep raising the bar on what we offer and how we serve.

We will stay focused on generating increased value by harnessing the brands, the destinations, the skills and talents of our team, and the rigour of our processes; as we augment our position of industry leadership in the next few years.



J.M.S. Brito
Managing Director

28th May 2018

OUR LEADERSHIP

BOARD OF DIRECTORS



Deshamanya D.H.S. Jayawardena - Chairman

Mr. Jayawardena was appointed to the Board of Aitken Spence PLC., on 1st April 2000 and has been the Chairman of the Company since 25th April 2003.

A visionary with a good business acumen, he has led many enterprises in very diverse fields to achieve great success. He is the founder Director and current Chairman/Managing Director of the Stassen Group of Companies, the Chairman of Lanka Milk Foods (CWE) PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Melstacorp PLC, Ambewela Livestock Company Ltd, Lanka Bell Ltd and the Chairman of the Distilleries Company of Sri Lanka PLC. He is also a Director of several other listed and privately held companies in Sri Lanka and is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka.

Mr. Jayawardena's has been sought after to lead large public sector institutions and is a former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines.

He is presently the Honorary Consul for Denmark and on 9th February 2010, was knighted by Her Majesty the Queen of Denmark with the prestigious honour of "Knight Cross of Dannebrog".

In 2005 Mr. Jayawardena was awarded the prestigious title, "Deshamanya" in recognition of his services to the Motherland.



Mr. J.M.S. Brito - Managing Director

Mr. Rajan Brito joined the Board of Aitken Spence PLC. in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes experience working with several international organisations. He was then appointed as the Deputy Chairman and Managing Director of Aitken Spence PLC., in January 2002, and presently continues in these roles.

Mr. Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka. He is a former Chairman of DFCC Bank, Employers' Federation of Ceylon, Sri Lankan Airlines, and has also served on the board of the Sri Lanka Insurance Corporation. He holds a LLB degree from University of London, MBA degree from London City Business School and is a Fellow of the Institutes of Chartered Accountants of both Sri Lanka and England and Wales.



Ms. D.S.T. Jayawardena

Ms. Stasshani Jayawardena joined the Aitken Spence Group in January 2010 as a management trainee. After gaining experience in several of its key strategic business units and Group Companies, she was appointed to the Board of Aitken Spence PLC., in December 2013 and to the Board of Aitken Spence Hotel Holdings PLC., in July 2014. She was appointed as Chairperson of Aitken Spence Hotel Managements (Private) Limited in January 2016 and as Director of Aitken Spence Aviation (Pvt) Ltd. in July 2017. Ms. Jayawardena is overall responsible for the Tourism Sector of the Group that includes hotels, destination management and overseas travel.

A graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003. She is the Sri Lankan Ambassador for EY NextGen Club.

At present Ms. Jayawardena leads a team of international professionals in strengthening the service foundations and formulating a strategic road map for the Tourism Sector of the Group.



Mr. C.M.S. Jayawickrama

Mr. Jayawickrama has been with the company for almost 27 years and is the Joint Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd. He is responsible for managing all Group Hotels in overseas markets. Mr. Jayawickrama serves on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC. A Fellow member of the Chartered Institute of Management Accountants UK, he has substantial experience in senior management positions in the Group's hotel sector with exposure in the tourism industry in Sri Lanka and overseas.

Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka (THASL).

OUR LEADERSHIP

BOARD OF DIRECTORS



Mr. G.P.J. Goonewardena

Mr. Gemunu Goonewardena, who is a non-executive **Director of the Board of Aitken Spence Hotel Holdings PLC** is also an **External Board member of the Faculty of Management Studies (Sabaragamuwa University of Sri Lanka)**. He continues to serve as a member of the **Tourist Hotels Classification Committee** since 1998 till date and had been part of the team which drafted the new **Tourist Hotel Classification Criteria / Guideline Standards for hotels**.

Formerly during his career with Aitken Spence, he was Vice President, responsible for Resource Planning & Development, Food & Beverage Services and Facilities, as well as a Director of Aitken Spence Resources (Pvt) Ltd responsible for overseas Recruitment. He has been an integral part and a key member of the Aitken Spence Group contributing significantly in Sri Lanka and Maldives to its iconic properties from their inception, forward planning, and operation to continued development.

Mr. Goonewardena is a Graduate of the Ceylon Hotel School, and a Post Graduate from the Culinary Institute of America. He is a Fellow of the CHSGA (Ceylon Hotel School Graduates Association), an Honorary Consultant for the Postgraduate Diploma in Tourism, Economics & Hotel Managements leading to Masters, conducted by the University of Colombo. With extensive exposure, having worked in U.S.A., Europe and Australia and counting more than 43 years of valuable experience, Mr Goonewardena has been an exemplary leader and mentor at Aitken Spence and to the Industry as a whole. He now serves as the Chairman of Win-Stone Group.



Mr. R.N. Asirwatham

Mr. Asirwatham was appointed to the Board of Aitken Spence PLC., in September 2009. At present, he is the Chairman of the Audit Committee, Related Party Transactions Review Committee, a member of the Remuneration Committee and the Nomination Committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is presently the Chairman of the Financial Systems Stability Committee of the Central Bank of Sri Lanka

Mr. Asirwatham is a Fellow member of the Institute of **Chartered Accountants of Sri Lanka and the Chairman of the Audit Committee**. He is also a Board member of the Post Graduate Institute of Medicine and a member of the council of the **University of Colombo**.

He also serves on the Boards of Dilmah Tea Services PLC., Royal Ceramics PLC., Mercantile Merchant Bank., Dankotuwa Porcelain PLC., Colombo City Holdings PLC., Browns Beach Hotels PLC., and several other companies.



Mr. N.J. De Silva Deva Aditya

Mr. Niranjana Deva Aditya, born in Sri Lanka, was educated in England with a Degree in Aeronautical Engineering and a Post Graduate Research Fellowship in Economics. He has had an illustrious career as one of the most recognised and long serving politicians in the U.K. with over 35 years in public service.

Among his many inspirational and pivotal achievements are being the first Asian to be elected as a Conservative Member of British Parliament, the first Asian MP to serve in the British Government, the first Asian to be appointed as **Her Majesty's Deputy Lord Lieutenant for Greater London**, and the first Asian born MP to be elected to the **European Parliament, where he serves in a number of key posts, among the most notable being his Chairmanship of the Delegation for Relations with the Korean Peninsula and his Vice-Presidency of the Development Committee**. As a recognition of his accomplishments he was nominated as a **candidate for Secretary General to the UN in 2006 and has been honoured for his public and international services by the UK, the Vatican, Sri Lanka, India and China**. Mr. Deva Aditya joined the Company in 2006 as an **Independent Non-Executive Director** and holds the post to date as a **Non-Executive Director**.

He is a Fellow of the Royal Society for Arts, Manufacture and Commerce (Est. 1765).



Mr. C.H. Gomez

Mr. Charles Gomez is a former Banker with over 30 years experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC., Lloyds TSB Bank PLC., and SG Hambros. He brings to the Company a wealth of experience with regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC., and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments world-wide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC., in 2002 and to the Board of Aitken Spence Hotel Holdings PLC., in 2010. His role in the Companies is that of an **Independent Non-Executive Director**. He also serves in the **Audit Committee, Related Party Transactions Review Committee and the Remuneration Committee**.

Mr. Gomez is a member of the Executive Committee of the Gibraltar Amateur Rowing Association.

OUR LEADERSHIP

CORPORATE MANAGEMENT TEAM



Ms. Stasshani Jayawardena

(Profile on page 21)



Mr. Susith Jayawickrama

(Profile on page 21)



Mr. Ranil De Silva

Mr. De Silva is the Jt. Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., with specific responsibility for the Group's local hotel portfolio having joined the Group in February 2017. He was formerly the Managing Director of the Hemas Hotel Sector and has expansive experience in both local and overseas markets encompassing diverse industries.

He is a Fellow Member of the Chartered Institute of Management Accountants UK, an Associate member of the Institute of Chartered Accountants of Sri Lanka and a Member of the Chartered Institute of Marketing UK.



Mr. Mangala Wijesekera

Mr. Mangala Wijesekera is the Chief Operating Officer/Vice President, of Aitken Spence Hotels' Overseas Sector.

He counts over two decades of experience in the hotel industry. He has had extensive overseas and local training and work experience in Finance, General Management, Hotel Operations and Project Management.

He has a Bachelor's Degree in Mathematics from the University of Colombo, holds a MBA from the University of Southern Queensland, Australia and a Master Certificate in Hospitality Management from the School of Hotel Administration, Cornell University, New York. Prior to the present position he was Vice President, Finance and Administration for the Overseas Hotels and Projects of the Group.



Mr. Rohitha Rajaratne

Mr. Rohitha Rajaratne is the Head of Engineering for the hotels in the Aitken Spence Group.

He is a Chartered Mechanical Engineer by profession and counts over two decades of professional experience after graduating from the University of Moratuwa. He served in the Sri Lanka Navy for over a decade and has had extensive overseas training and work experience in Australia and New Zealand.

He has obtained a Postgraduate Marine Engineering qualification from Germany, holds a MBA from the University of Colombo and MSc. in Sustainable Engineering from University of KTH Sweden. He is a fellow Member of the Institute of Engineers Sri Lanka, and an accredited International Professional Engineer.



Mr. Bjorn Van der Horst

Mr. Bjorn van der Horst is a multiple Michelin-starred Chef, Food & Beverage Director and creative entrepreneur. He heads all Food & Beverage strategy and operations for Aitken Spence Hotels in Sri Lanka and overseas.

He brings with him a wealth of experience opening and building successful independent and branded hotel food & beverage businesses from New York to London and Maldives.

In 2017 he became a member of the Aitken Spence family as Corporate Director of Food & Beverage for Aitken Spence Hotels, Sri Lanka and Overseas sectors and has been actively setting up the ground work for a transformation in Food & Beverage offerings across our Hotels, corporate dining room and preparing for our much-awaited Heritance Aarah opening in Maldives this year.

He also serves as the Director and Co-Founder of Bone Tea LTD a small but burgeoning quick service restaurant and retail brand in the UK and an honorary member of the Chefs Guild of Sri Lanka.

OUR LEADERSHIP

CORPORATE MANAGEMENT TEAM



Mr. Jeevaka Weerakone

Mr. Jeevaka Weerakone, is Director – Operations for Aitken Spence Hotels, Sri Lanka. Before taking up this appointment he was Vice President – Operations in charge of hotels in the northern sector. He also served as Assistant Vice President – Human Resources/Learning & Development for hotels in the Aitken Spence Group and was the Executive General Manager – Heritance Kandalama and General Manager – Earl’s Regency. He is a professional hotelier counting more than twenty-seven years in the hospitality industry in Sri Lanka and overseas.

He holds a MBA and is a graduate of the Sri Lanka Institute of Tourism & Hotel Management (SLITHM) specializing in Food & Beverage Operations and a Fellow of the Ceylon Hotel School Graduates Association (FCHSGA). He is a Consultant for ISO 9000 quality systems and has served as an Executive Committee Member of the Regional Economic Development Agency (REDA) representing the tourism industry in the Central Province under the Central Provincial Council and as a committee member of the CHSGA in 2010.



Mr. Srinith De Silva

Mr. Srinith De Silva is the Chief Executive Officer/Vice President, of Aitken Spence Hotels' Oman Sector.

He has more than 23 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.

He is a Graduate of the Victoria University, Melbourne and counts many years of experience in international hotel chains, such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts.



Mr. Bhadiya Gunatilake

Mr. Badhiya Gunatilake is the Chief Operating Officer of the Adaaran Resorts, the Maldives Sector of Aitken Spence Hotels. He is also the Vice President and serves as a Director to Unique Resorts Private Ltd.

A professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, Oman & Maldives.

He is a Graduate of the Ceylon Hotel School.



Mr. Dammika Ekanayake

Mr. Dammika Ekanayake is the Asst. Vice President Finance of Aitken Spence Hotels.

He counts over two decades of experience in the fields of Auditing, Finance, Operations and General Management. He has over a decade of local and international experience having worked in Dubai, Malaysia and India in senior management positions in multinationals including Shell, BP and Castrol. Prior to joining Aitken Spence, he was the Director Business Administration for CMA-CGM SSC Lanka which was owned by world's 3rd largest containerized French shipping company CMA-CGM.

He obtained his MBA from University of Colombo and is a Fellow member of the Institute of Chartered Accountants of Sri Lanka, an Associate member of the Chartered Institute of Management Accountants UK, and a Fellow member of the Institute of Certified Management Accountants of Sri Lanka. He is a gold medalist from the Sri Lanka Institute of Marketing.



Ms. Irandi Wijegunawardane

Mrs. Irandi Wijegunawardane is the Assistant Vice President of Accommodation sector for Sri Lanka and India. She is a graduate from Sri Lanka Institute of Tourism and Hotel Management (SLITHM) and counts for over 35 years of extensive experience in the Hospitality Operations and Training & Development in Sri Lanka and Overseas.

Previously she had worked in many prestigious hotels in Sri Lanka and overseas, a Senior Faculty member of SLITHM – Colombo and was the Principal of SLITHM – Kandy, actively involved in numerous curriculum development projects to uplift the service standards of the industry.

She is also a Member of the Board of Directors of Sri Lanka Institute of Tourism & Hotel Management, a fellow Member of the Ceylon Hotel School Graduates Association and has been invited to be a member of HR advisory Committee for the private sector led Tourism Sector skills Council to elevate the skill standards of the Tourism & Hospitality industry in Sri Lanka.

Her many achievements includes; National Diploma in Training and Human Resources Development (NDTHRD) from IPM, Commonwealth MBA from Commonwealth of Learning (COL) in Vancouver, Canada, qualified assessor for NVQ under Tertiary and Vocational Educational Commission (TVEC) and a Certified Hospitality Educator (CHE) from American Hotel and Lodging Association (AHLA).



Mr. Arun Raj

Mr. Arun Raj. D, serves as the Assistant Vice President of Turyaa Chennai – the Group's five-star deluxe business hotel in Southern-India.

He started his career with Taj in the prestigious Butlers Management Team and moved to Adaaran Prestige Water Villas as a pre-opening member. He was part of the management team responsible for gaining international recognition and accolades for Adaaran. He leads the team at Turyaa Chennai, which position he has held for the past 5 years.

He is a member of FHRAI (Federation of Hotels and Resorts Association of India), SIHRA (South Indian Hotels and Resorts Association) and also a member of SKAL International.

He is a graduate from SRM Institute of Hotel Management which is one of the most renowned private institutes for producing Hoteliers in India.

SRI LANKA

“Explore a land enriched with breathtaking magnificence, where possibilities are endless.”



Heritance Ahungalla
Heritance Kandalama
Heritance Tea Factory
Heritance Ayurveda Maha Gedara
Heritance Negombo

turyaa

Turyaa Kalutara

Aitken Spence Hotels

Amethyst Resort Pasikudah
Earl's Regency
Earl's Regent
Bandarawela Hotel

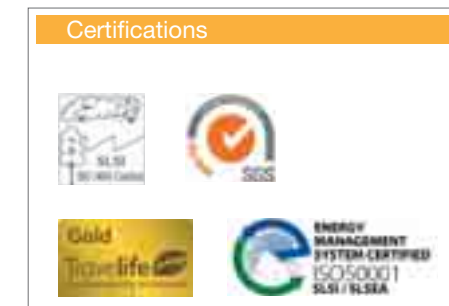


HERITANCE AHUNGALLA

Another of the Heritance properties with a design that inspires, relaxes and brings tranquility as you enter... with its wide open spaces and view of an infinity pool that appears one with the ocean.



Find out more about
Heritance Ahungalla online at



ABOUT HERITANCE AHUNGALLA

Heritance Ahungalla is an idyllic, relaxing five-star retreat located on 12 acres of beachfront on the southwest coast of Sri Lanka. Designed by the world-renowned and legendary architect Geoffrey Bawa, the resort comes complete with 152 fully equipped spacious and elegant accommodation, award winning cuisine and a luxurious spa and an atmosphere of the utmost tranquility, granting a sense of serenity and peace of mind.

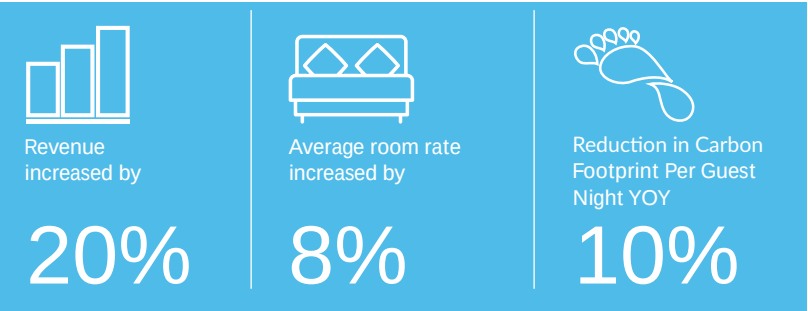
A vast range of possibilities present themselves to those who visit Heritance Ahungalla – activities for the tourist seeking excitement, exploration and relaxation. Situated mere minutes from significant places of interest, the star-class property has been over the years awarded for its sustainable processes and activities. In recognition for its commitment to uplift local people, businesses and culture, and continuous focus on improving environmental and social impacts, the hotel is Travelife Gold certified since 2014.

HERITANCE AHUNGALLA

PROPERTY PERFORMANCE

The resort reported a revenue increase of 20% during the financial year primarily due to the reduction in the available room inventory in the preceding year, with the 52-room refurbishment carried out in the summer of 2016. The major contribution to the increase in revenue arose from the European Tour Operator segment which saw a growth of 63% while the online segment improved by 40%. The European tour operator segment regained the top spot as the channel with the highest contribution in room nights to the

resort in 2018, while as in the previous year German, Chinese and the British markets were the mainstay at the property. However, arrivals from the Chinese market reported a slight reduction, mirroring national statistics.



GUEST REVIEW

“Rest and relaxation ”

Reviewed by GillyTrevi Feb 16, 2018

Loving this place, staff are friendly and helpful. Food is one of the best we have had. Sea is a little rolling so snorkelling is out but with two large pools like bath water can't moan. Sea is great for paddle and a lovely long walk on beach. Would definitely come back again.

 **“Couldn't be a better place”**

Reviewed by abey_12 Mar 11, 2018

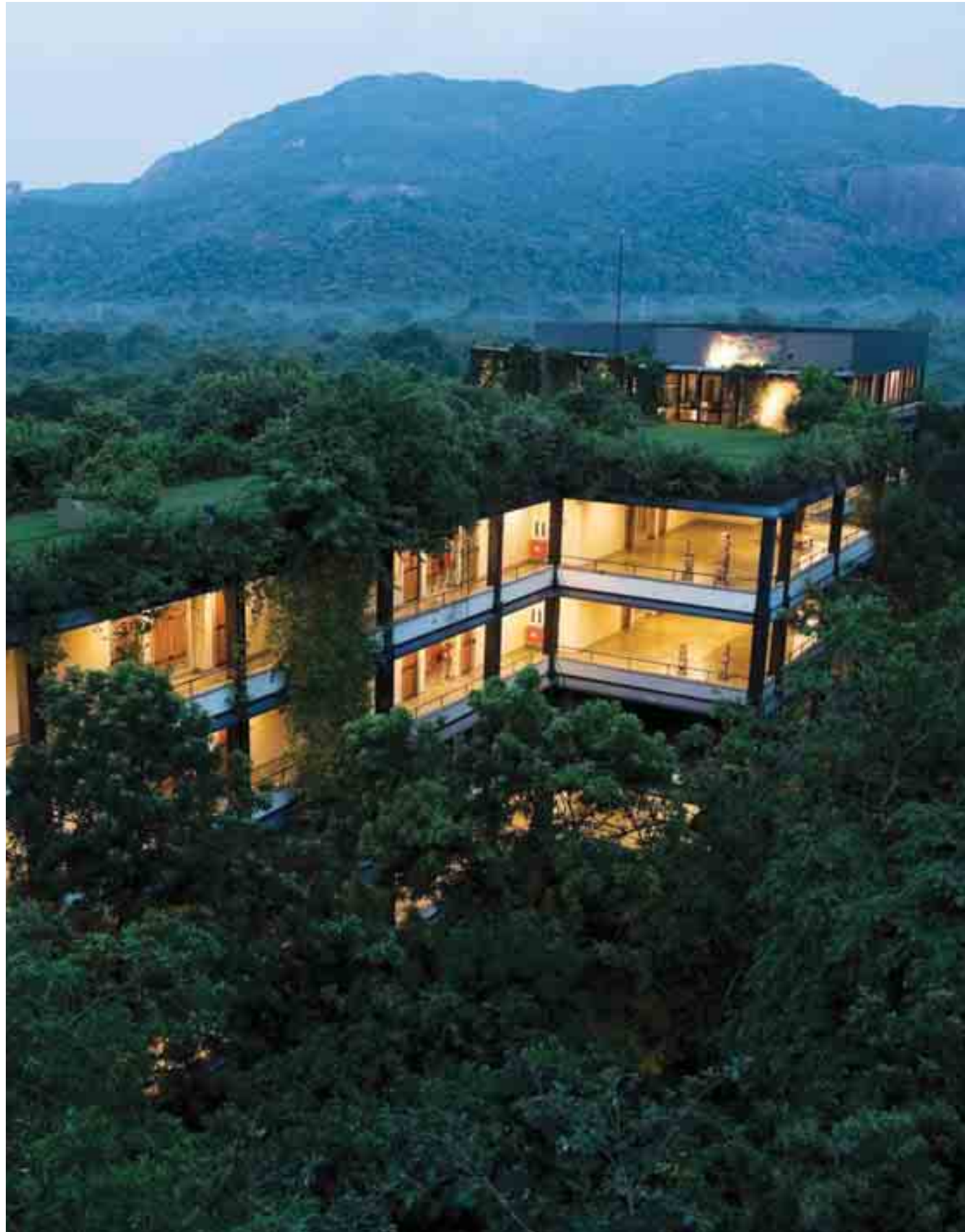
This was our 11th visit to this hotel designed by Geoffrey Bawa. The General manager Sisira & his staff are very approachable & helpful as always. We had the privilege to meet up with Thushara & Prasanna both of whom we first met at their sister hotel in Kandalama in 1995. Thushara at f&b was outstanding as expected & went way beyond the call of duty to make our stay that much more comfortable & homely. The main restaurant & coffee lounge served great food & our room on the 3rd level was magnificent.



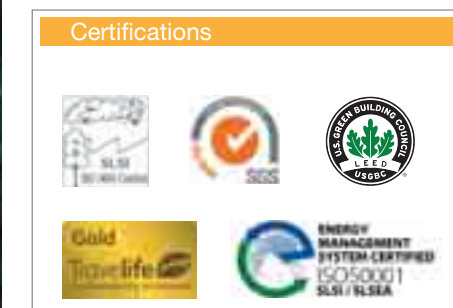


HERITANCE KANDALAMA

Heritage Kandalama is shaped like the outspread wings of a bird, following the line of the cliff from which it seems to emerge. The hotel is a staggering 1km from end to end and rises up seven floors, yet appears to be a perfect natural extension of the mountainside.



Find out more about
Heritage Kandalama online at



ABOUT HERITANCE KANDALAMA

Widely acclaimed as an architectural masterpiece, this resort designed by the world-renowned Geoffrey Bawa, Heritage Kandalama overlooks another architectural marvel, the towering rock fortress of Sigiriya.

The property's elegant bedrooms and suites offer magnificent, sweeping views of the Kandalama lake, and while guests bask in the splendour of their surroundings, a variety of activities and excursions are within arm's reach – affording the opportunity to interact with local wildlife, the community and the amazing heritage of the island nation.

The resort has been awarded for its architecture, cuisine, exceptional service standards and commitment to the environment on numerous occasions. Heritage Kandalama is undoubtedly the benchmark in terms of sustainable tourism. As the first hotel in the region to receive the U.S. Green Building Council LEED Certification outside the U.S., Heritage Kandalama is one of the most awarded and recognised for sustainability and eco tourism.

HERITANCE KANDALAMA

PROPERTY PERFORMANCE

The year under review marked another record-breaking year for Heritance Kandalama with the property recording its highest ever revenue and occupancy, with the property maintaining its position as the largest contributor in terms of both revenue and profit in the Sri Lankan sector.

During the year, the property continued to reap the benefits of the strong technology infrastructure laid by the Group with online sales reporting the highest increase. With major

investments already planned for the coming year the Group expects a further increase in the contribution from the channel in the coming years.

Repeating the performance from last year, Chinese and the British nationals were the largest foreign clientele at the property with the hotel sustaining significant contribution from the Sri Lankan market it has acquired over the years.



GUEST REVIEW



“Reviewed by MelJud Mar 13, 2018”
Best hotel experience!!
This was my second time at this enchanting hotel. The views are spectacular, the food...I'm still daydreaming about the food, and the absolutely wonderful staff who never miss even the most minor detail. Lanka's morning yoga classes also add so much to the experience, whether you have a background in yoga or not. Not to be missed if you have a few days at Heritance Kandalama.

“A great escape ”
Reviewed by Nissobeirut321 Mar 11,2018
What a place What a piece of paradise from the minute u enter when they welcome u with the drink until u leave u ll not experience nothing less but care smiles and kindness !! Rooms are clean big and peaceful !! Was there in Feb the weather was great.. though it's a bit away from everything but if ur searching for an escape in nature u ll not find a better place !! Food is marvelous I loved the Fresh backed pizza amazing .. try the gift shop u ll find great souvenirs for good prices and great quality..





HERITANCE TEA FACTORY

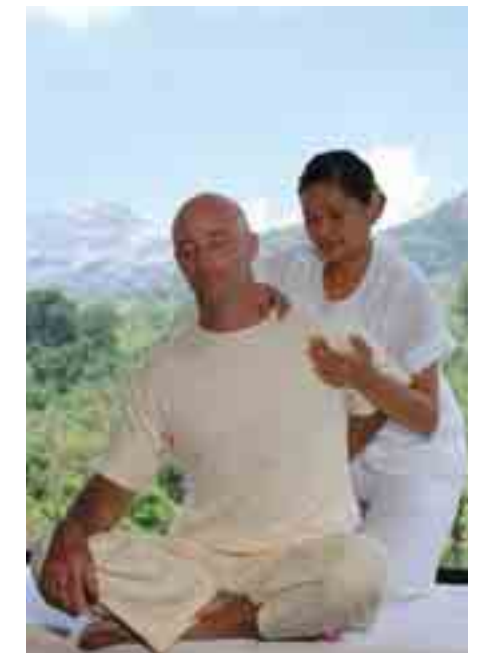
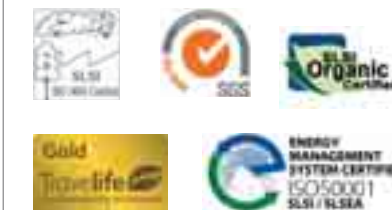
Now you can stay in a converted tea factory, pluck your own tea and take it home with you as a souvenir! At 2km above sea level, the views over lush green tea plantations are truly unforgettable. Welcome to Heritage Tea Factory, where the kettle is always on.



Find out more about
Heritage Tea Factory online at



Certifications



ABOUT HERITANCE TEA FACTORY

Situated within the cool climes of the hills of Sri Lanka only six degrees from the equator, the Heritage Tea Factory sits 6,800 feet above sea level, amid a location acclaimed for the origin of Pure Ceylon Tea. The only tea factory in the world that is now a hotel, this one-of-a-kind concept was a testament of sheer vision, drive and innovation, encapsulating both the past and the present in one perfect blend. The Hethersett factory and estate, which had been abandoned since 1972 is now a 54-roomed resort,

and guarantees a unique experience for any visitor, complemented by a heritage of warmth and hospitality and overall commitment to quality.

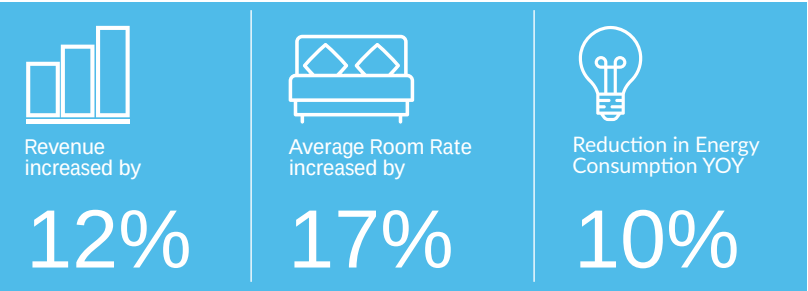
The Heritage Tea Factory has won over 20 awards in recognition of its excellence in architecture, heritage and environmental standards, which include the PATA Grand Award for Heritage and Culture, and the Gold Award for Architectural Heritage at the prestigious Green Apple Awards.

HERITANCE TEA FACTORY

PROPERTY PERFORMANCE

The property concluded another impressive year of financial performance with the Company reporting its highest ever revenue and profits, with the strategy of managing yield through targeted marketing strategies paying dividend. The British nationals continued to be the mainstay at the resort with a significant increase in contribution from online sales.

The Group hopes to further differentiate the product offering in the coming years at the property, building on the unique positioning of the resort to drive yield.



GUEST REVIEW

“You must experience and get to know it ”

Reviewed by echamara Mar 8, 2018

This became a hotel after converting a real tea factory. They have preserved some of the machineries their. The elevator was great. They have a giant wheel which is spinning slowly at a time inside the hotel. The rooms were great and it was calm and quit. The staff was very friendly and helpful. The pony rides, plucking tea, tea tasting was fabulous. it is with great views of the nature. This is a great place to visit


“Reviewed by Natalie W Feb 20, 2018”

Special destination

Remarkable property high above the clouds and mist! Beautiful renovation of the old tea making machinery and super historical photos make it a really interesting place to stay. We really enjoyed the amazing views from our room - ladies in their jewel coloured saris picking the tea!



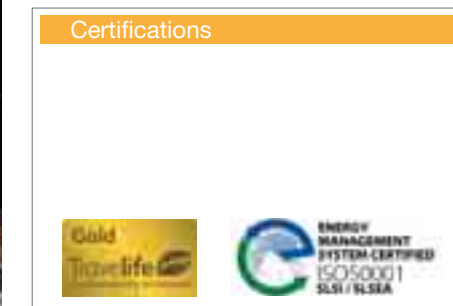


HERITANCE AYURVEDA MAHA GEDARA

Heritage Ayurveda Maha Gedara is a specialist ayurveda hotel offering professional ayurveda treatments in a serene and relaxing environment. Relax and revitalise your mind, body and spirit amidst acres of lush tropical gardens, and discover the art of tranquility.



Find out more about
Heritage Ayurveda Maha Gedara
online at



ABOUT HERITANCE AYURVEDA MAHA GEDARA

Ideally placed in a tranquil, serene location overlooking the ocean, Heritage Ayurveda Maha Gedara is an ayurvedic treatment destination which provides visitors with an authentic and original local experience. As an iconic beach property with meticulously crafted surroundings, those who walk in are immediately enveloped with a sense of contentment and absolute peace. As guests indulge in a unique array of personalised ayurvedic healing treatments and rituals, experiencing perfect harmony and holistic wellness, their stay is further enhanced by the best in hospitality and exceptional cuisine.

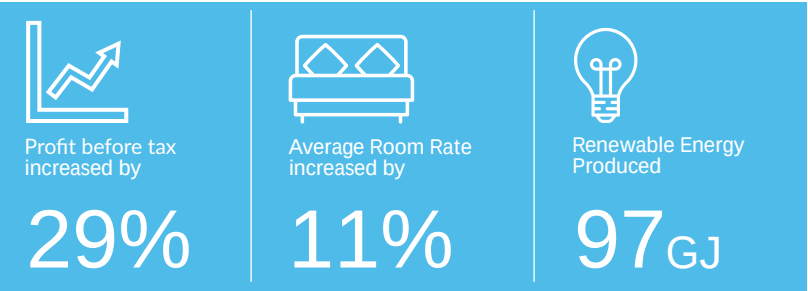
Formerly known as the Neptune Hotel Beruwela, this resort underwent a complete refurbishment towards the latter part of 2011, with the vision of creating a 'wellness' resort, in line with identified tourism trends. Promoting sustainable and responsible tourism, the resort also pays tribute to the arts and crafts industry of Sri Lanka, providing a platform for traditional craftspeople of the country to showcase their skills, enabling the advancement of local culture and traditions.

HERITANCE AYURVEDA MAHA GEDARA

PROPERTY PERFORMANCE

Heritage Ayurveda Maha Gedara enjoyed an impressive 2017/18 financial year with the property reporting its highest ever revenue and profits despite a slight reduction in occupancy. However, it should be noted that part of the increase in revenue is due to the depreciation of the Sri Lankan Rupee against the Euro with a significant proportion of the volume generated at the property being derived by Euro denominated accommodation contracts.

Germany and Switzerland continued to be the property's major revenue generating markets. Going forward, the Management hopes to increase the contribution in guest arrivals from Russia and Japan in the coming years. During the year under review, the property was recognised as a FIT Reisen premium partner.



GUEST REVIEW

Healthy Weekend away!!
“Reviewed by Tarun T Jan 27, 2018”
This place is so beautiful and peaceful by the beach.. the treatment plan they had for me just right.. Best massage then from finished with a herbal bath.. loved it. The food was amazing, so many choices and service was the best in Sri Lanka .. everyone was so attentive. The Beach was great not overcrowded at all and water was beautiful. I don't want to leave yet!

tripadvisor®
get the truth. then go.™

“Fantastic Hotel with lovely manpower”
“Reviewed by Tripadvisor Member May 15, 2018”
I spent two weeks at Heritage Maha Gedara and it was fantastic. Everything was perfect. Starting from the room, next to the treatments and ending with the departure. The food was delicious as well. Special thanks to „my“ treatment team. Thanks to shashia rajanajaka.



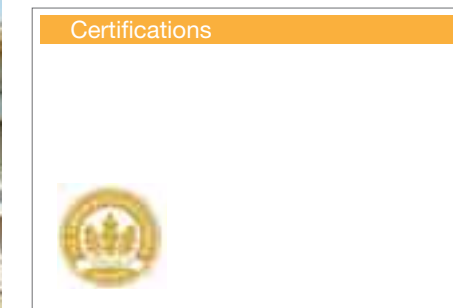


HERITANCE NEGOMBO

Heritage Negombo is a contemporary experience of refreshing culture, effortless luxury and inspiring locations. It is a way of life that embraces nature and tradition. You will love the imagination and inventiveness around every corner.



Find out more about
Heritage Negombo online at



ABOUT HERITANCE NEGOMBO

Heritage Negombo commenced operations in early 2016, further optimising our existing local portfolio with yet another five-star class quality resort, while expanding our capacity with an additional 139 rooms. Located in proximity to the airport and merely 40 minutes from the city of Colombo, the Group's newest hotel property is a city resort – its uniquely contemporary design complemented by an expanse of sun,

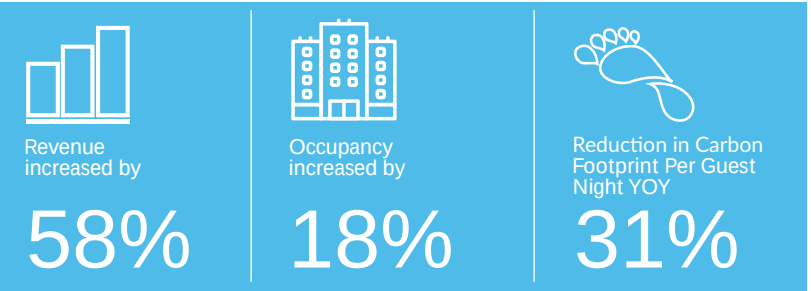
sea and sand with stylishly elegant living spaces bordering the shoreline. Bask in the warmth and luxury as you escape into the quintessence of island paradise along Sri Lanka's west coast.

HERITANCE NEGOMBO

PROPERTY PERFORMANCE

The year under review saw Heritance Negombo complete its second year of operation and we are pleased to note that the property was able to outperform the initial management forecast for the year. Property revenue increased by 58% year on year with UK, Germany and China being the largest foreign source markets while a high contribution was also observable from the Sri Lankan clientele.

As in all other properties in the Group, online marketing played a pivotal role in driving revenue at the resort with this segment providing the highest contribution in room nights.



GUEST REVIEW

“Fantastic last night of our tour ”
Reviewed by Teresa H Mar 13, 2018
We stayed here on the last night of what had been a pretty gruelling tour of the Island. We had the most lovely room overlooking the swimming pool which was very well appointed and serviced. Without exception every member of staff we came into contact with were friendly and helpful. It's a lovely modern hotel and we only wished we had booked to stay a few more days as this certainly was the place to wind down before the long flight home. It's near to the airport which is a huge bonus.

 **“Attentive and professional staff ”**
Reviewed by a1b2343 Mar 10, 2018
We stayed at the Heritance for 2 nights when we first arrived in Sri Lanka. The hotel staff was incredibly attentive and professional. The grounds were well manicured and the pool inviting. There was easy access to the beach. The breakfast was top notch with a nice variety of Sri Lankan curries and traditional western options.





TURYAA KALUTARA

ABOUT TURYAA KALUTARA

Stretching across an expanse of six acres, Turyaa Kalutara is a beach-front resort with 200 rooms, equipped with private balconies. Located on the island's western coast, only 37km from the commercial capital of Colombo, this seaside resort is a haven away from the bustling city.



HOTEL RIU SRI LANKA

ABOUT HOTEL RIU SRI LANKA

Set against the exquisite shores of Ahungalla in the south-west coast of Sri Lanka, Hotel RIU is ideally placed for those who wish to enjoy an authentic experience. Discover the true meaning of service with a smile, with the all-inclusive 24 hour service offered by RIU Hotels & Resorts.



AITKEN SPENCE HOTELS



ABOUT AMETHYST RESORT

Overlooking the magnificent, calm azure of the Pasikudah bay, in close proximity to Batticaloa, Amethyst Resort Pasikudah comes equipped with 39 rooms, and is positioned with easy access to a range of water-related sports and activities.



ABOUT BANDARAWELA HOTEL

The Bandarawela Hotel is a delightful colonial hotel made up of 34 rooms, cradled among the towering mist-drenched mountains of Bandarawela - a hilly town renowned for its lush green tea estates, cool climate and sweeping scenic vistas.



ABOUT EARL'S REGENCY

Enveloped in the utmost luxury and elegance, Earl's Regency is a five-star 134 roomed hotel situated at the heart of the country's central capital, Kandy. Guests can lose themselves in the tradition and history against the backdrop of an ancient setting, as they explore the misty hill country.



ABOUT EARL'S REGENT

Feel at home among the verdant green hills of Kandy in a hotel that showcases both the authentic heritage of colonial days past and all the comforts of modern luxury. Furnished with 60 rooms, this resort offers the best of Sri Lankan hospitality and old-world charm.

MALDIVES

“Plunge into the vast expanse of cerulean waters and discover an experience that's like no other.”




ADAARAN
MALDIVES

Adaaran Prestige Vadoo
Adaaran Prestige Water Villas
Adaaran Select Meedhupparu
Adaaran Club Rannalhi
Adaaran Select Hudhuran Fushi

ADAARAN PRESTIGE VADOO

Sun, sand and surf are the best things about a holiday in the Maldives and the picturesque island of Vadoo does not disappoint, offering expanses of pristine white beach and shining turquoise water under blue tropical skies.



Certifications



ABOUT ADAARAN PRESTIGE VADOO

Venture into a land where time stands still, where sun-kissed sand and breathtaking reefs teeming with life, enthusiastically beckon the weary traveller and the thrill-seeking tourist alike. This tropical paradise holds you captive, providing an experience like none other. The resort stretches across 4.5 acres, atop an island enveloped by the clearest turquoise, surrounded by vibrant, exotic coral reefs, a mere 15 minutes from the airport and the city of Male, accessible via speedboat. This unparalleled retreat is a haven,

surrounding guests in luxurious comfort, creating an atmosphere of exclusivity to all those who venture within. Consisting of fifty water villas, including six Japanese style water bungalows, it is no wonder Adaaran Prestige Vadoo stands apart from the rest.



Find out more about
Adaaran Prestige Vadoo online at

ADAARAN PRESTIGE VADOO

PROPERTY PERFORMANCE

Adaaran Prestige Vadoo completed a satisfactory 2017/18 with the property reporting an 8% increase in revenue and a 2% growth in occupancy despite a competitive market environment.

As in the previous year the Far Eastern region remained the key source market for the property with the resort receiving a significant clientele from China, South Korea and Japan.

Online sales increased by 24% during the year and provided the highest contribution in room nights.

With intense competition it has become critical for the Group to plan an upgrade of Adaaran Prestige Vadoo in the year 2019. The planned upgrade will position Vadoo as an adult-only luxury resort with an over water spa, F&B facilities and two more categories of rooms, namely winter suites and honeymooning pool villas.



GUEST REVIEW

“Great Honeymoon”

Reviewed by Oana C Mar 11, 2018
We had an amazing time here. The staff was really friendly and helpful. Vijendra took care of us the whole stay and Ismail was the great waiter that took care of serving the great food. The food was also good and they had good variety of foods. The sunrise water bungalows have an awesome view to the island and the beach.



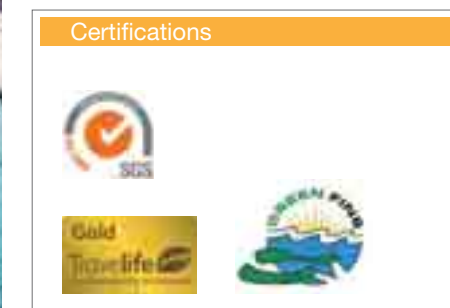
“The perfect vacation”

Reviewed by Soung Muk K Mar 8, 2018
Me and wife visited adaa ran prestige Vadoo for our honeymoon and we fell in love with Maldives and this hotel. Our villa had a perfect view of the blue endless ocean and very day we woke to see the beautiful see and we felt we are in paradise . Our personal butler was Midhun who was very helpful and made sure that we had a awesome time here out room boy Hussain also helpful and made a beautiful bed decoration in our stay . We can't wait to come back



ADAARAN SELECT MEEDHUPPARU

Elegant wooden interiors with crystal clear water just outside. Adaaran Prestige Water Villas are known for luxurious accommodation with private sun decks to enjoy breathtaking views of the horizon.



ABOUT ADAARAN SELECT MEEDHUPPARU

Adaaran Select Meedhupparu epitomise paradise. Overlooking a tranquil blue lagoon, surrounded by a tropical coral reef, the private beaches of Adaaran Prestige Water Villas are extraordinary, providing guests with an all-encompassing sense of serenity and peace. With personalised service and the utmost sophistication, travellers truly experience the splendour and magnificence of the Maldives.

Located in Raa Atoll, this resort is 136km to the north of the city of Male, less than an hour's journey via sea plane. Ideally situated for water-related sports, this venue comes complete with an officially certified diving school in the vicinity offering a diverse range of programmes catering to both beginner to expert levels.



Find out more about
Adaaran Select Meedhupparu online at

ADAARAN SELECT MEEDHUPPARU

PROPERTY PERFORMANCE

Adaaran Select Meedhupparu reported a revenue increase of 10% during the year under review with preceding year revenue being adversely affected by the pool renovation undertaken by the resort for a three-month period in the summer of 2016, which had a negative impact on the resort rates due to the European travel regulations requiring the property to offer a minimum concession of 20% on contracted rates due non-availability of all listed hotel facilities.

Plans are being drawn up for an upgrade of the beach villas at the resort in the coming years with the addition of exclusive public areas to attract niche market segments. However, it should be noted that managing transportation operations (sea plane and fixed wing air transportation) to complement increase in RevPAR would be a key aspect of improving the performance of the resort. The resort maintained its position as the single biggest contributor to Group profits with the German and British nationals recorded as the largest source market.



GUEST REVIEW

“Honeymoon5star- Loved every minute!”
Reviewed by Allukeadventures Feb 5, 2018
We stayed here for 5 nights in May and the weather was perfect. The service we received was better than we could have ever imagined. Our own personal Butler and all inclusive meats and drinks packaged meant there was nothing in the world we needed to worry about. The overwater bungalow was immaculate and welcoming, private and bed was so comfortable. We dream of returning one day. Highly recommend to honeymooners or anyone wanting a romantic getaway.


“Honeymoon”
Reviewed by cocosaid17 Dec 3, 2017
My husband and me came to the Adaaran prestige water villas for honeymoon. It was the best choice we did. Best service. Well established. 5 star food all inclusive - 3 course meal. We had our own butler who was available 24 hours. Nice ocean view, going from the ocean direct to the watervilla. Jacuzzi at the watervilla also available. I'll recommend this to anyone!!!



ADAARAN CLUB RANNALHI

Bask in the golden sun and laze in the warm ocean waters as you experience the tranquil tropical luxury of this exotic island getaway.



Find out more about
Adaaran Club Rannalhi online at



Certifications



ABOUT ADAARAN CLUB RANNALHI

Located at the tip of the South Male atoll, in proximity to the city, Adaaran Club Rannalhi is a 130 roomed four-star resort, which offers the best in accommodation, sumptuous dining and waters that are teeming with vibrant life unlike any other resort in the vicinity. As one of the first resorts in the Maldives to promote the concept of over-water accommodation,

the resort consists of 34 water villas and 96 beach villas, encased in an island of lush greenery and waters that are home to colourful tropical marine life.

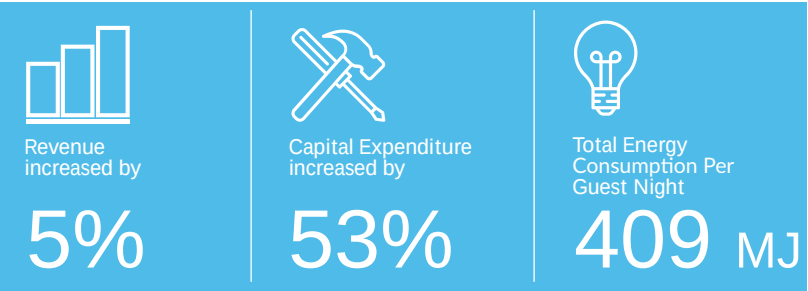
ADAARAN CLUB RANNALHI

PROPERTY PERFORMANCE

During the year under review the resort completed its second stage of the staggered refurbishment program by upgrading 96 rooms during the summer months, adding on to the 34 water villas refurbished in the preceding year. The upgraded rooms have been well received by all tour operators and the resort remains a key player in the 3-star market in the destination.

Despite the refurbishment work carried out during the year, resort revenue increased by 5% with German nationals being the largest source market to the resort while the Italian market in which the resort made a name for itself prior to 2010 made a notable contribution with prominent Italian tour operators increasing its patronage to the resort.

The Company is considering an implementation of an island redevelopment plan commencing 2019 with a view to implementing same by 2021.



GUEST REVIEW

“Heaven on Earth”

Reviewed by Feb 26, 2018
This place is heaven on Earth, I was stayed there 5 days at Water Bungalow and it was one of best experiences I have ever had in my travel journey, waking up with sun and looking at beautiful Indian ocean at from room there is no such a beautiful things on earth than this, from transfer to room services excellent, specially Restaurant food and bar cocktails are exceptional with outstanding warm welcoming from all the staff, Many Thanks for everyone I had a wonderful holiday hope to come back again,



“Perfect holiday”

Reviewed by MonikaJMonikaR Mar 4, 2018
Absolutely amazing holiday. Lovely and beautiful island. Great surroundings, clear water and sea life!! Also extremely helpful staff (thank you Hadhy!). Spa to be recommended. Would love to be back. And all inclusive didn't finish at 12.00 which was a great surprise after all previous reviews. Thank you Adaaran Club Rannalhi for our beautiful holiday.



ADAARAN SELECT HUDHURAN FUSHI

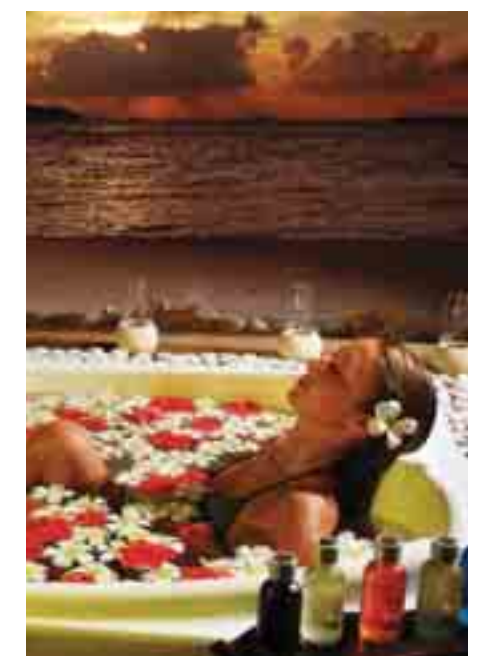
Experience an unforgettable holiday in the tropics at Adaaran Select Hudhuran Fushi. Blessed with thriving vegetation and pristine waters, the Island of White Gold lies in peaceful seclusion in the North Male Atoll.



Find out more about
Adaaran Select Hudhuran Fushi online at



Certifications



ABOUT ADAARAN SELECT HUDHURAN FUSHI

With its thriving flora and pristine shores, the resort is uniquely designed to uphold the calm tranquility of a village, bathing in the essence of the sun. The resort is made up of 215 villas, including 37 prestige water villas.

The second largest resort of the Adaaran group, and recently refurbished, its prime location close proximity to the city of Male ensures its position as a popular tourist hotspot in the Maldives. During summer,

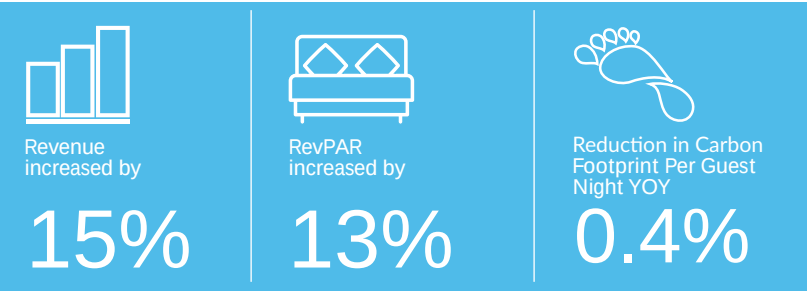
this four-star resort conducts surfing holidays, hence its widespread fame as the surf island. Equipped with dedicated bar and lounge facilities, the resort offer a variety of over-water restaurants, where guests can enjoy the finest in amenities and mouth-watering cuisine.

ADAARAN SELECT HUDHURAN FUSHI

PROPERTY PERFORMANCE

During the year Adaaran Select Hudhuran Fushi undertook and completed the second stage of its phased refurbishment plan with 45 rooms being upgraded, resulting in the resort upgrading a total of 90 rooms during the past two years. The upgrades undertaken received positive feedback from the market with the resort maintaining occupancies above 85% post-refurbishment resulting in a revenue growth of 15% during the year.

The final phase of the refurbishment program will be undertaken in 2018 with the renovation of 24 remaining beach villas and the renovation of the Sun Set Restaurant. Chinese, German and British markets were the largest source markets for the property mirroring the industry statistics of the destination.



GUEST REVIEW

“Unforgettable experience!!”
Reviewed by Aishwarya K Mar 4, 2018
To say anything bad would be unimaginable.. absolutely loved the place .. my husband and i visited in March 2018 for our honeymoon and stayed in the ocean villa .. it was fantastic .. the staff are courteous and always ready to help .. our butler , Mr Sujith was always smiling and helpful.. the resort is well maintained and beautiful beyond measure .. would also thank Mr K Kin the sunset bar and restaurant who was always kind .. water sports , amenities , hotel maintenance and services are top notch and worth every penny .. thank u !


“Splendid experience at Adaaran resorts!!”
Reviewed by VinayVicha re Mar 2, 2018
Our experience at Adaaran Prestige Ocean Villas was amazing. To begin with, I would like to appreciate the staff Mr Sujith , Mr Nilesh and our chef Mr Lakshman at the resort who made our stay comfortable and relaxing. Rooms were outstanding and view from the sun deck was breathtaking. Food was so good, so were the drinks. I would recommend this resort, especially ocean villas to anyone. Thanks Adaaran for making our stay a memorable one!



OMAN

“Immerse yourself in an aura of mystery, wonder and splendour, as you enter a place where time stands still.”



Al Falaj Hotel - Muscat
Desert Nights Camp - Al Wasil
Al Wadi Hotel - Sohar
Sur Plaza Hotel - Sur

AL FALAJ HOTEL - MUSCAT

Experience the warmth of Omani hospitality right at the heart of the city, Al Falaj Hotel is the ideal location for the discerning business traveller.



Find out more about
Al Falaj Hotel - Muscat online at



ABOUT AL FALAJ HOTEL - MUSCAT

Lounge amid pleasant surroundings beside one of the two outdoor pools on a warm afternoon as you refresh yourself after a long day. Located in the heart of the city, Al Falaj Hotel, Muscat offers the utmost convenience – easily accessible from the business district and many prominent tourist attractions, the hotel affords the pleasures of truly experiencing Muscat as it should be.

A mere 25 kilometers' drive from the Seeb International Airport, this city hotel provides the best of both worlds – catering to both business and pleasure alike. In close proximity to the beach, the hotel comes equipped with multiple facilities and amenities, including tennis and squash courts and special lessons for swimming, tennis and karate are also on the agenda.

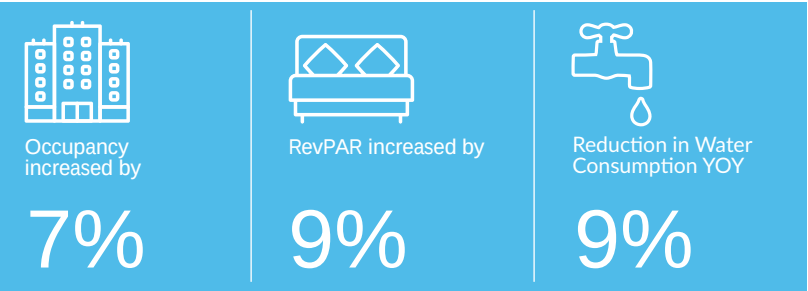
AL FALAJ HOTEL - MUSCAT

PROPERTY PERFORMANCE

Acquired by the Group in 2016, Al Falaj Hotel Muscat experienced a difficult 2018 with the economic downturn in the sultanate having a negative impact on the performance of the hotel. Due to market conditions, the property was compelled to come down on rates to attract volume.

The Group delayed its initial plans at the time of acquiring the property for further investments to be made on a phased refurbishment amidst downturn in business due

to the economic slowdown. However, it is expected that the economic outlook for the destination would improve gradually after the Ramzan period and the Group would relook at the possibility of undertaking a limited refurbishment program of selected guest areas of the hotel on a priority basis.



GUEST REVIEW

“Al Falaj Hotel, Ruwi Muscat”
Reviewed by hagarmiltonkeynes Feb 24, 2018
We spent 2 nights here at the beginning of our holiday. I cannot say anything but good about this hotel. The room was very comfortable, the food was excellent but best of all was the kindness of all the staff. They were quite brilliant. The swimming pool area is a nice place to recover from an overnight flight from the UK and the entire hotel is kept spotlessly clean.


“Best value hotel and fab fab food! ”
Reviewed by wise24 Dec 19, 2017
This hotel has employed the friendliest staff but more important the best ever chefs and restaurant staff. You literally will not get better food in Oman - so glad we are returning there in 2 days time!



DESERT NIGHTS CAMP - AL WASIL



ABOUT DESERT NIGHTS CAMP - AL WASIL

Two hour's journey from Muscat, the Desert Nights Camp in Oman sprawls across 10 acres of sweeping silken sands, 11 kilometres' excursion through the vast, sweeping desert. Far from prying eyes, lose yourself in the majesty and splendour of the Omani sand dunes, as you immerse yourself in the mystery of an ancient culture. Indulge in unparalleled luxury and experience the ancient in the now with an unforgettable stay in an exotic setting of 30 Bedouin style tents with en suite baths.



OMAN HOTELS

AL WADI HOTEL - SOHAR

ABOUT AL WADI HOTEL - SOHAR

Featuring 79 standard rooms, bars and restaurants, recreational facilities and a conference room, Al Wadi Hotel is a fantastic experience for the traveller. Located in the ancient maritime capital of Oman, Sohar; the hotel is well reputed for its night life and a plethora of leisure activities.



SUR PLAZA HOTEL - SUR

ABOUT SUR PLAZA HOTEL - SUR

Overlooking the Gulf of Oman, 220 km from Muscat is the Sur Plaza Hotel. Furnished with a marvellous sense of luxury and adorned with an ambience of splendour, this 3-star hotel is home to a splendid team of hotel staff. Located in the old shipping village of Sur famous for its traditional dhows and age-old Omani hospitality, the hotel is the top pick in the area for the business and holiday traveller alike.



INDIA

“Find yourself amidst a vibrant city bustling with life, where both past and present blend in perfect harmony.”



turyaa
CHENNAI

Turyaa Chennai - India



TURYAA CHENNAI

Located in the commercial, cultural, economic and educational centre of South India, Turyaa Chennai offers convenient and elegant accommodation and is the place of choice for the discerning, tech savvy business and leisure traveler.



Find out more about
Turyaa Chennai online at



ABOUT TURYAA CHENNAI

Luxuriate in an ambience rich in captivating lighting, mind-soothing music and a staff of a courteous nature at Turyaa Chennai. Embellished with a rooftop infinity pool is a spectacular view of the bustling city, enabling Turyaa Chennai to truly earn its position among the city's finest business hotels. Whether you are a traveller looking for a laid-back weekend stay or an executive looking for the venue

of choice to close a business deal, this resort located in the heart of the fast-developing IT Corridor, offers the best of both worlds in an amalgamation of business and leisure facilities.

TURYAA CHENNAI

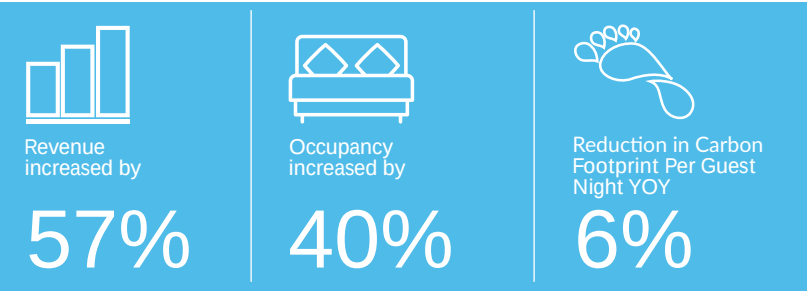
PROPERTY PERFORMANCE

Although facing many challenges as an unknown brand entering an already congested market, Turyaa Chennai has seen a steady growth in revenue since its launch in 2016, with a revenue growth of 57% been recorded in the year under review.

During the year, the property saw increased patronage from the corporate clientele in the IT Corridor due to its offering of high service standards matched with stylish ambience and

truly business-class accommodation. Hotel expects to be a key player in the leisure market in the coming years in order to further diversify its client portfolio and increasing revenue.

During the year, the property was awarded the 'Best Five-Star Deluxe Hotel' at the Tamil Nadu Tourism Awards solidifying its product offering in the market.



GUEST REVIEW



“SUPERB AND BRAND NEW!”

Reviewed by 570satisha - March 18, 2018

Nice hotel with everything in perfect harmony! Clean, neat and well laid out! Rooms are of perfect size and make you feel comfortable in every aspect! It has many shops and restaurants nearby! I was given a room on 8th floor which had a fantastic view of the adjoining main road! Didn't use their restaurants, hence cannot comment! But someone said the food was good! It has an infinity pool on the terrace with splendid view!

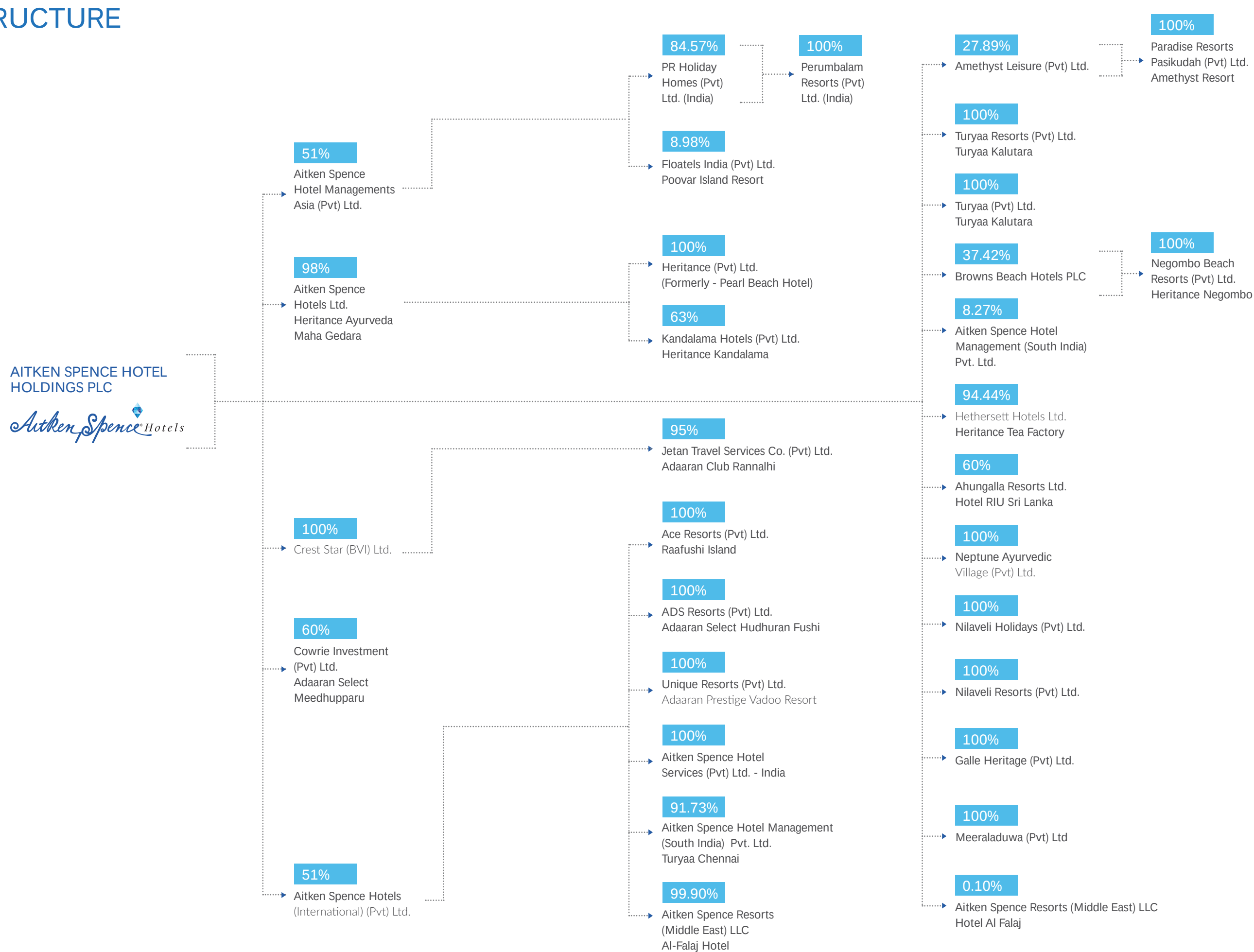
“GREAT STAY!”

Reviewed by Swati A - April 18, 2018

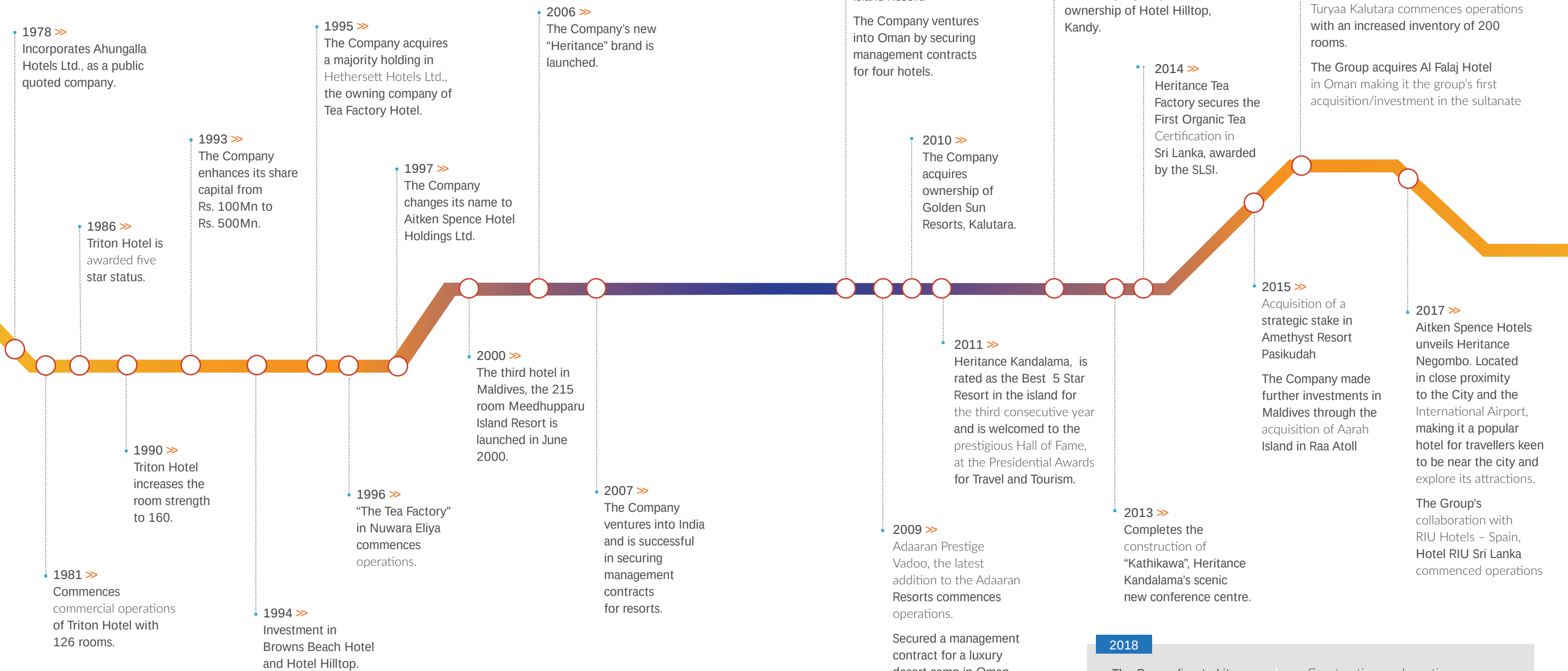
Enjoyed 2 nights stay at Turyaa in the month of January. Good location and lot of places to eat nearby. The staff is really helpful and the hotel has all amenities required for a comfortable stay. Overall a fantastic stay



GROUP STRUCTURE



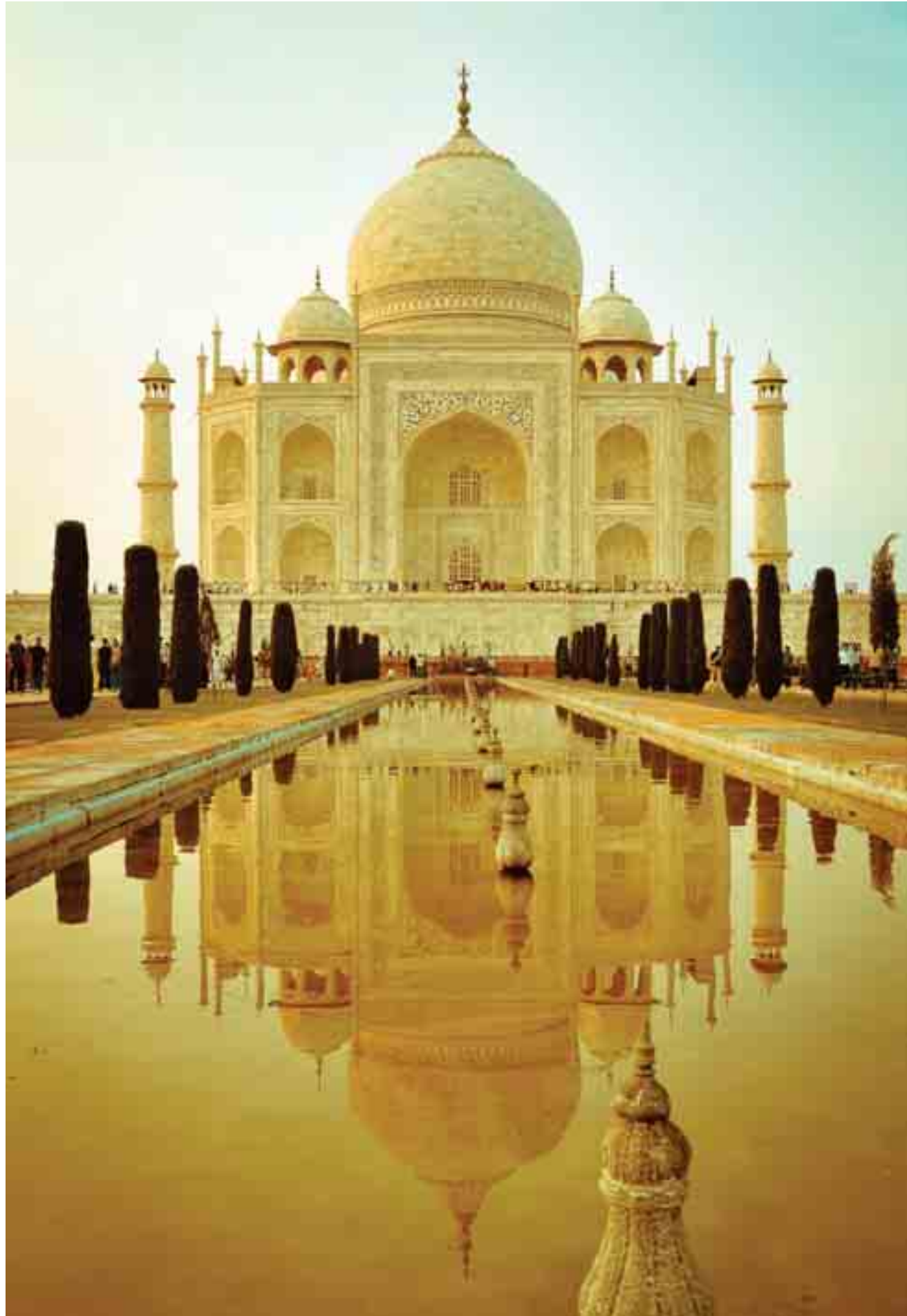
MILESTONES



2018

- The Group divested its investment in Hotel Hilltop in September 2017.
- The Group became the managing agents of the 60 roomed resort, Earl's Regent in Kandy.
- Construction work continues on Heritage Aarah in Raa Atolls, Maldives with the property set to open in Winter 2018 making it the first Heritage branded resort outside of Sri Lanka.





From adventure
to serenity...
...we have something for everyone.



Integrated Management Discussion & Analysis

By understanding the concerns and needs of our stakeholders, we are in a better position to align our business value proposition with their goals thereby creating mutual and lasting value.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

The global growth momentum is **expected to improve further in 2018 and 2019 with better prospects for both advanced and emerging economies in terms of investment, production and trade.**

BACKDROP TO PERFORMANCE

Global Economy

According to the World Economic Outlook (WEO) of the IMF, the global economy continued to gain momentum in 2017 to grow at 3.8%, the fastest pace since 2011. With financial conditions still supportive, global growth is expected to tick up to a 3.9% in both 2018 and 2019. Two thirds of the world economies, comprising emerging and developing economies as well as advanced economies, registered higher growth rates in 2017, compared to 2016. Furthermore, the IMF reports synchronized growth in the US, UK, EU and Japan for the first time since the global financial crisis. Growth in the advanced economies and China were triggered mainly by the increase in expenditure on fixed capital formation and accommodative monetary policy, while an increase in private consumption contributed to increased growth in most emerging market economies. Global trade recovered strongly and recorded substantially higher levels in 2017 compared to the past two years, despite the beginning of a series of successive trade restrictions imposed on each other by the US and China.

In 2018, oil prices escalated as a result of the strengthening global growth

momentum, supply side disruptions in the US, a unanimous Organisation of the Petroleum Exporting Countries Plus (OPEC+) agreement to curb oil production and geopolitical tensions in the Middle East. Despite the rapid rise in crude oil prices in late 2017, prices are expected to decline in the medium term with US production reaching record levels on the back of increased shale oil supplies. The increase in oil prices partly contributed to the increase in headline inflation in most economies. Prices of most types of commodities, including petroleum, Liquefied Natural Gas (LNG), metals and agricultural products, increased considerably in 2017, compared to the previous year.

Despite the overall strengthening of global growth in 2017, low levels of inflation prompted the continuance of an accommodative monetary policy in most advanced economies.

The US economy continued to show signs of a strengthening labour market and rising economic activity, despite brief episodes of volatilities resulting from natural disasters. In light of this, the US Federal Reserve proceeded to increase the Federal Funds target rate in March, June and December 2017, and again in March 2018. US tax reforms are expected to stimulate

near term activity, but this is not expected to negatively impact inflation as the Federal Reserve is expected to undertake further policy rate hikes during the course of the year.

Economic activity of the UK, however, was negatively impacted by its decision to leave the EU and due to the effect of the referendum-related depreciation in the Sterling Pound. Japan and several Euro area economies, including Germany, experienced a strong momentum in domestic demand as well as external demand during the year. Although China continued to progress on the 'Supply Side Structural Reform' programme, the lack of resolution of several structural problems are expected to cause some moderation of growth in 2018. With the dissipation of the negative effects of the demonetisation and the teething problems of the Goods and Services Tax (GST), prospects for the Indian economy improved. The U.S. dollar remained lackluster during the year amidst the strengthening of other major currencies and due to policy uncertainties. However, a largely synchronized expansion across the Euro area stemming from improving labour markets and an accommodative monetary policy helped buoy the Euro in 2017.



Meanwhile, the strength of the Yen was supported by the recovery of the Japanese economy and the currency's safe haven status. In spite of increased global market volatility, financial flows and portfolio flows to emerging market economies remained robust during the year.

The global growth momentum is expected to improve further in 2018 and 2019 with better prospects for both advanced and emerging economies in terms of investment, production and trade; though possibly in the face of tightening financial market conditions and disruptions arising from trade wars between key global economies. The cyclical upturn registered in the last two years, which was synchronized across a broad cross-section of advanced, and emerging and developing economies, is expected to augment further to record higher growth rates in the next two years and begin to moderate thereafter with growth in advanced economies returning to potential levels. Global growth in the next two years will mainly be driven by the pickup

in domestic and external demand of the US, Europe and advanced Asian economies, as well as the effects of tax policy changes in the U.S that involved corporate tax reductions. In the US, fiscal adjustments to offset the deficit created through the tax reduction are expected in the medium term. Meanwhile, emerging and developing Asia is projected to grow at 6.5% and 6.6%, respectively, in the next two years. The effects of enhanced growth and business sentiment in the advanced nations are expected to spill over to the emerging market economies mainly through trade channels.

Some risks to the above-mentioned improvement to the growth momentum in the world, are the possible tightening in financial markets, in the event of higher than anticipated inflation in the U.S., triggering faster policy rate tightening by the Federal Reserve System; and the escalation of the trade war between the U.S. and China. A trade war between the United States and China, would curb the economic momentum created by

years of policy stimulus and is currently one of the most significant concerns amongst economists and financial markets. Risks are present also in the realm of the financial sector. With low interest rates and low volatility in asset prices that persisted in the last few years, more finances have flowed into financial assets with higher risks and less creditworthy borrowers. Non-economic factors such as climate change, natural disasters and increase in political risks in some regions of the world would also pose considerable risks for global economic outcomes.

Meanwhile, the major trade agreements, involving the US and the UK, that are being renegotiated, as well as the progress of the 'One Belt One Road' initiative, are expected to have a significant bearing on production, trade and investment across the globe in the next few years.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

World Growth Percentage Change

	Actual	Projections	
	2017	2018	2019
World Output	3.8	3.9	3.9
Advanced economies	2.3	2.5	2.2
USA	2.3	2.5	2.2
Euro	2.3	2.4	2.0
UK	1.8	1.6	1.5
Japan	1.7	1.2	0.9
CIS	2.1	2.2	2.1
Russia	1.5	1.7	1.5
China	6.9	6.6	6.4
India	6.7	7.4	7.8
Oman	-0.3	2.1	4.2
Emerging & Developing Asia	6.5	6.5	6.6
Emerging & Developing economies	4.8	4.9	5.1
World Trade Volumes (goods & services)	4.9	5.1	4.7
Imports by Advanced economies	4.0	5.1	4.5
Imports by Emerging & Developing economies	6.4	6.0	5.6
Oil Prices (U.S. Dollar per barrel) (average price of intermediate crude oil)	52.81	62.31	58.24
Real London Interbank Offer Rate (LIBOR) (on US Dollar deposits)	-0.3	-0.2	0.9

Source: IMF, World Economic Outlook April 2018

Global Tourism Industry

As one of the world's largest economic sectors, Travel & Tourism generates employment, drives exports, and contributes to economic growth across the world. According to the World Travel & Tourism Council's annual analysis of the global economic impact of Travel and Tourism, the sector accounted for 10.4% of global GDP and 313 million jobs, or 9.9% of total employment, in 2017. The strong global growth and consumer spending in 2017 transferred again into Travel & Tourism with the sector's direct growth of 4.6% out-pacing the global economy for the seventh successive year. As in recent years, performance was particularly strong across Asia, but proving the sector's resilience, 2017 also saw countries such as Tunisia, Turkey and Egypt that had previously been impacted by the impacts of terrorist activity, recover strongly.

International tourist arrivals grew by a remarkable 7% in 2017. which was well above the consistent and sustained growth of 4% or higher reported since 2009; to reach a total of 1,322 million arrivals, according to the latest UNWTO statistics. Growth in 2017 stemmed from sustained growth in arrivals across many destinations with the Asia Pacific region recording a growth of 6% over 2016 mainly due to strong performance of the South Asian sub set which grew by 10%. However, this was not reflected in our two key destinations of Sri Lanka and the Maldives due to the aforesaid reasons.

Demand for international tourism in 2017 followed the positive trend of previous years for most destinations, although a few faced challenges of security threats, either in their country or in their region. As per the UNWTO statistics, international tourist

arrivals (overnight visitors) grew by a remarkable 7% in 2017, recording the strongest growth in seven years of consecutive above-average growth in international tourism since the 2009 Global Economic Crisis. The pace of growth in 2017 was well above the sustained and consistent growth of 4% or higher since 2010, and supported by the global economic upswing and robust out bound demand from many traditional and emerging source markets. The year was characterized by sustained growth in many destinations and a firm recovery in those that suffered decreases in previous years.

International tourism receipts grew by 0.14% in real terms (taking into account exchange rate fluctuations and inflation) with total earnings in the destinations estimated at US\$ 1,225 billion worldwide in 2017.

The strong growth momentum is expected to continue in 2018 though at a more sustainable pace following eight years of steady expansion. The UNWTO estimates international tourist arrivals worldwide to grow at 4% to 5% in 2018, somewhat above the 3.8% average increase projected for the period 2010-2020. This growth is projected to be led by the Asia pacific region. The WTO estimates Europe and the Americas to grow by 3.5% to 4.5%, Asia and the Pacific by 5% to 6%, Africa by 5% to 7% and the Middle East by 4% to 6%.

Maldives

Percentage Change in Maldives' Real GDP

	Projections					
2000-2009 Average	2015	2016	2017	2018	2019	2023
6.3	2.2	4.5	4.8	5.0	5.0	5.4

Source: IMF, April 2018

Despite the internal political crisis in the Maldives, tourist arrivals to Maldives recorded an overall increase led by a growth in Russian and European arrivals. A political fallout between the opposition and the president reached crisis proportions during the peak months for tourism leading to the declaration of a state of emergency during January-February, which prompted travel advisories in Chinese markets. Arrivals from China hence decreased. It is also notable that growth in tourism earnings, measured as occupancy in bed nights, accelerated to 8.7% in the first 6 months. The development of infrastructure, such as the construction of a second runway at the Male airport and a bridge between the airport and the island of Male, augur well for the atolls to encourage higher arrivals in the future.

Contribution of Travel & Tourism to Maldives' GDP

	Actual	Estimates	
	% of Total	% of Growth	% of Total
	2017	2018	2028
Direct contribution to GDP	39.6	2.5	45.4
Total contribution to GDP	76.6	2.3	86.1
Direct contribution to Employment	16.0	0.0	19.2
Total contribution to Employment	37.4	-0.3	42.9

Source: World Travel & Tourism Council

India

Percentage Change in India's Real GDP

	Projections					
2000-2009 Average	2015	2016	2017	2018	2019	2023
6.9	8.2	7.1	6.7	7.4	7.8	8.2

Source: IMF, April 2018

Despite the internal political crisis in the Maldives, tourist arrivals to Maldives recorded an overall increase led by a growth in Russian and European arrivals.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

The IMF forecasts growth in India to rebound to 7.4% in fiscal year 2018/19 as the economy recovers from disruptions related to the currency exchange initiative and the roll out of the new Goods and Services Tax. As per World Bank data, growth is to be at 7.4% in 2020 underpinned by a recovery in private investments, a recent increase in public capital expenditure and an improvement in the investment climate. Private investment remains a crucial factor in achieving growth targets in India. Inflation and external conditions are expected to remain stable. Supported by RBI's inflation targeting policy whilst two consecutive years of normal monsoons are expected to further stabilize prices and offset any increase in global oil prices.

Contribution of Travel & Tourism to India's GDP

	Actual		Estimates	
	% of Total	% of Growth	% of Total	% of Total
	2017	2018	2018	2028
Direct contribution to GDP	3.7	7.6	7.6	3.9
Total contribution to GDP	9.4	7.5	7.5	9.9
Direct contribution to Employment	5.0	2.8	2.8	5.3
Total contribution to Employment	8.0	3.1	3.1	8.4

Source: World Travel & Tourism Council

Oman

Percentage Change in Oman's Real GDP

2000-2009 Average	2015	2016	2017	Projections		
				2018	2019	2023
3.5	4.7	1.8	-0.3	2.1	4.2	2.3

Source: IMF, April 2018

The decline in global oil prices has continued to impede Oman's economy since 2016, resulting in a 0.3% decrease in GDP in 2017. The deceleration in the economy translated into a drop-in business activity and hence domestic tourism as well as international arrivals. Moreover, the prevailing political uncertainties and violence in the Middle East further exacerbated the adverse impacts of reduced income from oil, contributing to a six year low in the country's GDP. IMF estimates the economy to pick up in the year ahead bolstered by rising oil prices. GDP in Oman is projected to increase to slightly over 2% in 2018.

Contribution of Travel & Tourism to Oman's GDP

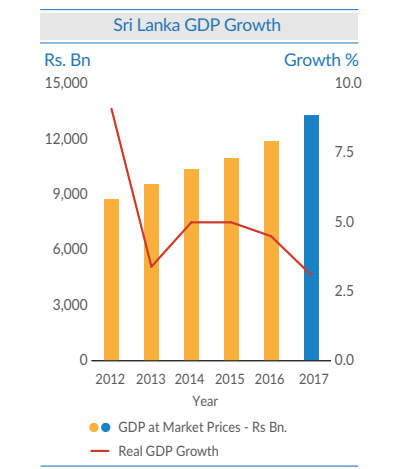
	Actual		Estimates	
	% of Total	% of Growth	% of Total	% of Total
	2017	2018	2018	2028
Direct contribution to GDP	3.2	6.0	6.0	4.3
Total contribution to GDP	6.6	6.3	6.3	8.9
Direct contribution to Employment	3.4	1.5	1.5	4.0
Total contribution to Employment	6.6	3.3	3.3	8.2

Source: World Travel & Tourism Council

Leisure travel spending (inbound and domestic) continue to account for a larger share of Oman's direct contribution to travel & tourism, accounting for as much as 72.8% compared with 27.2% for business travel spending during the year under review. Business travel spending is projected by the World Travel & Tourism Council to grow by 3.4% in 2018 and by 4.4% in 2028. Leisure travel spending is projected to grow by 6.5% in 2018 and by 6.1% in 2028.

Sri Lankan Economy

Although the macro stabilisation policy measures taken by the Central Bank and the government in the past two years resulted in a number of notable improvements and placed the country on a firmer platform for the medium to long term future; Sri Lanka's real GDP growth decelerated to the lowest since 2001, to 3.1% in 2017, from the growth of 4.5% recorded in 2016.



Growth was mainly driven by Industry activities, supported by the expansion in Services whilst output of the Agriculture sector contracted by 0.8%, due to adverse weather conditions that continued from 2016. However, the growth of forestry and logging, fruits and tea helped contain the contraction in agriculture activities to some extent. The drought and flood-related disturbances which significantly affected Agriculture activities also spilt

over to other sectors of the economy through higher prices of domestic food supplies, increased expenditure on imports amidst rising international commodity prices, and costs incurred on relief measures, to impact negatively on overall growth.

The Industry sector which accounts for 26.8% of real GDP grew by 3.9% in 2017, primarily supported by manufacturing, construction and mining and quarrying activities. However, the growth of construction activities that supported overall economic growth throughout the post conflict period, with the exception of 2015, decelerated notably during 2017.

Services sector, which accounted for 56.8% of real GDP, grew by 3.2% in 2017, on a year-on-year basis, driven by the expansion in financial service activities, wholesale and retail trade, and other personal service activities.

Although earnings from exports increased to the highest levels recorded, the increase in imports, mainly arising from drought related imports of petroleum and rice as well as increased importation of gold; caused a wider trade deficit. Although inflows on account of services exports including tourism, and workers' remittances continued to cushion the impact of the widened trade deficit to some extent, the current account recorded a deficit of 2.6% of GDP during the year.

Sri Lanka GDP Growth

2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2022
3.5	8.0	8.4	9.1	3.4	4.9	4.8	4.5	3.1	4.8 *	6.0**

Source, Central Bank of Sri Lanka

*IMF forecasts ** CBSL forecasts

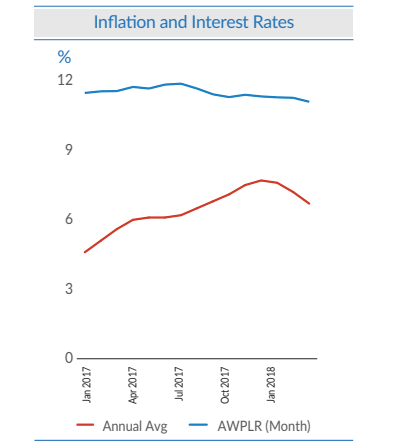
Following the agreement with the IMF for an Extended Fund Facility (EFF) in June 2016, the third review of the Sri Lankan economy's performance under the EFF programme, conducted in December 2017, concluded that Sri Lanka's 'macro-economic performance has been stable', and its Fiscal performance 'satisfactory', resulting in the disbursement of the fourth tranche of U.S. Dollars 251.4 Million for Sri Lanka. Moreover, in November 2017, S & P Global Ratings up graded its outlook on Sri Lanka to 'Stable' from 'Negative'; further bolstering our positive outlook for higher investments and growth in the year ahead. S&P's Stable Outlook reflects the expectation that the "Government will maintain the reform momentum over the next 12 months and smoothen the upcoming surge in debt redemptions, particularly in 2019". At the same time S&P also reaffirmed its B+/B Sovereign Credit ratings on Sri Lanka.

Inflation

Despite the CBSL's tight monetary policy, the general price level, as measured by the consumer price indices, followed an overall increasing trend and remained at comparatively higher levels during 2017 mainly owing to prolonged supply side disruptions to agriculture. The prolonged drought in most areas of the country, from the latter part of 2016 and throughout most of 2017, had an adverse impact on key domestically produced food items, which represent relatively high

shares in all consumer price measures, and thus exerted upward pressure on their prices. Higher prices of non-food commodities, due to upward revisions to administered prices of certain items, also contributed to the upward trend in the general price level. Accordingly, the year-on-year headline inflation moved on an overall increasing trend during the year.

The annual average NCPI inflation gradually increased from 4.6% in January 2017 to 7.7% in December 2017. The annual average CCPI inflation also moved in tandem with NCPI and increased from 4.3% in January 2017 to 6.6% in December 2017. However, Core Inflation followed a decelerating trend during the year, with NCPI based Core inflation which was 7.1% in January declining to 2.7% in December, whilst CCPI based Core inflation which peaked at 7.3% in March declined to 4.3% in December 2017.



Interest Rates

The Central Bank continued to maintain its tight monetary policy stance in 2017 to curtail the buildup of adverse inflation expectations and the possible acceleration of demand driven inflationary pressures through excessive monetary and credit expansion. The policy rates of the Central Bank were thus increased by 25 basis points in March 2017,

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

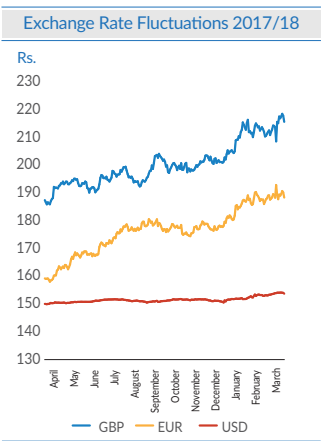
in addition to the 100-basis point increase in policy interest rates and the 1.50%-point increase in the Statutory Reserve Ratio (SRR) in 2016. Macro prudential measures, such as the imposition of loan to value ratios (LTV) on account of credit facilities for motor vehicles, also buttressed the tight monetary policy stance. These measures saw interest rates peak in the first quarter of the year but begin to ease and remain stable during the remainder of the year. Reflecting tight monetary conditions, deposit interest rates of commercial banks continued to increase during 2017, although some moderation was observed towards the end of the year.

Reflecting these tight monetary conditions, Lending rates of commercial banks continued to increase in 2017, and stabilised at elevated levels towards the end of the year. The average weighted lending rate (AWLR), which is based on interest rates of all outstanding rupee denominated loans and advances extended by Licensed Commercial Banks (LCBs) to the private sector, increased by 68 basis points to 13.88% by end 2017 compared with 13.20% at end 2016. Bank wise AWLR also increased to a range of 10.22 -16.23% by end 2017 compared to the range of 10.12 - 15.66% that prevailed at end 2016. Commercial Bank's Average Weighted Prime Lending Rate increased from 11.52% at end 2016 to 11.55% as at end 2017.

The average weighted deposit rate (AWDR), which reflects the movements in interest rate of all outstanding interest-bearing deposits held with commercial banks, increased by 108 basis points to a peak of 9.25% by end September 2017 from 8.17% at end 2016. Similarly, the average weighted fixed deposit rate (AWFDR), which is based on interest rates of all outstanding time deposits held with commercial banks, also increased by 135 basis points to a peak of 11.81% by end September 2017 from 10.46%

at end 2016. However, following the downward movements in short term interest rates, particularly yields on short term government securities with improved liquidity in the market, both AWDR and AWFDR moved downwards gradually since October 2017 and reached 9.07% and 11.48% respectively, by end 2017, while remaining higher than the interest rates at end 2016.

Exchange Rate:
As per its Road Map 2017, the Central Bank of Sri Lanka (CBSL) implemented a more market based exchange rate policy during the year, which limited the CBSL intervention in the foreign exchange market only in order to build-up international reserves with a minimal impact on the exchange rate. Accordingly, the external value of the Sri Lankan Rupee remained relatively stable, depreciating by 2% against the U.S. dollar during the year, from Rs. 149.80 at end-2016 to Rs. 152.85 at end-2017. In addition, the annual average exchange rate depreciated by 4% to Rs. 152.46 against the U.S. dollar in 2017. Increased foreign investments in the CSE and the government securities market and the conversion of export proceeds provided an opportunity for the Central Bank to absorb foreign exchange liquidity from the market; thus, relieving depreciation pressure on the Rupee. These factors contributed towards the relative stability of the rupee against the US dollar. Depreciation pressure also gradually eased further, with the issuance of an international Sovereign Bond, the receipt of the foreign currency term financing facility and the disbursement of the third tranche of the IMF-EFF programme, which helped improve investor confidence. Based on cross currency movement, the Sri Lankan Rupee also depreciated by 10.46% against the Pound Sterling, by 13.49% against the Euro, by 7.54% against the Indian Rupee and 5.10% against the Japanese Yen.



Outlook
Sri Lanka's economic growth trajectory is projected to improve gradually over the medium term, especially with higher private sector participation supported by conducive macro economic policies. Although the performance in 2017, was well below global growth estimates, annual real GDP growth is expected to gradually improve to around 6% by 2022, whilst according to IMF estimates Sri Lanka's GDP will grow by 4.8% in 2018 whilst inflation would decelerate to around 4% to 6% as food supplies stabilize in 2018. Another spell of adverse climatic conditions in 2018 and a sharper than expected depreciation of the Rupee could however, reverse this trend and exert upward pressure on inflation once again. International oil prices would also be a key factor in Sri Lanka's inflation. Oil prices have begun to rise and could exert upward pressure over the year ahead.

A vibrant export sector is vital for sustainable growth of Sri Lanka's economy; and the prospects for exports in 2018, also point to higher growth in the year ahead. The acceleration in exports is expected to be helped by the increased volume and complexity of the export basket, improved competitiveness of the economy in the export markets due to the flexible exchange rate policy,

the reinstatement of the EU GSP+ and enhanced market access through improved trade linkages through the existing and new trade agreements. However, the escalation of the trade war between the US and China could have some bearing on Sri Lanka's trade not only with these two economies, but also with other trading partners through value chains. The deficit in the external current account is expected to be tapered over the medium term with the expected improvements in the trade account, inflows to the services account and workers' remittances. Exports are projected to grow at a higher rate than imports, thereby narrowing the trade deficit as a percentage of GDP from 11.05% in 2017 to 8.7% by 2022. Imports are also projected to increase over the medium term with higher imports of intermediary and investment goods. Meanwhile, the surplus in the services account is expected to improve over the medium term supported by higher inflows, particularly on account of tourism, Information and Technology (IT) and transportation services.

The year under review saw the Government resolute in its commitment to a programme of fiscal consolidation, revenue mobilization, state enterprise reform and public financial management reform. These policy measures which are aimed at consolidating the fiscal position of the country by reigning in the ballooned budget deficit and preventing an overheating of the economy augur well for stronger macroeconomic fundamentals in the near future and hence greater inflow of investment.

It is important that the CBSL will stays firm in its commitment to introducing and institutionalizing the frameworks in order to ensure their resilience, durability and effectiveness as reiterated by the CBSL. These frameworks include a Flexible Inflation Targeting (FIT) regime, a Fiscal Consolidation Framework, an Exchange

Rate Act and a Liability Management Act all of which will ensure greater stability, policy consistency and coherence and market competitiveness of the Sri Lanka Rupee. The World Bank has also stressed that the economic outlook for 2018 will largely depend on the government's commitment to the reform agenda of improving competitiveness, governance, and public financial management.

The growth strategy of Sri Lanka as articulated by the government is based on developing the country to transform itself into a hub in the region with a knowledge based, highly competitive social market economy. To this end, the numerous key initiatives, including the Port City development project, the Megapolis project, and the economic corridor projects, which are underway would also provide the necessary impetus.

Sri Lanka's Tourism sector performance and prospects

	Actual	Estimates	
	% of Total	% of Growth	% of Total
	2017	2018	2028
Direct contribution to GDP	5.3	5.1	5.7
Total contribution to GDP	11.6	5.1	12.3
Direct contribution to Employment	5.1	3.7	6.4
Total contribution to Employment	11.0	2.6	12.8

Source: World Travel & Tourism Council

Tourism remained the third largest foreign exchange earner to the country. Although tourist arrivals to Sri Lanka crossed the 2 million mark in 2017 despite recording a moderate growth. The performance during the year was moderate as arrivals recorded the first single digit growth in the post war period in Sri Lanka, at 3.2% over 2016. Political unrest in the Maldives, combined with a dengue epidemic and floods in Sri Lanka and the partial operations of the Katunayake airport up to April 2017 owing to the repair and upgrade of the runway were key factors which adversely impacted arrivals to Sri Lanka.

Arrivals from all destinations except the Middle East increased during the year. Sri Lanka's arrivals continued to be led by India, China, UK, Germany and France which together accounted for a little over 51% of arrivals in 2017. India continued to be the largest source country of tourists during the year accounting for 18% of all arrivals

to Sri Lanka whilst Western Europe was the largest source region accounting for 32.2% of total arrivals. Arrivals from India, the highest source of arrivals to Sri Lanka, increased by 6.1% to 267,601, while a moderate decline was recorded in arrivals from China. Arrivals from Western Europe also increased by 5.8% supported by the appreciation of the Euro.

Leisure travel continued to account for over 83% of visitors to Sri Lanka whilst arrivals for business purposes accounted for 2.9% in 2017.

Despite a lower than expected growth in tourist arrivals, it is encouraging that earnings from tourism remained healthy with increased average spending and duration of stay by tourists during 2017.Sri Lanka's earnings from tourism increased by 11.6% whilst the average spending per tourist rose to US Dollars 170.1 per day, from US Dollars 168.2 per day in 2016.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Investment in the tourism sector continued to expand further in 2017. Since the initiation of the One Stop Unit (OSU) at the SLTDA (Sri Lanka Tourism Development Authority) in 2010, a centralised promotion and facilitation to assist potential investors, about 639 project proposals have been received of which 539 hotel projects with capacity of 29,946 rooms approved by end-2017, bringing a total investment of US dollars 5,191 million. During the year, the authority received investment proposals for 95 new hotel projects entailing an investment value of US dollars 314 million and final approval has been granted for 45 hotel projects with 2,393 rooms, with a total value of US Dollars 380 million, in 2017, in comparison to 41 projects amounting to US Dollars 126 Million approved in 2016.

Top 10 arrival sources in 2017			
Source Country	2017	2016	Growth %
India	384,628	256,729	7.8
China	268,952	271,577	-1.0
United Kingdom	201,879	188,159	7.3
Germany	130,227	133,275	-2.3
France	97,282	96,440	0.9
Australia	81,281	74,496	9.1
Maldives	79,371	95,167	-16.6
Russia	59,191	58,176	1.7
U.S.A.	57,479	54,254	5.9
Netherlands	51,148	41,373	23.6
Regions			
Western Europe	680,901	643,333	5.8
Eastern Europe	161,967	161,171	0.5

Source: Sri Lanka Tourism Development Authority

201,879  7%

2016/17 - 188,159

Tourist arrivals UK

384,628  8%

2016/17 - 256,729

Tourist arrivals India

INTRODUCTION TO THE GROUP

Your Group is happy to present below its seventh Annual Report according to an integrated format of reporting. This report expands on the model followed in previous years, by discussing the quality, availability and effective management of all six capitals in creating value for its stakeholders. Reflecting the Group's Triple Bottom Line approach, the Capital Management Review also include nature and society at large.

About the Group

Aitken Spence Hotel Holdings PLC. operates a chain of 21 distinct properties in Sri Lanka, Maldives, India and Oman. It is one of the largest resort operations in Sri Lanka and largest international resort chain in the Maldives in terms of capacity. The portfolio of hotels and resorts offers a range of choices for varying needs and budgets including niche market hotels, award winning resorts and layover hotels, whilst maintaining the same exceptional standards of hospitality.

The hotels in Sri Lanka cover all of the country's key attractions, - of beach, the cultural triangle, the East Coast, Central Hills and most recently the West Coast. The Group possesses many years of experience and expertise in the local and regional hospitality industry and is renowned for its proficiency in hotel design, building, management and a commitment to excellence. The award-winning properties have thus set industry benchmarks for service quality, culinary standards and sustainable tourism.

Aitken Spence Hotel Holdings PLC. is a subsidiary of Aitken Spence PLC., one of Sri Lanka's leading diversified conglomerates with a history that spans over 149 years since its inception in 1868. Its portfolio includes hotels, travel, maritime services and logistics solutions.

Report Scope and Boundary

The details contained in this MD&A report is on the financial year from 1st April 2017 to 31st March 2018. The financial results reported are those of Aitken Spence Hotel Holdings PLC., its subsidiaries and the interest in equity accounted investees. The complete list of hotels within the Group is provided on page 6. The MD&A reports on operations which fall directly under the control of the Group and as individual properties.

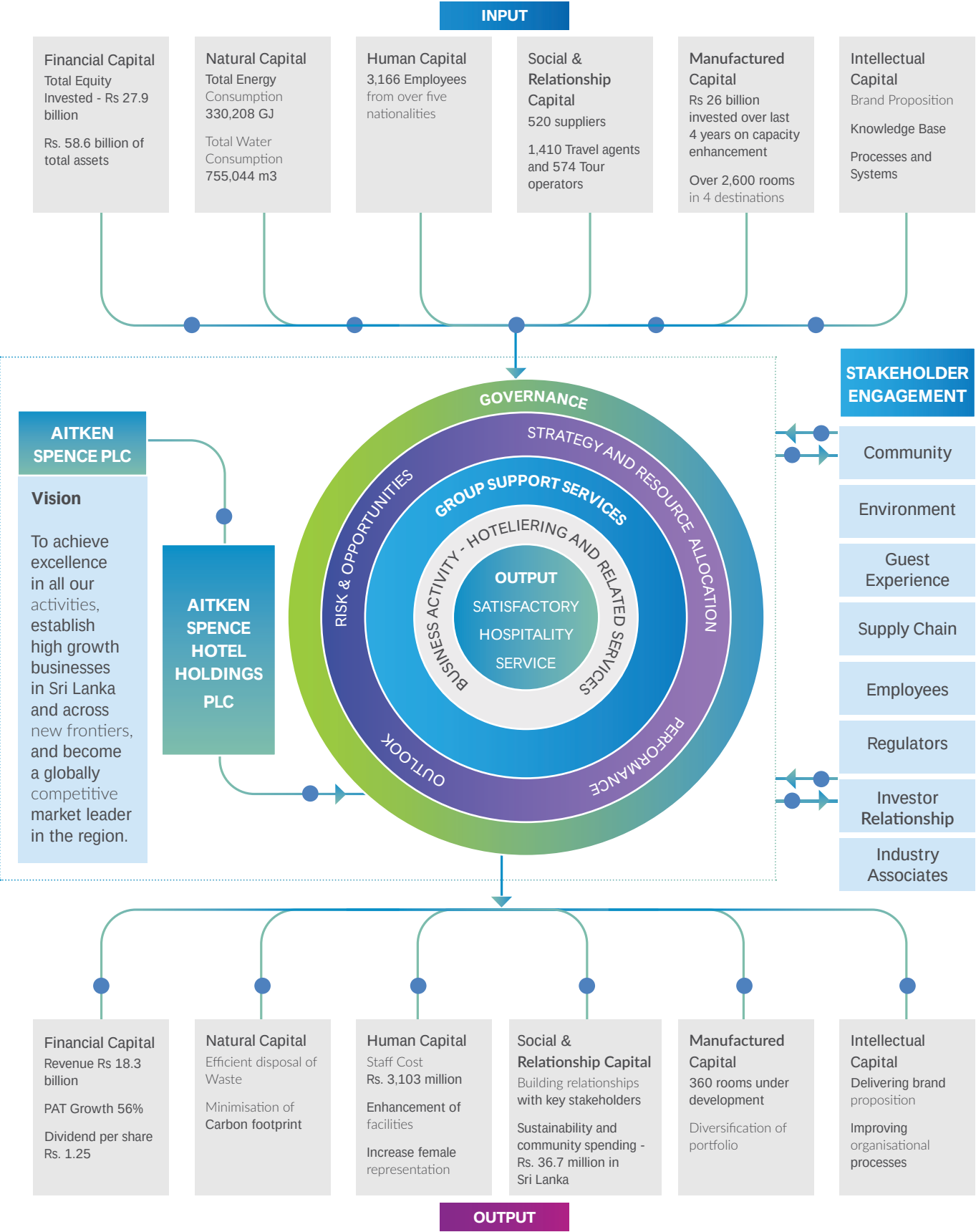
The management of Aitken Spence Hotel Holdings PLC. commissioned DNV GL represented by DNV GL Business Assurance Lanka (Private) Limited to carry out an independent assurance engagement (Type 2, Moderate level) for the non-financial - qualitative and quantitative information (sustainability performance) reported. The assurance is based on Core reporting option of the Global Reporting Initiative (GRI) Sustainability Reporting Standard. The opinion of the above is given on pages 324 to 327.

In preparing this report we have drawn on concepts, guidance and methodology given in the International Integrated Reporting Council's framework and Sri Lanka Accounting Standards (SLFRS/LKAS) applicable for financial periods beginning on or after 1st January 2012. The accounting policies adopted are described in detail in the Financial Statements. Further, we are in compliance with the laws and regulations of the Companies Act No. 07 of 2007 and subsequent amendments and Listing Rules of the Colombo Stock Exchange (CSE).

Our integrated Annual Report is based on the universally applicable and comparable framework for Sustainability Reporting developed by the Global Reporting Initiative (GRI). It also reports on the Group's initiatives towards meeting the Ten Principles of the United Nations Global Compact (UNGC).

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

OUR VALUE CREATION MODEL



The Value Creation Model of the Group is presented in the diagram above. It represents how the Group transforms inputs from the six capitals through its business activities in to output and outcome.

The total impact of our value creation on the economy is tabulated below.

Statement of Value Added

	%	2017/18	%	2016/17	%	2015/16	%	2014/15	%	2013/14
		Rs. '000		Rs. '000		Rs. '000		Rs. '000		Rs. '000
Total Revenue		18,250,581		16,055,386		13,378,071		13,270,918		12,947,076
Purchase of Goods & Services		(10,097,045)		(8,906,108)		(7,177,398)		(6,877,703)		(6,442,670)
		8,153,536		7,149,278		6,200,673		6,393,215		6,504,406
Other Income		523,061		69,013		219,813		679,604		661,034
Share of Profit of Equity Accounted Investees		(138,039)		(171,202)		(165,030)		(14,390)		34,891
Total Value Added		8,538,558		7,047,089		6,255,456		7,058,429		7,200,331

Distributed as follows:

To Government (Income tax & turnover tax)	13	1,087,538	14	958,171	10	643,199	11	801,195	14	976,610
To Employees (Salaries & other costs)	36	3,103,254	39	2,746,929	34	2,122,117	26	1,828,866	24	1,753,081
To Lenders of Capital (Interest on loan capital & minority interest)	16	1,363,198	15	1,082,879	16	1,031,310	20	1,386,309	19	1,368,333
To shareholders (Dividends)	5	420,363	4	252,218	7	420,363	7	504,435	7	504,435
Retained for Reinvestment & Future Growth (Depreciation & retained profits)	30	2,564,205	28	2,006,892	33	2,038,467	36	2,537,624	36	2,597,872
		8,538,558		7,047,089		6,255,456		7,058,429		7,200,331

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Integrated Reporting Statement

This is Aitken Spence Hotel Holdings PLC's seventh integrated Annual Report and the Group has continued to report on performance in line with the Global Reporting Initiative's Sustainability Reporting Standard "In Accordance – Core" parameters to disclose performance information on our sustainability priorities. In keeping with our attempts to achieve a more cohesive and efficient approach to corporate reporting, the Group voluntarily adopted the Integrated Reporting Framework of the International Integrated Reporting Council (IIRC). The Group has **strived to deliver a comprehensive, balanced and relevant Report, while adhering** to the recommendations of the IIRC. The seven guiding principles in integrated reporting; strategic focus and future orientation, connectivity of information, stakeholder relationships, materiality, conciseness, reliability and completeness, consistency and comparability; have been given due consideration in preparation and presentation of this Report.

As highlighted in the integrated reporting framework, the Group has adapted a capital management approach and to navigate this report, we have used specific icons for each capital for easy reference. These icons are;



Human Capital



Financial Capital



Natural Capital



Intellectual Capital



Social & Relationship Capital



Manufactured Capital

DETERMINING MATERIALITY

Why do we monitor and report on material aspects?

A material aspect indicates financial, social and environmental impacts that are relevant to an organization and are sufficiently important for an organisation to monitor and implement preventive or corrective measures. Aitken Spence Hotel Holdings PLC considers an aspect to be 'material' to the Group if the potential to have an impact on the long-term viability, profitability and integrity of the company become sufficiently significant that it warrants proactive action on our part to manage the specific area.

How do we identify material aspects?

- Internal assessments (discussions, internal audits, inspections, management reviews, evaluations etc.)
- Direct input from key stakeholders
- Results of external stakeholder engagement activities
- Customer feedback
- Feedback from external inspections (system audits, tour operator/travel agent inspections etc.)

What aspects are material to Aitken Spence Hotel Holdings PLC?

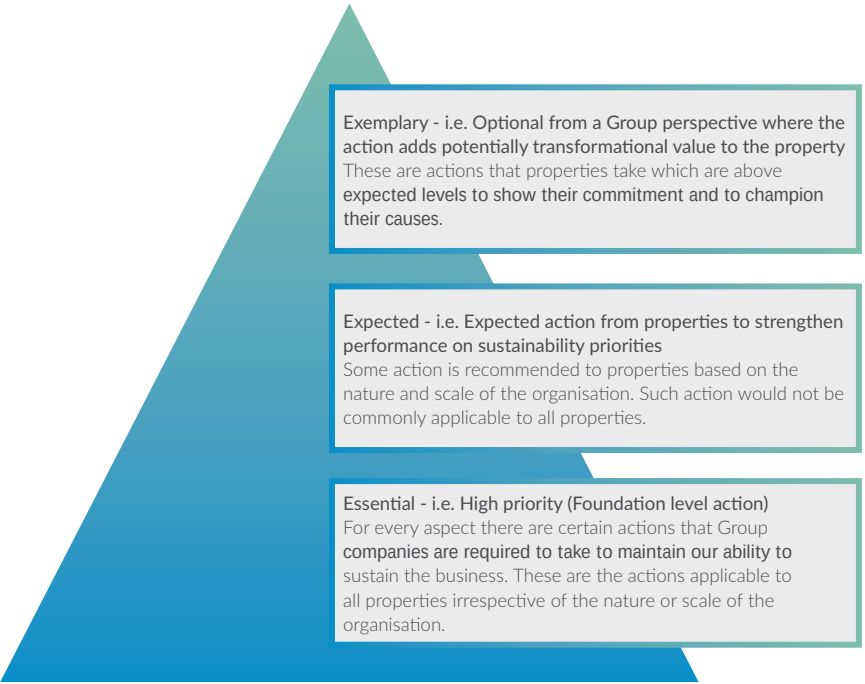
As a leisure sector company with a portfolio of 21 hotels, Aitken Spence Hotels has many operations and many impacts. The Group has identified **aspects that can be material to our diverse operations. Action to be taken for those aspects are prioritized according to the nature and scale. The Group's sustainability strategy looks at aspects that are commonly applicable across all our properties and uses a prioritisation framework to allow our hotels to customise their actions consistent with the nature and scale of its operation and its impacts. The aspects material to the Group can be broadly grouped into a few categories in line with the GRI Sustainability Reporting Standard; economic, environment, labour practices and decent work, human rights, society and product responsibility. Aspects identified within these broader categories can be seen in the table overleaf. These are picked based on our current operational priorities and are bound to change with the action taken and the outcome of our action. Aitken Spence PLC, our Parent Company has also identified seven Sustainable Development Goals (SDGs) which are also adapted by Aitken Spence Hotels that all our sustainability driven action can be aligned to. They are;**



Aitken Spence Hotels aligns their specific initiatives with different targets of SDGs that are in line with their selected sustainability priorities which are not necessarily the same as the Group priorities highlighted here which have been discussed in detail in the following pages.

Priorities of action;

Within each aspect, there are many actions that can be taken. However, not every action is considered as requiring immediate prioritized action and not every activity will be presently 'essential' for every hotel. For that reason, our framework helps to identify priorities for the action we take towards each material aspect.



Level of Priority from a Group perspective	Deciding Factors	
Essential - i.e. High Priority Action within each material aspect that is specified as "essential"	Environmental or social impact is high	Environmental or social impact is moderate or low, but frequency of occurrence is high
	Industry requirement for action	
	Action has been highlighted by a key stakeholder as a requirement	Action required in line with company policy of and/or voluntary standard
Expected Action within the aspect is recommended to properties based on the nature and scale of the organisation. Such action would not be relevant to all properties commonly and priority will differ	Legally required action	
	Strengthens sustainability priorities of the property	Action highlighted by a key stakeholder as an expectation from the property
Exemplary - i.e. Optional action These are actions that properties take which are above expected levels to show their commitment and to champion their causes	Action adds value to the business operation	Action is expected within a management system
	Action direction for sustainability best practices/movements in the industry	Action adds potentially transformational value to the operation or key stakeholders
		Action will create differentiation for chosen priorities of the property

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

The table below lists out the key material aspects identified by the Group and the SDGs and the relevant material aspect is expected to contribute.

	Identified Material Aspect	Why the Aspect Is Material	The SDG to Which the Outcome Is Expected to Contribute
	Economic	Economic value generated	  
	Economic performance	Financial sustainability	
	Indirect economic impacts	Reputation Risk	
	Market presence		
	Procurement practices		
	Brand Preposition		
	Environment	Environmental impact	  
	Energy	Potential to create positive change	
	Water		
	Biodiversity	The Group's commitment to environmental sustainability	
	Emissions	Stakeholder expectations	
	Effluents and waste		
	Compliance		
	Overall		
	Social – Labour practices and decent work; Employment	Potential to disrupt the Business	  
	Labour/ Management relations	Reputation risk	
	Occupational health and safety	Compliance with laws, regulations and voluntary standards endorsed	
	Training and education		
	Equal remuneration for men and women	Talent retention and acquisition	
	Labour practices grievance mechanisms		
	Human rights		
	Non-discrimination		
	Security practices		
	Investment		
	Society	Building relationships with key Stakeholders	  
	Local communities	Potential to create positive value for local communities	
	Anti-corruption	Legal, financial and reputational risk	
	Compliance		  
	Product Responsibility	Impact on customers	
	Customer health & safety	Reputational risk	
	Product and service labelling	Compliance with laws, regulations and voluntary standards endorsed	
	Marketing communications		
	Customer privacy		
	Compliance		

STAKEHOLDER ENGAGEMENT

The scope and extent of our business impacts a multitude of stakeholders, both internal and external. Engaging meaningfully with these stakeholders enables us to identify our priorities within the wider socio-economic context. By understanding the concerns and needs of our stakeholders, we are in a better position to align our business value proposition with their goals thereby creating a mutual and lasting value.

The Group engages with customers and suppliers on a frequent basis whilst the last formal stakeholder engagement with other identified stakeholder groups was conducted in January 2017.

We outline below the engagement mechanisms in place with each stakeholder group through multiple channels and the priority issues identified for both the Stakeholder and the Company.

COMMUNITY 	ENVIRONMENT 
REASON FOR ENGAGEMENT - To ensure harmonious co-existence and the social licence to operate METHODS OF ENGAGEMENT - Dialogue with community representatives - Seminars and gatherings to share best practices - Participation in community events - Supporting community groups through social and financial donations PRIORITIES - Rural development and community welfare - Integration with the community - Job creation and community-based sourcing	REASON FOR ENGAGEMENT - To ensure protection of the environment and resources for future generations and business operations METHODS OF ENGAGEMENT - Dialogue with policy makers and regulators - Reports on compliance with standards and regulations - Meetings with experts, environmental NGO's and lobby groups PRIORITIES - Resource and process efficiency, waste management - Climate change - Manage and mitigate impacts - Compliance
GUEST EXPERIENCE 	SUPPLY CHAIN 
REASON FOR ENGAGEMENT - To ensure business continuity and create sustainability consciousness METHODS OF ENGAGEMENT - Customer feedback forms - Guest satisfaction surveys - Tent cards creating awareness on how they can manage their environmental footprint PRIORITIES - Product excellence and delivering brand promise - Value for money - Eco-friendliness and sustainability - Quality standards and Innovation - Safety and security	REASON FOR ENGAGEMENT - To ensure that the Group maintains pre-determined standards of service and to transpose our sustainability ethic along the supply chain METHODS OF ENGAGEMENT - Seminars and workshops to sensitise them on standards expected towards sustainable action - Direct dialogue and site visits - Contracts and agreements - Supplier performance reviews PRIORITIES - Material and Service quality and availability - Fair pricing and profitability - Ethical conduct and sustainability - Efficiency and professionalism

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

EMPLOYEES REASON FOR ENGAGEMENT - Employees play a key role in the implementation of operational strategies of hotels and maintaining the requisite standards METHODS OF ENGAGEMENT - Open door culture - Performance reviews - Employee satisfaction survey - Grievance handling mechanism - Newsletters and intranet - Employee events & suggestion schemes PRIORITIES - Remuneration and benefits - Training and development - Performance and career progression - Health and safety at work - Diversity and equal opportunity - Work life balance	INVESTOR RELATIONSHIP REASON FOR ENGAGEMENT - Investors and the Investment community as well as banks and financial institutions are critical to obtain the financial resources needed to ensure the continuity of our business METHODS OF ENGAGEMENT - Annual General Meeting - Investor feedback form - Annual Report and quarterly reports - Media, including web and social media - Direct dialogue PRIORITIES - Performance of the Company - Dividends and capital gains - Governance and transparency - Sustainability
REGULATORS REASON FOR ENGAGEMENT - To build trust and constructive partnerships through compliance and proactive action, to obtain the permits to operate METHODS OF ENGAGEMENT - Reports and submissions, including compliance documentation - Direct dialogue and meetings with policy makers and regulators - Participation in events and forums PRIORITIES - Compliance - Policy and regulatory development - Business ethics and corporate citizenship - Anti-corruption - Job creation and economic value addition	INDUSTRY ASSOCIATES REASON FOR ENGAGEMENT - To become a meaningful partner in the growth of the tourism industry as a whole, thereby ensuring business continuity METHODS OF ENGAGEMENT - Participation in industry forums and lobby groups - Membership in industry bodies and business chambers PRIORITIES - Partnership and collaboration - Business ethics and fair competition - Industry goals and standards - Collective industry readiness and responses to potential risks

THE GROUP'S KEY STRATEGIC IMPERATIVES			
Having reviewed the strategic imperatives stated during the last two years, the Group considers them still relevant and vital to create and sustain value for all our stakeholders, in the context of the strengths and weaknesses of the Company and the opportunities and risks in the business environment. We have also included two more strategies as important in value creation in the year ahead.			
	Strategy	Strategies In Action In 2017/18	Plans For 2018/19
	Strengthen our regional presence.	Construction work continued on Heritance Aarah.	Heritance Aarah is scheduled to commence operations in Winter 2018.
		Set up a new profit centre to operate the managed properties.	Formulate a comprehensive branding strategy to incorporate and maximise the efficiencies in the Group's portfolio of properties.
	Source new partners in order to expand our product offering and market linkages.	As envisaged, Charter operations to Sri Lanka expanded as a result of the linkages with RIU.	Enter into new partnerships and collaborative efforts to develop existing land banks.
	Expand our presence across Sri Lanka in order to complete our portfolio of product offerings.	Commenced the management of Earl's Regent Kandy in October 2017.	Look at opportunities within Sri Lanka, with a focus on developing existing land banks.
	Rationalize the portfolio.	Divested Hotel Hilltop - Kandy due to its strategic mismatch with the Group's portfolio of high end properties.	The Group will be open to further develop its portfolio of hotels throughout all its operational segments, provided the new properties added to the portfolio (either through the investment model or the management model) and will complement its brand offering.
		Took on the management of operations of Earl's Regent Kandy.	
	Restructure capital to optimize returns.	Commenced the buyback of shares and the restructuring of debt.	The Group will continue to look at optimising its funding avenues in order to offer better returns to stakeholders.
	Harness the synergies and marketing opportunities as a regional player, to benefit each destination.	The Group continues to operate representation offices in India, USA, South Africa, UAE and China. The representatives will promote the Group's brands in the relevant source markets.	Set up marketing representation offices in key source markets such as Australia.
			Build on the measures set in place in the past few years and expand partnerships with tour operators to cross sell.
			Leverage on our strengths.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

	Strategy	Strategies In Action In 2017/18	Plans For 2018/19
	Reinforce and expand brand attributes.	The Group is currently engaged in a brand enhancement exercise to target the different segments of the market.	Sustain and leverage the developed brand proposition based on the results of the brand exercise. Consolidate our branding portfolio to be the vehicle for planned enhancements.
	Leverage on technology as a competitive advantage.	Extend the online revenue management platforms to more of our properties in the portfolio. Increase the contribution to revenue by introducing new Online Travel Agents.	Continue to expand and harness the capabilities of the new CRM software and other technologies for more target specific marketing and to offer more customised solutions and a superior service to customers. Implementing a parity insight software to streamline online distribution. Data mining for more effective marketing.
	Taking initiatives to meet industry skills gap and dearth of trained HR.	Continued to train internal trainers to sustain the learning and development culture into the future.	The Group will continue to monitor any training gaps which could arise and provide continuous training to enable employees to perform on par with standards and expectations.
	Retaining talent.	Enhanced the Learning and Development Centre and launched new initiatives to provide continuous training. Construction on a new female staff accommodation facility commenced at Heritance Kandalama.	Further enhance facilities provided to increase managerial level training.
   	Continue our Triple Bottom Line focused model with a focus on sustaining communities and the environment.	All of the Group's Heritance and Adaaran properties were re-certified for Travelife.	Adopt a focused, differentiated and branded sustainability initiative which is in sync with the Group's values, passion and objectives to make a significant impact.



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

FINANCIAL CAPITAL

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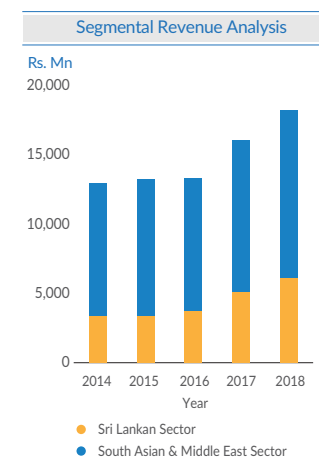
An overview of the Group structure

Aitken Spence Hotel Holdings PLC presents the consolidated financial statements of the holding company, its subsidiaries and the share of profits of equity accounted investees (Please refer Group Structure on pages 84 to 85). Our Group is one of the largest hotel operators in Sri Lanka with a portfolio of 21 properties spread across South Asia and the Middle East. Please refer Group Structure (Pages 84 to 85) and the Manufactured Capital Section of this report on page 144 to 145 for a detailed review of our portfolio of resorts.

Table - Summary of Key Income Statement Items

Rs. Millions	2017/18	2016/17	% change	Explanatory Notes
Net Revenue	18,251	16,055	14	Growth in Sri Lankan sector revenue by 19% and South Asian and Middle East sector revenue by 11%
Other Operating Income	260	(99)	364	Includes profit on disposal of Subsidiaries Rs. 308 million (Divestment of MPS Hotels Pvt Ltd/Hotel Hilltop). An amount of Rs 75 million was reported as an exchange loss mainly from revaluation of foreign currency denominated debt (exchange loss of Rs 123 million in 2017)
Staff Costs	(3,103)	(2,747)	13	Staff salary revisions across all grades
Depreciation & Amortisation	(1,815)	(1,583)	15	Increased depreciation due to increased investments and capital expenditure incurred on property upgrades
Other Operating Expenses - Direct	(3,899)	(3,351)	16	Due to increase in operational activity
Other Operating Expenses - Indirect	(6,198)	(5,555)	12	Increase in non direct operational cost mainly due to Hotel RIU Sri Lanka completing its first full year of operations
Finance Income	263	168	57	Due to increase in interest rates and funds available for investment
Finance Expense	(949)	(745)	27	Inline with increased borrowings obtained for funding of new investments
Share of Profit/(Loss) of Equity Accounted Investees Net of Tax	(138)	(171)	-19	Mainly due to reduction in groups share of losses at Browns Beach Hotels PLC
Taxation	(606)	(536)	13	Due to increase in taxable profits

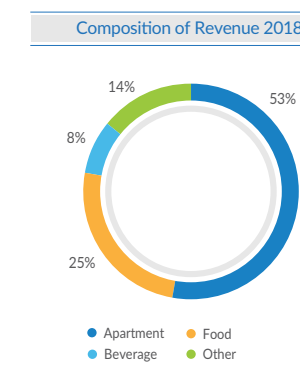
Revenue



The Group's consolidated net revenue grew by 14% to reach Rs. 18,251 million during the financial year against the Rs. 16,055 million achieved during the corresponding year. The Sri Lankan sector revenue grew by 19% year on year resulting in the sector's contribution to revenue increasing to 33%, from 32% recorded in the preceding year. The sector revenues were boosted by commendable growth in revenue achieved by all Sri Lankan resorts despite the destination reporting a lackluster growth in tourist arrivals in the first three quarters of the year as well as the completion of one full year of operations by Hotel RIU Sri Lanka. The calendar year 2017 (January to December) saw only a marginal growth of 3.2% in arrivals to Sri Lanka over the preceding year, with 5 months of the year reporting a reduction in arrivals compared with the corresponding months of 2016. However, the destination picked up during the final quarter of the financial year with arrivals growing by 17% over 2017.

The South Asian and Middle East sector, headed by the Group's Maldivian resorts, continued to be the main contributor to Group Revenue accounting for 67% of the total revenue. Sector revenue increased by 11% with all properties in the three destinations reporting revenue growths. Adaaran Select Hudhuran Fushi was the biggest contributor to the increase in revenue despite the resort not been fully operational due to refurbishment work carried out on 45 rooms on a staggered basis during the summer of 2017. Moreover, the Group strongly believes that the contribution from the sector will increase further with construction work of Heritance Aarah, nearing completion and the resort scheduled to become operational during winter 2018.

Group Revenue grew by a 5-year compounded annual growth rate (CAGR) of 9% (FY14-FY18), with the local resorts growing at a rate of 16% and the South Asian and Middle East sector reporting a growth of 6% during the same period. The composition of group revenue is presented below.



Income and Expenditure Distribution

Gross Profit of the Group increased by 13% to reach Rs. 13,871 million in 2018 with the Gross Profit margin contracting marginally by one percentage point from 2017 to 78%. The reduction in the gross profit margin is mainly attributable to the severe price competition experienced in the Sri Lankan sector during the first three quarters of the financial year, especially in the south coast, and the increase in direct cost. However, the Group is confident that margins will improve in the medium term as the newly launched properties in the portfolio increase the economies of scale, with the maturity and the establishment of the product.

Indirect overheads of the Group increased by 12% keeping in line with the increase in available room inventory year on year with the 501 roomed Hotel RIU Sri Lanka completing its first full year of operations. However, it should be noted that indirect overheads as a percentage of Revenue decreased to 35% in 2018 (2017 - 36%) mainly due to concerted efforts made during the year on implementing numerous cost saving initiatives across all sectors of the Group.

Group Profit from operations increased by 31% to Rs. 3,014 million, from Rs. 2,298 million reported in 2017, mainly due to the increase in reported revenue as discussed above and the profit gain of Rs. 308 million from the divestment of MPS Hotels (Pvt) Ltd the operator of Hotel Hilltop - Kandy.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

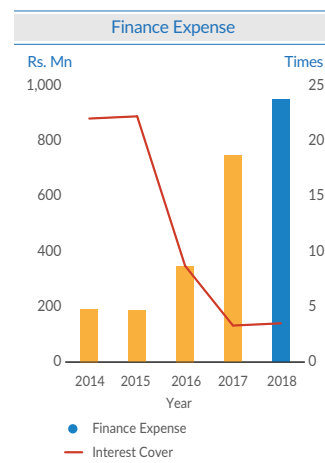
Group Expenses and Profit from Operations as a Percentage of Net Revenue

	2018		2017		Annual Increase
	Rs Mn	%	Rs Mn	%	%
Net Revenue	17,770		15,633		14
Other Income	260	1	(99)	-1	364
Staff Costs	3,103	17	2,747	18	13
Depreciation & Amortisation	1,815	10	1,583	10	15
Other Operating Expenses - Direct	3,899	22	3,351	21	16
Other Operating Expenses - Indirect	6,198	35	5,555	36	12
Gross Profit	13,871	78	12,282	79	13
Profit From Operations	3,014	17	2,298	15	31

Finance Expenses

The finance expenses of the Group increased by 27% over the preceding year to Rs. 949 million during the year. The Group acquired additional debt finance to fulfil the funding requirements for its new projects initiated during the year, with interest bearing borrowings increasing by 27% to Rs. 22,474 million as at 31st March 2018. Proceeds from long term borrowings during the year was Rs. 11,864 million with a settlement Rs. 8,470 million. However, it should be noted that the above amounts include a loan receipt of Rs. 3,260 million from Abanca Bank Spain with the interest rate linked to Euribor which will enable the group to refinance the existing debt acquired for the construction of Hotel RIU Sri Lanka at considerably favorable terms. An amount of Rs. 2,492 million was utilized from the above to settle the existing debt during the first quarter of 2018/19 and hence, the increase in interest bearing borrowings after the subsequent settlement of the above will amount to 13%. With a number of expansion/refurbishment projects in the pipeline, the Group is at present keenly monitoring the developments in the macro environment to source any additional funding requirements.

Despite the increase in finance expenses the interest cover increased to 3.5 times in 2018 from 3.3 times reported in the preceding year. Given the sound fundamentals and the projected incremental future cash flows, the Group is confident that it is in a strong position to service the increased debt.

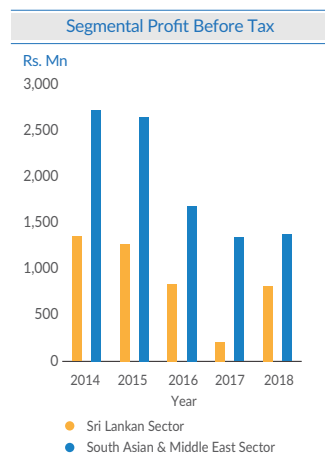


Net Profit

The cost saving initiatives implemented by the management enabled the Group to offset some of the pressures on operating expenses and the inevitable rise in finance cost and depreciation arising from the aggressive expansion strategy, to report a 56% growth in Post-Tax Profit to Rs. 1,583 million during the year under review while the Profit before interest, tax, depreciation,

amortization and other income grew by 16% which is a commendable achievement in the current operational environment. The Group remains confident that a significant growth in profitability will be achieved in the short to medium term given the projected cash flows expected from recent investments.

The main contributor to Group profits during the year was the South Asian and Middle East sector with a pre-tax profit of Rs. 1,376 million (2016 – Rs. 1,342 million) while the contribution from the Sri Lankan sector increased by a significant 292% to Rs. 814 million compared with Rs. 208 million reported in 2017.



Analysis of Group Profitability

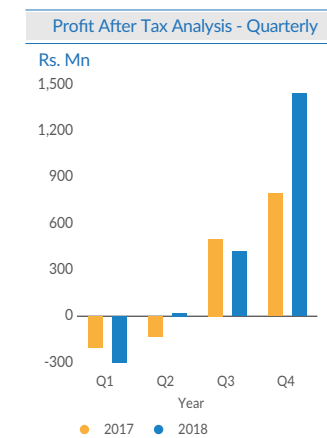
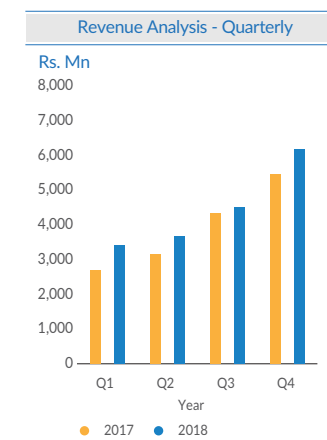
	2018	2017	Annual Increase
	Rs. Mn.	Rs. Mn.	%
Net revenue	17,770	15,633	14
Less - Other operating expenses & Staff costs	(13,200)	(11,653)	13
Share of profit /(loss) of equity accounted investees	(138)	(171)	-19
Profit before interest, tax, depreciation, amortization & other income	4,431	3,809	16
Other Income & Finance Income	523	69	658
Finance expense	(949)	(745)	27
Depreciation & Amortization	(1,815)	(1,583)	15
Profit before taxation	2,190	1,550	41
Less - Tax	(606)	(536)	13
Profit for the year	1,583	1,014	56

A figure of Rs. 138 million was accrued as a loss arising from equity accounted investees net of tax from the Group's investment in Browns Beach Hotels PLC and Amethyst Leisure Ltd. Heritage Negombo commenced operations on 2nd April 2016 and reported an Operational Profit during the year under review.

The Group recorded a Profit After Tax of Rs. 1,583 million, an increase of 56% from 2017. While the Company reported a post-tax profit of Rs. 923 million mainly on account of dividend income of Rs. 582 million received from subsidiary companies and the gain recorded from the disposal of its subsidiary MPS Hotels (Pvt) Ltd.

Quarterly Performance

Consolidated quarterly performance, as illustrated in the graphs below, depicts an increase in revenue from summer to winter which is in keeping with the industry norm. The year-on-year quarterly Revenue increase ranged between 4% to 27% with the highest growth being reported in the first quarter mainly as Hotel RIU Sri Lanka, was not in operation during the corresponding quarter of 2017.



Financial Position

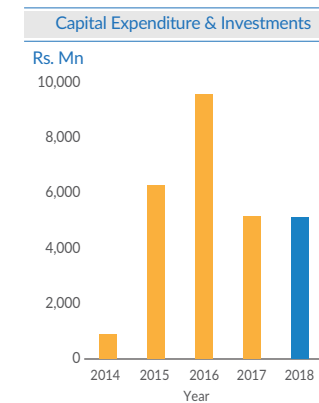
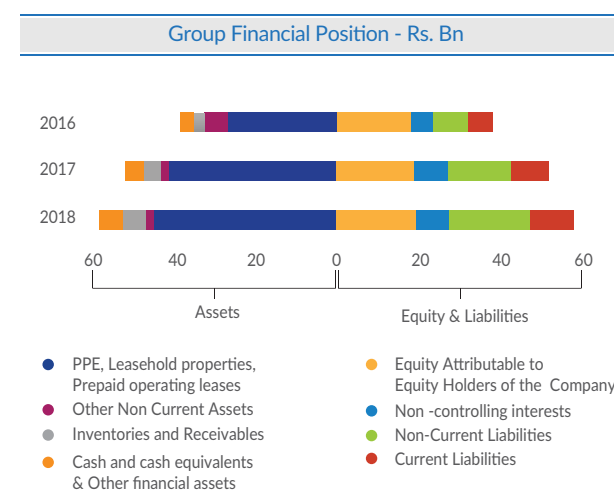
The Group's Statement of Financial Position as at 31st March 2018 continued to reflect the strength and stability of its core business practices over the years with the total asset base of the Group as at 31st March 2018 standing at Rs. 58,593 million, an increase of 12% from the preceding year.

The consolidated statement of financial position of the Group as at 31 March 2018 is presented on pages 218 to 219 of the Annual Report and a brief analysis of the key components of the Group's assets and liabilities is set out in the following table.

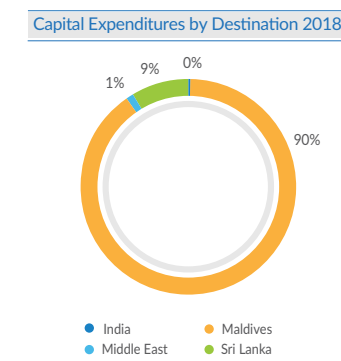
INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Table - Summary of Key Balance Sheet Items

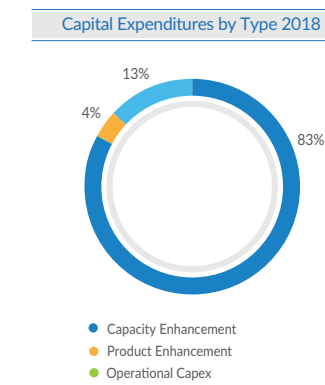
Rs. Millions	31st March 2018	31st March 2017	% change	Explanatory Notes
Assets				
Property, Plant and Equipment & Leasehold Property & Prepaid Operating Leases	45,201	41,521	9	Mainly due to development work carried at Heritance Aarah in Maldives
Other Non Current Assets	2,482	1,983	25	Mainly on account of shareholder loan provided to associate entity Negombo Beach Resorts (Pvt) Ltd owners of Heritance Negombo
Inventory	429	477	-10	As per operational requirements
Cash and Cash Equivalents & Term Deposits	5,948	4,665	27	
Other Current Assets Including Trade and Other Receivables	4,534	3,532	28	Mainly due to short term investments made with Aitken Spence PLC group treasury
Total Assets	58,593	52,178	12	
Shareholders' Equity	19,771	19,162	3	
Non Controlling Interests	8,123	8,271	-2	
Long Term Debt	22,474	17,762	27	Increase in long term debt for funding the ongoing projects and acquisitions.
Short Term Debt	1,822	1,746	4	In line with short term operational requirements
Other Non Current Liabilities	1,723	1,144	51	Increase mainly due to the accrued lease rent of operating leases of islands Aarah and Raafushi as a result of recognising the rent expense on a straight -line basis over the lease term and the increase in the deferred tax liability
Other Current Liabilities (Including Trade and Other Payables)	4,680	4,093	14	Increase in amounts due to ultimate holding company
Total Liabilities	58,593	52,178	12	



Staying in line with the strategy of aggressive expansion, the Group invested Rs. 5,097 million in additions to property, plant and equipment, which brought the total investment on capital expenditure, property acquisitions and development during the past 4 years to exceed Rs. 26 billion.



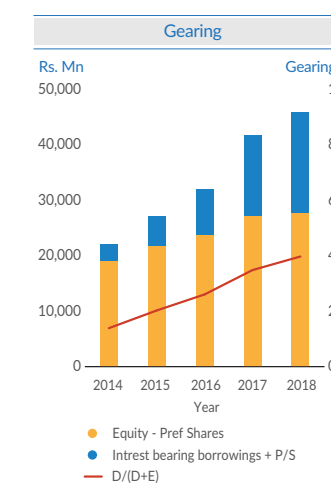
90% of the total investment in property plant and equipment was done in the Maldives with the majority of the investment in the destination been directed towards the construction of the new five-star resort Heritance Aarah.



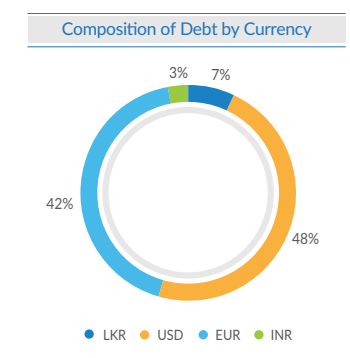
83% of the total Capital Expenditure during the year under review was incurred for the increase in room inventory with operational Capital Expenditure incurred on routine operational requirements accounting for 13% of the total spend, while 4% of the total expenditure was incurred on product enhancement and upgrades.

Gearing and Composition of Debt

Reflecting the increase in debt finance, gearing levels (measured as debt/ (debt+equity)) of the Group increased to 39.8% from 34.9% reported 2017. However, the Group is confident of its ability to sustain this increase comfortably, with increased cash inflows projected in the medium term once the properties being developed become fully operational.



Resorts funded with USD/EUR loans mitigated the impacts through creation of a 'natural hedge' where USD/EUR denominated revenues were offset by creating USD/EUR denominated liabilities. The downward revision in interest rates during the latter part of the financial year decreased the cost of Rupee financing, particularly in the Sri Lankan sector.



Shareholders' Equity

Shareholders' funds as at 31st March 2018 increased by 2% against the preceding year and stood at Rs. 27,894 million compared with Rs. 27,433 million on 31st March 2017; mainly on account of earnings during the year. The Group reported a return on equity (ROE) of 6.0% during the year under review, which reflects an increase of 3.6% over 2017.

58,593 ↑ 12%

2016/17 - 52,178

Total Assets (Rs. Mn)

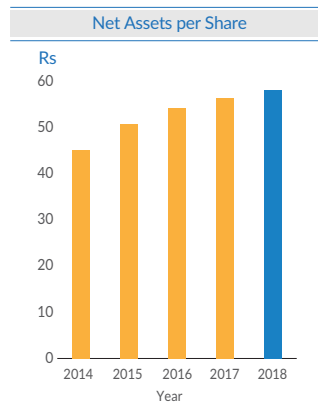
INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Share Performance

Company shares closed trading at Rs. 33.50 at financial year end, declining by 5% from 31st March 2017 whilst the highest and lowest price of the share traded during the year was Rs. 42.00 and Rs. 28.00 respectively. The market capitalization at the last traded price for the financial year was Rs. 11,266 million. The float adjusted market capitalization as at 31st March 2018 stood at Rs. 2,862 million.

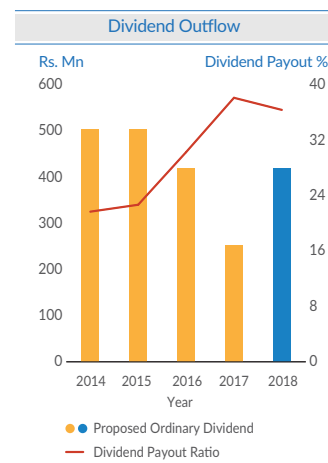
The Earnings per Share (EPS) for 2018 increased to Rs. 3.43 from Rs. 1.97 reported in the preceding year while Price Earnings Ratio (PER) decreased to 9.8 times from 17.9 times in the corresponding year.

Net Assets per share of the Group increased to Rs. 58.30 from Rs. 56.49 reported in 2017.



Dividends

The Dividend policy of the Company seeks to ensure a dividend pay-out which correlates to Group profits, whilst retaining sufficient funds for future investments and ensuring that shareholder returns are sustainable in the short, medium and long term. Accordingly, the directors of the company have recommended a final dividend of Rs. 1.25 per share for shareholder approval. The Dividend amounts to a total outflow of Rs. 420 million recording a dividend pay-out ratio of 36.4% for the year.



Economic Value Added

The Economic Value Added is a measure of the total economic value created over and above the average cost of funding of the Company (Weighted Average Cost of Capital - WACC). It is the Profit generated in excess of the rate of return required by the investors. The Company's WACC is a function of the Group's average cost of borrowing, required rate of return on equity and the cost of preference share capital. The economic value added by the Group for the past five years is tabulated below.

1.25 ↑ 67%

2016/17 - 0.75

Dividend Per Share (Rs.)

3.43 ↑ 74%

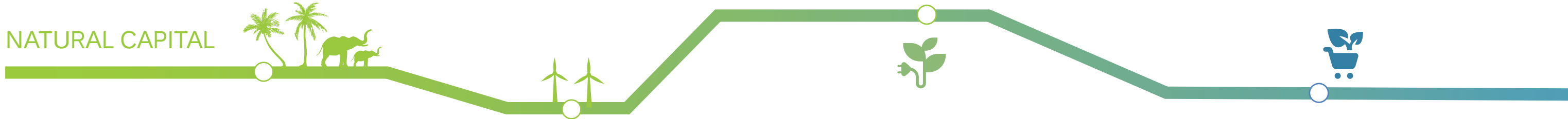
2016/17 - 1.97

Earnings Per Share (Rs.)

Economic Value Added (EVA)

	2017/18	2016/17	2015/16	2014/15	2013/14
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit for the Year	1,583,395	1,013,739	2,087,762	3,435,622	3,517,015
Add/(Less):					
Depreciation and Amortisation	1,815,254	1,583,237	1,055,064	807,255	761,373
Non Cash & Non operational adjustments	(63,083)	340,310	135,776	(18,408)	(34,864)
Total Interest on debt	949,117	745,013	347,314	185,491	192,252
Adjusted Profit After Tax	4,284,683	3,682,299	3,625,916	4,409,960	4,435,776
Total Investment Capital					
Total Equity	27,894,003	27,432,688	23,834,903	21,869,232	19,167,842
Add:					
Total Long Term Debt	18,154,051	14,450,707	8,186,477	5,363,625	2,913,898
Total Short Term Debt	6,142,605	5,057,481	2,663,196	2,386,745	1,090,808
Cumulative Depreciation	11,465,586	9,729,411	8,031,791	6,789,099	5,987,351
Adjusted Investment Capital	63,656,244	56,670,287	42,716,367	36,408,701	29,159,899
Economic Value Added					
Weighted Average Cost of Capital	6.73%	6.50%	8.01%	7.78%	8.90%
Cost of Average Investment	4,282,518	3,680,926	3,423,209	2,832,129	2,596,610
Economic Value Added	2,166	1,373	202,707	1,577,831	1,839,166

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS



NATURAL CAPITAL

Given the nature of our business and industry (of resort hotels in the tourism industry) the Natural Capital is an essential link in our value creation process. The Group has a direct impact and hence a Carbon Footprint on the environment through the consumption of natural resources such as energy and water. In addition, the natural environment in the vicinities of our properties is also an essential element of the Group's value proposition and thus key determining factors in the location of its resort properties.

In the Group's diverse portfolio of resorts, its Natural Capital ranges from the mountainous terrain and cool climes of Nuwara Eliya, to the enchanting corals and pristine waters of the Maldives, to the coconut palm lined beaches of Sri Lanka and the forests and lakes around Kandalama. The industry in fact is dependent on the enhancement and preservation of the natural capital rather than the extraction of natural resources, as in the case of some other economic sectors. These factors bolster our passion and commitment to preserve it for future generations whilst harnessing it for sustained growth, without compromising the consumption for future generations. This section discusses the Group's efforts towards this end.

Aitken Spence Hotels adopts a two-pronged approach to conserve the environment; of minimising our environmental foot print on the one hand, and proactively seeking ways in which we can add value to enhance or sustain the natural capital on the other hand. The Group continues to make significant investments towards these efforts.

MINIMISING OUR CARBON FOOTPRINT

Our eco-centric focus also makes excellent business sense and contributes to improved margins. Firstly, by reducing our costs of energy and other utilities and secondly, by attracting an increasing number of the environmentally-conscious travelers. Clean air, clean water and bio-diversity are constantly threatened by increasing populations, fast spreading urbanization and industrialization. However, with increasing awareness of the dire consequences, and global warming looming before us, it is evident that stakeholders will increasingly demand accountability on environmental impacts. A foundation for minimizing our footprint is an EMS (Environment Management System) at every property, with internal audits conducted regularly and corrective and preventive action implemented where required.

GHG emissions of the Group are tabulated below.

	2017/18	2016/17	2015/16
Scope 1 (Tons CO2)	15,987.64	14,711.22*	14,442.12*
Scope 2 (Tons CO2)	18,153.80	19,078.76*	10,022.06*

GHG emissions were calculated based on the assumptions stated below.

- 1kWh of electricity consumed produces equivalent of 0.740, 0.820, 0.936 Kg CO2 in Sri Lanka, India and Oman respectively.
- 1 litre of diesel produces equivalent of 2.494 Kg CO2.
- 1 litre of furnace oil produces equivalent of 2.933 Kg CO2.
- 1 Kg of LPG produces 3.090 Kg eCO2.

* Indicates figures restated due to change in scope and conversion factors.

ENVIRONMENTAL MANAGEMENT SYSTEMS AT AITKEN SPENCE HOTELS

Below diagram depicts the EMS that Aitken Spence Hotels follows in line with the PDCA Cycle (plan-do-check-act) which ensures strict controls and continual improvement of our management processes.

Overview of our Environmental Management System



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

The Group monitors the impact of its operations and internally evaluates and prioritizes the operational aspects according to the degree of impact they have or may have, based on the following points:

- The specific environmental impact;
- The frequency of the impact;
- Whether a response/action is a legal requirement, industry requirement or a requirement of a voluntary standard;
- Risks emanating from action;
- Public perceptions about the potential impact of the activity.

Action is then taken based on the outcome of the evaluation to control, reduce or eliminate the impacts.

ENERGY MANAGEMENT

The need to conserve energy and to find sources of renewable energy have been made more urgent in the world today than ever. Closer to home, in our business, energy costs (comprising electricity and fuel) account for 10% of our operating expenses (direct and indirect). Reducing energy consumption is hence a Triple Bottom Line objective. We continually seek ways to reduce our energy costs and switch to renewable energy.

The solar power photovoltaic system at Turyaa Kalutara which was developed in the previous year, was commissioned during the year under review, generating 150 Kw of power with a net metering system to measure output which supplies to or offsets the supply from the national grid.

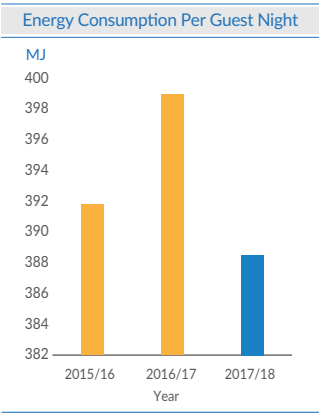
Furthermore, an overarching energy conservation policy applies to our entire portfolio, based on the ISO 50001:2011 EnMS (Energy Management System) Certification incorporating standard operating procedures and best practices which are expanded upon each year; these include:

- Key card control and master switch turn off in 90% of the rooms, to ensure that no power is consumed when the room is unoccupied.
- Lights on outside locations are timer controlled to ensure they are switched of at a given time.
- Preventive and regular maintenance albeit costing more.
- The use of low energy consuming LED or plasma bulbs at our new properties and replacement of Halogen bulbs at our older properties.
- Monitoring of fuel consumption by standalone generators on a daily basis.

A decrease in energy intensity over the past three years reflects the improved energy efficiency of the Group’s operations, as per the data below.

Total Energy Consumption - GJ				
	2017/18	2016/17	2015/16	
Sri Lanka	104,101	109,733*	82,473	
Maldives	191,128	181,167	185,396	
Oman	21,196	21,322*	N/A	
India	13,783	13,102	N/A	
	330,208	325,324*	267,869	

* Indicates figures restated due to change in scope and boundary.



In addition to green projects, we also extend our efforts to create awareness, disseminate knowledge and advocate environmental consciousness and environment friendly behavior amongst school children and the general public. The Eco Park at Heritance Kandalama does just that by encouraging visitors not only from amongst our guests but from the public. 3,789 visitors were engaged in excursions to the Eco-Park in 2017/18, where our naturalists shared knowledge on conservation and different types of animals etc.

Reduction in Energy Intensity 2017/18:

	Sri Lanka	Maldives	Oman	India	Group
Energy Consumption Reduction Per Guest Night (MJ)	9.38	25.71	8.09	34.51	10.45

WATER MANAGEMENT

At our Sri Lankan properties, 100% of the waste water generated and close to 90% of the total water withdrawn is treated and recycled. An assumption is made that 10% of the total withdrawn water is lost due to evaporation.

Total Water Consumption Per Guest Night - Litres

	2017/18	2016/17	2015/16
Sri Lanka	972.47	983.49*	866.36
Maldives	729.41	812.50	815.57
Oman	1,329.29	1,477.25*	N/A
India	965.13	967.01	N/A

Total Water Consumption – m3*

	2017/18	2016/17	2015/16
Sri Lanka	381,602	392,907	300,723
Maldives	267,703	269,359	271,798
Oman	67,105	73,601	N/A
India	38,634	33,446	N/A
	755,044	769,313	572,521

* Does not include water obtained for drinking purposes through bottled water and bowsters obtained during drought period.

Total Water Withdrawal by Source – m3

	2017/18	2016/17	2015/16
Ground Water	313,321	318,500	276,456
Municipal water	174,020	181,454	37,743
Sea Water	669,257	673,398	679,495

No water source or bodies were significantly affected due to withdrawal/discharge of water or runoff.

Water Recycled and Reused 2017/18:

	m3
Sri Lanka	325,643
Maldives	267,703
Oman	-
India	-
Group	593,346

WASTE MANAGEMENT

Emissions, effluence and solid waste make up the output of the Group's operations. Aware of the risk that these wastes can pose to habitats and environments if not properly disposed of and in states which are not harmful; the Group adheres to stringent standards across all its properties to minimize waste and to treat effluence before their discharge.

Management and reduction of waste across all our properties is guided by the Group's own in-house developed 7R approach - an expanded version of the 3R approach launched at the Earth Summit in 1992. The 7R principle commits our organization to work towards achieving zero waste dumping though operational changes as well as by seeking to convert whatever waste that is generated to a resource as much as possible.

Reduction of waste to landfills is an ongoing priority across the Group and every little step takes us close to the aim for zero waste and minimal impact on landfills. Some of the steps taken in 2017 to reduce the use of plastics include the following:

- We eliminated the use of single use plastic straws and replaced them with paper straws at all our properties,
- the plastic butter sachets for individual use at the restaurants were replaced with carved butter of butter cubes served at the guest table or at the buffet,
- Heritance Tea Factory commenced the process of replacement of plastic water bottles with glass bottles eliminating the single use PET bottles. This initiative will be expanded to all our properties in the coming year once logistical difficulties involved in the process is resolved.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Some of the ongoing practices to support our journey towards zero waste include the following:

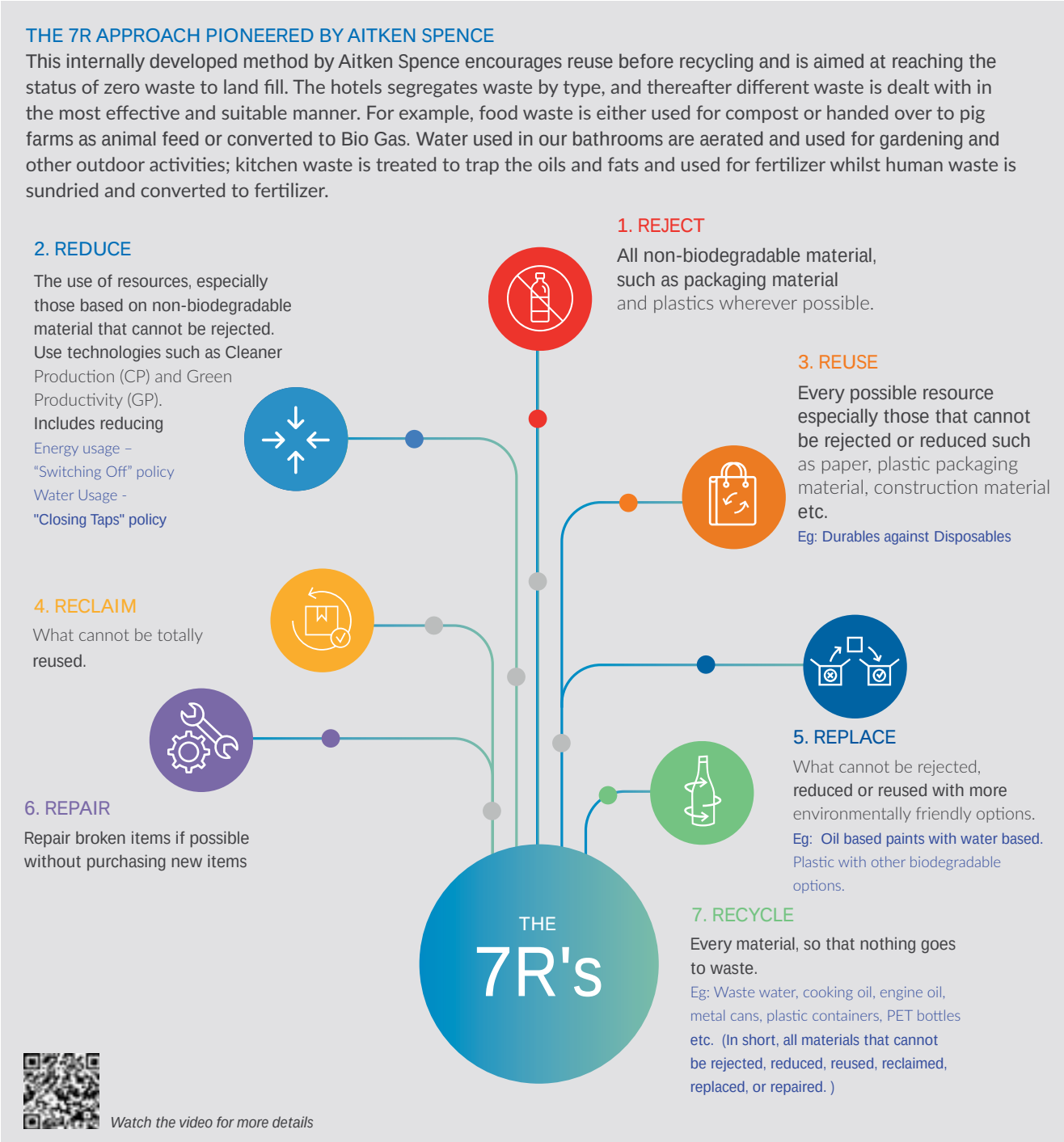
- All our hotels are equipped with secondary treatment plants to treat their waste water and the totality is used for washing of vehicles, flushing of back of house sanitary facilities and irrigation of lawns and gardens.
- Stocks of goods required by the properties are bought in bulk to minimise packaging at point of purchase.
- All waste generated at hotel properties, from a bottle cap to a fruit peel are segregated so that they can either be sold for reuse, handed over for recycling, re-used for other purposes at the hotel itself or used to manufacture fertilizer by our fertilizer plant or disposed of in line with the requirements of Central Environment Authority (CEA).

Waste Details of Sri Lankan and Maldivian Hotels

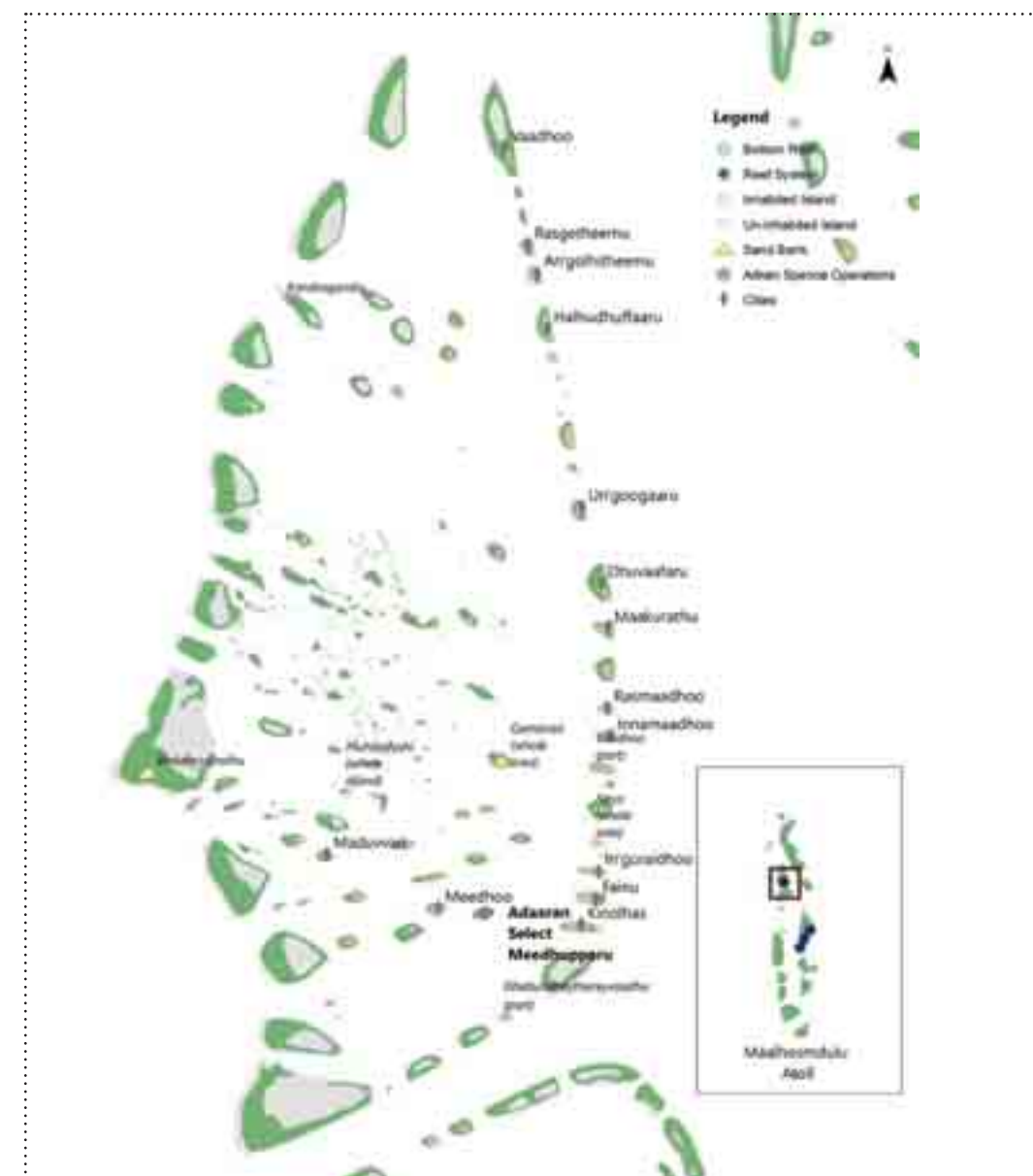
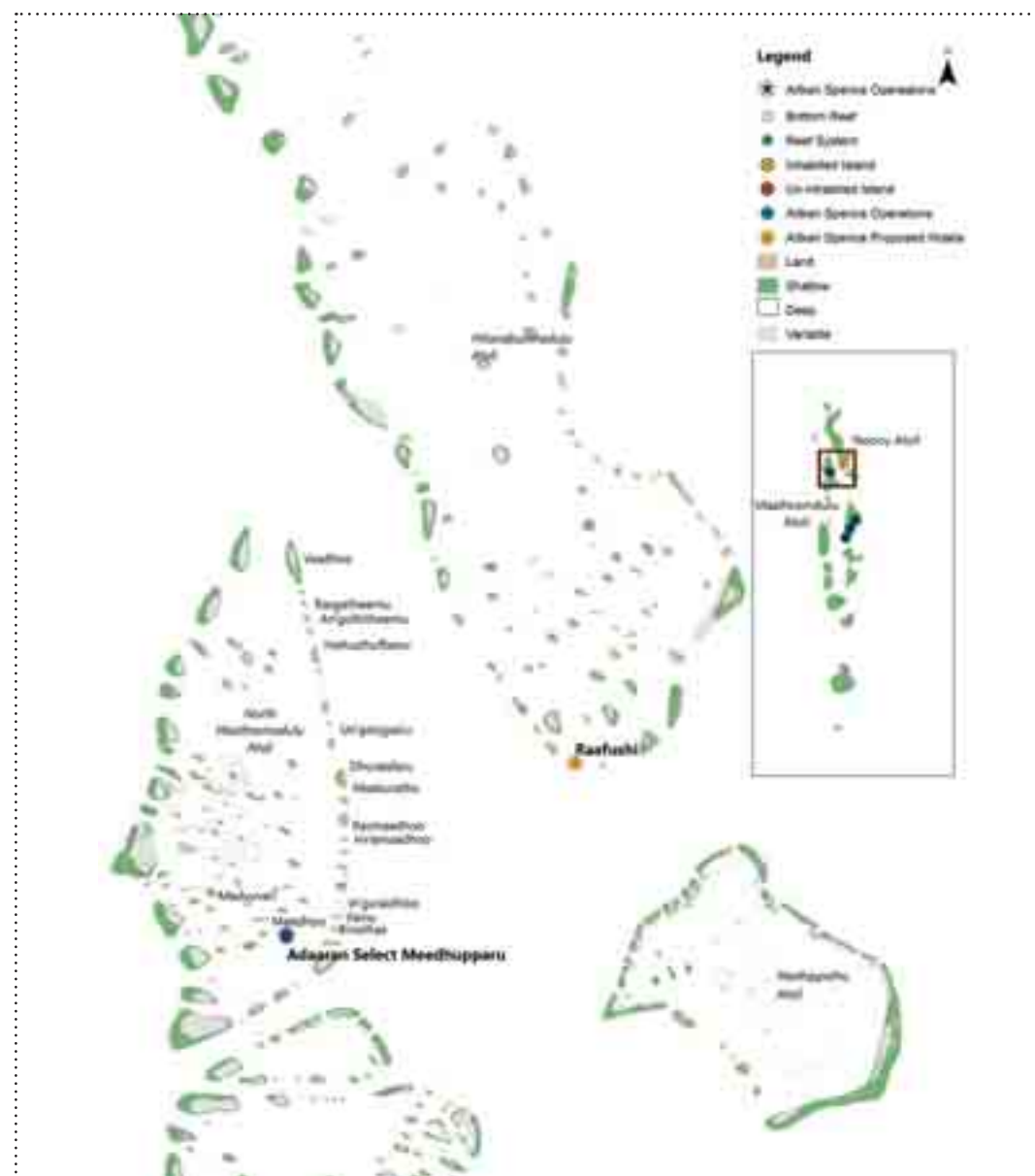
	2017/2018		2016/2017		2015/2016		Remarks
Waste type							
Paper	10,239	Kg	11,505	Kg	12,927	Kg	Segregated and sold/sent for recycling
Cardboard	20,596	Kg	19,249	Kg	17,990	Kg	Segregated and sold/sent for recycling
Plastic	12,189	Kg	12,250	Kg	12,069	Kg	Segregated and sold/sent for recycling
Polythene	4,995	Kg	5,011	Kg	4,800	Kg	Segregated and sold/sent for recycling, Supplier education on reducing packaging material planned
CFL bulbs	788	Units	886	Units	873	Units	Sent for recycling, Energy efficient LED lighting replacement program
Lead Acid Batteries	521	Kg	581	Kg	572	Kg	Segregated and sold/ Stored for later recycling
Alkaline Batteries	-	Units/ Kg	-	Units/Kg	-	Units/Kg	Segregated and sold/ Stored for later recycling
Tyres	20	Units/ Kg	-	Units/Kg	-	Units/Kg	Sent for Retreading/Sold to recycle
Scrap Metal	23,033	Kg	22,625	Kg	22,291	Kg	Segregated and sold
Glass	9862/ 29,041	nos /Kg	9302/ 31,041	nos /Kg	10,551/ 31,041	nos /Kg	Segregated and sold/sent for recycling
Soiled cotton	651	Kg	629	Kg	620	Kg	
Food waste	2,376,476	Kg	2,341,355	Kg	2,306,754	Kg	Composted, Used in Bio Gas Generators, Sold / Given to piggery
Waste Oil	5,776	L	5,674	L	5,590	L	Sold to Soap manufacturer
E - waste	22/231	Units/ Kg	13/341	Units/Kg	4/268.25	Units/Kg	Sold/sent for recycling

BIO-DIVERSITY

The Group's Sri Lankan and overseas operations are not located within very close proximity to national reserves or protected areas. However, the Group takes proactive initiative to ensure that areas of high bio-diversity are protected and preserved. Some of our properties are able to do more due to their location. For example, Heritance Kandalama is one property which acts as a preservation agent in conserving the bio-diversity and eco systems in the area.



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

HUMAN CAPITAL

“You can design and create, and build the most wonderful place in the world. But it takes people to make the dream a reality” said Walt Disney.

We at Aitken Spence Hotels have truly embraced this belief. In the highly competitive market of the hospitality industry, the passion, commitment and talents of our people have been the key differentiator and the corner stone of the success of our brand.

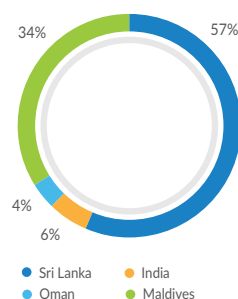
Aitken Spence Hotels is renowned for its architecturally unique and appealing properties. However, our brands Heritage and Adaaran have become established as premium brands due to how well the brand values and attributes are lived, communicated and translated into action by employees, to delight guests and exceed their expectations. Our people are thus our strongest asset. The Group's strategic focus on increasing its portfolio of managed properties in the next few years, will see it harness this knowledge base and experience of its human capital.

A key strength of our employee proposition is the opportunities we provide for overseas exposure at the Group's properties in Oman, Maldives and India. Our employees have the opportunity to gain overseas exposure in the hospitality industry to enrich themselves, and on their return, to enrich the country.

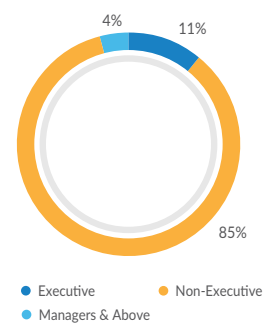
	2017/18	2016/17	2015/16
Revenue Per Employee – Rs. mn	5.76	4.99	5.94

(No. of Employees which is used as the denominator include the employees of Hotel RIU Sri Lanka)

Employees By Region



Employees By Type



TALENT ACQUISITION AND MANAGEMENT

Against the backdrop of strategic repositioning and addressing the human capital challenges that lie ahead, Aitken Spence Hotels relies both on leveraging the skills and experience already available within the organization, as well as sourcing the necessary capabilities that will help position the Group for long-term sustainable performance.

Recruitments are made using a balanced and transparent approach that is based on a strict screening and evaluation process to determine not only hotel industry skills and competencies, but also the ability of potential candidates to connect with the Aitken Spence corporate values, culture and work ethics. In order to ensure that these objectives are met, the Human Resources (HR) division of Aitken Spence Hotels liaises with Corporate HR on a frequent basis. All line managers are also given regular training on interview techniques and interpretation of test results.

No of New Recruits Based on Age and Gender

Age Category/Gender	Male	Female
35 years & Below	618	43
36 years-45 years	66	6
46 years-55 years	21	2
56 years and above	6	0

Employee Turnover Based on Age and Gender

Age Category/Gender	Male	Female	Turnover Rate %
35 years & Below	589	62	43
36 years-45 years	93	37	17
46 years-55 years	35	2	9
56 years and above	12	4	18

DIVERSITY MANAGEMENT

Gender Ratio by Employee Grade

	Male	Female	Ratio
Executive to Assistant Manager	247	56	4.41
Manager & Above	114	8	14.25

Age Analysis by Employee Grade

	18-30 Yrs	31-50 Yrs	51-70 Yrs
Executive to Assistant Manager	30%	61%	9%
Managers & Above	7%	73%	20%

The Group is committed to providing an inclusive, non-discriminatory workplace which gives opportunities of continuing development to all employees as well as fair consideration to all applicants. We strongly believe in gender equality and equal opportunity, and is one of the first signatories to the United Nations Women's Empowerment Principles. While the ratio between male and female employees is skewed heavily towards male employees given the nature of our industry in Sri Lanka, there is no gender discrimination in the basic salary paid to men and women in each category. In addition, our Code of Conduct and Equal Opportunities outlines the standards of behaviour expected of all employees and cover areas such as anti-bribery, protection of customer privacy and equal opportunities. We denounce all forms of exploitation and child labour.

Our expertise in hotel management developed over the years has been a result of selecting, recognising and molding high performers and offering all our employees learning and development opportunities and mentoring, to help them become the best in the industry. Our people today are thus, our strongest asset. Our workforce is gender balanced and its diversity offers the opportunity of learning from one another and to effectively engage with our international guests. The gender and age diversity is reflected by the gender ratio and age analysis by employee grade as tabulated here.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Over the years, the Group has made steady progress in increasing female representation in management teams and in senior management positions. The success story below solidifies we at Aitken Spence Hotels nurture a culture that cherishes diversity.

EXEMPLIFYING THE SPENCE CULTURE OF DIVERSITY



Launched in March 2011 by WIM, the Professional & Career Women Awards' celebrates the achievements of remarkable women who inspire those around them either through media, through their achievements in their careers, businesses and everyday lives.



Ms. Stasshani Jayawardena, Director of Aitken Spence PLC and Chairperson of Aitken Spence Hotels was recently awarded the Hotel & Hospitality sector Gold award at the Top 50 Professional & Career Women Awards organised by the Women in Management (WIM) in partnership with IFS, a member of the World Bank Group.

STRENGTHENING LEARNING & DEVELOPMENT FOR SUSTAINED GROWTH:
The Aitken Spence Group's knowledge base and expertise in hotel management developed over the years has been a result of selecting, recognising and molding high performers and offering all our employees learning and development (L&D) opportunities and mentoring, to help become the best in the industry.

Continuing from 2016, the Training and Development Initiatives during the year were aimed at strengthening

and sustaining a culture of Learning with a focus on 'Brilliance in Basics'. Towards this end, the L&D team developed a road map for the future and established structures across the organisation. Together with Group HR, the L&D team established well defined career levels for employees across the Group, thus making the path of career progression for all employees. The five career levels included 'Staff', 'Supervisor', 'Mid Manager', 'Manager', and 'Business Leader'. Moreover, the HR team also developed a succession planning map for each of the Group's properties and made this information

available and accessible on the data base of the property thus creating transparency, smooth transitions and confidence amongst employees. The name of the individual who will succeed the incumbent employee is available and accessible for all on the property's data base enabling the grooming of the next individual for the job. A grading of 1 to 5 for each employee also indicates the ease or difficulty of replacement of an individual. A high score of 3 to 5 being identified as 'talent'.

As a key initial step in the process of group-wide L&D initiatives for the next

few years, the HR team focused on the identification of training needs - generic needs as well as property specific needs, by conducting one on one interviews with more than 500 employees. Following the completion of the Training Needs Analysis the Group developed its L&D strategy, with the objective of developing seven key areas. Namely, Customer Service, Spoken English, Product Knowledge, Brand, Systems, Selling and Leadership. The projects implemented to achieve these seven objectives included the following:

- SpenceStart (The Group Induction Program)
- AASK (Aitken Spence Attitude Skills Knowledge) Trainer programs
- V Learning
- ATM (Area Training Manager) program
- Short Take process
- Customer Service program
- Basic Beverage project
- Reservation program
- Bi Annual examination
- Grooming/Knowledge audits
- Technical curriculum development- Head of Department (HOD) workshop

The V Learning (Video Learning) is a first-in-class in-house implementation that identifies important training content and develops in house training videos for the respective subject matter. The Group sourced 24 PC's specifically for this purpose, branded them as V Learning machines and established 9 V learning Centers. The first V Learning video (Titled "100 English Phrases to be used in a hotel: Part 01") was launched in April 2017. The Group will expand the V Learning programmes in the future with plans to launch one V Learning video per month. In addition to videos beneficial for the entire Group, the L&D team will also develop property specific



Adaaran Reputation Management Programme conducted at Adaaran Select Hudhuran Fushi - March 2018

videos. For instance, the "Explaining the Attractions" for Kandalama, "Ayurveda Must know" for the Heritance Ayurveda Maha Gedara and a Basic French phrases video for those properties that can utilize the French language.

The L&D team also revisited, refined and updated the SOP's (Standard Operating Procedures) manual for each resort to better suit today's customer and the hotel and also printed "Encyclopedias" as the main learning tool for Front Office and F&B.

The L&D programmes also included Action Boot Camps comprising tailor-made outbound training for employees at supervisor level and above with unique activities and team building. Each participant was also assessed to help the Company in succession planning and in guiding their career paths.

Aitken Spence Hotels provided staff with 11.05 hours of training per employee within the financial year under review.

Average Training Hours by Category

	2017/18	2016/17
Executive	5.99	12.47
Supervisor/Clerical	10.92	14.58
Staff	13.85	11.34

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

OCCUPATIONAL HEALTH & SAFETY:

The Health and Safety, of both our employees and guests, is high on our agenda of ongoing priorities. a key concern at all times, the hotels adhere to the Aitken Spence Occupational Health and Safety (OHS) standards, ensuring adherence by conducting regular audits and routine training sessions to refresh staff awareness levels. In keeping with Group policy, OHS Teams, made up of representatives from all departments and functions have been appointed at each property and they are charged with leading the OHS initiatives at hotels, empowered through regular training sessions conducted by internal and external experts.



Fire Safety Training Conducted at Heritance Ahungalla

Special attention is given to minimizing potential fire risks at our properties – fire drills and evacuation drills are conducted twice a year while clear signage and maps are made available for guests to enable evacuation in case of an emergency. Fire extinguishers which are made available at all key points of the properties, are subject to regular checks to ensure that they remain in working condition at all times. In addition, several properties conducted First Aid training using external resource persons during the year.

Heritance Ayurveda Maha Gedara continues to conduct regular meetings and briefings with local drivers and tour guides to encourage safe working practices and a high quality of service to guests. Since employees in the tourism industry are a group which is more vulnerable to certain life-threatening diseases such as HIV/AIDS, we ensure that awareness is created on prevention and risk control to our staff, their families and the wider community.

48 workplace related accidents have been reported this year, while a collective 181 work days were lost due to work related accidents and illnesses.

ENHANCING EMPLOYEE ACCOMMODATION:

In keeping with our vision “...to deliver better value to the many stakeholders we serve” ... the Heritance Negombo opened in 2016 with the best in class employee accommodation and thus, raised the bar for the entire industry. With dual objectives of retaining and attracting more talent as well as increasing the female workforce in the industry the Group will continue this win-win strategy of upgrading employee accommodation at all its properties over the next few years. The upgrading of accommodation at Heritance Kandalama is already under way whilst the Group will begin the upgrade of staff accommodation at Heritance Tea Factory and refurbishments in other hotels in the future.

As articulated previously, the leisure industry in particular is challenged by a dearth of skilled labour and escalating wage costs amidst a rising demand. The upgrading of accommodation facilities we hope would also encourage talent that has left Sri Lanka's hospitality industry for perceived greener pastures overseas to return to an enhanced work environment whilst retaining and attracting new local talent.

Despite the industry-wide challenge of low retention rates, we are proud that the Group, whilst being known as a hotbed for talent development, is also recognized as an employer that espouses lifetime employment, a rare and unique attribute in today's world where loyalty is scarce. It continues to be a key competitive advantage for the Group in the industry. The loyalty factor at Aitken Spence Hotels also means that the values of our brand become intrinsic to our people enabling the Group to sustain its brand equity of service excellence and thus its position of leadership in the industry. Further details on this is discussed at the Intellectual Capital section of this report.

BEST PRACTICES

Human Rights at the Workplace
As a signatory to the United Nations Global Compact (UNGC), we have made a commitment to protect human rights at the workplace. Accordingly, the Company's policies, practices and procedures were assessed vis-a-vis the Human Rights Protection Matrix of the UNGC and the Business Leaders Initiative on Human Rights. A network of support givers for human rights at the workplace has been appointed across all SBU's by our Holding Company and

a Peer Forum was launched among the Human Rights Support Givers to enable increased awareness of human rights at the workplace. The support givers work with the human resource partners of the sector to ensure human rights at the workplace are protected.

Our efforts were further recognized at Adaaran Select Hudhuran Fushi by the Travelife Champions Award for second runner up: 'Looking after employees and protecting human rights'.

Regulatory Compliance

The Group's regulatory Compliance with regard to labour includes compliance with regulations of the jurisdictions it operates in. The Group also ratifies the core conventions of the International Labour Organization (ILO) with respect to employment of persons, including in areas such as freedom of association, forced labour, discrimination and child labour.

The Group at Head Office and all its properties also follow a policy of equal employment opportunity irrespective of gender, race or religion. Aware that the gender gap is more prevalent in the tourism industry than others in the services sector, the Group is making conscious and strategic efforts to improve the gender balance and make the industry more appealing to females. The Commitment to Equal Opportunity includes the point of recruitment decision making, advertising to the management of employees and their career paths. Compliance also includes a stringent commitment to ensure that no persons below the legal minimum age are offered employment across the Group.

The Group has not faced any regulatory or court imposed fines, settlements or awards related to violations in product safety.

EMPLOYEE RELATIONSHIP MANAGEMENT

Since its inception, employee engagement to facilitate dialogue, knowledge sharing and strong relationships for a cohesive team has been a priority at Aitken Spence Group. The Group facilitates both formal as well as informal channels of engagement.

GRIEVANCE HANDLING MECHANISM

Whistle Blowing Process

Aitken Spence Hotels has a whistle blowing policy in place which allows and encourages employees to share any grievances, complaints or feedback via a confidential private email address monitored by an independent third party. Whilst every employee who initiates or supports such a matter are assured of confidentiality, such issues are communicated to the highest governing body and appropriate action is initiated thereafter.

Performance Appraisal

All employees are evaluated in Performance Appraisals in a three-step process of Goal Planning, Mid-year Review and Annual Goal Evaluation. These evaluations facilitated by the online Human Resources Information System (HRIS) include the analysis of work, workload, responsibilities, accountabilities and expectations as well as grievances. This performance appraisal a two-way process which allows feedback from the employee in all stages.

Open Door Policy

Aitken Spence Hotels has given numerous chances and opportunities to employees to voice out their concerns to top management and as a company with a friendly work culture, we do maintain an open-door policy for employees. The top management of Aitken Spence Hotel Holdings PLC conducts frequent visits to our hotels and therefore can address any innovative idea or grievance of employees on an importance basis. If necessary, employees are able to email the Managing Directors with any grievances or feedback.

Employee Satisfaction Surveys

Employee satisfaction surveys are conducted frequently to identify and assess employee viewpoints regarding a multitude of diverse areas. The views thus obtained are communicated to the senior management and decision makers in which employees can also convey their suggestions and /or grievance that are strategically important for both employer and employee.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Informal mechanisms include the corporate newsletter, intranet, corporate website, company blog, social media platforms, whilst the formal mechanisms include the staff meetings held on a frequent basis which encourages dialogue and sharing of ideas with their superiors and colleagues. At level of each hotel, the foundation for collective long-term relationships is the Group's code of ethics which is based on trust, shared values, mutual respect and open dialogue. The code stipulates that the management at each hotel must take on the responsibility for sustaining and enhancing employee relations. The management is also expected to enforce Group principles, policies and standards through regular engagement with employees. Close to 50% of the total workforce across our hotels are covered by collective bargaining discussions, whilst all grievances are managed by each hotel and only serious unresolved grievances are escalated to Group level. The diagram above depicts the Grievance Handling Mechanism of the Group. Any significant changes in work conditions are implemented after a minimum of four weeks' notice period.

Competitions are an innovative and effective means to engage, reinvigorate, urge employees to stretch their potential and to be recognized rewarded. A learning programme conducted by Mr. Ravi De Silva and Quiz contest on environmental sustainability was one such interaction of fun and learning held at Heritance Ahungalla and Heritance Kandalama. Similar Quiz competitions in the 'Who Wants to Be a Millionaire' format was conducted at Heritance Negombo and Turyaa Kalutara.

The Group at its Adaaran properties in the Maldives held 10 competitions during the year. Prior to the competitions, each resort also holds training programmes to enhance the skills of their staff, thus providing them an opportunity for an interactive competition based training.

Highlights of the Competitions during the year included the following:

- Adaaran Dhivehi Rahathah Challenge – an inter resort culinary competition with aim of educating associates with the knowledge and skill of preparing local Maldivian cuisine which is fast disappearing from the Maldives.
- Adaaran Bed Making & Decoration Competition
- Beverage Champions – Mocktail/High Tea/Cocktail/Coffee
- Tell Your Story (Guest Interpretation)
- Table Top Decoration Competition
- Spence Star Competition - Inter hotel quiz

AWARD WINNING TEAM MEMBERS IN 2017:

Aitken Spence Hotels' star chef, Dimuthu Kumarasinghe, was recognised at the Tourism Leaders' Summit and International Research Symposium 2017 for his contribution to the Development and Promotion of Sri Lankan Gastronomic Tourism by being presented the only "Excellence in Industry Leadership" award at the ceremony.



Chef Dimuthu winning the "Excellence in Industry Leadership" award at Tourism Leaders' Summit and International Research Symposium 2017



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

SOCIAL & RELATIONSHIP CAPITAL

Aitken Spence Hotels' Group's Social and Relationship Capital primarily comprises the guests at its properties, suppliers and the communities in the localities of its resort properties. The relationships we build with our stakeholders is an integral aspect of how we operate and more so in our industry which also depends on the culture and nature of a destination. Thus, the relationships we have developed over time enhance our ability to sustain long term value and a competitive advantage. In return, the Group gives priority to its commitment to create sustainable value for these stakeholders. Please refer the stakeholder engagement and inclusion table below.

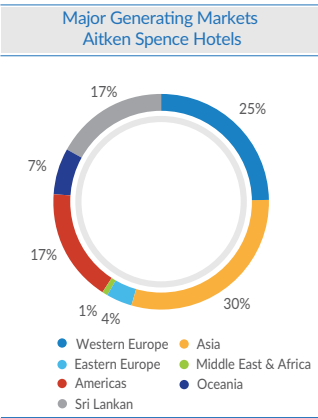
Stakeholder Engagement and Inclusion		
Stakeholder Group	Our value proposition in the relationship	How we aim to deliver on our promise
Employees	Provide a working environment that is conducive to personal and professional growth of our employees.	For more details on the action taken to achieve this objective, refer to the Human Capital section on Pages 128 to 134.
Investors & Shareholders, Banks and Financial Institutions	Work towards the long-term viability, profitability and integrity of the businesses we are in and ensure sustainable financial returns and dividends from well managed operations.	For more details on action taken to achieve this objective, refer to the Financial Capital section on pages 110 to 117 and Key strategic imperatives on Pages 107 to 108.
Industry Partnerships and Associations	Lead the movement for economic, social and environmental sustainability, build trusted relationships, and collaborate for inclusive growth and sustainable development in the industries we operate in.	For more details on the action taken to achieve this objective, refer to the Intellectual Capital section on Pages 146 to 149.
Customers	Provide reliable, high quality, sustainable products and services to the customers	For more details on the action taken to achieve this objective, refer to the 'Guests' section on pages 137-138.
Suppliers/Service Providers	Build trusted, long standing relationships with our suppliers and service providers by working with them to inculcate social and environmental governance within the supply chain.	We will discuss how we work with our suppliers in 'Suppliers' section on pages 139 to 140.
Community	Cascade value to our communities through investment in job security, extending opportunities for inclusive economic growth, enhanced social sustainability and promoting environmental protection.	The group engages in diverse activities to create sustainable value to our community members.
Government & Regulatory Authorities	Work towards the long-term viability, profitability and integrity of the business we are in and contribute towards the achievement of the Sustainable Development Goals.	For more details on the action taken to achieve this objective, refer to the Compliance section on pages 124/133 as well as the GRI Index on pages 328 to 333.
Environment/ Environmental Interest Groups	Lead the movement for environmental sustainability, enrich biodiversity and engage in industry collaboration to create new movements for sustainability.	For more details on the action taken to achieve this objective, refer to the Natural Capital section on pages 118 to 127.



GUESTS

Being in the hospitality sector, the customers of our business are the 'Guests' who spend time at our properties, where the value we create is determined by a composition of factors, such as how we interact with them, to the quality of the food and beverage we can offer to the allure of the property and attractions, and the convenience of the location of the properties amongst many others. Guest satisfaction and exceeding their expectations is thus an essential factor in ensuring the sustainability and growth of this vital capital to create value for all our stakeholders. The continuous enhancement of our guest offering is hence a key strategic priority for your Group.

The Aitken Spence Hotel guests make up a diverse profile across the globe as depicted in the chart below:



GUEST SURVEYS AND THEIR RESULTS

The Global Review Index™ is the key leading metric available exclusively to ReviewPro clients, which is used by thousands of hotels worldwide as a benchmark for reputation management efforts.

This index is calculated by an algorithm that generates a numerical score from 0 to 100 and is based on review data collected from 175 online travel

agencies (OTAs) and review sites in more than 45 languages. It can be calculated for a given point in time (day, week, month, year, etc).

The algorithm takes into account many different aspects to try and give you the most objective picture of a resort's online reputation, for example it will give higher weightage to your most recent reviews and a lower weightage to the older ones.

Tabulated below are the Global Review Index™ scores for each of the groups properties.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

The Global Review Index™ Course

	2017/18	2016/17	Change
Heritage Ahungalla	85.5%	91.9%	6.6%
Heritage Kandalama	89.8%	91.7%	1.9%
Heritage Tea Factory	88.4%	88.4%	-0.1%
Heritage Negombo	89.2%	90.8%	1.7%
Heritage Ayurveda Maha Gedara	83.8%	85.1%	1.3%
Turyaa Kalutara	88.3%	92.4%	4.3%
Amethyst Resort	84.5%	83.9%	-0.4%
Adaaran Club Rannalhi	86.1%	89.8%	3.7%
Adaaran Prestige Vadoo	89.9%	91.9%	1.7%
Adaaran Select Hudhuran Fushi	84.3%	89.5%	5.3%
Adaaran Select Meedhupparu	88.2%	89.1%	0.7%
Turyaa Chennai	86.5%	86.2%	-0.6%
Al Falaj Hotel	77.3%	78.4%	1.0%

CONTINUING TO ENHANCE OUR VALUE PROPOSITION FOR GUESTS

The Group made a change in its portfolio with the divestiture of its property in Kandy (Hotel Hilltop), and the addition of a new property through a management contract to retain the portfolio of properties at the same number. The Group will continue to leverage its expertise to offer the Spence brand of service at the 'Earl's Regent' of which it took on the management in 2017.

We also continued to invest in updating and enhancing our product with the refurbishment of some of the properties during the year as detailed in the Manufactured Capital in this report.

ENHANCEMENTS TO THE GUEST EXPERIENCE

In resort properties in particular, F&B is a significant aspect of guest expectations and experience. The year under review saw the Group launch an ongoing initiative with the dual objectives of enhancing the quality and variety of its F&B offering on one hand whilst increasing the contribution from F&B to Group profitability. We have been able to increase the choices on offer and the allure of the products at several of our resorts. An innovative

approach to presentation and options with an eye on the appeal of the F&B as well as on the top line, has created a number of changes across properties during the year, most of which albeit small have yielded notable benefits. One such measure is the offer of localized versions of F&B where possible, rather than the offer based on a single cookie cutter model. For example, a High Tea at the Heritage Tea Factory which includes more local food types and varieties has made it unique and begun to appeal not just to in house guests but visitors from the town and neighbouring properties.

Amongst other improvements to the quality of F&B, the use of chilled meats vis a vis the frozen meets, thus providing guests a significantly higher quality meat product.

The Group is also in the process of revamping its loyalty programme during the coming financial year with a view of better managing and enhancing the relationship with our guests. The revamped programme will include all properties in the Group's portfolio.

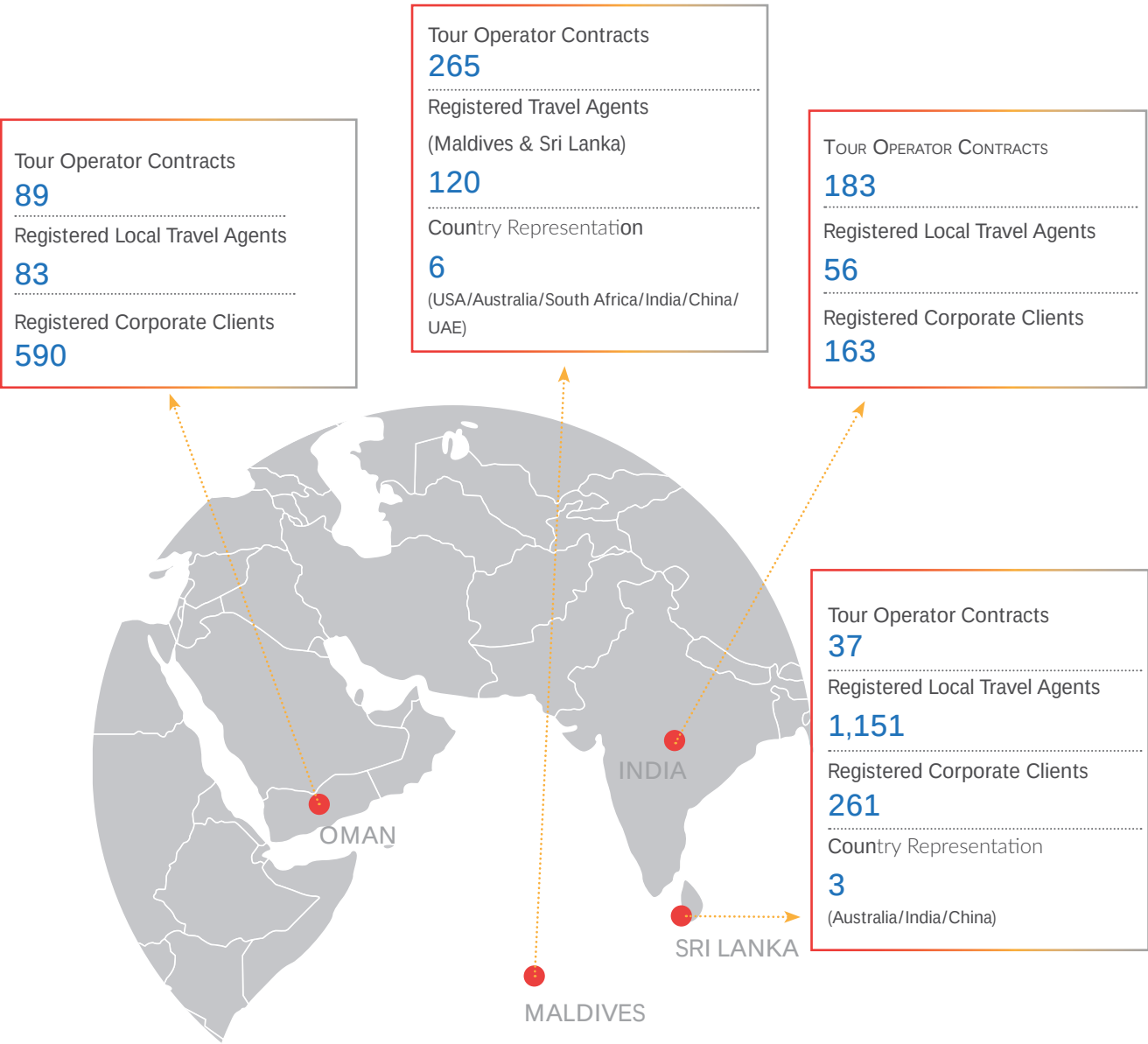
ALIGNING OURSELVES WITH THE GUEST PROFILE OF THE FUTURE

The World Tourism Organization (WTO) estimates that a Single Female Traveler will constitute a higher percentage of tourists in the next few years. The Group has thus initiated several steps for its offering to better cater to this changing profile. As a first step, it has increased the number of female therapists at Heritage Ayurveda Maha Gedara.

SUSTAINING AND ENHANCING A CULTURE OF SERVICE EXCELLENCE:

Reflecting the Group's commitment to service excellence, the HR training included initiatives under the theme of 'Brilliance in Basics' by hotel staff which would strengthen the platform for service excellence, and these are discussed at length in the Human Capital section of this report.

THE MANY RELATIONSHIPS WE HAVE BUILT



Aitken Spence Hotels directly liaises with 10 key global online tour operators (OTA). Since our systems are compatible with online distribution database, it connects over hundreds of online travel agents allowing them to access our inventory.

SUPPLIERS
Suppliers are a key stakeholder group who enable our value creation process. Aitken Spence, as an enterprise that values a Triple Bottom Line model, is always mindful of the broader role it can play in the nation's economy and looks to its supply chain as another avenue to stimulate economic activity. A key element of our efforts to ensure maximum engagement with local communities is the purchase of goods

and services from them, whenever possible, to support livelihoods, whilst also enabling us to source fresh produce. Our properties also engage with suppliers to ensure continuous improvement of their products and that they meet our standards, and policies covering environment, human rights, prevention of forced or child labour.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

Some of the win-win ways in which we engage Suppliers for a Triple Bottom Line impact:

- Provide all supply chain partners an opportunity to introduce their products and services to our hotels. Blind testing is carried out with the participation of corporate heads to ensure transparency, fairness and highest quality levels.
- Reduce, reuse packaging guidelines given to supply chain partners in line with our 7R waste reduction policy.
- Inform supply chain partners regarding our energy conservation policies and methods at the time of delivering goods to the hotel.
- Invite supply chain partners for awareness sessions on environmental, health and safety, child protection and animal welfare policies.
- Carry out periodic inspections to ensure consistency and quality standards.
- Long term contracts and agreements are signed with key supply chain partners to ensure stability and commitment.
- Priority is given for environmentally friendly goods & services.

Percentage of Procurement Expenditure to Local Suppliers	
	%
Heritage Kandalama	36%
Heritage Ahungalla	33%
Heritage Tea Factory	27%
Heritage Ayurveda Maha Gedara	43%
Turyaa Kalutara	32%
Amethyst Resort	80%
Maldives	10%-13%

Our impact through supplier engagement also include the following:

- Over 500 farmers sell agricultural produce to us and over 200 families sell wood fuel for the bio mass plant.
- We have afforded a considerable number of craftsmen and women the opportunity to showcase their products.
- Villagers directly benefit from village tours conducted to educate tourists on local living practices.
- The Group supports infrastructure upliftment: provides electricity to over 700 families thereby changing life styles for hundreds of households and micro enterprises. The Group has also facilitated safe drinking water to over 600 families. The hotel properties themselves are a tremendous driver for numerous economic activities and have been the impetus for the creation of a number of businesses based primarily on easy access to transport.

In addition to the purchases from the local community, the Group source its supplies from local and foreign suppliers through its Central Purchasing & Merchandising division which is guided by standard operating procedures that covers all aspects of the sourcing process from supplier selection to receiving of supplies.

Our wide range of supplier categories include suppliers of agricultural produce, to furniture, table ware, crockery cutlery, IT hardware and software, to construction material, transportation solutions and excursions for guests and services such as interior design.

Supplier Engagement - Ensuring the highest standards

Aspect	Process followed
Transparency	Tender procedures, blind testing
Confidentiality	Secure supplier data base and price list
Determining one supplier over another	Based on price, quality, past performance and availability to meet our demand
Supplier concerns /discontent	Managed and handled on a case by case basis
Facilities to support suppliers	Inspections on quality checks, central warehouse in Colombo for delivery
Termination of suppliers	Decided by Management based on various factors such as quality, performance, ability to service etc.
Service Improvements	Long term contracts with fixed pricing, reduce and reuse packaging

The Group envisages to introduce a new procurement platform which will streamline the Group's sourcing initiatives at the Corporate Purchasing and Merchandising Division. The new platform will enable the Group to perform a number of tasks including Supplier identification, request for proposals, submission of proposals, evaluation, contracting and supplier management for products through the platform thus enabling the Group to have clear visibility of the sourcing process in real time, shorten contracting life cycles and have the ability to make better supplier related decisions based on more accurate analytics.

COMMUNITIES:
Being integrated into the diverse and evolving local communities and engaging with all its stakeholders in win-win partnerships to enhance value creation for all, is a key priority which is intrinsic to the Group's business strategies.

Our ability to be commercially viable sustains the economic sustainability of over 3,100 associates who are employed by our hotels and the Group gives priority to the recruitment of associates from the localities of their properties. The definition of 'local' for our operations in Sri Lanka is the immediate vicinity of 20 to 30 km distance. Many such associates who are recruited from the local community progress to senior levels of management (note: senior in this context is referred to as above Assistant Manager category which is a senior decision-making position at our hotels). whilst many more local communities who are indirectly linked to our operations also benefit from the economic value we create. Reciprocally, the Group's ability to create value to remain commercially valuable and to sustain that value for the long term depends on the communities we operate in.

These Communities also help us create value through the intangibles such as shared values, reputation, local knowledge and skills. The relationships we maintain with our stakeholders on many occasions converts to value for our communities, when our partners, associates etc., choose to channel funds for community development projects through our Hotels due to the Company's transparency and reliability and the trust they have placed in us. In addition, the Group also engages in a win-win partnership by giving priority to sourcing of its key supplies such as vegetables and crafts from the surrounding communities.

Managers from Local Community	
	%
Heritage Kandalama	27%
Heritage Ahungalla	27%
Heritage Tea Factory	45%
Heritage Ayurveda Maha Gedara	50%
Heritage Negombo	13%
Turyaa Kalutara	50%
Amethyst Resort	40%
Maldives	25%
Oman	18%

A WIN-WIN INITIATIVE WITH THE BIGGEST LOCAL MANAGEMENT TRAINING PROGRAM - ADAARAN KURIMAGU

A classic win-win social sustainability initiative during the year was a Management Development Programme for young Maldivians, conducted by the Group's Adaaran resorts. The

12-month programme conducted as a social responsibility initiative providing training and an opportunity for young Maldivians to groom themselves. It had the participation of 8 individuals across the atolls. At the end of the programme, these individuals were recruited to our Adaaran properties. During the period of the training programme, the participants were exposed to different aspects of the hospitality industry and challenges that they will have to face when exposed to the industry. In addition to gaining firsthand experience in various departments of a hotel, the participants were also able to have knowledge sharing sessions with the Chief Operating Officer and the Executive Management team of Adaaran.



At the conclusion of the "Adaaran Kurimagu Management Development Programme -2017"

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

KINDNESS TO OUR FOUR-LEGGED FRIENDS THROUGH A DOG SPAY PROGRAM

Aitken Spence Hotels in Sri Lanka with KACPAW (Kandy Association for Community Protection through Animal Welfare) carried out programs of sterilization, vaccination including tending to other veterinary problems found amongst the dogs that live around our properties.

In addition to the business integrated win-win engagement with our social capital, the Group also supports other social and environmental and philanthropic projects to give back to these communities. The projects are chosen based on the needs of the immediate communities, the value they can create and their sync with our Triple Bottom Line objectives.

Decisions to initiate community development projects by Aitken Spence Group are based on any one of the following factors:

- Benefit to immediate community or key stakeholders
- Positively affect relationships and enables engagement with community members license to operate
- Meets a regulatory requirement/ system requirement
- The potential to create positive Triple Bottom Line impacts to target audiences



In celebration of the 150th anniversary of the introduction of tea to Sri Lanka, Heritance Tea Factory replanting 365 tea plants at its premises.

Some of Standard CSR initiatives during the year under review are presented below.

- Offsetting Carbon through Tree Planting
- Installing Vehicle Recharging Stations
- Supporting Native Reforestation efforts
- Replacing Trees and Restoring Beehives
- Raising Awareness of Waste and Nutrition
- Driving Local Sustainability
- Setting up a Fertilization System
- Locally Sourcing Micro Herbs and Vegetables
- Engaging Communities through Gardens and create awareness on Hydroponics Farming
- Partnering with Schools on Garden Projects and educating them on Sustainable development

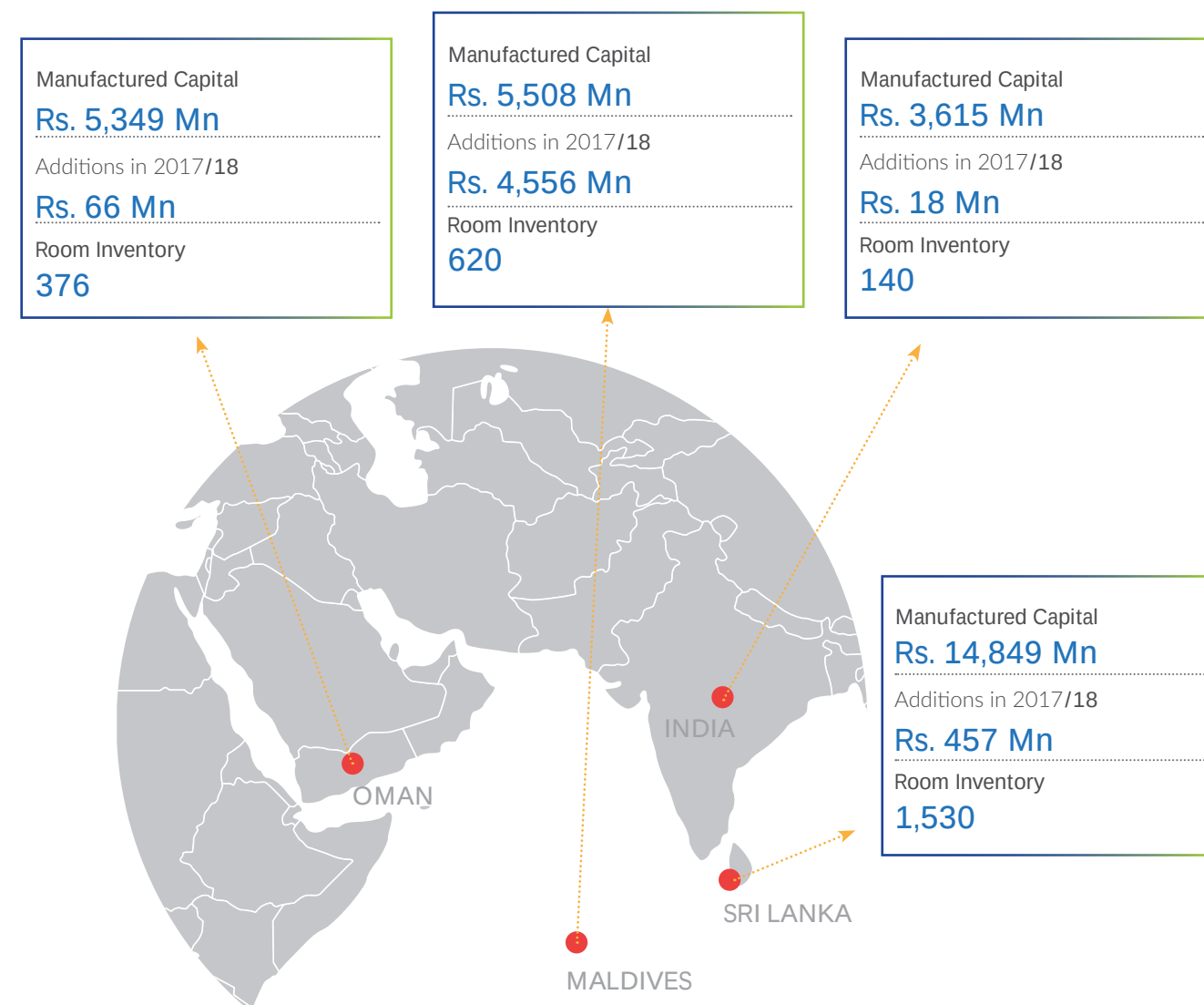


INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

MANUFACTURED CAPITAL

Aitken Spence Hotels is renowned for its architecturally unique and exquisite properties. These include the landmark construction of Heritance Kandalama in 1994 which saw ingenuity in the integration of the natural environment; and Heritance Tea Factory - a transformation of a tea factory building to an exquisite property that blends with the surroundings. These properties are a vital element of the Group's ability to create value for its stakeholders.

The total Manufactured Capital owned by the Group includes 8 properties in Sri Lanka, 5 properties in the Maldives islands, a property each in India and Oman.



Enhancements made to our Manufactured Capital in 2017/18:

Property	Location	Value in Rs. Mn	Nature
Hotel RIU Sri Lanka	Sri Lanka	106.74	Capacity Enhancement
Turyaa Kalutara	Sri Lanka	68.4	Product Enhancement
Adaaran Select Meedhupparu	Maldives	4,156.61	Capacity Enhancement
Adaaran Club Rannalhi	Maldives	171.11	Product Enhancement

Ongoing Projects/upgrades:

1. Construction of "Heritance Aarah"
2. Raafushi Island Hotel Project
3. Ladies Accommodation of Heritance Kandalama

Planned Upgrades/Refurbishments:

1. Refurbishment of Heritance Tea Factory
2. Refurbishment of Heritance Kandalama
3. Refurbishment of Heritance Ahungalla

ROOM INVENTORY

	2016/17	2017/18		2018 & Beyond
	Total Rooms	Owned	Managed	Total Rooms Under Development
Sri Lanka	1,543	1,122	408	1,530
Maldives	617	620	-	620
India	140	140	-	140
Oman	376	150	226	376
Total	2,676	2,032	634	2,666

Proposed additions to Room Inventory in 2018/19

Destination	Property Name	Rooms	Status
Maldives	Heritance Aarah	160	Island was acquired in 2014 and design work completed during 2015. Construction is ongoing, and the property will become operational in Winter 2018
	Raa Fushi in Noonu Atoll	250	Planning/design work is on-going
		410	

The Group over the years, has continued to follow a strategy of expansion, becoming the first Sri Lankan company to venture overseas into the Maldives in the early 90's. More recently the continuation of this strategy saw the Company capitalize on its strong fundamentals to acquire two properties in India in 2015 and in Oman in 2016; thus, making a transition from an exclusively management model to an investment strategy at these two destinations. The Group also continued to expand in Sri Lanka with the launch of Heritance Negombo and Hotel RIU Sri Lanka.

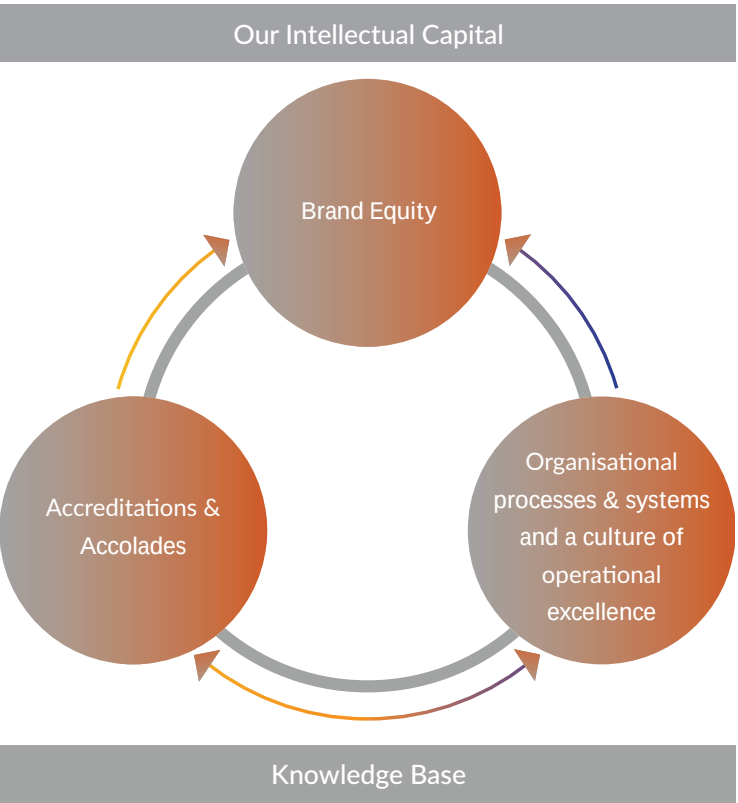
With these developments, the Company currently owns/manages over 2,600 rooms across four countries and plans to increase its overall room inventory to over 3,000 rooms in the coming years. Projects under development and the proposed addition to room inventory is tabulated below.

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

INTELLECTUAL CAPITAL

Value creation and intellectual capital are inter-dependent; although varying in significance across different businesses. Being in the Services sector and as a leader in Sri Lanka's tourism industry, Aitken Spence Hotel Holdings PLC. has identified three key intangible attributes built on the knowledge base of the Group, that plays a significant function in developing the Intellectual Capital in its value creation process, as illustrated and discussed below.

The diagram below depicts the win-win impacts of the cornerstones of our intangible capital; that of brand equity, our knowledge base, processes and accreditations; and in turn, the reciprocal value addition between processes and systems and those accreditations on the Group's processes and brand reputation.



BRAND EQUITY
The Aitken Spence Group, with a brand heritage that spans over 150 years, and as one of Sri Lanka's oldest and largest blue chip conglomerates today enjoys a unique brand reputation of trust, stability strength and a commitment to excellence.

Your Group, as a subsidiary of Aitken Spence PLC. in turn thus enjoys the respect and trust that brand Aitken Spence commands. Aitken Spence Hotel Holdings PLC. which has been in the hotel sector for over 4 decades is also synonymous with attributes of service excellence, trust and expertise in Sri Lanka's tourist industry. Moreover, Aitken Spence Hotels is also reputed for being a trail blazer an essence of its brand equity; which saw it pioneer Sri Lanka's entry into the hospitality sector overseas, widening horizons to create and enhance value to all stakeholders. Our trail blazing has also been about the ingenuity and creativity of the concepts of some of the Group's properties such as Heritance Kandalama and Heritance Tea Factory, among others.



The Aitken Spence pioneering spirit has also been about giving leadership to integrating social and environmental sustainability in the hotel industry, which today has come to be a key part of the Group's brand identity and hence, a competitive advantage in the global market place for the more socially and environmentally conscious traveller. The Aitken Spence spirit is also about social consciousness, a consciousness that extends from fulfilling every need of our clientele to perceptively reaching out to our employees, the societies around us and the environment as well as advocating sustainable tourism. The accreditations, awards and information in the Natural Capital review of this report illustrate these aspects further.

The Intellectual Capital of the Group is a key factor in the management model it adopts in creating value for properties which are owned by others. It leverages the experience and expertise of our talent and the brand equity of Aitken Spence Hotels. As the Group intends to expand its portfolio of managed properties by entering into management contracts both locally and overseas, its Intellectual Capital will play a more significant role in the Group's strategic path over the next few years.

In addition to the Company's brand identity we also consider the brands which constitute our product portfolio to be valuable intangible capitals which are currently, or are being positioned for the future, to play a vital role in our value creation process. They have been carefully conceptualized, crafted and designed to differentiate the Aitken Spence offering in a competitive market. These brands are hence, effective channels of market segmentation and

strategic positioning which enhance market share and thus the value we create. These include the 'Heritance' and the 'Adaaran' brands in Sri Lanka and the Maldives respectively. 'Heritance' - derived from the successful culmination of 'Heritage' and 'Inheritance' has locality and culture at the core of its offerings. The Heritance hotels is an ode to what has been passed on from one generation to another (the environs, the culture, the ingrained values) and is passionate about presenting it to future generations in a manner in which they can appreciate what is local.

The name Adaaran is derived from two Dhivehi phrases 'Adaa' and 'Ran' which translates to 'golden service' thus articulating the brand ethos which we deliver through our service.

'Turyaa' derived from the Sanskrit word for melodies created by musical instruments, caters to the changing lifestyles of the global travelers- flexible, responsive and value driven this brand of hotels reflects the contemporary and the vibrant.

KNOWLEDGE BASE
With a winning combination of both academic qualifications in the field of hospitality and industrial expertise in the local and global arena, one of the Group's key intangible assets is its tacit and explicit knowledge base. Aitken Spence Hotels' Management Team comprises industry experts who have an inborn passion and talent for hospitality management. The intellectual capital of Aitken Spence Hotels builds upon the knowledge base of its employees.

Despite the drawbacks, employees who have been with us for years as depicted in the below table own a sound knowledge base of the company's culture, and its business. They identify what works within the organisation, and can also pass on their knowledge to our new recruits while providing additional support during the training process. This has the benefit of decreasing the time it takes for a new recruit to become familiar with the business and achieve peak performance and productivity.

	5-10 Years	11-15 Years	16-20 Years	21-25 Years	Above 25 Years
Heritance Kandalama	122	62	29	34	0
Heritance Ahungalla	53	32	20	21	24
Turyaa Kalutara	47	15	21	0	1
Heritance Ayurveda Maha Gedara	59	14	5	3	6
Heritance Tea Factory	22	13	8	4	0
Heritance Negombo	7	0	0	0	0

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

ORGANISATIONAL PROCESSES AND SYSTEMS

One of the key factors of the Group's model of value creation in the Hotel sector has been its processes with regard to customer service, delivery, customer engagement and social and environmental sustainability, which over the years the Company has fine-tuned to be a key differentiator and an intangible capital for sustained growth. A position of industry leadership that the Group enjoys since its venture into the hotel sector more than 4 decades ago, has been sustained by the rigour of the Group's processes and its systems.

The organizational management model depicted below illustrates a shared services model which has been in practice since inception; and over time become established as a key intangible asset in the Group's efficacy in delivering value. This organizational system optimizes costs as well as efficiency and quality of management by harnessing the best of a hybrid between a centralized and a decentralized model.

Sales & Marketing and Central Purchasing are among the centralized services provided by the Group's corporate office to individual resorts which enables the Group to benefit from economies of scale in purchasing and facilitates cooperation rather than competition among the Group properties in a competitive market place. Furthermore, this allows for the Group to derive benefits of synergy and develop marketing strategies that will be beneficial to the Group as a combined entity. The Centralised Corporate Communications support the brand identity by ensuring uniformity of brand communique. At the same time, the decentralized management of hotel operational activities and support services enable the properties to develop more effective, customized solutions for property specific concerns. The model also includes regular formalised interaction between executives of properties and hence

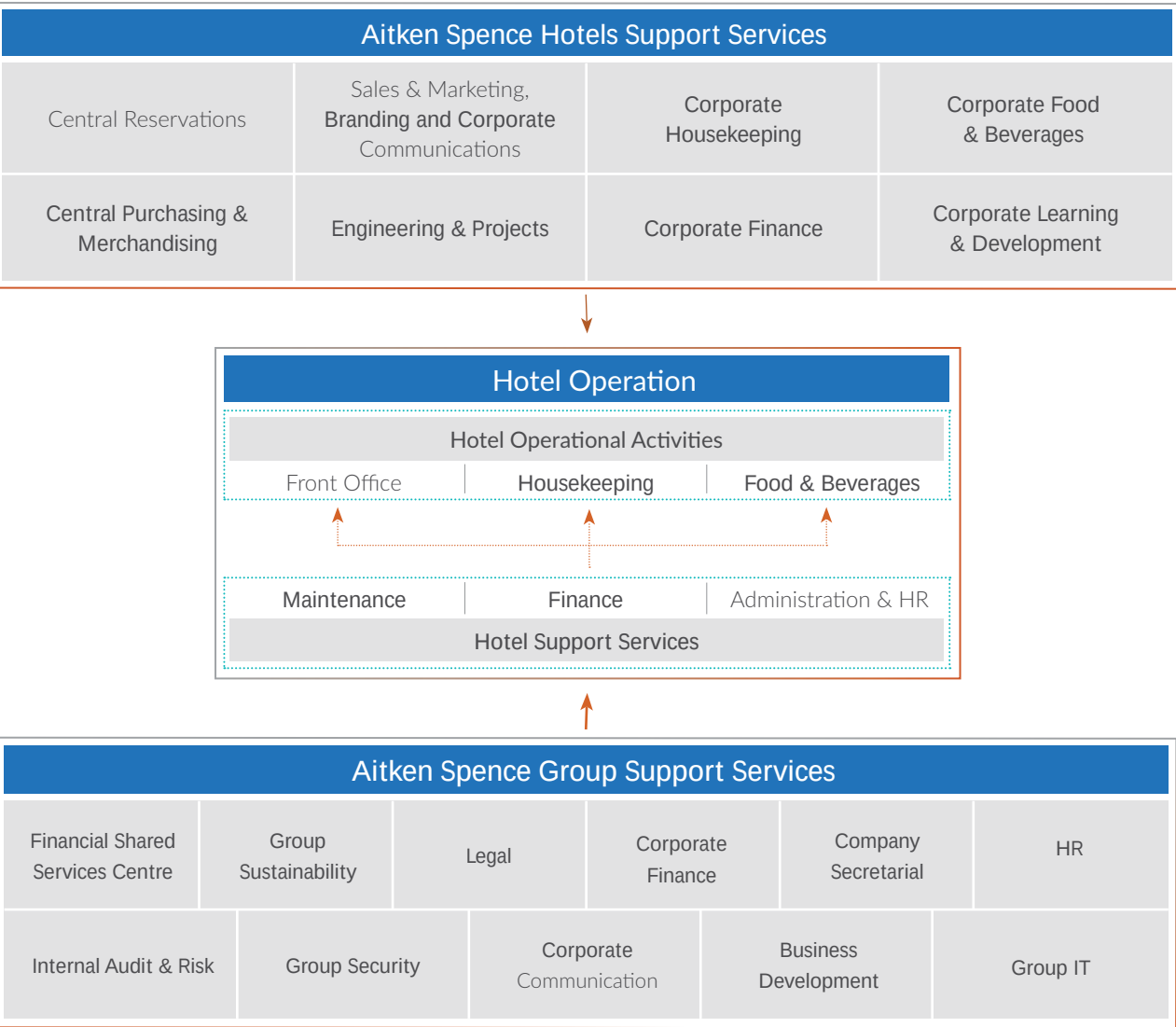


Aitken Spence corporate support services plays a pivotal role, in enabling synergies to grow

sharing of knowledge, ideas and best practices between the many properties located across the country.

In addition to the management model, the Group also ensures that its best practices, knowledge and operating procedures with regard to every aspect of a property are documented and integrated into the system, thus ensuring continuity which is not people dependent. Whether it be greening our footprints or supporting local communities the properties continue the pursuant of the objectives supported by the accredited standards.

Operating in an ever-changing environment where time and efficiency is vital, Aitken Spence Hotel services and Corporate Services provides critical support in facilitating the growth agenda outlined for all our hotels as follows.



INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

ACCOLADES AND ACCREDITATIONS

The accolades that the Group has been recognized with and the accreditations it has achieved and continue to seek, bear testimony to the Group's commitment to quality and excellence, sustainable tourism, the strength of our knowledge base and the quality of our systems and processes. These are key elements that drive appeal of our properties to the more savvy and conscious global traveler.

These accreditations go hand in glove with the rigour of our processes, for they endorse the commitment to excellence on the one hand whilst also prompting us continuously to improve our systems and processes.

Certifications

	ISO 14001:2004	ISO 22000:2005	ISO 50001:2011	Travelife	LEED	Other*
Heritage Ahungalla	✓	✓	✓	✓		
Heritage Ayurveda Maha Gedara			✓	✓		
Heritage Tea Factory	✓	✓	✓	✓		✓
Heritage Kandalama	✓	✓	✓	✓	✓	
Heritage Negombo				Planned 2018/2019	✓	
Turyaa Kalutara	✓	✓				
Adaaran Club Rannalhi		✓		✓		✓
Adaaran Prestige Vadoo		✓		✓		✓
Adaaran Select Meedhupparu		✓		✓		✓
Adaaran Select Hudhuran Fushi		✓		✓		✓

* Organic Produce/ Dive Centre

AWARDS & RECOGNITIONS

It is most heartening that our efforts and the facets of our properties continued to be recognized by external awards and accolades during the year spurring us on in our commitment to excellence.

- Winner in the Leisure & Connected Services Category at the ACCA Sri Lanka Sustainability Reporting Awards 2017
- Joint Silver Award Winner in the hospitality sector category at the Institute of Chartered Accountants of Sri Lanka Annual Report Awards 2017
- Second Runner Up in the service sector category at the SAFA Best Presented Annual Report Awards 2017 organised by the South Asian Federation of Accountants
- Heritage Ayurveda Maha Gedara was the winner of the Bronze award and Heritage Ahungalla was awarded Merit at the Presidential (National) Green Awards, 2017 for their commitment to environment & society
- Heritage Ahungalla won “Best Regional Team” and Heritage Negombo won “Best Culinary Team” at the Culinary Awards 2017 organised by the Chef’s Guild of Sri Lanka
- Heritage Ahungalla was lauded with the coveted TUI Top Quality 2018 award from TUI Germany, the largest leisure, travel and tourism company in the world
- Turyaa Chennai was awarded as the “Best Five Star Deluxe Hotel” at the Tamil Nadu Tourism Awards
- Adaaran Select Hudhuran Fushi won Travelife Champions Award - 2nd runner up: “Looking after employees and protecting human rights”
- Adaaran Resorts won the “South Asia's Leading Marketed Hotel/

Resort Brand” and Adaaran Select Meedhupparu won the “Leading CSR Program”/ “Leading Dive Resort” at the South Asian Travel Awards (SATA) 2017

- Adaaran Select Hudhuran Fushi recognized as “The Leading Surf Resort 2017” and Adaaran Select Meedhupparu as “Leading CSR Program”/ “Leading All Inclusive Resort” at Maldives Travel Awards 2017 organized by the Maldives Association of Travel Agents and Tour Operators (MATATO)
- Adaaran Resorts was placed amongst the Gold 100 Companies by Corporate Maldives

MEMBERSHIPS IN ASSOCIATIONS

- Sri Lanka Tourism Development Authority
- Maldives Association of Tourism Industry
- The Pacific Asia Travel Association
- The Ceylon Chamber of Commerce
- The Hoteliers’ Association of Sri Lanka
- The Employers’ Federation of Ceylon
- The Field Ornithological Group of Sri Lanka

- The Environmental Management System Users and Promoters Association
- Business and Bio Diversity Platform - Heritage Kandalama
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management
- Exporters’ Association of Sri Lanka
- Lanka Fruit & Vegetables Producers, Processors & Exporters Association
- Responsible Tourism Partnership

COMMITMENTS TO EXTERNAL INITIATIVES & ENDORSEMENTS

- UN Global Compact
- UNWTO Global Code of Ethics for Tourism
- The Women’s Empowerment Principles
- Global Reporting Initiative (GRI) Sustainability Reporting Standard
- Integrated Reporting Framework by The International Integrated Reporting Council (IIRC)
- Travelife



Aitken Spence Hotels, Winner in the Leisure & Connected Services Category at the ACCA Sri Lanka Sustainability Reporting Awards 2017

INTEGRATED MANAGEMENT DISCUSSION & ANALYSIS

OUTLOOK

We expect Sri Lanka's tourism industry to return to a high double-digit growth in the year ahead, well supported by a high economic growth trajectory. However, your Group has repeatedly articulated the importance and the urgent need for a national level initiative of a cohesive and integrated destination marketing campaign which befits the country's unique product offering, to be shown across key markets which possess high potential. We remain hopeful and are encouraged by signs of such a campaign seeing the light of day and being launched this year. It is also vital that such a campaign does not become a one-off effort but is sustained over a long period.

The Maldives, despite internal political strife and a state of emergency during the year in review achieved commendable growth, with the impacts offset by a peak in arrivals during the month of December. Although the year ahead could also see further political strife amidst impending presidential elections and perhaps a blip in arrivals, we are most optimistic on the prospects for Maldives as a destination in the next few years ahead, given the unparalleled allure of its product offering of sun, sea and sand. Moreover, the country's ongoing infrastructure development such as the construction of the second runway at the Male airport and a bridge between the airport and the Male island will augment the nature endowed Unique Selling Point (USP) of this destination. Arrivals to the atolls at present stand at a mere 1.2 Mn for the year, indicating the still vastly untapped potential it has. Your Group as the largest operator in terms of room capacity and the equity of its Adaaran brand is well positioned to meet the expected growth in arrivals over the next few years. Moreover, the year ahead will also see the Group take the Maldives the Heritance brand,

its premium brand in Sri Lanka. These factors point to stronger contribution to Group profitability from our Maldivian properties.

Towards our strategic imperative to expand our presence and harness the brand equity, the Group will look to expand the managed portfolio as well as make capital investments into new properties overseas as well as in Sri Lanka.

Despite the current economic downturn faced by Oman, your Group remains buoyant on the prospects in that destination. The upward movement in oil prices that has commenced augurs well for the Oman economy to resume a growth path in the year ahead.

Your Group, with its geographically diversified and distinct portfolio of properties is well poised to meet challenges and sustain as well as expand value creation into the future in an intensely competitive industry. And being a member of a Group which includes one of Sri Lanka's largest tour operators, augments this platform to sustain industry leadership into the future.





No two guest experiences
are ever the same...

Our dazzling properties are located on beaches,
mountains, jungles and deserts...



Governance

A strong Corporate Governance framework that is appropriate to the Group's size, nature, complexity and the risk profile enables Aitken Spence Hotel Holdings PLC to manage the diverse businesses under its portfolio.

CORPORATE GOVERNANCE

CHAIRMAN'S INTRODUCTION

DEAR STAKEHOLDER

I am pleased to have the opportunity once again to introduce the Group's Corporate Governance report. This section of the Annual Report sets out the rules, practices and processes that directs and controls your Company and the Group.

A strong Corporate Governance framework that is appropriate to the Group's size, nature, complexity and the risk profile enables Aitken Spence Hotel Holdings PLC to manage the diverse businesses under its portfolio to balance the needs of each company, stakeholders, regulators and the market. This framework supports the prudent management of the Group's activities to preserve its reputation and ensure the fair and equitable value creation for shareholders, investors, business partners and other stakeholders.

The Group's Corporate Governance framework is based on five key principles.

LEADERSHIP

The Board is the ultimate authority responsible to shareholders and other stakeholders for the long-term sustainable delivery of the Group's strategy, activities and financial performance; including the efficient use of resources and maintaining social, environmental and ethical standards. Further, the Board recognizes its responsibility to present a fair, balanced and understandable assessment of the Group's position and prospects and assess the principal risks affecting its operations, and to ensure that effective systems of risk management and internal control are in place to protect and enhance the shareholder value by ensuring sustainable, long term growth.

The pages that follow offer comprehensive coverage regarding the quality and effectiveness of Aitken Spence Hotel Holdings PLC's leadership.

CULTURE AND ETHICS

The Board stresses the importance of promoting a healthy workplace environment, which includes ethics and compliance through established policies based on the values of integrity, leadership and innovation. The correct tone is set from the top with the Directors leading by example to ensure that good standards of behaviour permeate throughout all levels of the Company.

Good Governance practices are enshrined in the Group's Code of Conduct and are cascaded down through policies and procedures that must be followed by Directors, managers and employees in their day-to-day, legal, administrative and operational activities. The Group has a formal anti-bribery

and corruption policy that does not tolerate or condone corruption or bribery in any of the business dealings. This policy continues to be strictly implemented throughout the Group and is supported by employee training and regular compliance reviews.

RISK MANAGEMENT AND INTERNAL CONTROL

Risk Management and Internal Control are critical components of the Corporate Governance Framework of the Group. The Board is responsible for determining the nature and the extent of principal risks the Group is willing to take in achieving strategic objectives. In individual SBUs of the Group the strategic and operational risk management unit of that company focuses on various risks that could affect its customer experience, operational agility, cost competitiveness and stakeholder confidence. This is done through a robust risk assessment methodology that analyses not only what each company does, but also how it is done, thereby ensuring sustainable economic viability of operations in line with the Group's overall strategic direction.

The internal control systems are designed to provide the Board with reasonable assurance as to the efficiency and the effectiveness of the Group's operations and to ensure the quality of internal and external reporting is maintained while complying with applicable laws and regulations. As part of its internal control mechanism, there is a whistle-blowing policy in place to encourage employees to report in good faith any genuine suspicions of fraud, bribery or malpractice to identify any problems within the Group at an early stage. The policy has been designed to ensure that any employee who raises a genuine concern is protected.

ACCOUNTABILITY

In seeking to remain accountable to stakeholders, the Board strives to disclose the Group's performance (financial and non-financial) accurately, consistently and transparently, and in compliance with all applicable regulations as well as through the voluntary adoption of globally accepted best practices for transparent reporting.

SHAREHOLDER COMMUNICATION

The Board recognizes and values the importance of maintaining healthy and open communications with our shareholders to ensure mutual understanding of the Group's strategy, objectives, governance and performance. The Annual General Meeting is considered a crucial time for interaction with shareholders and on behalf of the Board I urge all the shareholders to attend and actively participate in the proceedings of this years' Annual General Meeting to be held on 29th June 2018.

CONCLUSION

On behalf of the Board, I must reiterate that good corporate governance remains an essential part of running our business effectively, in order to meet the expectations of our shareholders and other stakeholders. Accordingly, we will strive to evolve our governance policies and processes in line with changes to local and international regulations as well as globally accepted good governance practices that may become relevant from time to time.

Compliance Statement

On behalf of the Aitken Spence Hotel Holdings PLC Board, I declare that the principles of good corporate governance are well applied across the Group and I am pleased to report that the Group has complied with all relevant provisions of the Code of Best Practice of Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka.



Deshamanya D.H.S. Jayawardena
Chairman

Colombo
28th May 2018

CORPORATE GOVERNANCE

“Corporate Governance is concerned with holding a balance between economic and social goals and between individual and common goals. The aim is to align as nearly as possible the interests of individuals, corporations and society” (Sir Adrian Cadbury in ‘Global Corporate Governance Forum’, World Bank, 2000).

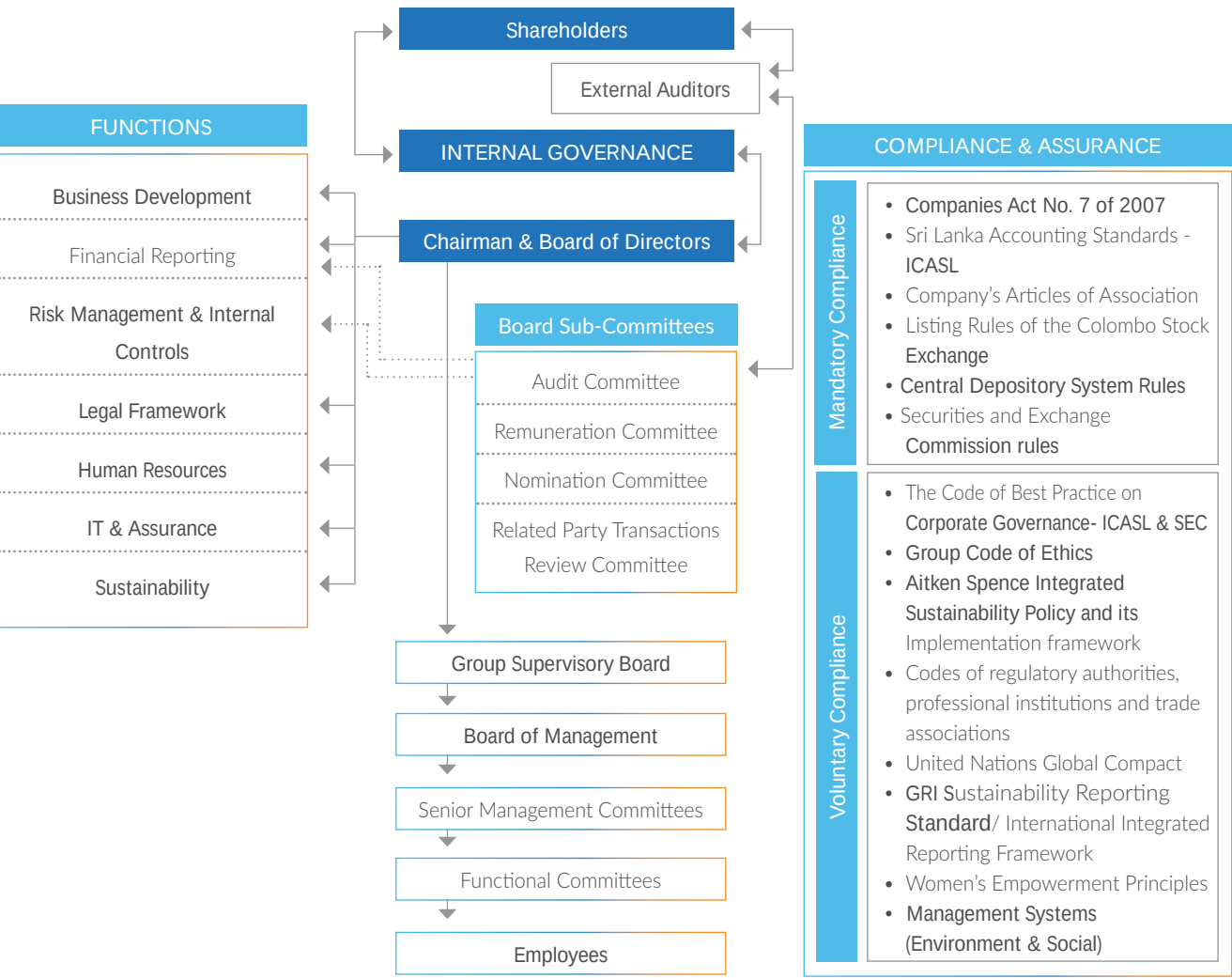
At Aitken Spence Hotel Holdings PLC, we strongly believe that a sound corporate governance structure ensures transparency leading to a strong and balanced growth by formulating, communicating and adopting the highest standards of policies and practices and thereafter controlling and monitoring all its activities within an established control system which will ultimately add value to all stakeholder groups of the Company and its subsidiaries.

Good governance is not just about compliance. It is a culture and an environment of consistency, responsibility, accountability, fairness, transparency, and effectiveness that is deployed throughout the organisation.

GOVERNANCE STRUCTURE

Corporate governance is meant to hold an organization accountable while helping it steer clear of financial, legal and ethical pitfalls.

Our formal governance structure provides and facilitates empowerment and a comprehensive policy framework. This policy framework goes beyond legal requirements encompassing voluntary frameworks, international best practices and stakeholder engagement, ensuring high standards of ethics and professionalism. The Company operates within an integrated governance framework formulated after taking into consideration the mandatory compliance of the Listing Rules of the Colombo Stock



Exchange, voluntary compliance of The Code of Best Practice of Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka (ICASL) and the Securities and Exchange Commission of Sri Lanka (SEC) and the codes of relevant professional institutions which are outlined in the diagram above and set out in the report that follows.

SHAREHOLDER ENGAGEMENT

In view of our commitment towards maintaining effective two-way communication with all investors, the Board conducts regular discussions with Institutional Investors based on mutual understanding of objectives, particularly those relating to governance and strategy.

The principal communication methods used to reach out to existing and potential individual investors are the Company website, financial statements published every quarter, corporate disclosures, annual report and the Annual General Meeting at which investors are encouraged to be present, actively participate and vote. The Annual General Meeting provides an opportunity for shareholders to make any relevant comments or observations, seek clarifications and cast their vote on relevant issues. Shareholders are free to informally meet with our Directors after the conclusion of the meeting.

At the end of the financial year 2017/18, Aitken Spence Hotel Holdings PLC had 3,411 shareholders (3,391 at financial year end 2016/17). 99.31% of the total share capital was owned by National Institutions and Individual Investors whereas 0.69% was held by Non-National Institutions and Individual Investors.

Aitken Spence PLC is the largest shareholder, holding 71.21% of the share capital. The twenty largest shareholders accounted for 91.74% of the share capital in the Company. More information on Aitken Spence Hotel Holdings PLC shareholders can be found on pages 314 to 318.

ANNUAL GENERAL MEETING

Annual General Meeting (AGM) is the supreme decision-making body of Aitken Spence Hotel Holdings PLC which is a mandatory yearly gathering of its shareholders. All shareholders registered in the shareholders' register are given due notice of the AGM so that they may attend the meeting and vote for their total shareholdings. Aitken Spence Hotel Holdings PLC encourages all shareholders to attend the AGM and shareholders who cannot participate personally may be represented by proxy holders. All the shareholders have a right to exercise their voting to deal with matters such as consideration of financial statements, adoption of the proposed distribution of profits, election of Board members and appointment of auditors.

Aitken Spence Hotel Holdings PLC held its 40th AGM on 30th June 2017 at the Auditorium of the Institute of Chartered Accountants of Sri Lanka and 87.39% of the shares were represented.

Decisions taken at the AGM 2017 are as follows; Receive and Consider the Annual Report of the Board of Directors on the affairs of the Company and the financial statements for the year ended 31st March 2017 and the report of the Auditors thereon.

Approval of a final ordinary dividend of 25 cents per share as recommended by the Directors for the year ended 31st March 2017.

Appointment of Messrs. KPMG, Chartered Accountants, as the Auditor of the Company for the financial year 2017/18 and authorisation of the Directors to approve their remuneration.

Authorisation of the Board of Directors to determine contribution to charity for the financial year 2017/18.

Re-election of Ms. D.S.T. Jayawardena as a Director to the Board of the Company pursuant to her retirement in terms of Article 83 of the Articles of Association of the Company.

Re-appointment of Deshamanya D.H.S. Jayawardena, to the Board of the Company by passing the following resolution:

“the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who has attained the age of 74 years and that he be re-appointed a Director of the Company.”

Re-appointment of Mr. J.M.S. Brito to the Board of the Company by passing the following resolution:

“the age limit stipulated in section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J. M. S. Brito who has attained the age of 70 years on 21st August 2016 and that he be re-appointed a Director of the Company”

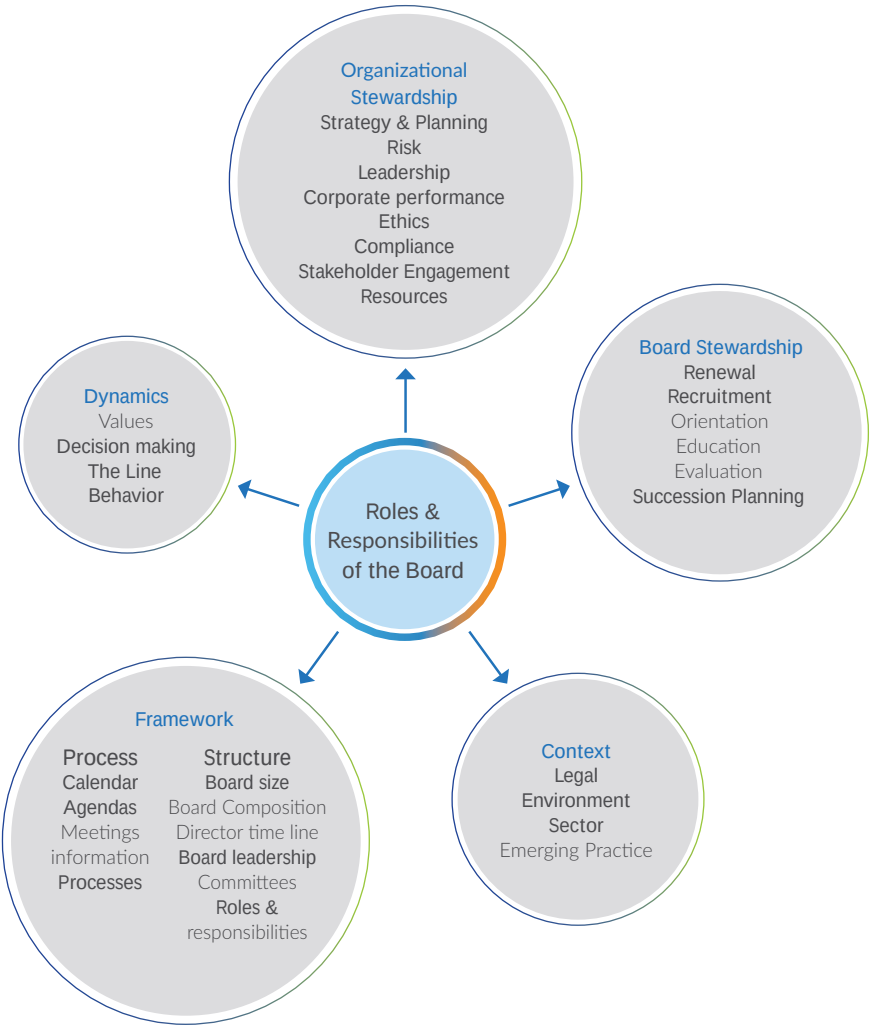
Re-appointment of Mr. R N Asirwatham to the Board of the Company by passing the following resolution:

“the age limit stipulated in section 210 of the Company Act No. 7 of 2007 shall not apply to Mr. R N Asirwatham who has attained the age of 74 years and that he be re-appointed a Director of the Company”.

CORPORATE GOVERNANCE

BOARD OF DIRECTORS

The Board of Directors comprises of eight Directors including the Chairman and the Managing Director as at the end of the financial year 2017/18. The Board has four Directors who are Non-Executive Directors of whom two are Independent. The Company believes that the present composition of the Board, which has at its disposal, a vast reservoir of knowledge and experience in all areas of the Company's operations such as Hoteliering, Marketing, Finance, Legal, Commerce and Entrepreneurship enables optimum efficiency and effectiveness. The names and the profiles of the Directors are given on pages 20 to 23 of this Annual Report. Mr. G P J Goonewardena retired from the directorate on 30th June 2017 and was appointed to the Board as a Non-Executive Director w.e.f. 30th March 2018.



BOARD SUB COMMITTEES

Board sub committees include Nomination Committee, Audit Committee, Remuneration Committee and Related Party Transactions Review Committee.

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore, the Board Sub Committees of Aitken Spence PLC act as the Board Sub Committees of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Sub Committees.

More information on the Audit Committee, Remuneration Committee, Nomination Committee and Related Party Transactions Review Committee can be found on pages 180 to 186 of this Annual Report respectively.

EXTERNAL AUDITOR

An external auditor is a qualified independent external party whose objective is to determine whether the financial statements of an organization represents a true and fair view of its financial performance, position and cash flow status. The audit firm Messrs. KPMG, Chartered Accountants, was re-appointed at the AGM 2017 as external auditors of Aitken Spence Hotel Holdings PLC for the financial year 2017/18.

INTERNAL AUDIT AND ASSURANCE

The Internal Audit division is responsible to provide an independent assurance service to the Board of Directors, Audit Committee and Management of Aitken Spence Hotel Holdings PLC by reviewing the effectiveness of the corporate governance, risk management and control processes that the management has put in place. The Board of Directors is responsible to ensure that Aitken Spence Hotel Holdings PLC has adequate internal control systems in place for financial reporting. Read more on pages 194 to 195.

CORPORATE MANAGEMENT TEAM

The Corporate Management Team consists of twelve members with a vast reservoir of knowledge and experience in all areas of the Company's operations such as Hoteliering, Engineering, Marketing, Finance, Legal, Commerce and Entrepreneurship and enables optimum efficiency and effectiveness. The Corporate Management Team is responsible for implementation and carrying out strategic development plans made at Board level. It works as the steering committee through which overall Company goals are communicated to sub divisions. The names and the profiles of the members of the Corporate Management Team are given on pages 24 to 27 of this Annual Report.

STATEMENT OF COMPLIANCE

The disclosures below reflect conformance to the Code of Best Practice on Corporate Governance which consist of seven (7) fundamental principles, which are as follows;

- A. Directors
- B. Directors' Remuneration
- C. Relations with Shareholders
- D. Accountability and Audit
- E. Institutional Investors
- F. Other Investors
- G. Sustainability Reporting

The structures in place, the conformance to the requirement and expectations are tabulated below under the said seven fundamental principles.

CORPORATE GOVERNANCE

SECTION 1 of the Code deals with the Company and it mainly covers the governance aspects with regard to Company Directors, their Remuneration, Relations with Shareholders and Accountability and Audit. (See pages 162 to 176)

SECTION 2 of the Code deals with the Shareholders and discusses how a good corporate citizen discharges its responsibilities towards both Institutional Investors and Other Investors. (See pages 176 to 177)

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
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SECTION 1. COMPANY

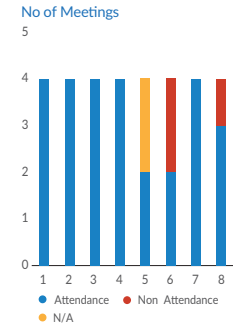
A. DIRECTORS

A.1 / Listing Rule 7.10.1(a), 7.10.2(a) and 7.10.3(c-d) - The Board

The Board of Directors comprise of Eight Directors including the Chairman and the Managing Director. The Board has four Directors who are Non-Executive Directors of whom, two are Independent Non-Executive Directors. The names and the profiles of the Directors are given on pages 20 to 23 of this Annual Report.

Board Meetings and Provision of regular and structured information to the Board	A.1.1	Complied	Board convened four times during the financial year presided over by the Chairman.
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Attendance at Board Meetings



- 1. Deshamanya D H S Jayawardena
- 2. Mr. J M S Brito
- 3. Ms. D S T Jayawardena
- 4. Mr. C M S Jayawickrama
- 5. Mr. G P J Goonewardena
- 6. Mr. N J de Silva Deva Aditya
- 7. Mr. R N Asirwatham
- 8. Mr. C H Gomez

Apart from taking decisions at the Board meetings, the Board also takes decisions by way of Circular Resolutions. The Directors are provided with the Agenda and Board papers at least seven days prior to each meeting giving them adequate time to study the contents. The Board meetings are arranged in advance and all Directors are informed of the meetings. When decisions are taken by way of circular resolutions, all relevant information are sent together with the circular resolution to enable the Directors to clearly comprehend the purpose for which a resolution is being circulated prior to obtaining their consent.

Attendance at these meetings is indicated in the table on page 179 and graphically depicted above.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
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General matters discussed at Board Meetings include, the Managing Director's Report/ concerns, up-to date financial accounts and respective operational updates and where applicable reports from the Nomination Committee, Audit Committee, Remuneration Committee and the Related Party Transactions Review Committee.

Responsibilities of the Board	A.1.2	Complied	The Board of Directors is responsible for:
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- a. The formulation and implementation of business strategies with regard to short, medium and long-term goals and objectives of the Company and its subsidiaries after taking into consideration the Group's strength, competencies and risks while giving independent opinions on issues of strategy, performance, key appointments, standards of business conduct and all other relevant matters which are considered by the Board. The Board is also responsible for implementing and monitoring such strategies.
- b. Reviewing and ratifying systems in operation relating to risk management, internal control, codes of conduct and strict compliance with the laws, statutes and regulations.

In this process, compliance with all applicable laws and regulations both national and international and adherence to the Company's ethical standards and corporate values are of utmost importance in order to ensure that the interests of all stakeholders are taken into consideration in the corporate decision-making process.

- c. Reviewing and approving of operational and financial budgets and monitoring actual performance of the individual Strategic Business Units against budget and the approving of quarterly (unaudited) and audited financial statements.
- d. Reviewing, approving and monitoring all capital expenditure, acquisitions and divestitures recommended by the Corporate Management Team.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
			The Board is further responsible for; - Ensuring the formulation and implementation of a sound business strategy; - Ensuring that the Chief Executive Officer (CEO) and management team possess the skills, experience and knowledge to implement the strategy; - Ensuring that those in leadership positions, including the Board of Management and the Senior Management Committees have the capacity to execute the Group strategies, Approving budgets and major capital expenditure. - Establishing effective systems to secure integrity of information, internal controls, business continuity and risk management; Ensuring compliance of the Groups' statutory and regulatory obligations and safeguarding the Group's reputation by promoting high standards of honesty, integrity and ethical business practices at all levels of the business, - Taking all stakeholder interests into consideration in corporate decisions; Recognizing sustainable business development in Corporate Strategy, decisions and activities and consider the need for adopting "integrated reporting". Set the Company's values and standards with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations; - Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans and related risks
Compliance with laws and access to independent professional advice	A.1.3	Complied	In discharging its duties, the Board seeks independent professional advice from external parties when necessary at the Company's expense to ensure that the Company complies with the applicable laws and regulations of the country, regulations of authorities, professional institutes and trade associations as applicable to the Group.

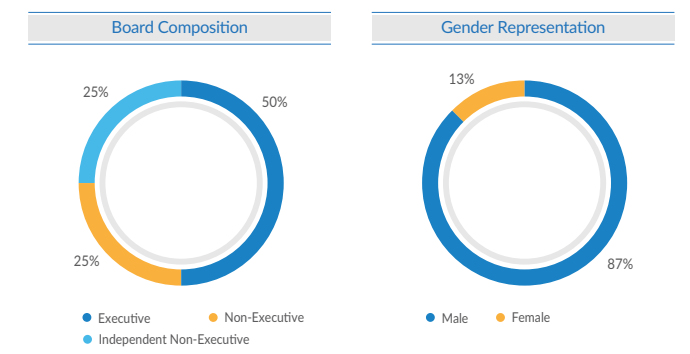
Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Access to advice from the Company Secretary and duties of the Company Secretary and indemnifying the Board, Directors and key management personnel	A.1.4	Complied	The Company Secretaries advise the Board on matters relating to the Companies Act No. 07 of 2007, the Listing Rules of the Colombo Stock Exchange and other applicable rules and regulations and ensures that appropriate, timely and accurate information is submitted to the Board and its sub-committees. The Company Secretaries play the role of a facilitator ensuring that a healthy relationship is maintained between Directors, Auditors and Board sub-committee members to strengthen accountability and investor confidence. Directors of Aitken Spence Hotel Holdings PLC and the Group are indemnified by the Company.
Independent judgment of the Directors	A.1.5	Complied	Each Director exercises independent judgment in all matters considered by the Board and acts free from any undue influence and bias from other parties. Matters considered include making decisions on issues relating to strategy, implementation of such strategies, financial and operational review, resource allocation, risk management and standards of conduct and business ethics. Two of our Board Members Deshamanya D.H.S. Jayawardena and Miss D.S.T. Jayawardena are related to each other. However, they act in the best interest of the Group in their spirit, intention, purpose and attitude in their decision making.
Dedicating adequate time and effort	A.1.6	Complied	The Board of Directors devotes adequate time to fulfil their duties as Directors of the Company. The Board has delegated the day to day operations of the Company to the Corporate Management Team, which is comprised of the Managing Director, the Executive Directors and a specialist team of Senior Managers of the Company. This enables the Board to fulfill its duties effectively and efficiently. Further, Board papers are received by the Directors well ahead of Board Meetings enabling the Directors to review the papers and obtain clarifications prior to the meetings.
Call for Resolutions	A.1.7	Complied	One third of the directors could request for a resolution to be presented to the Board for the best interest of the Company.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Training of Directors	A.1.8	Complied	On appointment, Directors receive a Letter of Appointment outlining the terms of appointment, duties and responsibilities and expected time commitments. Additionally, both Executive and Non-Executive Directors are taken through a tailored formal induction programme as soon as practicable and coordinated by the Deputy Chairman and Managing Director of the Group. Directors are briefed on changes in laws and regulations, tax laws and accounting standards from time to time either during Board meetings or at specially convened sessions. Directors are further encouraged to participate in workshops and/or seminars in their capacity as speakers, moderators or panellists in their respective areas of proficiency.
A.2. Chairman and the Chief Executive Officer			
There is a clear distinction of responsibilities between the Chairman and the Managing Director who is our Chief Executive Officer. The functions performed by the Chairman and the Managing Director are distinct and separate, which ensures the balance of power and authority within the Company, so that no person has unfettered powers of decision making. The Chairman controls and preserves order at Board Meetings and provides the Board with strategic direction and guidance. The Managing Director is responsible for the performance of the day to day operation of the Company with the support of the Corporate Management Team .			
Decision to combine the posts of Chairman and CEO	A.2.1	Not Applicable	The roles of the Chairman and the Managing Director are distinct and separate, which ensures a balance of power within the Company, so that no individual has unfettered powers of decision making.
A.3 Chairman's Role			
The Chairman of the Company who is one of the most successful and experienced business leader in the country is responsible for guiding the Board in formulating the appropriate business strategies and giving direction to the Group. He is responsible for preserving good corporate governance in the Company.			
Effective conduct of Board proceedings by the Chairman	A.3.1	Complied	The Chairman provides leadership to the Board whilst facilitating the effective discharge of Board functions and business strategies. He is responsible for: - Ensuring that the Board adheres to procedures and the relevant statutes whilst being in complete control of the affairs of the Company, - Ensuring that the Group's its obligations to various stakeholders and regulatory bodies are met, - Encouraging effective participation by both Executive and Non-Executive Directors on matters taken up for consideration, - Ensuring that all Directors are adequately briefed on issues arising at Board Meetings and that they effectively contribute with their respective capabilities for the best benefit of the Company,

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
			e. Ensuring that shareholders are given adequate opportunity to make observations, express their views and seek clarifications at meetings of shareholders.
A.4 Financial Acumen			
Ensuring the availability of sufficient financial acumen within the Board	A.4	Complied	As apparent from the profiles of the Board, the Directors with their academic and/or entrepreneurial, financial skills and business acumen contribute substantial value and independent judgement to decision making on matters concerning financial investment.
A.5 Board Balance			
Presence of Non-Executive Directors	A.5.1 7.10.1 (a) 7.10.2(a) 7.10.3(a)	Complied	The Board comprises of the Chairman, Managing Director, two Executive Directors and four Non-Executive Directors of whom two are Independent Directors. The profiles of the Non-Executive Directors are provided on pages 22 to 23 of this Annual Report .
Independence of Non-Executive Directors	A.5.2, A.5.3 & A.5.5	Complied	The Board comprises of four Non-Executive Directors namely Mr. R. N. Asirwatham, Mr. N. J. De Silva Deva Aditya, Mr. C. H. Gomez and Mr. G. P. J. Goonewardena. Mr. R. N. Asirwatham and Mr. C. H. Gomez are Directors of the parent company in which a majority of the other Directors of the Company are Directors, and which has a significant shareholding in the Company. However, in view of the fact that they are Independent Non-Executive Directors of the parent company, their position as Directors of the parent company do not compromise their independence and objectivity in discharging their functions as Directors of the Company. Hence Mr. R. N. Asirwatham and Mr. C. H. Gomez are determined by the Board to be Independent Directors.

Board composition as well as Board's Gender composition are graphically depicted below:



CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Annual Declaration of independence by the Non-Executive Directors	A.5.4 <u>7.10.2(b)</u>	Complied	Each Non-Executive Director submits a signed declaration annually with regard to his independence / non-independence against the specific criteria.
Alternate Director to a Non-Executive Director	A.5.6	Not applicable	During the year under review, there were no appointments of alternate Directors.
Requirement to appoint a 'Senior Independent Director '	A.5.7 & A.5.8	Not applicable	This principle is not applicable to the Company as the roles of the Chairman and the Managing Director are distinct.
Chairman meeting with the Non-Executive Directors	A.5.9	Complied	The Chairman meets with the Non-Executive Directors as and when required.
Recording of concerns	A.5.10	Complied	Any concerns raised by the Directors which cannot be resolved unanimously are recorded in Board minutes.
A.6 Supply of Information			
Obligation of the Management to provide appropriate and timely information	A.6.1	Complied	The Group has a modern Management Information System in place. All the Board Members receive information regarding operations and performance of the Group on a monthly basis. In addition, the Company has a centralized accounting process which is monitored by the respective Group companies.
Management's obligation to provide appropriate and timely information	A.6.2	Complied	The Board is provided with timely and appropriate information by the management by way of board papers and proposals. The Board members have access to additional information at all times. The Board minutes, agenda and papers are circulated, at least seven days prior to each meeting giving adequate time for individual Directors to study same, thus enabling the active and effective participation of each Board member.
A.7 Appointments to the Board			
Nomination Committee and the assessment of composition of the Board	A.7.1 & A.7.2	Complied	The Nomination Committee which is a sub-committee of the Parent Company's Board consists of two Independent Non-Executive Directors, of the Parent Company in addition to the Chairman of the Company. The Nomination Committee Report is on page 184 of this Annual Report which includes names of the members of the Committee.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
			The functions of the Nomination Committee are to recommend to the Board of Directors the suitability of appointments and the re-appointments of Directors to the Company and to its Subsidiaries and to regularly review the structure, size, composition and competencies of the Board and make recommendations to the Board.
Disclosure of Appointment of a New Director	A.7.3 <u>7.10.3(d)</u>	Complied	Mr. G. P. J. Goonewardena was appointed as a Non-Executive Director of the Company during the year under review. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange with a brief resume of such a Director containing the nature of his expertise, other directorships held, memberships in Board Committees and the nature of the appointment.
A.8 Re Election			
Re-election of Directors including Chairman	A.8.1 & A.8.2	Complied	All Directors who are retiring by rotation in terms of the Articles of Association of the Company and over the age of seventy years in terms of the Companies Act No. 7 of 2007 , submit themselves for re-election/re-appointment by the shareholders of the Company at the Annual General Meeting to be held on 29th June 2018. The Nomination Committee has declared to the Board that the contributions made by the Directors offering themselves for re-election/ re-appointment at the forthcoming Annual General Meeting are effective and affirms the Company's continuous support of their re-election.
Resignation	A.8.3	Complied	In the event that a Director wishes to resign from his/ her position as a Director, he/she is expected to provide a written communication to the Board formally tabling his/her resignation along with reasons for such resignation.
A.9 Appraisal of Board performance			
Appraisals of the Board and the sub committees	A.9.1,A.9.2 , A.9.3 & A.9.4	Complied	The annual assessment of the performance of the Board, its Committees and the individual Directors is done on a self-appraisal basis within the terms of reference to its/their key responsibilities outlined on the Nomination Committee Report (see page 184). The self-appraisal provides an avenue to highlight areas for improvement and remedial action as well as evaluation of the progress of such areas identified. It also ensures that any gaps pertaining to investor relations and Board administration and processes are rectified.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
A.10 Disclosure of information in respect of Directors			
Profiles of the Board of Directors and other related information	A.10.1 7.10.3(c-d)	Complied	The names of the Directors of the Board and their profiles are disclosed on pages 20 to 23 of this report. Directors' interest in transactions are disclosed in Note 43 of this annual report. The number of Board meetings attended by the Directors is given on page 179 of this report. Executive, Non-Executive and independent composition of directors are given on page 190. Names of the Chairmen and the members of the Board Sub-Committees are provided in the respective reports and in the Corporate Information on page 334 of the annual report.
A.11 Appraisal of Chief Executive Officer			
Setting of the annual targets and the appraisal of the CEO/MD	A.11.1 & A.11.2	Complied	The performance evaluation of the Managing Director is carried out by the Chairman, in line with the financial and non-financial objectives set out in consultation with the Board at the commencement of every financial year.
B DIRECTORS REMUNERATION			
B.1 / 7.10.5 Remuneration Procedure			
Establishment of a remuneration committee and its composition	B.1.1, B.1.2 & B.1.3 7.10.5(a) 7.10.5(b)	Complied	The Board has delegated powers to the Remuneration Committee which is a sub-committee of the parent company's Board to formulate and review remuneration packages of Executive Directors and key management personnel according to their responsibilities and performance. The evaluation of performance is conducted bi-annually and at the end of the financial year. The Group Remuneration Committee consists of three Independent Non-Executive Directors of the parent company, one of whom functions as the Chairman of the Remuneration Committee. The names of the members of the Committee are listed on page 183 of this Annual Report.
Determination of the remuneration of the Non-Executive Directors	B.1.4 & B.2.10	Complied	The Board determines the fees and expenses payable to Non- Executive Directors as per the Articles of Association of the Company. Their fees and reimbursable expenses are paid in consideration of the basis of contribution and service performed at the Board and committee meetings. Refer the Report of the Remuneration Committee on page 183 of this Annual Report.
Consultation with the Chairman and the CEO	B.1.5	Complied	The Remuneration Committee consults the Chairman and the Managing Director regarding the remuneration proposals to Executive Directors and the Corporate Management Team. No Director is involved in determining his own remuneration.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
B.2 The Level and Make up of Remuneration			
The level and makeup of the Remuneration of Directors and comparison of remuneration with other companies	B.2.1, B.2.2, B.2.3 & B.2.4	Complied	The Remuneration Committee is responsible for evaluating the performance of the Managing Director, Executive Directors and the individual and collective performance of the Directors and the Senior Management. The Committee structures remuneration packages to attract, retain and motivate Directors and the senior management. The remuneration packages are based on cost of living, inflation rates, comparative industry norms and the contribution of the individual to the Group and the respective subsidiary to which such individual is attached in order for the long-term success of the Company.
Performance based Remuneration	B.2.5	Complied	The Remuneration Committee reviews the performance of the Executive Directors and senior management and the performance bonus is based upon the achievement of goals and targets by the individual and the respective subsidiary to which such an individual is attached.
Executive share options	B.2.6	Not applicable	As at date, the Company has no share option available to its Directors.
Designing schemes of performance based remuneration	B.2.7	Complied	Refer the Report of the Remuneration Committee on page 183 of this Annual Report
Early Termination of Directors	B.2.8 & B.2.9	Complied	The Remuneration Committee determines the remuneration of Directors in the event of early termination.
B.3 / 7.10.5 (c) Disclosure of Remuneration			
Disclosure of Remuneration	B.3.1 7.10.5(c)	Complied	The report of the Remuneration Committee is given on page 183 along with the names of the members of the Committee. Refer note 9 and 43.3 to the financial statements for the details of remuneration paid to Board of Directors and key management personnel.
C. RELATIONS WITH SHAREHOLDERS			
C.1 Constructive use of the Annual General Meeting and Conduct of General Meetings			
Dispatch of Notice of AGM and related papers to shareholders	C.1.1	Complied	The notice and the agenda for the Annual General Meeting together with the Annual Report of the Company are circulated to the shareholders within the stipulated time in accordance with the Articles of Association.
Separate resolution for substantially separate issues	C.1.2	Complied	Separate resolutions are proposed for all substantially separate issues to provide shareholders with the opportunity to deal with each significant matter separately. This mechanism promotes better stewardship while assuring transparency in all activities of the Company.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Accurate recording and counting valid proxy appointments received for general meetings	C.1.3	Complied	All proxy appointments received are duly recorded and counted in respect of each resolution, where a vote has been taken on a show of hands. In the event the appropriate number of shareholders give their intimation in writing and request for a poll, the procedure involved in voting would be circulated. In the absence of such intimation, all issues at the general meeting will be passed by a show of hands.
Availability of Chairmen of Board Committees at the Annual General Meeting	C.1.4	Complied	At the Annual General Meeting, the Chairmen of the respective Committees are present to answer queries of the shareholders directed to them by the Chairman of the Company
Summary of Notice of General Meeting s and procedures governing voting at General Meetings	C.1.5	Complied	In the event the appropriate number of shareholders give their intimation in writing and request for a poll, the procedures involved in voting would be circulated. In the absence of such intimation all issues at the General Meeting will be passed by show of hands.
C.2 Communication With Shareholders			
Effective communication with shareholders	C.2.1, C.2.2 & C.2.3	Complied	The Company encourages effective communication with the shareholders and answers queries and concerns of shareholders through the Company Secretaries, Registrars and/or Corporate communications team. Any matters relating to the shareholders are effectively and efficiently dealt by the Group Company Secretarial Division and the Registrars of the Company.
Contact person in relation to shareholders matters.	C.2.4 & C.2.6	Complied	Persons to contact in relation to shareholders is the Group Company Secretarial Division and/or the Registrars.
Process to make Directors aware of the issues and concerns of Shareholders and disclosing same and the process responding to shareholder matters	C.2.5 & C.2.7	Complied	The Company Secretaries maintain a record of all correspondence received and will deliver such correspondence to the Board or individual Director as applicable. The Board or individual Director, as applicable, will generate an appropriate response to all validly received shareholder correspondence and will direct the Company Secretaries to send the response to the particular shareholder.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
C.3 Major and Material Transaction			
Disclosures of major transactions	C.3.1 & 3.2	Complied	During the financial year, there were no major transactions, which materially altered the Company's net asset base or the consolidated Group's net asset base. In the unlikely event that the net assets of the Company fall below half of shareholders' funds, the shareholders of the Company would be notified, and an Extraordinary General Meeting would be called to propose the way forward in terms of the necessary statutory and regulatory requirements.
D. ACCOUNTABILITY AND AUDIT			
D.1 Financial and Business Reporting			
Board responsibility to present the financial statements	D.1.1 & D.1.2	Complied	The Board recognizes its responsibility to present a balanced and understandable assessment of the Group's financial position. The Board of Directors confirms that the financial statements of the Company and its subsidiaries have been prepared in accordance with the Companies Act No. 7 of 2007, the Sri Lanka Financial Reporting Standards/Sri Lanka Accounting Standards and the Listing Rules of the Colombo Stock Exchange. The Company has duly complied with all the relevant laws and reporting requirements of regulatory authorities. The consolidated financial statements and the financial statements of the Company were audited by Messrs. KPMG, Chartered Accountants.
Declaration made by the Chief Executive Officer and Chief Financial Officer in maintaining accurate financial records and in compliance with the appropriate accountant standards	D.1.3	Complied	The Statement of Financial Position on page 219 of this Annual Report contain a declaration by the Managing Director and the Assistant Vice President Finance.
Responsibility statement by the Directors and Auditors for the preparation and presentation of Financial Statements	D.1.4 & D.1.5	Complied	The Statement of the Directors' Responsibilities and Independent Auditors' Report are on pages 187 and 211 to 215 respectively of this Annual Report. The Board of Directors' Statement on Internal Controls is on pages 194 to 195 of this Annual Report.
Contents of the Management Discussion & Analysis	D.1.6	Complied	The Integrated Management Discussion and Analysis is given on pages 90 to 152.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Requirement for an Extraordinary General Meeting in a situation of serious loss of capital	D.1.7	Complied	In the unlikely event that the net assets of the Company fall below half of shareholders' funds, the shareholders of the Company would be notified and an Extraordinary General Meeting would be called to propose the way forward.
Disclosure of related party transactions	D.1.8	Complied	The Related Party Transactions Review Committee of the Parent Company functions as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC, in compliance with the Listing Rules of the Colombo Stock Exchange. The Directors disclose their interest in transactions in companies on an as and when basis. However, they make disclosures of their interest in transactions with the Company in compliance with the requirements of the Companies Act, Listing Rules of the Colombo Stock Exchange and other relevant statutory requirements. The Company maintains an interest register as stipulated in the Companies Act. All related party transactions as defined in Sri Lanka Accounting Standard -24 (LKAS 24) on "Related Party Transactions" is disclosed in note 43 to the Financial Statements on pages 300 to 306.
D.2 Risk Management & Internal Control			
Directors to maintain and review a sound system of Internal Controls	D.2.1	Complied	The Board is responsible for formulating and implementing appropriate systems of internal control for the Group and in turn assessing its effectiveness. The Group's internal audit division assists the Board of Directors and the Audit Committee in carrying out the above task. Any internal control system has its inherent limitations. The Board is aware of the inherent limitations and has taken appropriate steps to minimise same. The Directors' responsibility for maintaining a sound system of internal control is given in the Board of Directors' Statement on Internal Control on pages 194 to 195
Confirmation by the Directors on carrying out a robust assessment of the principal risks faced by the company	D.2.2	Complied	Refer the Board of Directors' Statement on Internal Control on pages 194 to 195 of this Annual Report.
Presence of an internal audit function	D.2.3	Complied	The Group has an internal audit division to assist in the maintenance of a sound system of internal control for purposes of protecting stakeholder investment and assets.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
Review the process and effectiveness of risk management and internal control by the Audit Committee	D.2.4	Complied	Refer Audit Committee Report on pages 180 to 182 of this Annual Report.
The Statement of Internal Controls	D.2.5	Complied	The Board of Directors' Statement on Internal Control is set out on pages 194 to 195 of this Annual Report
D.3 / 7.10.6 Audit Committee			
Composition of the Audit Committee	D.3.1 7.10.6(a)	Complied	Refer Audit Committee Report on pages 180 to 182 of this Annual Report.
Duties of the Committee	D.3.2 7.10.6(b)	Complied	Refer Audit Committee Report on pages 180 to 182 of this Annual Report.
Disclosures	D.3.3 7.10.6(c)	Complied	Refer Audit Committee Report on pages 180 to 182 of this Annual Report.
D.4 Related Party Transactions Review Committee			
Composition of Related Party Review Committee	D.4.1 & D.4.2	Complied	Refer the report of the Related Party Transactions Review Committee on pages 185 to 186 of this Annual Report.
Duties of the Committee	D.4.3	Complied	Refer the report of the Related Party Transactions Review Committee on pages 185 to 186 of this Annual Report.
D.5 Code of Business Conduct and Ethics			
Disclosure of the presence of code of business conduct and ethics for Directors and Key Management Personnel and declaration of compliance	D.5.1	Complied	The Aitken Spence Group has a Code of Ethics which includes the code of conduct and is circulated to Directors and all employees. The Board ensures that the Directors and the employees strictly adhere to the Code of Ethics of the Company in their duties so as not to adversely affect the brand of Aitken Spence in any manner. The violation of the code of ethics is an offence which is subject to disciplinary action.
Presence of a process to identify and report material and price sensitive information	D.5.2	Complied	The Company ensures that material and price sensitive information is promptly identified and reported in accordance with the requirements of the Listing Rules of the Colombo Stock Exchange.
Policy, process for monitoring and disclosure of share transactions made by related parties	D.5.3	Complied	Refer the report of the Related Party Transactions Review Committee on pages 185 to 186 of this Annual Report.
Chairman's affirmation that he is not aware of any violation of the provision of the code of business conduct and ethics	D.5.4	Complied	The Chairman affirms that there has not been any violation of any of the provisions of the Code of Ethics. Please refer The Board of Directors' Statement on Internal Controls on pages 194 to 195 of this report.

CORPORATE GOVERNANCE

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
D.6 Corporate Governance Disclosures			
Disclosures of Corporate Governance	D.6.1	Complied	The Company aims to achieve greater year-on-year growth and value creation, improve stakeholder satisfaction and relationships in all its business activities whilst adhering to highest standards of Corporate Governance as is evident in this report from pages 156 to 179.
SECTION 2. SHAREHOLDERS			
E. INSTITUTIONAL INVESTORS			
E.1 Shareholder voting			
Regular and structured dialogue with shareholders	E.1.1	Complied	The Company conducts regular discussions with Institutional Investors. Existing and prospective investors are given a balanced report that enables them to make well-informed decisions in their dealings with the Company. Shareholders are provided an opportunity to comment, discuss and seek clarifications on any relevant issues with the Chairman and the Board of Directors at the Annual General Meeting. Further, shareholders are free to informally meet with the Directors at the conclusion of general meetings.
E.2 Evaluation of Governance Disclosures			
Institutional investors should be encouraged to give due weight to all relevant factors when evaluating the Company's governance arrangements	E. 2	Complied	The Institutional Investors are encouraged to give due weight on matters relating to the Board structure and composition of the Board structure. The Annual Report gives the shareholders sufficient information on such related matters which allows them to evaluate same.
F. OTHER INVESTORS			
F.1 Investing and Divesting Decision			
Encouraging shareholders to carry out adequate analysis and seek independent advice	F.1	Complied	The Company has no restriction with regards to investors carrying out adequate analysis and obtaining independent advice regarding their investment in the Company and encourages any shareholder to do so.
F.2 Shareholder Voting			
Encouraging shareholders to participate in general meetings	F.2	Complied	All shareholders are encouraged to be present, actively participate and vote at general meetings. The Annual General Meeting provides an opportunity for shareholders to seek and obtain clarifications and information on the performance of the Company and to meet with the Directors informally after the meeting.

Corporate Governance Principle	Reference to SEC & ICASL Code, CSE Listing Rules	Compliance	Details of Compliance
G. INTERNET OF THINGS AND CYBERSECURITY			
Process to identify how the external IT devices could connect to the organization's network	G.1	Complied	Refer Risk Management on pages 196 to 207 of this Annual Report.
Appointment of a Chief Information Security Officer (CISO)	G.2	Complied	The functions of the CISO is carried out by the Group's IT Division.
Allocation of adequate time on the board meeting agenda for discussions on cyber risk management	G.3	Complied	Refer Risk Management on pages 196 to 207 of this Annual Report.
Independent periodic review of the effectiveness on the cybersecurity risk management and the scope and the frequency of the review	G.4	Complied	Refer Risk Management on pages 196 to 207 of this Annual Report
Cybersecurity process	G.5	Complied	Refer Risk Management on pages 196 to 207 of this Annual Report
H. ENVIRONMENT, SOCIETY AND GOVERNANCE (ESG)			
H.1 ESG Reporting			
Reporting of ESG factors	H.1.1	Complied	Refer pages 90 to 152 of the Integrated Management Discussion & Analysis for this requirement.
Environmental Factors	H.1.2	Complied	Refer pages 90 to 152 of the Integrated Management Discussion & Analysis for this requirement.
Social Factors	H.1.3	Complied	Refer pages 90 to 152 of the Integrated Management Discussion & Analysis for this requirement.
Governance	H.1.4	Complied	Refer the Corporate Governance Report on pages 156 to 179 of this Annual Report
Board's role on ESG Factors	H.1.5	Complied	The Aitken Spence Board understands its role and responsibility in ESG reporting and ensures that the Company adheres to the ESG reporting requirements.

CORPORATE GOVERNANCE

LISTING RULES OF THE COLOMBO STOCK EXCHANGE (7.6) – CONTENTS OF THE ANNUAL REPORT

Section/ Rule	Requirement	Compliance	Details of Compliance
7.6	Contents of the Annual Report		
i)	Names of Directors of the entity	Complied	Refer Corporate Information on page 334 of this Annual Report.
ii)	Principal activities of the entity and its subsidiaries during the year under review	Complied	Refer Group Directorate on pages 321 to 323 of this Annual Report.
iii)	20 largest holders of voting and non-voting shares and the percentage of shares	Complied	Refer Investor Information on page 317 of this Annual Report.
iv)	The Public Holding percentage, float adjusted market capitalisation, the options of compliance with the Minimum Public Holding requirement	Complied	Refer Investor Information on pages 314 to 315 of this Annual Report.
v)	Directors and CEO's holding in shares of the entity at the beginning and end of each year	Complied	Refer Investor Information on page 317 of this Annual Report.
vi)	Information pertaining to material foreseeable risk factors	Complied	Refer Risk Management on pages 196 to 207 of this Annual Report.
vii)	Details of material issues pertaining to employees and industrial relations	Complied	Refer Human Capital of Integrated Management Discussion & Analysis on pages 90 to 152 of this Annual Report.
viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Complied	Refer Note 14.3 to the Financial Statements on pages 256 to 257 and Real Estate Holdings of the Group on Page 320.
ix)	Number of shares representing the stated capital	Complied	Refer Investor Information on page 314 of this Annual Report.
x)	Distribution schedule of the number of holders and the percentage of their total holding	Complied	Refer Investor Information on page 314 of this Annual Report.
xi)	Ratios and market price information	Complied	Refer Investor Information on page 315 of this Annual Report.
xii)	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Complied	Refer Note 14 to the Financial Statements on pages 254 to 257 of this Annual Report.
xiii)	If during the year the entity has raised funds either through a public issue, rights issue and private placement	Complied	The Company had no public issue, rights issue or private placement during the year under review.
xiv)	Employee share option/purchase schemes	Complied	As at date, the Company has no share option/ purchase schemes made available to its Directors or employees.
xv)	Corporate Governance Disclosures	Complied	Refer Corporate Governance on pages 156 to 179 of this Annual Report.
xvi)	Related Party Transactions	Complied	Refer Note 43 to the Financial Statements on pages 300 to 306.

ATTENDANCE AT BOARD MEETINGS

Name of Directors	25th May 2017	30th June 2017	30th November 2017	08th February 2018
Executive Directors				
Deshamanya D H S Jayawardena (Chairman)	✓	✓	✓	✓
Mr. J M S Brito (Managing Director)	✓	✓	✓	✓
Ms. D S T Jayawardena	✓	✓	✓	✓
Mr. C M S Jayawickrama	✓	✓	✓	✓
Non-Executive Director				
Mr. G P J Goonewardena (Retired on 30th June 2017 and Appointed w.e.f. 30th March 2018)	✓	✓	N/A	N/A
Mr. N J De Silva Deva Aditya	✓	✓	Excused	Excused
Non-Executive/Independent Directors				
Mr. R N Asirwatham	✓	✓	✓	✓
Mr. C H Gomez	Excused	✓	✓	✓

AUDIT COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. The Audit Committee of Aitken Spence PLC thus acts as the Audit Committee of Aitken Spence Hotel Holdings PLC which has complied with the policies and procedures set out by the Group Audit Committee.

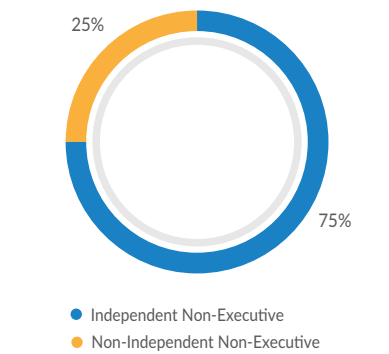
COMPOSITION OF THE COMMITTEE

Audit Committee Members	
Chairman	Mr. R.N. Asirwatham*
Members	Mr. G.C. Wickremasinghe*
	Mr. C.H. Gomez*
	Mr. N.J. De Silva Deva Aditya/ Mr. A. L. Gooneratne (Alternate Director for Mr. N. J. De Silva Deva Aditya)*
Secretary to the Committee	Mr. H.K.A. Rathnaweera - Chief Internal Auditor, Aitken Spence PLC
Attendance by invitation	Mr. J.M.S. Brito - Managing Director, Aitken Spence Hotel Holdings PLC
	Ms. D.S.T. Jayawardena - Executive Director, Aitken Spence Hotel Holdings PLC
	Ms. N. Sivapragasam - Chief Financial Officer, Aitken Spence PLC
	Mr. D.G.P. Ekanayake - Assistant Vice President - Finance, Aitken Spence Hotel Holdings PLC

● Independent Non-Executive Director ● Non-Executive Director

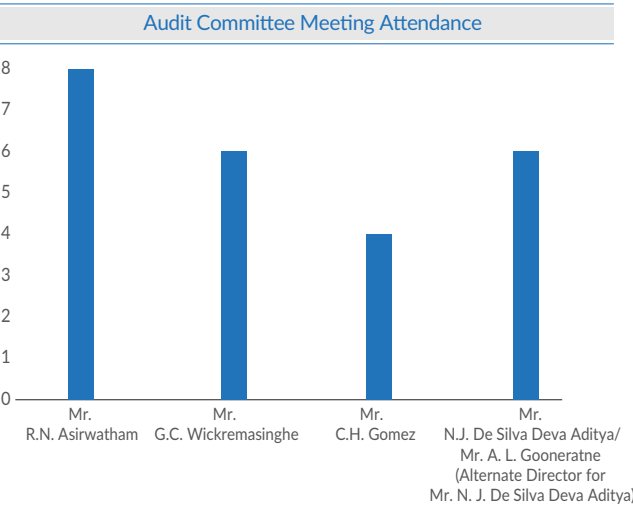
As evident above, the Audit Committee is composed of three Independent Non-Executive Directors and is chaired by an Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountants of Sri Lanka. The profiles of the members are given on pages 22 to 23 of this report.

Independence of the Audit Committee



COMMITTEE MEETINGS

The Audit Committee functioned throughout the financial year and held eight formal meetings. The attendance at the Audit Committee meetings held during the year under review was as follows:



ATTENDANCE BY INVITATION

Mr. J.M.S. Brito, Managing Director, Ms. D.S.T. Jayawardena, Executive Director, Ms. N. Sivapragasam, Chief Financial Officer, Aitken Spence PLC, Mr. D.G.P. Ekanayake, Assistant Vice President - Finance attended the meetings by invitation. Further, Senior Officers of the Group as well as the partner of KPMG responsible for the Group's audit attended the meetings by invitation as and when required.

SUMMARY OF KEY FOCUS AREAS DURING THE YEAR ENDED 31ST MARCH 2018

Responsibility	Activity
Financial Reporting and Financial Control	- Reviewed the Group's quarterly and annual Financial Statements, adequacy of disclosures, uniformity and appropriateness of the accounting policies adopted, major judgmental areas and ensured that they were in compliance with the Companies Act No. 7 of 2007, applicable Sri Lanka Accounting Standards and other applicable Accounting Standards of jurisdictions in which each Subsidiary operates in, Listing Rules of the Colombo Stock Exchange, Code of Best Practice on Corporate Governance jointly issued by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka and requirements of other regulatory bodies as applicable for the Group, and suggested recommendations in line with those requirements. - Ensured that the Group adhered to and complied with all relevant laws, rules and regulations of the country and regulatory bodies, with regard to financial reporting, international laws and codes of ethics and standards of conduct required by regulatory authorities, professional bodies and trade associations and other best accounting practices and principles. - Reviewed the operational and other management information reports submitted by the Group's management to the Audit Committee and made recommendations for improvements.
Risk Management and Internal Control	- Reviewed the adequacy and effectiveness of the Group's internal controls and risk management activities and highlighted the areas which requires attention, and suggested recommendations to the Board. - Presented and discussed the changes to the Inland Revenue Act and the Foreign Exchange Control Regulation and their implications on the Group companies and their reporting requirements. - Reviewed the processes to ensure the internal controls and risk management framework are adequate to meet the requirements of the SLAS.
External Audit	- Reviewed and approved the external audit plan presented by the external auditors. - Reviewed and monitored the progress of the external audit. - Discussed the management letter of the external auditors, and ensured that the management had taken appropriate action to satisfactorily resolve highlighted issues. - Assessed the performance and effectiveness of the external auditors, their independence professional capabilities and made recommendations to the Board pertaining to the re-appointment of the external auditors. - Discussed the audited Financial Statements with external auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements. - Held discussions from time to time to assess the current developments in respect of reporting and compliance in view of the changes in the Auditing Standards, Inland Revenue Act etc. - Reviewed the fees & out of pocket expenses proposed by external auditors and made recommendations to the Board, for their approval.

AUDIT COMMITTEE REPORT

Responsibility	Activity
Internal Audit	Reviewed the adequacy of the Internal Audit coverage of the Group. Reviewed the financial and operational audit reports, IT security reports and risk reports submitted by Internal Audit Department and the management's response to the same. Reviewed and evaluated the independence, effectiveness and competency of the Group's Internal Audit Department, their resource requirements, and made recommendations for any required changes. Reviewed and approved the Annual Internal Audit Plan together with the Information Technology (IT) Security, Strategic Risk Plan and made appropriate recommendations for improvements. The Audit Committee continued to ensure the co-ordination between Group internal audit and external auditors.
Reporting	The Chairman of the Audit Committee reports to the Board at each meeting on the activities of the Committee. The Annual Report incorporates the Audit Committee Report. The Chairman of the Audit Committee attends the Annual General Meeting.

RE-APPOINTMENT OF EXTERNAL AUDITORS

The Audit Committee having evaluated the performance of the external auditors, decided to recommend to the Board the re-appointment of Messrs. KPMG, Chartered Accountants as the auditors of the Company for the current year, subject to approval of the shareholders at the forthcoming Annual General Meeting.



R.N. Asirwatham
Chairman
Audit Committee

Colombo
28th May 2018

REMUNERATION COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its Parent Company Aitken Spence PLC. Therefore, the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

COMPOSITION OF THE COMMITTEE

Chairman	Mr. G.C. Wickremasinghe
Members	Mr. R.N. Asirwatham Mr. C.H. Gomez
Attendance by invitation	Deshamanya D.H.S. Jayawardena - Chairman, Aitken Spence Hotel Holdings PLC Mr. J.M.S. Brito - Managing Director, Aitken Spence Hotel Holdings PLC Ms. D.S.T. Jayawardena - Executive Director, Aitken Spence Hotel Holdings PLC

The Remuneration Committee is composed of three Independent Non-Executive Directors one of whom functions as the Chairman. The members of the Committee have wide experience and knowledge of finance, business and industry.

INDEPENDENCE OF THE COMMITTEE

The members of the Committee are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement.

COMMITTEE MEETINGS

The Committee formally met once during the year under review with the attendance of all its members. Deshamanya D.H.S. Jayawardena, Chairman, Aitken Spence Hotel Holdings PLC together with Mr. J.M.S. Brito, Managing Director, Aitken Spence Hotel Holdings PLC and Ms. D.S.T. Jayawardena, Executive Director, Aitken Spence Hotel Holdings PLC attended the meeting by invitation.

KEY OBJECTIVE

The Committee advises the Board on the policy to be followed on Executive remuneration packages for individual Directors and Senior Management.

RESPONSIBILITIES

The Committee is responsible to the Board for;

- Determining the policy of the remuneration package of the Directors and the Board of Management,

- Evaluating performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units,
- Deciding on overall individual packages, including compensation on termination of employment.

THE SCOPE OF THE COMMITTEE

- Remuneration policy and its specific application to the CEO and Executive Directors and general application to the Key Management Personnel below the Main Board,
- Performance evaluation of the CEO, management development and succession planning,
- Reviewing, monitoring and evaluating performance of Key Management Personnel as well as their management development and succession planning.

KEY FUNCTIONS OF THE COMMITTEE

The Remuneration Committee's decisions were made in keeping with the following policies:

- The Company's Remuneration Policy is formulated to meet the current marked trends and industrial norms, so that it would attract and retain the best talent and skills within the group,
- The Committee reviews and ensures the implementation of the Group Remuneration Policy. The Company has a performance incentive scheme which is scientifically formulated, and the Committee approves the incentive payments on sectoral and performance basis within the parameters of the group incentive scheme,
- The Committee evaluates the achievements as well as unaccomplished targets, results of which are used in determining the performance based incentives.

The Group remuneration policy which was reviewed by the Committee remained unchanged during the year under review. Further, no Director was involved in deciding his/ her remuneration.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
28th May 2018

NOMINATION COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its Parent Company Aitken Spence PLC. Therefore, the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee.

COMPOSITION

Chairman	Mr. G.C. Wickremasinghe
Members	Deshamanya D.H.S. Jayawardena
	Mr. R.N. Asirwatham

- Independent Non-Executive Director
- Executive Director

The Committee is composed of two Independent Non-Executive Directors along with the Chairman of the Company who served as members throughout the year under review. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess wide experience, financial and business acumen.

COMMITTEE MEETINGS

One formal meeting was held during the year under review with the attendance of all its members. The Managing Director attended the meeting by invitation.

RESPONSIBILITIES OF THE COMMITTEE

The principal responsibilities of the Committee are to:

- Broaden, balance and diversify the effectiveness and composition of the Boards of Aitken Spence Hotel Holdings PLC and its Group companies,
- Identify and recommend suitable candidates as Directors to the Boards of Aitken Spence Hotel Holdings and its group companies,
- Review the structure, size and composition of the Boards of Group Companies,
- Oversee the performance of the Board, its Committees and Individual Directors and evaluate their performance,
- Ensure the Boards consist of persons with a wealth of knowledge, experience, competency and entrepreneurial skills to advance the effectiveness of the Boards,
- Review the Charter for the appointment and the re-appointment of Directors to the Boards of the Group companies and suggest amendments wherever necessary,
- Recommend insurance covers for Directors of Aitken Spence Hotel Holdings PLC and its group companies.

KEY FUNCTIONS PERFORMED DURING THE YEAR UNDER REVIEW

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to

make sound and measured judgments in order to attract the best talent to the Group. During the year under review the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Aitken Spence Hotel Holdings Board and Boards of its Group companies as well as the Key Management Personnel (KMPs),
- Reviewed and recommended necessary appointments to the Boards of the Group companies wherever necessary,
- Evaluated and recommended suitable internal and external candidates to higher levels of management,
- Reviewed the Group's policy and guidelines for appointment, re-appointment and succession planning,
- Evaluated the eligibility of the Directors who have offered themselves for re-election/re-appointment to the Board and made necessary recommendations to the Board,
- Recommended insurance covers for the Directors of Aitken Spence and its group companies.

The Committee further ensures that the combination of varied skills, knowledge and experience of the Company and the Boards of the Group companies matches the required strategic demands of the Group.

RE-ELECTION AND RE-APPOINTMENT OF DIRECTORS

Deshamanya D.H.S. Jayawardena, Mr. J.M.S. Brito, Mr. R.N. Asirwatham and Mr. N.J. De Silva Deva Aditya who retires from the Board at the conclusion of the forthcoming Annual General Meeting in terms of Section 210(2) of the Companies Act No.7 of 2007, have offered themselves for re-appointment.

In terms of Article 83 of the Articles of Association, Mr. C.M.S. Jayawickrama retires by rotation and has offered himself for re-election at the forthcoming Annual General Meeting.

Mr. G.P.J. Goonewardena who was appointed to the Board as a Non-Executive Director on 30th March 2018 retires in terms of Article 90 of the Articles of Association of the Company and offers himself for election at the forthcoming Annual General Meeting.

Having given due consideration to each Director's competencies, the Committee is of the opinion that the said Directors are eligible for re-appointment/re-election/election to continue as Directors of the Company.

G.C. Wickremasinghe
Chairman
Nomination Committee

Colombo
28th May 2018

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its Parent Company Aitken Spence PLC. Therefore, the Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee.

COMPOSITION

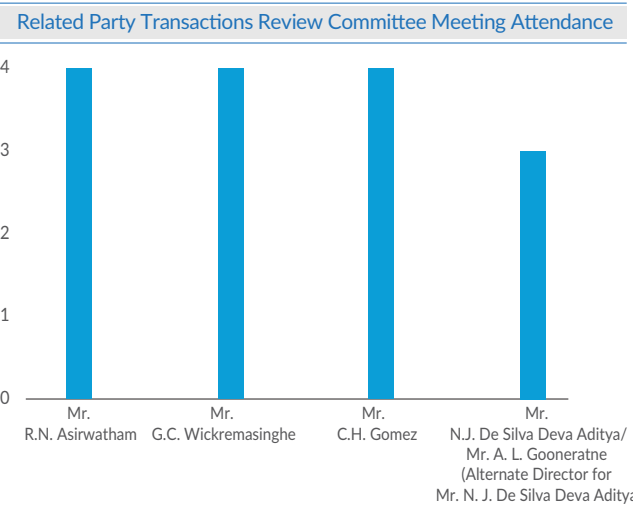
Chairman	Mr. R.N. Asirwatham
Members	Mr. G.C. Wickremasinghe
	Mr. C.H. Gomez
	Mr. N.J. De Silva Deva Aditya/ Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya)

- Independent Non-Executive Director
- Non-Executive Director

The Committee is composed of three Independent Non-Executive Directors and is chaired by an Independent Non-Executive who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Members of the Committee possess a wealth of knowledge and experience.

COMMITTEE MEETINGS

The Committee held four formal meetings during the year under review. Mr. J.M.S. Brito, the Managing Director, Ms. D.S.T. Jayawardena, Executive Director, Ms. N. Sivapragasam, Chief Financial Officer, Aitken Spence PLC attended the meetings by invitation.



Attendance at the Committee Meetings

	Number of Meetings attended
Mr. R.N. Asirwatham	4/4
Mr. G.C. Wickremasinghe	4/4
Mr. C.H. Gomez	4/4
Mr. N.J. De Silva Deva Aditya/ Mr. A.L. Gooneratne	3/4
Number of meetings held during the year under review	04

RESPONSIBILITIES OF THE COMMITTEE

The Committee's key focus is to review all proposed Related Party Transactions prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing Rules of the Colombo Stock Exchange and its responsibilities are as follows:

- Evaluate any proposed related party transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action immediately in order to adhere to the compliance regulations of the Listing Rules and the Code of Best Practices on Related Party Transactions,
- Review any post quarter confirmations on related party transactions,
- Review the threshold for related party transactions which require either shareholders' approval or immediate market disclosures, as the case may be,
- Review the criteria of Key Management Personnel,
- Regularly report to the Board on the Committee's activities.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

KEY MANAGEMENT PERSONNEL

The Board of Directors of the Company is construed as the Key Management Personnel (KMPs) of Aitken Spence Hotel Holdings PLC. Further, Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary Companies are considered as KMPs of such companies to establish greater transparency and governance.

Declarations are obtained from each KMP of the Company and its subsidiaries for the purpose of identifying related parties on a quarterly and annual basis to determine RPTs and to comply with the disclosure requirements, if any.

KEY FUNCTIONS PERFORMED DURING THE YEAR UNDER REVIEW

The Committee reviewed all proposed Related Party Transactions as well as post quarter confirmations and the activities of the Committee have been communicated to the Board quarterly through tabling the minutes of the meeting of the Committee at Board Meetings.



R.N. Asirwatham
Chairman
Related Party Transactions Review Committee

Colombo
28th May 2018

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the financial statements and other statutory reports. The responsibilities of the Directors, in relation to the financial statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this report.

The Directors confirm that the financial statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2018 incorporated in this report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the Companies within the Group maintain adequate and accurate records which reflect the true financial position of each such Company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the financial statements.

The financial statements presented in this Annual Report for the year ended 31st March 2018, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs) which came into effect from 1st January 2012. The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the financial statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2018 and the Comprehensive Income Statements for the Company and the Group for the financial year ended 31st March 2018 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the financial statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the financial statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,
Aitken Spence Hotel Holdings PLC



Aitken Spence Corporate Finance (Private) Limited
Secretaries

28th May 2018
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Board of Directors of Aitken Spence Hotel Holdings PLC, has pleasure in presenting the Annual Report and the audited financial statements for the year ended 31st March 2018 which were approved by the Board of Directors on 28th May 2018. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, the Colombo Stock Exchange Listing Rules and the best accounting practices.

1. PRINCIPAL ACTIVITIES

The principal activities of the Company are that of an investment holding company and hoteliering, and the subsidiary companies are also engaged in the business of hoteliering, and there has been no change in the nature of such activities during the year.

2. REVIEW OF OPERATIONS

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Integrated

Management Discussion and Analysis of the Annual Report. These Reports together with the audited financial statements of the Company and the Group reflect the respective state of affairs of the Company and the Group.

The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 84 and 85 of the Annual Report.

3. ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The Company and the Group prepared the financial statements in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs). The significant accounting policies adopted in the preparation of the financial statements of the Company and the Group are given on pages 224 to 242. There were no significant changes to the accounting policies used by the Company and subsidiaries during the year under review vis-à-vis those used in the previous year.

For the year ended 31st March	2018	2017
	Rs. '000	Rs. '000
Net Profit before tax	2,189,891	1,549,562
Provision for taxation including deferred tax	(606,496)	(535,823)
Net profit after tax	1,583,395	1,013,739
Other comprehensive income	(864,167)	974,116
Total comprehensive income for the year	719,228	1,987,855
Total comprehensive income attributable to non-controlling interest	(62,255)	(598,623)
Total comprehensive income attributable to equity shareholders	656,973	1,389,232
Transactions directly recognized in the equity statement	36,489	(14,990)
Balance brought forward from the previous year	15,607,239	14,851,205
Amount available for appropriations	16,300,701	16,225,447
Interim/final dividend	(84,073)	(618,208)
Total reserves and earnings	16,216,628	15,607,239
Stated Capital	3,554,587	3,554,587
Balance attributable to equity holders of the Company at the end of the period	19,771,215	19,161,826

4. SYNOPSIS OF THE INCOME STATEMENT OF THE COMPANY AND THE GROUP

4.1 Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs.824 million. (2017 - Rs.690 million). The Group revenue was Rs. 18,251 million (2017 - Rs. 16,055 million) which is a growth of 14% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in notes 4 & 5 to the financial statements on pages 243 and 245.

The profit after tax of the Group was Rs.1,583 million (2017 - Rs.1,014 million). The Group's profit attributable to the equity shareholders of the Parent Company for the year was Rs. 1,169 million (2017 - Rs. 676 million). The segmental profits are disclosed in note 4 of the financial statements on page 243.

4.2 Donations

During the year, donations amounting to Rs. 157,000/- were made by the Company, while the donations made by the Group during the year amounted to Rs. 442,741/-.

4.3 Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in note 11 of the financial statements.

It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method.

The deferred tax balances of the Group companies are given in notes 21 and 31 of the financial statements.

4.4 Dividends

The Directors recommend a preference dividend of cents 90 per share on the cumulative preference shares and a first and final ordinary dividend of Rs. 1.25 per share on the ordinary shares. The entirety of the preference dividend will be paid out of dividends received by the Company where 10% Withholding Tax on dividends has been deducted. Out of the ordinary dividend of Rs. 1.25 per share to be declared, Rs. 1.14 per share will be paid out of taxable dividends received from subsidiary companies from which 10% Withholding Tax has been deducted and the balance cents 11 per share will be paid out

of dividends received from companies incorporated outside Sri Lanka which is subject to 14% Withholding Tax.

The Directors are confident that the Company will meet the solvency test requirement under Section 56 (2) of the Companies Act No.07 of 2007 immediately after the payment of preference dividend and the first and final ordinary dividend.

5. SYNOPSIS OF THE STATEMENT OF FINANCIAL POSITION OF THE COMPANY AND THE GROUP

5.1 Stated Capital and Reserves

As at 31st March 2018 the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs.3,555 million. The Company's reserves as at 31st March 2018 were Rs.6,622 million (2017 - Rs.5,805 million) whereas the total Group's reserves as at 31st March 2018 were Rs.16,217 million (2017 - Rs.15,607 million). The movement in these reserves is shown in the Statement of Changes in Equity - Group on Page 220.

5.2 Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2018 amounted to Rs. 1,616 million and Rs. 41,405 million respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs.57 million and Rs.5,097 million respectively.

5.3 Market Value of Freehold Properties

Land recognised as property, plant and equipment in the financial statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years.

Details of the revalued land , revaluation surplus, and the original cost are given in note 14.3 of the financial statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

- 5.4

Contingent Liabilities

The details of contingent liabilities are disclosed in note 38 of the financial statements on page 285.
6.

EVENTS OCCURRING AFTER THE REPORTING DATE

No event of material significance that requires adjustments to the financial statements has arisen other than that disclosed in note 45 to the financial statements on page 306.
7.

GOING CONCERN

The Board of Directors is satisfied that the Company and the Group have adequate resources to continue their operations without any disruption in the foreseeable future. The Company's and the Group's financial statements are therefore prepared on a going concern basis.
8.

INFORMATION ON THE BOARD OF DIRECTORS AND THE BOARD SUB-COMMITTEES

8.1

Board of Directors

The names of the Directors of the Company who held office during the financial year is given in the following table and their brief profiles are given on pages 20 to 23 of the Annual Report.

All of the below Directors held office during the entire year, with the exception of Mr. G.P.J. Goonewardena who retired on 30th June 2017. Subsequently Mr. G.P.J. Goonewardena was appointed to the Board as a Non-Executive Director w.e.f. 30th March 2018.

- 8.2

Board Sub-Committees

The following Committees of the parent company namely Aitken Spence PLC function as the Audit, Remuneration, Nomination and Related Party Transactions Review Committees as permitted by the Listing Rules.

Audit Committee

Mr. R.N. Asirwatham (Chairman)

Mr. G.C. Wickremasinghe

Mr. C.H. Gomez

Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya)

Remuneration Committee

Mr. G.C. Wickremasinghe (Chairman)

Mr. R.N. Asirwatham

Mr. C.H. Gomez

Nomination Committee

Mr. G.C. Wickremasinghe (Chairman)

Deshamanya D.H.S. Jayawardena

Mr. R.N. Asirwatham

Related Party Transactions Review Committee

Mr. R.N. Asirwatham (Chairman)

Mr. G.C. Wickremasinghe

Mr. C.H. Gomez

Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya)

- 8.3

Re-appointment of Directors who are over 70 years of age and Re-election of Directors

Upon the recommendation of the Nomination Committee and the Board, it is recommended that Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham and Mr. J.M.S. Brito, who are over 70 years of age and who vacate office in term of Section 210 (2) (b) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors.

Mr. N.J. De Silva Deva Aditya, who attained the age of 70 years on 11th May 2018 and vacates office at the conclusion of the Annual General Meeting in terms of Section 210(2) (a) of the Companies Act, is also recommended by the Nomination Committee and the Board, for re-appointment as a Director under Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Director.

Mr. C.M.S. Jayawickrama who retires by rotation in terms of Article 83 of the Articles of Association of the Company offers himself for re-election.

Mr. G.P.J. Goonewardena who was appointed to the Board on 30th March 2018 retires in terms of Article 90 of the Articles of Association of the Company and offers himself for election.

- 8.4

Directors' Shareholding

The Directors' shareholdings are provided on page 317 of the Annual Report.
- 8.5

Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transaction disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is dully recorded in the Interest Register.
- 8.6

Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2018 are disclosed on page 246 of the financial statements.
- 8.7

Related Party Transactions

Related party transactions of the Company and the Group are disclosed in note 43 to the Financial

- Statements. These are recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No.24-Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the group as per the Audited Financial Statements as at 31st March 2017.
- There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Company as per the Audited Financial Statements as at 31st March 2017, which required additional disclosures in the Annual Report under Listing Rule 9.3.2(a).
- The Key Management Personnel and the Group companies (including the Company) have disclosed on a quarterly basis, the proposed related party transactions (if any) failing under the ambit of Rule 9 of the Listing Rule of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'related party' as defined in the Sri Lanka Accounting Standards (as applicable). The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above-mentioned Rule.
- The Directors declare that the Company is in compliance with Rule 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2018.
- 8.8

Subsidiary Board of Directors

The names of Directors of the subsidiary companies who held office as at 31st March 2018 and Directors who ceased to hold office during the accounting period are set out on pages 321 to 323 of this Annual Report.
9.

HUMAN RESOURCES

Our Human Resources strategies and practices have translated into the creation of a dynamic and competent human resource team with sound succession planning and a remarkably low attrition rate. Our employment strategies are reviewed periodically by the relevant Committees and the Board of Directors.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

10. CORPORATE GOVERNANCE

The Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations, Industrial Associations, Chambers of Commerce and Regulatory Bodies. The Group complies with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka. The Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environment laws and practices.

The Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavors to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 156 to 179 of this Annual Report.

11. RISK MANAGEMENT

The Directors have established and adhere to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the Risk Management Process through the Audit Committee. The Risk Management Report of the Group is on pages 196 to 207 of this Report.

12. INTERNAL CONTROLS

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

Board of Director's Statement on Internal Controls is on pages 194 to 195, the Statement of Directors' Responsibilities on page 187 and the Audit Committee Report set out on pages 180 to 182 of

this Report provide further information in respect of the above.

13. STATUTORY PAYMENTS

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the financial statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 187 of this Annual Report.

14. CORPORATE SUSTAINABILITY

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Integrated Management Discussion and Analysis of this Report.

15. SHAREHOLDER INFORMATION

There were 3,411 shareholders as at 31st March 2018. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 314 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2018 are given on page 317 of this Annual Report. The percentage of the shares held by the public as at 31st March 2018 was 25.40% and the number of shareholders who held the public holding was 3,400. Information relating to Earnings Per Share and the Net Assets Per Share for the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 7 and 315 of this Annual Report.

16. AUDITORS

The independent auditors' Report on the financial statements is given on pages 211 to 215 of this Annual Report. The retiring auditors Messrs KPMG, Chartered Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 875,000/- (2017-Rs.815,000/-)

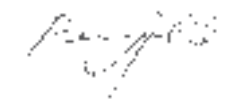
In addition to the above, Rs 437,185/- (2017-Rs.410,722/-) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 321 to 323 of the Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs 9,158,070/- (2017-Rs.8,977,337/-) while a further Rs.950,154/- (2017-Rs.467,332/-) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs 1,419,317/- (2017-Rs.1,029,724/-) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs. 3,305,155/- (2017-Rs.8,450,005/-). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.


D.H.S. Jayawardena
Chairman


J.M.S. Brito
Managing Director


Aitken Spence Corporate Finance (Private) Limited
Secretaries

Colombo
28th May 2018

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

RESPONSIBILITY

The Board of Directors has the overall responsibility of maintaining a sound system of internal controls and for periodically reviewing its effectiveness and integrity, to ensure, that the Group's risks are within the acceptable risk profile. Accordingly, the Board has established an organization structure, which clearly defines lines of accountability and delegated authority.

The Board has instituted an ongoing process for identifying, evaluating and mitigating significant risks faced by the Group. This process entails enhancing the internal control system as and when there are changes to the business environment and regulatory guidelines.

The Board has delegated specific responsibilities to the following sub committees, which are chaired by independent Non-Executive Directors.

- Audit Committee
- Nomination Committee
- Remuneration Committee
- Related Party Transactions Review Committee

The Board is confident that the current internal controls adopted by the Company are adequate to provide reasonable assurance regarding the reliability of financial reporting, and the preparation of Financial Statements for external stakeholders and that they are in accordance with acceptable accounting principles and the applicable regulatory requirements.

INTERNAL AUDIT

The Group Internal Audit function provides independent assurance on the efficiency and effectiveness of the internal control systems and monitors compliance with policies and procedures, while highlighting significant findings in respect of any non-compliance. Audits are carried out on all business units and functions, and the frequency of which is predetermined by the level of risk assessed. The Group's Internal Audit function is an independent function that reports directly to the Audit Committee, which also reviews and approves the annual audit plan.

The Audit Committee reviews all internal audit findings, management responses and the adequacy and effectiveness of the internal controls. The minutes of the Audit Committee meetings are tabled at the Board meeting on a periodic basis.

REVIEW ADEQUACY AND EFFECTIVENESS

The adequacy and effectiveness of the internal controls of both financial and operations processes are regularly reviewed by the Board and the Audit Committee, and remedial steps are taken where necessary.

The Board and the Audit Committee concludes that an effective system of risk management and internal control is in place to safeguard the shareholders' investment and the Group's assets.

POLICIES, PROCEDURES AND BUDGETS

Policies and procedures to ensure compliance with internal controls and the relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries' performance are assessed against the approved budgets and explanations are provided for significant variances periodically to the respective Boards.

WHISTLE BLOWING POLICY

The Group encourages a whistle blowing policy which enables employees to bring irregularities in financial reporting, internal controls or other matters within the Group to the notice of the higher management.

Proper arrangements have been put in place to facilitate fair and independent investigation for such matters (if any). The prevalence and effectiveness of this policy is monitored by the Audit Committee from time to time.

THE GROUP CODE OF ETHICS

The Group Code of ethics which includes a strong set of corporate values and conduct, is circulated to Directors and all employees. The Board ensures that Directors and all employees strictly comply with the Group code of ethics in exercising their duties, communications, role modelling and in any other circumstance, so as to uphold the Group's integrity and image. Strict disciplinary actions are initiated for any violation of the Group code of ethics.

GOING CONCERN

The statement of going concern is set out in the 'Annual Report of the Board of Directors' on page 190.

RISK MANAGEMENT

An overview of the Group's risk management framework which include the Group's policy on cybersecurity, is set out on pages 196 to 207.

ANNUAL REPORT

The Board of Directors is responsible for the preparation of the Annual Report and confirm that the quarterly reports, annual Financial Statements and the annual review of operations of the Company and its equity accounted investees that are incorporated in this Annual Report have been prepared and presented in a reliable manner, based on a balanced and comprehensive assessment of the financial performance of the entire Group.

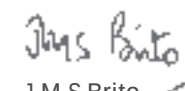
CONFIRMATION

We confirm that all Financial Statements are prepared in accordance with the requirements of the Companies Act No. 7 of 2007, the Sri Lanka Accounting and Auditing Standards Act, the Listing Rules of the Colombo Stock Exchange and any other regulatory bodies as applicable for the Group. We further confirm that the current internal control and risk management policy of the Company is adequate to identify, evaluate and manage significant risks for the Group.

We have duly complied with all the requirements prescribed by the regulatory authorities including the Colombo Stock Exchange and the Registrar of Companies. The consolidated Financial Statements for the year ended 31st March 2018 have been audited by Messrs. KPMG, Chartered Accountants.



Deshamanya D H S Jayawardena
Chairman



J M S Brito
Managing Director



R N Asirwatham
Chairman
Audit Committee

Colombo
28th May 2018

RISK MANAGEMENT

THE COMPANY'S RISK POLICY

Management of risk is critical to the success of Aitken Spence Hotels. Recent events both global and domestic have increasingly demonstrated the need to continuously identify and manage critical business risks. This demands a proactive approach to risk management, from risk identification to risk mitigation, at all levels of the organisation.

Aitken Spence Hotel Holdings PLC, has therefore established an integrated risk management processes to identify the types of risks specific to the industry in which it operates, measure those potential risks and to develop strategies in order to mitigate risks. Risk management is an essential element of our corporate governance structure and strategic development process. Therefore, appropriate systems, policies and procedures are in place in all areas of operations and they are periodically reviewed to ensure adequacy and adherence. At Aitken Spence Hotel Holdings, risk management is an integrated discipline. We recognize the pivotal role it plays in balancing strategic planning with business execution and compliance. This facilitates informed decision-making and a conscious evaluation of opportunities and risks.

Aitken Spence Hotel Holding's overall risk management process is overseen by the Board through the Audit Committee as a pivotal part of corporate governance. However, we also recognize that risk management is a shared responsibility of all employees within the Group, rather

than being a separate and standalone process, hence it is integrated into all business and decision-making processes including strategy formulation, business planning, business development, investment decisions, capital allocation, internal control and day-to-day functions.

Our integrated approach identified the importance of risk management by

- Cultivating a proactive risk management culture
- Embedding risk management activity across our business
- Developing comprehensive and accurate risk content
- Robust risk management process and framework

PROACTIVE RISK MANAGEMENT CULTURE AND FRAMEWORK

An effective system of internal controls and risk management process are vital for a Responsible Business. Therefore, the Board aims to embed proactive risk management capability and culture throughout the business. The risk management framework enables us to understand material risks that we currently face as well as emerging risks. This framework ensures that risks are effectively identified, assessed and appropriate controls are in place.

At Aitken Spence Hotels, sustainability and risk management are interrelated with the focus firmly on minimising risk and seizing opportunities in a socially and environmentally responsible manner.

Aitken Spence Hotel Holdings has developed and follows a comprehensive risk management framework to evaluate new opportunities to diversify and to build competitive advantage over competitors. In formulating this framework, the Board of Directors, Senior Management and internal auditors have identified and taken into consideration the Group's key business objectives, goals and strategies.

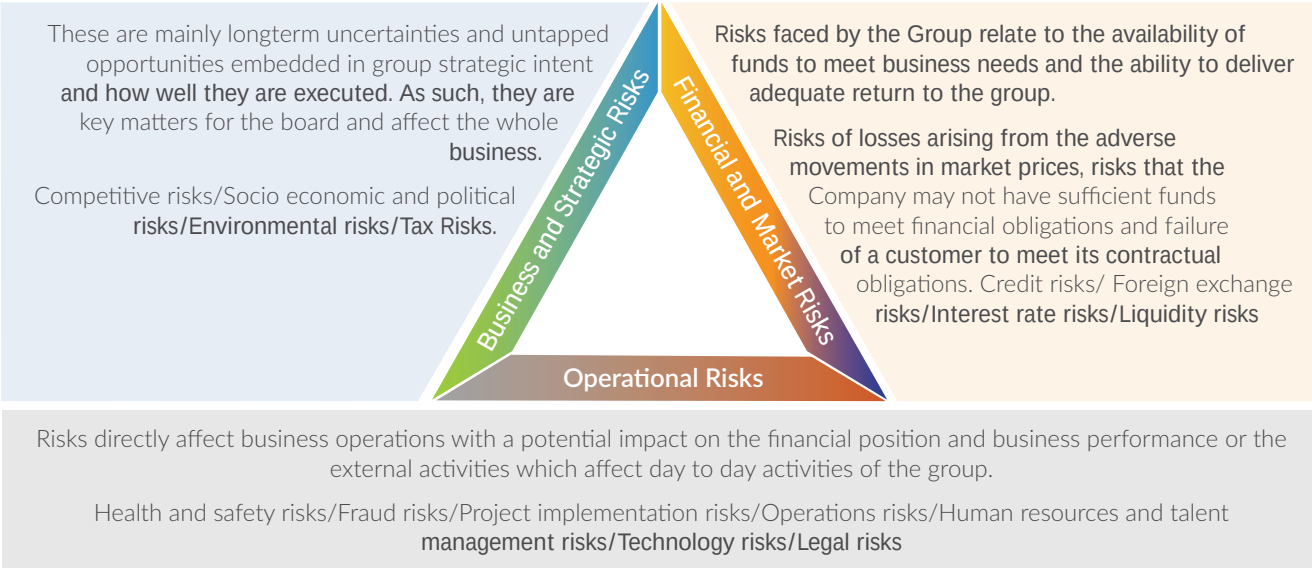
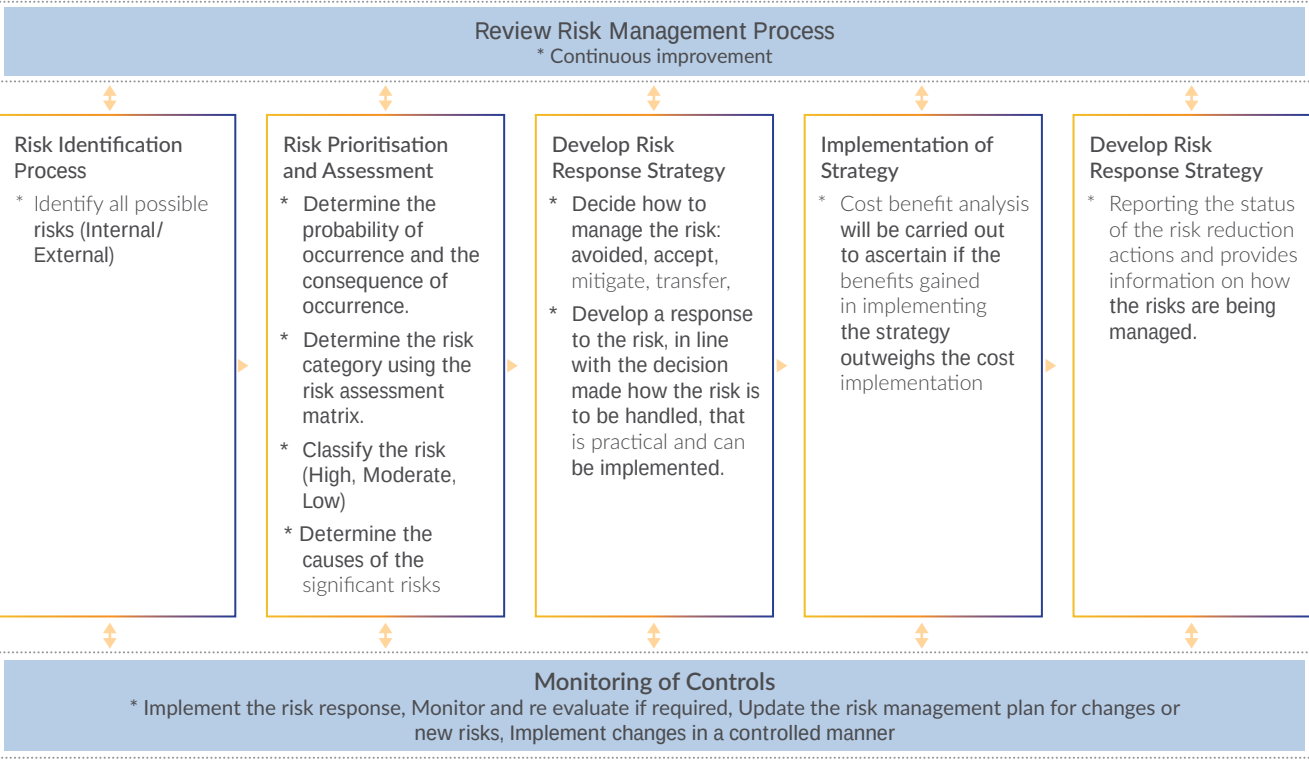
RISK IDENTIFICATION

As the initial step of risk framework, it is important to identify risks before they can be managed. The success of the entire risk management process hinges on the comprehensiveness and clarity of risks identified. Aitken Spence Hotel Holdings PLC identifies risks through various means including intelligence gathering, quality audits, safety audits, internal audits and means such as customer feedback and incidents across a broad spectrum.

Aitken Spence Hotel Holdings PLC, operates in a dynamic business environment, resulting in new risks emerging from time to time. Thus, it is imperative to identify and treat such risks before they become threats. The strategic risk unit continuously monitors the external environment, to identify such emerging risks.

The main categories of risks can be classified as business and strategic risks, financial and market risks and operational risks. In addition to the above categories other risks inherent in the hotel industry are also identified, monitored, reported and appropriately managed. Risk indicators and levels of risk appetite are reviewed and approved by the Board on an annual basis or more frequently if required.

Salient risks and their relevant mitigating strategies are subject to regular assessment. Aitken Spence Hotels Holdings' major risks are categorized in terms of three facets as follows:



RISK MANAGEMENT

RISK PRIORITISATION AND KEY RISKS

Under the guidance of the Board of Directors and Risk Committee the risk management team will review and assess the identified risks. The risks are evaluated in terms of likelihood of occurrence, impact to the group and velocity. Based on the impact and likelihood ratings, Aitken Spence Hotel Holdings PLC, uses a risk management ranking matrix to identify the key risks specific to the Group. The prioritisation process enables the Company to identify the risks that need most urgent attention and to plan out risk mitigation strategies.

Risk Ranking Matrix

		Severity of Consequence				
		Negligible	Low	Medium	Major	Extreme
Likelihood	Probable					
	High		05	13, 14	03, 08	
	Medium		12	07, 09, 10	06	
	Low		11		01, 02, 04, 15	
	Remote					

Our key risks, in terms of residual severity of consequence and likelihood, are displayed as follows:

Extreme	Initiate mitigation activities immediately to reduce risk. If such activities cannot sufficiently reduce risk level, consider discontinuation of the applicable business operation to avoid the risk.
Major	Initiate mitigation activities at next available opportunity to reduce risk. If such activities cannot sufficiently reduce risk level, Board of Directors approval is required to confirm acceptance of this level of risk.
Medium	Level of risk is acceptable within tolerances of the risk management policy. Additional risk mitigation activities may be considered if benefits significantly exceed cost.
Low	Monitor risk according to risk management policy requirements, but no additional activities required.
Negligible	Consider discontinuing any related mitigation activities so resources can be directed to higher-value activities, provided such discontinuance does not adversely affect any other risk areas.

RISK APPETITE

Aitken Spence Hotel Holdings PLC, defines risk appetite as **the amount and type of risks deemed reasonable before rolling out its business strategy, this in turn helps the Group to maintain its normal course, even in the event of unexpected circumstances.** Several severe scenarios are taken into account that could have a negative impact on the levels of capital, liquidity, profitability and the share price.

RISK RESPONSE STRATEGY

Based on the risks identified, their drivers or root causes and their susceptibility to measurement, the Management decides on the appropriate risk response. There are four categories of risk responses – avoid, accept, mitigate and transfer. Aitken Spence Hotel Holdings PLC first decides whether to accept or reject a risk based on an assessment of whether the risk is desirable or undesirable. A desirable risk is one that is inherent in the entity's business model or normal future operations and is one in which the company believes it can monitor and manage effectively. An undesirable risk is one that is off-strategy, offers unattractive rewards or cannot be monitored or managed effectively. If an entity chooses to accept a risk, it can accept it at its present level; reduce its severity and/or its likelihood of occurrence.

RISK REPORTING

Depending on the risk response selected, the management identifies any gaps in risk management capabilities and improves those capabilities as necessary to implement the risk response. Over time, the effectiveness of risk mitigation activities will be monitored.

IMPLEMENTATION OF MITIGATION STRATEGIES

Aitken Spence Hotel Holdings PLC, has in place a systematic, step by step implementation plan, which cascades to all levels of the organisation. The risk mitigation strategy ensures the risk profile is maintained within the levels set by the risk appetite and the other limits. It also incorporates the adoption of the necessary corrective and mitigation measures to maintain risk levels in line with the defined objectives. Before rolling out the implementation, Aitken Spence Hotel Holdings PLC, evaluates the cost benefit for the proposed mitigation to ensure that the treatment is economically feasible, where benefits gained outweighs the cost of implementation.

MONITORING OF CONTROLS

Monitoring and control are enabling activities which are essential so that continuous improvement can be achieved and to ensure the prevalence and relevance of the tourism risk management process. Risk doesn't remain static, so it is essential that tourism risk management is an on-going process with regular monitoring and reviewing of hazards, elements at risk, process, outcome and efficiency of the risk treatment measures. Regular reviews will be carried out in order to ensure that there are sound internal controls and procedures in place to manage and mitigate risks. The internal audit department of the parent company is responsible for providing assurances on the effectiveness of internal controls within the group and reports directly to the Audit Committee of Aitken Spence Hotel Holdings PLC which ensures separation of duties and assists in good governance. The ultimate responsibility for the group's internal controls and reviewing its effectiveness rests with the Board of Directors. External Auditors are also engaged in carrying-out special assignments wherever appropriate to ensure transparency and compliance.

REVIEW AND IMPROVE RISK MANAGEMENT PROCESS

The Group continuously monitors its risk management procedures and will make improvements to the existing model, considering the dynamic business environment it operates in. Annually the Board sets and updates the risk appetite of the Group, it also monitors the Group's risk profile while ensuring the consistency between both. Further, the Audit Committee, through the internal audit department, ensures the conformity and consistency of the risk management process exercised across all hotels in the Group, without exception.

Indicated below are the risks deemed to have the most significant impact on the group's strategic, financial and operational objectives and performances and the relevant risk management strategies initiated, categorised according to risk type and rating.

RISK MANAGEMENT

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
Business and Strategic Risks		
01. Business Risk	Impact	Risk Management Strategies
Failure to implement strategic plans, Revenue improvement & cost saving initiatives and undertake profitable investments.	Reduced revenue, cash flow and profitability.	Integrating risk awareness directly into strategic decision making by holding regular meetings of the Board of Directors and members of the management committee in order to formalize future strategies and plans and to revise and update plans, taking in to consideration the changing circumstances of the group.
The inability of the group to achieve its business objectives.	Hinder future growth.	A sophisticated and streamlined management information system, using the latest property management and enterprise resource planning software, and the preparation of detailed operational and capital expenditure budgets enables the group to assess actual performance against planned and take remedial action wherever necessary.
	Damages investor confidence.	Focus on strategic resilience by considering how strategic decisions can affect resilience, incorporate resilience into all decision making, and always be on the lookout for more strategically resilient alternatives in order to build greater corporate agility.
		All members of the Board attend regular workshops, seminars and professional training programs in order to update their skills and knowledge. Thorough due diligence and project feasibility studies are conducted for all major investments. In addition, professional advice is obtained from outside sources when necessary. The group monitors its main competitors in order to lower the response time needed to counter any new strategies implemented by them. Implementation of cost control procedures and innovative cost saving initiatives particularly with regard to energy costs.
02. Socio-Economic, Political & Environmental Risks	Impact	Risk Management Strategies
Major events affecting either economic or political stability on a global and local level which exposes the group to a risk.	Lowering the competitiveness of the group's product offering on the national and international market.	The group works closely with lobby groups, relevant authorities and trade associations to ensure the best interests of the tourism industry are fulfilled at all times.
	Reduction in revenue and increase in cost thereby reducing cash flow and profitability.	The group is not reliant on any single geographical region for its returns and has forayed in to other regions in Asia such as Maldives, India and Oman, significantly reducing the adverse impact from this risk. (Risk Diversification).
	Possible restrictions on movement of capital / repatriation of profits between countries.	Making prudent investments in various countries such as Maldives, India and securing hotel management contracts in India and Oman ensures that the group is not reliant on any single geographical region for its revenues and cash flow.

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
	Reduction in control over the ownership of assets.	The group continues to monitor macroeconomic situations within countries it operates and make necessary adjustments, including cost optimization programmes where suitable and developing revenue management tools and guidelines to assist hotels to monitor local developments in supply and demand and to inform decisions on pricing, promotions channels and room inventory.
Risks from natural or man made disasters.	Loss of assets resulting in significant losses to the group.	Appropriate disaster recovery and business continuity plans are in place at all the hotels, which drives prompt recovery, in an unlikely event of a disaster and also safeguards the assets of the group.
03 . Competitive Risk	Impact	Risk Management Strategies
Due to the rapid growth of the tourism industry the number of hotel rooms has significantly increased, leading to a price war among hotels.	Reduced market share and rates reducing revenue, cash flow and profitability.	The group's service excellence, committed and award winning staff, uniqueness of properties, innovative product and service developments and the strength of its brands enables the group to counter threats from new and existing players via sustainable competitive advantage.
	Increased promotional expenditure.	Leveraging the group's long-term relationship with major tour operators, and the strength of the sister company in the travel industry (Aitken Spence Travels Ltd.) gives the group a significant advantage over its competitors.
		Maintaining a positive relationship with employees with a better remuneration and performance appraisal scheme.
		During off peak season the group floats promotional rates and offers, mostly in collaboration with banks, in order to boost sales amidst competition.
04. Reputation Risk	Impact	Risk Management Strategies
Risks to the group's reputation and Brand image.	Decline in the customer base and difficulties in securing future management contracts resulting in reduced market share, revenues, cash flow and profitability.	The group employs a well defined hygiene quality assurance system to ensure the highest quality of service. At operational level, systems are in place to promptly address any issues / complaints brought about by the clients and to take proactive steps to mitigate similar occurrences in the future.
	Deterioration of corporate image.	Ensuring all statutory and legal obligations are met in all transactions. Regular training sessions are held to educate staff on quality standards and new developments in the hospitality industry ensuring the quality of the group's product offering and to maintain our trusted reputation.

RISK MANAGEMENT

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
	The group may have to face litigation which can be costly.	Deployment of an effective compliance system, The group is committed to best environmental practices to ensure strict compliance with local regulations and maintains harmonious relationships with the localities in which the hotel operate. Relevant loyalty programmes and intellectual property mechanisms are in placed to ensure trade mark protections. The Board ensures that the company strictly complies with all relevant laws and codes of best practices and is not involved in any unethical business practices. A group code of ethics booklet is given to all executives of the group and they confirm their acceptance of the same.
05 . Fraud Risk	Impact	Risk Management Strategies
Risks from break down of internal controls, processes and procedures.	Wastage of management time and resources.	Regular reviews of the effectiveness of internal controls are performed by the corporate internal audit department supplemented by regular management audits carried out by internal teams within the group ensure the robustness and adequacy of internal controls. The Company uses comprehensive general & specific reporting and monitoring systems to identify, assess and manage risks.
	Possible loss of data.	Making each employee accountable for ethical behavior, high standards for business conduct and adherence to laws ensures that transactions occur in a reliable manner. Staff rotation & special verification audits across the group.
	Increased possibility of fraud and misuse.	External auditors are also engaged as and when required to carry out special reviews wherever necessary.
	Disruptions to the normal course of operations.	The group uses comprehensive general & specific reporting and monitoring systems to identify, assess and manage risks.
	Lack of ability to track performance against budgets, forecasts and schedules.	Ensuring that only trained, trustworthy, knowledgeable and competent personnel perform critical tasks in order to prevents errors, irregularities and fraud.
	Illegal transactions include theft or misappropriation of assets by employees.	The group has implemented a whistle blowing policy, where any staff member can report potential frauds and misappropriations anonymously.

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
06 . Debtors	Impact	Risk Management Strategies
Risk of default by debtors.	Reduced cash flow and profitability.	Proactive credit policies and procedures are in place to verify the credit worthiness and determine the potential credit risk associated with a client.
Project Implementation Risk.	Unbudgeted spendings, cost over runs and delays in project implementation may have a significant impact on the estimated profit margins.	Realistic project timelines and scopes are decided after consulting all required stakeholders. Communicating the strategic planning messages and associated data to middle and first line managers helps them educate their cadre. Well informed employees are most likely to commit to and support the plan. Standardized processes have been set up to cover project consultancy, project award and material procurement. Dedicated teams monitor the project progress against the defined timelines and check whether the achievements comply with the group sustainability credentials.
07 . Operations Risk	Impact	Risk Management Strategies
Health and Safety Risk.	Affect group reputation and brand image.	Heating, ventilation and air conditioning (HVAC) systems are the lifeline systems of a building's operations and health. These systems are regularly inspected and maintained by qualified operators. The groups centralized security division constantly review and monitor security status of individual resorts. Conducting quality audits and risk management reviews, guests satisfaction surveys & intelligence gathering. Increase food and hygiene standards through obtaining ISO 22000 and HACCP certifications. Adequate automatic and manual fire detection and suppression systems are in place and are tested frequently.
Food safety Risk.		An effective group wide supply chain risk management (SCRM) is practiced to ensure that supply chain risks are kept at minimal levels.
Risk of Fire.		Adequate inventory levels are maintained at all hotels to compensate for any unforeseen supply disruptions.
Supply Chain Risk.	Hinders operational efficiencies leading to the inability to meet guest's demands.	The hotel has adequate contractual risk transfer clauses built into the agreements.
Contractual Risk arising from third party service providers.	May result in claims and loss of reputation of the hotel, if service standards are not met by these third party service providers.	

RISK MANAGEMENT

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
Few group hotels offer number of services (spa, gem shop, water sport etc), which are outsourced to third party. Risk of increasing energy cost.	Significant impact on profit margins due to fluctuations in fuel/energy prices.	Where necessary, insurance policies have been obtained from service providers to cover potential claims arising due to poor service standards. Each hotel ensures that such service providers are licensed to provide their respective services.
		The group has implemented energy management systems at all of its properties.
		Further, the group's energy management strategy extends to its purchasing function. Energy consumption is a criterion which is strictly looked at when purchasing lighting equipments, chillers, air conditioners etc.
08 . Employee Risk	Impact	Risk Management Strategies
Due to the rapid growth of the tourism industry, there is a significant shortage of skilled labour.	Reduced productivity.	Significant resources are invested in strengthening our human capital through the deployment of the latest Human Resource Information Systems, regular staff training & development, succession planning and fostering a performance-based culture.
	Reduced quality of service resulting in reduced market share and group's image.	Tap into target resource pools by attending job fairs and strategic partnerships with hotel schools, technical colleges, universities and professional institutes.
		Offering competitive monetary and non-monetary benefits to attract and retain skilled employees. Rewards and Recognition (E.g.: Employee of the month).
Risk of organized labor activities and Trade Union actions.	Adverse impact on service levels, expected quality standards, operational efficiency and group's reputation.	Maintain cordial relationships with Trade Unions and adopting interest-based negotiations for win-win solutions.
		Development of a Multi-skilled work force through structured and focused training programmes.
	Loss of revenue, due to potential down time resulting from strikes.	Standardization of polices, procedures and practices in order to achieve ease of work. Practice an open door policy where employees are free to express their concerns openly.

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
09 . Technology Risk	Impact	Risk Management Strategies
Risks relating to Information Technology and security.	Loss of revenue and business opportunities due to outdated software resulting in reduction in cash flow and profitability.	The group has implemented the latest in Property Management and Reservation software, along with the group-wide Enterprise Resource Planning software, facilitating faster, more accurate information for decision making. Regular review of systems and upgrades where appropriate.
	Loss of key confidential information to competitors resulting in reduced market share.	Implementation of a comprehensive IT policy within the group, supported by adequate systems and controls, ensure the safety and security of data. Contingency plans are in place to mitigate any short term loss on IT services.
	Loss of data and transactions.	All employees are bound by the group code of ethics to safeguard the group's information, a copy of which is given to all employees.
		Aitken Spence Hotel Holdings PLC allocates a significant proportion of its marketing budget for innovative promotional tools such as online search engines and loyalty programmes and mobile apps.
		Aitken Spence Hotel Holdings PLC continues to aim to be fully compliant with payment card industry-Data security standards using tools and services from a leading specialist third party provider with respect to payment card processing.
		The information security division performs routine vulnerability assessments on all IT related systems.
		A dedicated central IT team is in place to support all IT related aspects of the group.
10 . Legal Risk	Impact	Risk Management Strategies
Risk of legal action due to non performance of legal and statutory requirements, further vague clauses in contracts and agreements could be misinterpreted by third parties to their benefit.	High cost of legal and penalty fees resulting in reduced profitability.	A comprehensive internal control system is in place supplemented by regular audit from the corporate internal audit department in collaboration with the corporate legal division.
	Adverse impact to the group's reputation and Brand image.	Ensuring all statutory and legal obligations are met in all transactions.
	May result in legal litigations.	All contracts and agreements are vetted by the group legal division, so as to safeguard the interest of the group.

RISK MANAGEMENT

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
11 .Data Protection & Cyber Security	Impact	Risk Management Strategies
Failure to keep pace with developments in the technology sphere could impair our competitive position and operation.	Adverse impact on efficiency of operations, guest satisfaction and loss of competitive advantage.	Reservation, property management, material management and financial information systems were upgraded for greater alignment with business needs, making it easier to respond to change in business strategy.
Risk of cyber attacks	Data theft.	The IT division of the group and the ASHH PLC have implemented procedures to safeguard the computer installations of the Company to ensure continuity of operations. The Group's centralized Information Technology (IT) division was awarded the Information Security Management Systems (ISMS) ISO 27001:2005 in 2014. This was upgraded to ISO 27001:2013 in 2015 which the division continues to maintain. This would be the governing practice for the entire Group for IT services.
Financial and Market Risks		
12 . Credit Risk	Impact	Risk Management Strategies
Risks from high operational gearing.	Significantly reduced cash flow and profitability during low occupancy periods.	Increased flexibility of the group's operational cost structure through seasonal recruitments, using rental agreements as opposed to outright purchase and outsourcing non-core operations. Sound capital structure and availability of adequate funding options in the group. Obtain adequate bank guarantees from tour operators as a risk transfer mechanism. The management actively monitors and reviews debtors periodically, and intensive follow-up actions are taken on long outstanding debts. Entering in to guaranteed performance contracts with travel agents and tour operators. All the assigned rates, credit limits, settlement procedures, termination and penalties imposed for delayed payments are incorporated in to the agreements.

Analysis of Group Risk, Impact and Risk Mitigation Strategies		
13 . Foreign Exchange Risk	Impact	Risk Management Strategies
Risks from adverse exchange rate fluctuations.	Reduced cash flow and profitability.	Negotiation of room rates in stronger currencies. Strong counter party backing and use of sophisticated financial instruments where appropriate. Matching outflows with inflows of the same currency to the extent that is permitted by the prevailing laws. The treasury division of the parent company monitors exchange rates on a daily basis and advises the company on the best rates to obtain foreign currency conversions. Considering the possibility of contracting in local currency with local travel agents instead of foreign currency, in order to transfer the possible exchange rate risk. Apply a bottom-up approach to identifying consolidated foreign currency exposures. Determine in what currencies each foreign subsidiary collects receivables and makes payments. Develop a strategy to manage consolidated exposure.
14 . Interest Rate Risk	Impact	Risk Management Strategies
Risk arising due to the volatility of fair value or future cash flows of a financial instrument fluctuating because of changes in market interest rates.	Reduced cash flow and profitability.	Entering into loans with interest rate caps mitigated this risk and other instruments to minimize the volatility of cash flows. Working closely with the parent company treasury department to negotiate favorable terms and conditions for loan facilities obtained.
15 . Liquidity Risk	Impact	Risk Management Strategies
Risk of not being able to meet financial commitments as and when they fall due.	Penalty charges and unfavorable terms when obtaining future loans resulting in reduced profitability.	Preparation of regular cash flow forecasts in line with projected occupancy fluctuations in order to assess the liquidity position of the group in the short term. Strong capital structure of the group with sustainable growth in operating earnings. Making optimum use of cash inflows with the help of the corporate treasury division, ensuring the group-wide interest exposure is kept to a minimum. Regular review of actual performance against planned to ensure achievement of budgeted targets.

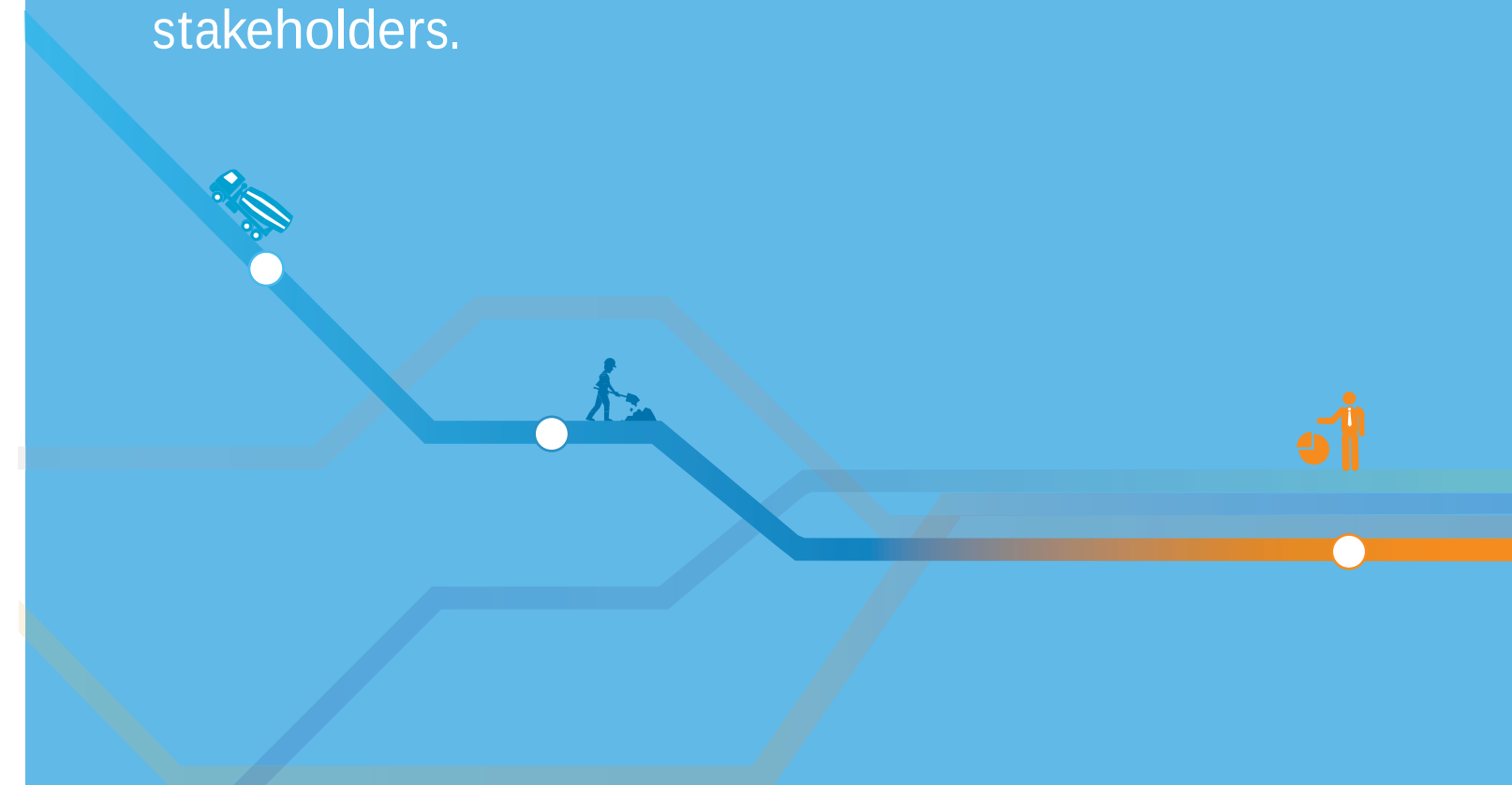


FINANCIAL REPORTS

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216	Income Statement
217	Statement of Profit or Loss and Other Comprehensive Income
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Investing for ongoing and future value creation...

We're delivering good returns for shareholders, unforgettable destination experiences for our guests and growing value for all our other stakeholders.



Financial Reports

The Group's consolidated net revenue grew by 14% to reach Rs. 18,251 million during the financial year against the Rs. 16,055 million achieved during the corresponding year.

FINANCIAL CALENDAR

Events / Information	2018
Forty First Annual General Meeting	29th June
First and Final Dividend for 2017/2018	10th July
Ex Dividend	2nd July
Interim Statement for the three months ended 30th June	Prior to 14th August
Interim Statement for the six months ended 30th September	Prior to 14th November
	2019
Interim Statement for the nine months ended 31st December	Prior to 14th February

INDEPENDENT AUDITORS' REPORT



KPMG
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TO THE SHAREHOLDERS OF AITKEN SPENCE HOTEL HOLDINGS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2018, and the income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 216 to 306.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of Freehold Land	
Refer note 14 to the consolidated financial statements	
Nature and area of focus	Our response
The group has recorded a net gain on revaluation of Freehold Land amounting to Rs.53 Mn as at 31 March 2018 (2017: Rs 208 Mn) by revaluing the Freehold land during the year.	Our audit procedures included,
Freehold land are measured at revalued amounts in the statement of financial position. The group has engaged independent professional valuers with appropriate expertise in valuing properties, in locations of properties being valued to determine the revalued amounts of the land in accordance with recognized industry standards.	- Assessing the objectivity, independence, competence and qualifications of the external valuers. - Assessing the key assumptions applied and conclusions made by the external valuer in deriving the fair value of the properties and comparing the same with evidence of current market values. - Assessing the adequacy of disclosures in relation to fair value of Land in the financial statements.
We identified this as a key audit matter because of the significant judgments and estimates involved in assessing the fair value of the Freehold Land.	

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity

S.R. Mular FCA
T.J.S. Rajakumar FCA
Ms. S.M.B. Jayasinghe ACA
G.A.U. Kumaratne FCA
R.H. Rajan ACA
Principals - S.R.L. Perera FCA(UK), L.B. Attampola-Lee, H.S. Gooneratne ACA
Ms. C.T.N. Perera ACA
RYS. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyaratne FCA
R.M.D.S. Rajapaksa FCA
S.N.M. Shanmugan ACA
C.R. Jayatilaka FCA
Ms. S. Joseph FCA
S.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA

INDEPENDENT AUDITORS' REPORT



Carrying amount of Goodwill	
Refer note 17 to the consolidated financial statements	
Nature and area of focus	Our response
The group has goodwill amounting to Rs.404 Mn as at 31 March 2018 (2017: Rs 395 Mn). The carrying amount of goodwill could be materially misstated if inappropriate judgments and estimates were used by the management in calculating the recoverable amount for each cash generating unit ('CGU') as part of their impairment assessment. The recoverable amount of the goodwill is determined based on value in use calculation. These calculations used cash flows projected using judgments and estimates based on the financial budgets approved by the management. We have identified the recoverable amount of the goodwill as a key audit matter since that is based on forecasted and discounted cash flows, which are inherently judgmental.	Our audit procedures included, - Evaluating the reasonableness of the group's key assumptions for its cash flow projection such as discount rates, cost inflation and business growth with reference to the internally derived sources including group budgetary process and reasonableness of historical forecasts. - Considering the adequacy of the group disclosures in the financial statements in respect of impairment testing.

Impairment of investments in subsidiaries and investment in equity accounted investees	
Refer note 18-19 to the consolidated financial statements	
Nature and area of focus	Our response
The company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs.7, 535 Mn and 1,094 Mn respectively as at 31 March 2018 (2017: Rs. 7,585 Mn and 1,094 Mn). Further the group holds investments in equity accounted investees amounting to Rs. 1,158 Mn. (2017-Rs.1,294 Mn) The carrying amount of each investments in subsidiary and investments in equity accounted investees have been tested for impairment as individual Cash Generating Units. The carrying amount of these investments could be materially misstated if inappropriate judgments and estimates were used by the Directors in calculating the recoverable amount for each cash generating unit ('CGU') as part of their impairment assessment. Investments which have not generated adequate returns may be an indication of impairment. Due to the investments being material it will have a significant impact on financial performance of the company/group. We have identified the impairment of investments in subsidiaries and investments in equity accounted investees as a key audit matter since that is based on forecasting and discounting cash flows, which are inherently judgmental.	Our audit procedures included, - Assessing the impairment indications of investments made in subsidiaries and equity accounted investees and assessing the reasonableness of the discounted cash flow models, principles and accuracy of the forecasts. - Reviewing of Value in Use computations for investments with impairment indications and discussion with management of the group/ component. - Assessing the adequacy of disclosures in the financial statements.



Recoverability of Deferred tax Assets	
Refer note 21 to the consolidated financial statements	
Nature and area of focus	Our response
The group has recognized deferred tax assets amounting to Rs. 143 Mn as at 31 March 2018 (2017: Rs 157 Mn) Group had recognized significant deferred tax assets in respect of the future benefit of deductible temporary differences and accumulated tax losses which management considered would probably be utilised or recovered in the future through the generation of future taxable profits by the group entities or by set-off against deferred tax liabilities. The recognition of deferred tax assets relies on the exercise of significant judgment by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profit being generated and future reversals of existing taxable temporary differences. We identified the recognition of deferred tax assets as a key audit matter because of its significance to the consolidated financial statements and because of the significant management judgment and estimation required in forecasting future taxable profits which could be subject to error or potential management bias.	Our audit procedures included, - Assessing and challenging the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets. This included challenging the key assumptions in future taxable profits forecasts for each Group entity with accumulated unutilized tax losses by comparing the most significant inputs used in the forecasts, including future revenue, margins and operating cost growth rates, with the historical performance of the entities, management's forecasts used for other purposes and our knowledge of the business gained from other audit procedures. - Assessing adequacy of the disclosures in the financial statements.

Financial Instruments	
Refer note 40.5.1.3 to the consolidated financial statements	
Nature and area of focus	Our response
The effective portion of a Cash flow hedge has been recognized under other comprehensive income amounting to Rs.960 Mn as at 31 March 2018.(2017 Rs. Nil) Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility. Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge. If the hedge is not highly effective in offsetting changes in fair values or cash flows attributable to the hedged risk, consistent with the documented risk management strategy, hedge accounting is discontinued. We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.	Our audit procedures included, - Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging. - Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item. - Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting principles.

INDEPENDENT AUDITORS' REPORT



Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit



and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2,618.



CHARTERED ACCOUNTANT

Colombo, Sri Lanka
28th May 2018

INCOME STATEMENT

For the year ended 31st March	Notes	Group		Company	
		2018 Rs. '000	2017 Rs. '000	2018 Rs. '000	2017 Rs. '000
Revenue	5	18,250,581	16,055,386	824,226	689,545
Revenue taxes		(481,042)	(422,348)	(18,119)	(15,089)
Net revenue		17,769,539	15,633,038	806,107	674,456
Other income / (expenses)	6	259,848	(98,600)	1,007,189	853,147
Staff costs		(3,103,254)	(2,746,929)	(176,836)	(149,189)
Depreciation		(1,702,725)	(1,470,418)	(63,223)	(59,128)
Amortisation and impairment		(112,529)	(112,819)	(656)	(60,968)
Other operating expenses - direct	7	(3,898,583)	(3,351,276)	(222,821)	(178,574)
Other operating expenses - indirect	8	(6,198,462)	(5,554,832)	(319,450)	(314,981)
Profit from operations	9	3,013,834	2,298,164	1,030,310	764,763
Finance income		263,213	167,613	102,119	29,819
Finance expense		(949,117)	(745,013)	(216,329)	(164,221)
Net financing income / (expense)	10	(685,904)	(577,400)	(114,210)	(134,402)
		2,327,930	1,720,764	916,100	630,361
Share of (loss) of equity accounted investees (net of tax)	19	(138,039)	(171,202)	-	-
Profit before taxation		2,189,891	1,549,562	916,100	630,361
Income tax (expense) / refund	11	(606,496)	(535,823)	6,506	20,927
Profit for the year		1,583,395	1,013,739	922,606	651,288
Attributable to:					
Equity holders of the parent company		1,169,314	675,873	922,606	651,288
Non - controlling interests		414,081	337,866	-	-
		1,583,395	1,013,739	922,606	651,288
Earnings per ordinary Share - Basic / Diluted (Rs)	12	3.43	1.97	2.70	1.89

Figures in brackets indicate deductions

The notes on pages 224 to 306 form an integral part of these financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31st March	Group		Company	
	2018 Rs. '000	2017 Rs. '000	2018 Rs. '000	2017 Rs. '000
Profit for the year	1,583,395	1,013,739	922,606	651,288
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	53,104	207,669	80,093	60,000
Share of other comprehensive income of equity accounted investees	2,193	51,513	-	-
Actuarial gains/ (losses) on defined benefit obligations	(20,900)	7,515	(5,417)	6,000
Income tax on other comprehensive income	(171,474)	(1,160)	(95,513)	(720)
	(137,077)	265,537	(20,837)	65,280
Items that are or may be reclassified to profit or Loss				
Foreign currency translation differences of foreign operations	233,308	784,324	-	-
Net movement in cashflow hedging	(960,398)	-	-	-
Net change in fair value of available for sale financial assets	-	(75,745)	-	-
	(727,090)	708,579	-	-
Other comprehensive income for the year net of tax	(864,167)	974,116	(20,837)	65,280
Total comprehensive income for the year net of tax	719,228	1,987,855	901,769	716,568
Attributable to:				
Equity holders of the parent company	656,973	1,389,232	901,769	716,568
Non - controlling interests	62,255	598,623	-	-
	719,228	1,987,855	901,769	716,568

Figures in brackets indicate deductions

The notes on pages 224 to 306 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31st March	Notes	Group	Company	2017	2017
		2018	2018		
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non-Current Assets					
Property, plant and equipment	14	41,404,788	37,687,160	1,616,249	1,541,933
Leasehold properties	15	2,023,903	2,042,460	-	-
Prepaid operating leases	16	1,772,172	1,791,169	-	-
Intangible assets	17	416,053	404,612	1,505	1,423
Investment in subsidiaries	18	-	-	7,534,781	7,585,526
Investment in equity accounted investees	19	1,158,581	1,294,427	1,094,994	1,094,994
Other financial assets	20	763,780	126,650	660,419	-
Deferred tax assets	21	143,906	157,760	-	24,356
		47,683,183	43,504,238	10,907,948	10,248,232
Current Assets					
Inventories	22	428,537	476,821	21,240	22,836
Trade and other receivables	23	2,078,519	1,946,990	192,549	110,119
Amounts due from holding company	24	1,464,164	355,663	531,570	-
Amounts due from parent's group entities	25	368,783	442,096	316,451	321,952
Deposits and prepayments		533,238	704,549	9,921	23,410
Prepaid operating lease	16	66,203	71,557	-	-
Current tax receivable		23,233	11,077	-	3,433
Other financial assets	26	528,567	2,349,518	26,546	100,000
Cash and cash equivalents	26	5,418,970	2,315,478	367,291	742,323
		10,910,214	8,673,749	1,465,568	1,324,073
TOTAL ASSETS		58,593,397	52,177,987	12,373,516	11,572,305
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Company					
Stated capital	27	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	28	3,964,579	4,352,819	802,232	722,139
Retained earnings		12,252,049	11,254,420	5,820,055	5,082,452
		19,771,215	19,161,826	10,176,874	9,359,178
Non-controlling interests					
		8,122,788	8,270,862	-	-
Total Equity		27,894,003	27,432,688	10,176,874	9,359,178

As at 31st March	Notes	Group	Company	2017	2017
		2018	2018		
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non-Current Liabilities					
Interest - bearing borrowings	29	18,154,051	14,450,707	667,000	933,400
Government grants	30	-	143	-	-
Deferred tax liabilities	31	646,389	368,880	46,149	-
Other Liabilities	32	881,272	597,833	-	-
Employee benefits	33	195,194	177,462	35,162	29,361
		19,876,906	15,595,025	748,311	962,761
Current Liabilities					
Trade payables		600,229	640,690	38,823	27,109
Other provisions and payables	34	2,950,425	2,847,517	116,355	170,339
Amounts due to holding company		834,985	348,329	276,489	207,530
Amounts due to parent's group entities	35	66,719	129,916	717,312	660,903
Interest bearing borrowings	29	4,320,375	3,311,162	266,400	66,600
Current tax payable		227,525	126,341	9,108	-
Short term bank borrowings	26	1,822,230	1,746,319	23,844	117,885
		10,822,488	9,150,274	1,448,331	1,250,366
TOTAL LIABILITIES		30,699,394	24,745,299	2,196,642	2,213,127
TOTAL EQUITY AND LIABILITIES		58,593,397	52,177,987	12,373,516	11,572,305

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 224 to 306.

I certify that the financial statements for the year ended 31st March 2018 are in compliance with the requirements of the Companies Act No. 07 of 2007.



D.G.P Ekanayake
Assistant Vice President – Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board



D.H.S Jayawardena
Chairman



J.M.S Brito
Managing Director

28th May 2018
Colombo
Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Group	Attributable to equity Holders of the Parent.....										Total Equity
	Stated Capital	General Reserve	Foreign Currency Translation Reserve	Available for Sale Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings	Total	Non Controlling Interests		
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Balance as at 01st April, 2016	3,554,587	22,929	1,206,039	38,630	-	2,378,602	11,205,005	18,405,792	5,429,111	23,834,903	
Profit for the year	-	-	-	-	-	-	675,873	675,873	337,866	1,013,739	
Other comprehensive income	-	-	512,913	(38,630)	-	232,336	6,740	713,359	260,757	974,116	
Total comprehensive income for the year	-	-	512,913	(38,630)	-	232,336	682,613	1,389,232	598,623	1,987,855	
Share of net assets of equity-accounted investees	-	-	-	-	-	-	(14,990)	(14,990)	-	(14,990)	
Effect of change in percentage holding in subsidiaries	-	-	-	-	-	-	-	-	(17,094)	(17,094)	
Effect of acquisitions of subsidiaries during the year	-	-	-	-	-	-	-	-	2,385,486	2,385,486	
Dividends	(Note 13)	-	-	-	-	-	(618,208)	(618,208)	-	(618,208)	
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	-	(125,264)	(125,264)	
Balance as at 31st March, 2017	3,554,587	22,929	1,718,952	-	-	2,610,938	11,254,420	19,161,826	8,270,862	27,432,688	
Profit for the year	-	-	-	-	-	-	1,169,314	1,169,314	414,081	1,583,395	
Other comprehensive income	-	-	227,980	(576,239)	(576,239)	19,343	(183,425)	(512,341)	(351,826)	(864,167)	
Total comprehensive income for the year	-	-	227,980	(576,239)	(576,239)	19,343	985,889	656,973	62,255	719,228	
Effect of change in percentage holding in subsidiaries	-	-	-	-	-	-	160,151	160,151	(160,151)	-	
Transfer of capital reserves on disposal of subsidiary	-	-	-	-	-	(59,324)	59,324	-	-	-	
Purchase of owned shares by subsidiary	(Note 13)	-	-	-	-	-	(123,662)	(123,662)	(7,280)	(130,942)	
Dividends	-	-	-	-	-	-	(84,073)	(84,073)	-	(84,073)	
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	-	(42,898)	(42,898)	
Balance as at 31st March, 2018	3,554,587	22,929	1,946,932	-	(576,239)	2,570,957	12,252,049	19,771,215	8,122,788	27,894,003	

Dividend per ordinary share - interim (Note 13) - (2016/17 - Cts. 50)

Dividend per ordinary share - Final Proposed (Note 13) Rs. 1.25 (2016/17 - Cts. 25)

Figures in brackets indicate deductions

Company	Stated Capital	General Reserve	Revaluation Reserve	Retained Earnings	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April 2016	3,554,587	22,929	639,210	5,044,092	9,260,818
Profit for the year	-	-	-	651,288	651,288
Other comprehensive income	-	-	60,000	5,280	65,280
Total comprehensive income for the year	-	-	60,000	656,568	716,568
Dividends	(Note 13)	-	-	(618,208)	(618,208)
Balance as at 31st March, 2017	3,554,587	22,929	699,210	5,082,452	9,359,178
Profit for the year	-	-	-	922,606	922,606
Other comprehensive income	-	-	80,093	(100,930)	(20,837)
Total comprehensive income for the year	-	-	80,093	821,676	901,769
Dividends	(Note 13)	-	-	(84,073)	(84,073)
Balance as at 31st March, 2018	3,554,587	22,929	779,303	5,820,055	10,176,874

Dividend per ordinary share - interim (Note 13) - (2016/17 - Cts. 50)

Dividend per ordinary share - Final Proposed (Note 13) Rs.1.25 (2016/17 - Cts. 25)

Figures in brackets indicate deductions

The notes on pages 224 to 306 form an integral part of these financial statements.

STATEMENT OF CASH FLOW

	Group		Company	
For the year ended 31st March	2018 Rs. '000	2017 Rs. '000	2018 R s. '000	2017 Rs. '000
Profit before taxation	2,189,891	1,549,562	916,100	630,361
Adjustments for				
Depreciation	1,702,725	1,470,418	63,223	59,128
Amortisation of lease and intangible assets	112,529	112,819	656	191
Impairment/ (reversal of impairment) of trade debtor	(11,989)	5,648	1,059	351
Impairment of investment for equity accounted investees	-	-	-	60,777
Amortisation of government grant	(143)	(156)	-	-
Interest expense	949,117	745,013	216,329	164,221
Interest income	(263,213)	(167,613)	(102,119)	(29,819)
Loss on disposal of Investments	316	-	-	-
Profit on disposal of property, plant & equipment	(166)	2,720	(270)	22
Gain on disposal of Subsidiaries	(307,616)	-	(409,961)	-
Provision for retirement benefit obligations	43,430	37,439	6,228	5,680
Share of loss of equity accounted investees (net of tax)	138,039	171,202	-	-
Effect of movement in exchange rates	75,046	123,457	(13,714)	(7,155)
Operating profit before working capital changes	4,627,966	4,050,509	677,531	883,757
(Increase)/decrease in inventories	43,798	(173,401)	1,596	(4,203)
(Increase)/decrease in trade and other receivables	(149,512)	(86,670)	(81,603)	22,198
(Increase)/decrease in amounts due from holding company	(1,108,501)	(321,840)	(531,570)	14,436
(Increase)/decrease in amount due from parent's group entities	73,313	(67,806)	5,501	37,154
(Increase)/ decrease in deposits & prepayments	168,860	(2,004)	13,489	(18,237)
Increase/(decrease) in trade payables	29	222,978	11,714	(6,309)
Increase/(decrease) in other provisions & payables	102,908	141,528	(53,984)	68,549
Increase/(decrease) in amounts due to holding company	486,656	192,525	68,959	183,204
Increase/ (decrease) in amount due to parent's group entities	(63,197)	32,335	56,409	(140,435)
Cash generated/(used in) from operations	4,182,320	3,988,154	168,042	1,040,114
Interest expenses paid	(949,117)	(745,013)	(216,329)	(164,221)
Retirement benefit obligations paid	(38,850)	(30,347)	(5,844)	(3,254)
Income taxes paid	(392,361)	(625,309)	(5,961)	(6,614)
Net cash flow generated/(used in) from operating activities	2,801,992	2,587,485	(60,092)	866,025
Cash flow from investing activities				
Investments in debt securities and unsecured loans	(688,752)	(57,760)	(995,752)	(482,540)
Proceeds from debt securities	1,787	-	1,787	-
Disposal of equity investments	-	-	50,000	-
Purchase of owned shares by subsidiary	(130,942)	-	-	-
Acquisition of property, plant & equipment	(5,097,080)	(5,131,734)	(57,472)	(170,272)
Purchase of intangible assets	(7,633)	(10,113)	(738)	(1,600)
Net cash inflow on divestment of Subsidiary (Note A)	722,725	2,948,687	717,706	-
Proceeds from disposal of investments	22,973	-	-	-
Proceeds from disposal of property, plant & equipment	3,928	23,216	296	-
Interest received from deposits	274,688	146,371	100,233	26,013
Proceeds / (Purchase) of term deposits	1,847,497	(198,255)	100,000	(100,000)
Net cash generated/(used in) investing activities	(3,050,809)	(2,279,588)	(83,940)	(728,399)

	Group		Company	
For the year ended 31st March	2018 Rs. '000	2017 Rs. '000	2018 R s. '000	2017 Rs. '000
Cash flow from financing activities				
Proceeds from long term borrowings	11,864,095	3,583,830	-	1,000,000
Repayment of long- term borrowings	(8,470,986)	(2,719,576)	(66,600)	-
Dividends paid to equity holders of the parent	(84,073)	(618,208)	(84,073)	(618,208)
Dividend paid to shareholders of non controlling interest	(42,898)	(125,264)	-	-
Net cash generated / (used) in financing activities	3,266,138	120,782	(150,673)	381,792
Net increase / (decrease) in cash & cash equivalents	3,017,321	428,679	(294,705)	519,418
Cash & cash equivalents at the beginning of the year	579,419	140,480	638,152	105,020
Cash & cash equivalents at the end of the year	3,596,740	569,159	343,447	624,438
Analysis of cash & cash equivalents at the end of the year.				
Cash at bank and in hand	4,473,848	1,386,325	367,291	172,361
Short term deposits	945,122	929,153	-	569,962
Short term bank borrowings	(1,822,230)	(1,746,319)	(23,844)	(117,885)
Cash & cash equivalent as previously reported	3,596,740	569,159	343,447	624,438
Effect of movement in exchange rates	-	10,260	-	13,714
Cash & cash equivalents at the end of the year	3,596,740	579,419	343,447	638,152

Note A - Divestment of investment of a Subsidiary

The Company divested its investment in M.P.S Hotels (Pvt) Ltd during the year. The fair value of assets and liabilities divested are as follows:

	Rs.'000
Property, plant and equipment	444,877
Inventories	4,486
Trade and Other receivables	18,497
Deposits and prepayments	2,451
Tax receivable	1,655
Deferred tax	(6,873)
Employee Benefits	(9,494)
Trade and other payables	(40,490)
Cash and cash equivalents	(5,018)
Total identifiable net assets	410,091
Gain on disposal of subsidiary	307,616
Cash and cash equivalents divested	5,018
Net cash inflow on divestment of Subsidiary	722,725

Figures in brackets indicate deductions

The notes on pages 224 to 306 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The consolidated financial statements of the Company as at and for the year ended 31st March 2018 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) (Pvt) Ltd.

1.1 Principal activities and nature of operations

The principal activities of the company are that of an investment holding company and hoteliering and the subsidiary companies are also engaged in the business of hoteliering and there has been no change in the nature of such activities during the year.

2 BASIS OF PREPARATION

2.1 Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs) effective from 1st January 2012, laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995. These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

2.2 Components of Financial Statements

The consolidated Financial Statements include the following components:

- an Income Statement and a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review.

- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- a Statement of Changes in Equity depicting all changes in shareholders funds during the year under review for the Group and the Company
- a Statement of Cash Flow providing the information to users, on the ability of the of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows.
- notes to the Financial Statements comprising significant accounting policies and other explanatory information.

2.3 Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.4 Reporting date

The financial statements of all companies in the group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Co. (Pvt) Ltd., ADS Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd. Cowrie Investment (Pvt) Ltd. and Ace Resorts (Pvt) Ltd whose financial year ends on 31st December.

2.5 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2018 were approved and authorised for issue by the Board of Directors on 28th May 2018.

2.6 Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position.

Item	Basis of Measurement	Note Number
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	14.3
Financial assets classified as available-for-sale	Measured at fair Value	20
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	33

2.7 Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupee.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements'.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these entities are measured using that Functional Currency. There was no change in the Group's Presentation and Functional Currency during the year under review. The financial statements of the group are presented in Sri Lankan Rupees (LKR) which is the functional currency of the Group entities other than for the companies listed below where the functional currency is based on the country of incorporation of the respective company.

Company	Country of Incorporation	functional currency
A.D.S Resorts Ltd	Maldives	USD
Unique Resorts (Pvt) Ltd	Maldives	USD
Jetan Travel Services Company (Pvt) Ltd	Maldives	USD
Cowrie Investments (Pvt) Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	Indian Rupees
Aitken Spence Hotel Services (Pvt) Ltd	India	Indian Rupees
P.R Holiday Homes (Pvt) Ltd	India	Indian Rupees
Perumbalam Resorts Pvt Ltd	India	Indian Rupees
Crest Star Ltd	Hongkong	USD
Crest Star (BVI) Ltd	British Virgin Island	USD

2.8 Use of estimates and judgments

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most significant effect on the amounts recognised in the consolidated financial statements have been discussed in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

NOTES TO THE FINANCIAL STATEMENTS

2.9 Materiality and aggregation
Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on ‘Presentation of Financial Statements’ and amendments to the LKAS 1 on ‘Disclosure Initiative’ which was effective from January 01, 2016.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group and the Company. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.10 Offsetting
Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

2.11 Going concern
The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group. The financial statements are prepared on the going concern basis.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
The accounting policies set out below have been applied consistently to all periods presented in the financial statement of the Group and the Company.

3.1 Basis of consolidation
The group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1 Business combinations
Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

As per the requirements of Sri Lanka Accounting Standard (SLFRS 3) - Business Combinations when the Group acquires a business it assesses the financial assets and liabilities assumed under classifications or designations on the basis of the contractual terms, economic conditions, its operating or accounting policies and other pertinent conditions exist at the acquisition date as at the acquisition date, which is the date on which control is transferred to the Group. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable and other contractual arrangements.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognized amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Non-controlling interests
The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading “ Non – controlling interest ”in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading “Non – controlling interest” in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3 Subsidiaries
Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investees. The group controls an investee if only if, the Group has

- Power over the investee (i.e.; existing rights that give it the current ability to direct the relevant activities of the investee)
- exposure or rights to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities are made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore Group considers all relevant facts and circumstances in accessing whether it has power over an investee including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company.

3.1.4 Loss of control
On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, It is accounted for an equity accounted

NOTES TO THE FINANCIAL STATEMENTS

investee or as an available for sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Investments in equity accounted investees (investment in associates and Joint Venture)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Groups share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2 Foreign currency

3.2.1 Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and amortised cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognized in income statement. However the following items are recognized in the other comprehensive income.

- i. Differences arising on the retranslation of available for sale equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii Gains and losses arising from translating the financial statements of foreign operations
- iii Qualifying cash flows hedges to the extent that the hedge is effective

3.2.2 Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. Income and expenses of the foreign entities are translated at exchange rate approximating to the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate during each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign

operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3 Financial Instruments

Financial assets and financial liabilities are recognised when a Group company becomes a party to the contractual provisions of the instrument.

The classification of financial instruments at initial recognition is dependent on their purpose and characteristics and the management's intention in acquiring them.

Financial instruments are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets or financial liabilities other than financial instruments recognised as fair value through profit and loss, are added to or deducted from the fair value of the financial instruments. Transaction costs, which are insignificant are expensed immediately to the income statement.

3.3.1 Non-derivative financial assets

Financial assets are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets.

The Group initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets (including assets designated at fair value through profit or loss) are recognized initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument. The Group determines the classification of its financial assets at initial recognition.

NOTES TO THE FINANCIAL STATEMENTS

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognized as a separate asset or liability.

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

The Group classifies its non-derivative financial assets into following categories:

- Financial assets at fair value through profit or loss
- Held-to-maturity
- Loans and receivables
- Available for sale financial assets

Financial Assets at fair value through profit or loss

A financial asset is recognized at fair value through profit or loss if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are designated at fair value through profit or loss if the Group manages such investments and make purchases and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition attributable transaction costs are recognized in profit or loss as incurred. Financial assets at fair value through profit or loss are measured at fair value, and changes therein, which takes into account any dividend income, are recognised in income statement.

Attributable transaction costs of fair value through profit or loss financial assets are recognised in the income statement when incurred.

Financial assets at fair value through profit or loss comprise of its portfolio of investments in treasury bills and treasury bonds

The Group has not classified any financial assets as fair value through profit or loss as of the reporting date and during the reporting period.

Held-to-maturity financial assets

If the Group has the positive intent and ability to hold debt securities to mature, then such financial assets are classified as held-to –maturity. Held-to-maturity financial assets are recognised initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition held-to-maturity financial assets are measured at amortised cost using the effective interest method, less any impairment losses. Any sale or reclassification of a more than insignificant amount of held-to-maturity investment not closed to their maturity would result in the reclassification of all held-to maturity investments as available for sale, and prevent the Group from classifying investments securities as held-to-maturity for the current and the following two financial years.

The Group has not classified any financial assets as held to maturity of the reporting date and during the reporting period.

Loans and Receivables

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in active market. Such assets are recognised initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition loans and receivables are measured at amortised cost using the effective interest rate method (EIR) less any impairment losses.

Loans and receivables comprise cash and cash equivalents trade and other receivables.

Available for sale financial assets

Available for sale financial assets are non derivative financial assets that are designated as available for sale or are not classified in any of the previous categories. The Group investments in equity securities and certain debt securities are classified as available for sale financial assets.

Available for sale financial assets are recognised initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments are recognized in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognised the gain or loss accumulated in equity is reclassified to income statement.

The Group recognizes listed and unlisted equity investments that are not held for trading purposes as available for sale financial assets.

3.3.2 Impairment of financial assets

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that is impaired. A financial asset is impaired if, there is objective evidence as a result of one or more events that has occurred after the initial recognition of the financial asset (an incurred 'loss event') and the estimated future cash flows of the investment have been affected.

3.3.2.1 Loans & Receivables

The objective evidence of impairment could include significant financial difficulty of the issuer or counter party, breach of contract such as default in interest or principal payments, or it becomes probable that the borrower will enter bankruptcy or financial reorganisation.

The Group considers impairment of trade receivables at both a specific significant individual debtor level and collectively. Any Group company which has any individually significant debtors assesses them for specific impairment. All individually insignificant debtors that are not specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified by grouping together based on similar risk characteristics. In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred and adjusted for the management's judgment. The carrying amount of the trade receivables is reduced through the use of the bad debt provision account and the amount of the loss is recognised in the income statement. If there is no realistic prospect of future recovery of a debt, the amount is written off.

An impairment loss in respect of other financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the income statement to the extent that the carrying amount of the financial asset at the date the impairment is reversed, does not exceed what the amortised cost would have been had the impairment not been recognised.

3.3.2.2 Available for sale

For equity instruments classified as available for sale financial assets a significant or prolonged decline in the fair value of the investment below its cost is considered to be objective evidence of impairment.

Impairment losses of an available-for-sale security investment are recognised by transferring the cumulative loss that has been recognised in other comprehensive income to the income statement as a reclassification adjustment. The cumulative loss that is reclassified from other comprehensive income to the income statement is the difference between the acquisition cost, net of any principal repayment and amortisation, and the current fair value, less any impairment loss previously recognised in the income statement.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed, with the amount of the reversal recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.3 Derecognition of financial assets

The Group derecognises a financial asset when;

- The right to receive cash flows from the asset have expired or the entity has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either
- The entity has transferred substantially all the risks and rewards of the asset, or
- The entity has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset or the carrying amount allocated to the portion of the asset transferred and the sum of the consideration received together with receivable and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in the income statement.

3.3.4 Non - derivative financial liabilities

Initial recognition and measurement

The Group initially recognizes debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated at fair value through profit or loss) are recognized initially on the trade date at which the Group

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becomes a party to the contractual provisions of the instrument.		derivatives are separated from the host contract and accounted for separately if the economic characteristics and risks of the host contract and the embedded derivative are not closely related, a separate instrument with same terms as the embedded derivative would meet the definition of a derivative, and the combined instrument is not measured at fair value through profit and loss.		grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the cash generating unit or CGU). For the purpose of goodwill impairment testing, goodwill acquired in a business combination is allocated to the group of CGU's that is expected to benefit from the synergies of the combination. The allocation is subject to an operating segment ceiling test and reflects the lowest level at which that goodwill is amortised for internal reporting purposes.		of its intended use. This also includes costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.	
The Group classifies its non-derivative financial liabilities into following categories:						All items of property, plant and equipment are recognised initially at cost.	
- Financial liabilities at fair value through profit or loss							
- Other financial liabilities							
Financial liabilities at fair value through profit or loss							
Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit loss.							
Gains or losses on liabilities held for trading are recognized in the income statement.							
The Group has not designated any financial liabilities upon initial recognition as at fair value through profit or loss							
Other financial liabilities							
All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities							
All other financial liabilities are recognized initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings and financial guarantee contracts.							
3.3.5	Derecognition of financial assets and liabilities	3.3.8	Stated capital	3.4	Assets and Bases of their valuation	3.4.1.2	<i>Significant components of property, plant and equipment</i>
The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.				3.4.1	Property, Plant and Equipment	When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.	
3.3.6	Offsetting of financial instruments	3.3.9.1	<i>Non financial assets</i>	3.4.1.1	<i>Recognition and measurement</i>		
Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.		The carrying amounts of the Group's non financial assets, other than investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. Goodwill and intangible assets that have indefinite useful lives or that are not yet available for use, are tested annually for impairment.		Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.			
3.3.7	Derivative financial instruments	The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing assets that cannot be tested individually are		The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition			

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3.4.1.3 Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.4.1.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of a asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed of. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonable certain that Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

- | | |
|---------------------------------|---------------------------------|
| • Leasehold Premises | over the remaining lease period |
| • Buildings | 08- 50 years |
| • Plant & Equipment | 10-20 years |
| • Kitchen Equipment | 05 -15 years |
| • Office Equipment | 03- 10 years |
| • Sports Equipment | 05-10 years |
| • Motor Vehicles | 04-06 years |
| • Boats | 5 years |
| • Swimming Pool & Equipment | 15- 30 years |
| • Furniture & Fittings | 10- 20 years |
| • Crockery, Cutlery & Glassware | 03-05 years |
| • Soft Furnishing | 05-10 years |

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4.2 Leased assets

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. The owner occupied property acquired by way of finance lease is stated at an amount equal to the lower of its fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and impairment losses if any.

3.4.3 Leasehold property - land

Leasehold property comprising of land use rights and is amortised on a straight line basis over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. Leasehold property is tested for impairment annually. The impairment loss if any is recognised in the income statement.

3.4.4 Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.4.5 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets, The policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.4.6 Computer software

All computer software cost incurred, licensed for use by the Group, which does not form a integral part of related hardware and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognized in the income statement on a straight line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4.6.1 Website costs

Costs incurred on development of websites are capitalized when the entity is satisfied that the web site will generate probable economic benefits in the future. The estimated useful lives for the current and comparative periods are three years.

3.4.7 Investment properties

Investment properties are land and buildings that are held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods and services or for administrative purposes. Investment property is measured at cost at initial recognition and subsequently at cost less aggregate depreciation. However, if there is impairment in value, other than of a temporary nature, the carrying amount is reduced to recognize the decline.

3.4.8 Inventories

Inventories are measured at the lower of cost and net releasable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

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	Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.				
3.4.9	Trade and other receivables Trade and other receivables are stated at the amounts estimated to be realised after providing for impairment on trade and other receivables. Other receivables and dues from related parties are recognised at cost, less provision for impairment.	3.5.2	Provisions A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as finance cost.	3.6.1.2	<i>Contribution to Retirement Pension Scheme-Maldives</i> All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contributes 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.
3.4.10	Cash and cash equivalents Cash and cash equivalents comprise cash in hand and short term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current liabilities. For purpose of Cash flow Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.	3.5.3	Trade and other payables Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.	3.6.1.3	<i>Employee Provident Fund - India</i> Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.
3.4.11	Non-current assets held for sale Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are re- measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill, and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measures in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognized in excess of any impairment loss.	3.5.4	Government grants A government grant is recognised initially as deferred income at fair value when there is a reasonable assurance that it will be received and the Group will comply with the conditions associated with the grant. Grants that compensate the Group for expenses incurred are recognised in income statement on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset is recognised in income statement on a systematic basis over the useful life of the asset.	3.6.1.4	<i>Defined contribution Fund - Oman</i> Group companies in Oman contribute a sum of 10.5% of the gross salary + 1% in respect of work related injuries and illness for Omani employees in accordance with Social Security Insurance Law. Whilst the employee is required to contribute 7% of the salary.
3.5	Liabilities and Provisions	3.6	Employee benefits	3.6.2	Defined Benefit Plans – retiring gratuities A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.
3.5.1	Liabilities Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year from the reporting date. Non-current liabilities are those balances payable after one year from the reporting date. All known liabilities are accounted for in the statement of financial position.	3.6.1	Defined contribution plan A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.	3.6.2.1	<i>Retiring Gratuity – Sri Lanka</i> The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting he estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability. The defined benefit plan is valued by a professionally qualified external actuary. Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.
		3.6.1.1	<i>Provident fund and trust fund – Sr Lanka</i> All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances		The Group recognizes all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.
				3.6.2.2	<i>Defined Benefit Plans – Oman</i> Under the labour law of Oman gratuity is due to expatriate employees upon termination of employment. Gratuity is computed based on half month's basic salary for each year during the first three years of employment and a full months basic salary for each year of employment thereafter. An employee who has been in employment for less than one year is not entitled to receive gratuity.
				3.6.2.3	<i>Defined Benefit Plans – India</i> A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.
				3.6.3	Short-term employee benefits Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.
				3.7	Revenue Group revenue represents sales to customers outside the Group and excludes value added tax. Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being received. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts, value added taxes and intra-group revenue. No revenue is recognised if there are significant uncertainties regarding recovery of the consideration due. The following specific criteria are used for the purpose of recognition of revenue: Apartment revenue is recognised for the rooms occupied on a daily basis, whilst food and beverage sales are accounted for at the time of sale. All revenues are recognised on an accrual basis and matched with the related expenditure.

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- Dividend income is recognised when the right to receive dividends is established. Dividend income is included under other operating income.
- Interest income is recognised as it accrues. Interest income included under finance income in the income statement.
- Rental income arising from renting of property, plant and equipment and investment properties is recognized as revenue on a straight-line basis over the term of hire.
- The Group has a customer loyalty program whereby customers are awarded credits (reward points) known as “Diamond points”, which allows customers to accumulate points when they occupy group hotels. These points can then be redeemed for future hotel accommodation.

The fair value of the consideration received or receivable in respect of initial sale is allocated between “diamond points” and the current sales. The fair value of the “diamond points” is based on a statistical analysis, adjusted to take into account the expected forfeiture rate. The fair value of the points issued is deferred and recognised as revenue when the points are redeemed. The Group has not included extensive disclosure regarding the loyalty programme as the amounts are not significant.

3.8 Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.9 Financing Income /(Expenses)

Finance income comprises interest income on funds invested, including the income from investment categorized under available for sale financial assets. Gains on the disposal of interest generating investment classified under available for sale financial assets is recognised under finance income.

Interest income is recognised as it accrues in income statement, using the effective interest method

Finance expenses comprise interest expense on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in income statement using the effective interest method. However, borrowing

costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

3.10 Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.10.1 Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.10.1.1 Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 10 of 2006 and its amendments thereto.

3.10.1.2 Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in note 11.3 to the financial statements.

3.10.2 Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.10.3 Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge Act No 13 of 2006, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

3.11 Derivative financial instruments and hedging activities

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange risks arising from operational, financing and investing activities.

Derivatives are initially recognised at fair value on the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period.

Any gains or losses arising from changes in the fair value of derivatives other than of cash flow hedges are recognised directly in the Income Statement.

3.11.1 Hedge accounting and cash flow hedge

Hedging’ is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. ‘Hedge accounting’ changes the timing of recognising the gains and losses on either the hedged item or the hedging instrument so that both are recognised in profit or loss or Other Comprehensive Income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument

Group formally designate and document a hedge relationship between a qualifying hedging instrument and a qualifying hedged item at the inception of the hedge; and both at inception and on an ongoing basis, demonstrate that the hedge is highly effective.

The documentation includes identification of the hedge item, hedging instrument, details of the risk that is being hedge and the way in which effectiveness of the hedge will be assessed at inception and during the period of the hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognised asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

The Group makes an assessment, both at the inception of the hedge relationship and on an ongoing basis, whether the hedging instrument is expected to be highly effective in offsetting the changes in cash flows derived from the respective hedged item during the period for which the hedge is designated, and whether the actual results of each hedge is highly effective.

The effective portion of the gain or losses on the hedging instrument is recognised directly as other comprehensive income in the cash flow hedge reserve while any ineffective portion is recognised immediately in profit or loss. The amount recognised in the other comprehensive income is reclassified to profit or loss as a reclassification adjustment in the same period as the hedged cash flows affect profit or loss, and is recognised under the same line item in the income statement.

If the forecast transactions are no longer expected to occur, the hedge no longer meets the criteria for hedge accounting, the hedging instrument expires or is sold, terminated or exercised, or the designation is revoked, hedge accounting is discontinued prospectively and the amount accumulated in equity is reclassified to profit or loss.

3.12 Statement of cash flows

The cash flow statement has been prepared using the “Indirect Method”.

3.13 Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non occurrence of uncertain future events, which are beyond the Group’s control. Capital

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	commitments and contingent liabilities of the Company are disclosed in Note No. 14.4 and 38 to the financial statements.	Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.		The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.	SLFRS 15 – Revenue from Contracts with Customers– effective for annual periods beginning on or after 1st of January 2018
3.14	Events occurring after the reporting date. All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.	When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.			SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under IFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.
3.15	Earnings per share (EPS) The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.	Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities. Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices). Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).		3.18 New Accounting Standards issued but not effective as at the reporting date The Institute of Chartered Accountants of Sri Lanka has issued the following standards which become effective for annual periods beginning after the current financial year. Accordingly these standards have not been applied in preparing theses financial statements and the Group plans to apply these standards on the respective effective dates. The Group is currently in the process of evaluating the potential effect of adoption of these standards and amendments on its financial statements. Such impact has not been quantified as at the balance sheet date. The Group will be adopting these standards as and when they become effective.	The new revenue standard will supersede all current revenue recognition requirements under SLFRS. Either a full retrospective application or a modified retrospective application is required for annual periods beginning on or after 1 January 2018. The Group plans to adopt the new standard on the required effective date using the full retrospective method. During 2016/17, the Group performed a preliminary assessment of IFRS 15, which is subject to changes arising from a more detailed ongoing analysis.
3.16	Segmental Information An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.	If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement. Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.		SLFRS 9 – Financial Instruments – effective for annual periods beginning on or after 1st of January 2018 The final version of SLFRS 9 Financial Instruments that replaces LKAS 39 Financial Instruments: Recognition and Measurement and all previous versions of SLFRS 9. SLFRS 9 brings together all three aspects of the accounting for the financial instruments project: classification and measurement; impairment; and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Except for hedge accounting, retrospective application is required, but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions. The Group plans to adopt the new standard on the required effective date. During 2016/17, the Group has performed a high-level impact assessment of all three aspects of IFRS 9. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Group in the future. Overall, the Group expects no significant impact on its balance sheet and equity.	Based on the preliminary evaluation of the existing contracts with customers it has been assessed that there will not be significant change in revenue recognition methods for the Group. However the Group is in the process evaluating the current processes and systems and quantifying the impact to the accounts. Required changes will be made where necessary.
3.16.1	Primary and Secondary Segments The Group in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, Sri Lanka and South Asia. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure. ii) Segmental information analysed by geographical segments is disclosed in Notes 4 & 36 to the financial statements. iii) All transfers made between the hotels in the Group are based on normal market price.	Fair value of non-financial assets The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability. The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.		SLFRS 16 – Leases – effective for annual periods beginning on or after 1st of January 2019 SLFRS 16 replaces LKAS 17 Leases and related interpretations (IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease). SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognise a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and the depreciation expense on the right-of-use asset.	
3.17	Determination of fair values A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.				

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Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset.

Lessor accounting under SLFRS 16 is substantially unchanged from the current requirements under LKAS 17. Lessors will continue to classify all leases using the same classification principle as in LKAS 17 and distinguish between two types of leases: operating and finance leases.

SLFRS 16 also requires lessees and lessors to make more extensive disclosures than under LKAS 17.

SLFRS 16 is effective for annual periods beginning on or after 1 January 2019. Early application is permitted, but not before an entity applies SLFRS 15. A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

The impact on the implementation of the above standard has not been quantified yet by the Group.

4 OPERATING SEGMENTS

4.1 Analysis of Geographical Segmental Results - Revenue

	Group					
	External		Intra Group		Total Revenue	
	2017/2018 Rs. '000	2016/2017 Rs. '000	2017/2018 Rs. '000	2016/2017 Rs. '000	2017/2018 Rs. '000	2016/2017 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	6,023,130	5,048,145	8,309	10,114	6,031,439	5,058,259
Others	48,235	55,871	472,757	400,445	520,992	456,316
Total Sri Lankan Sector	6,071,365	5,104,016	481,066	410,559	6,552,431	5,514,575
South Asian and Middle East Sector	12,179,216	10,951,370	145,794	147,335	12,325,010	11,098,705
	18,250,581	16,055,386	626,860	557,894	18,877,441	16,613,280
Intra group revenue					(626,860)	(557,894)
Total	18,250,581	16,055,386				

4.2 Analysis of Geographical Segmental Results - Income Tax & Profits

	Group					
	Income Tax Expenses		Profit/(Loss) from Operations		Profit/(Loss) before Taxation	
	2017/2018 Rs. '000	2016/2017 Rs. '000	2017/2018 Rs. '000	2016/2017 Rs. '000	2017/2018 Rs. '000	2016/2017 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	311,010	252,253	968,884	477,629	822,053	293,724
Others	46,967	42,603	271,667	185,415	130,332	85,411
	357,977	294,856	1,240,551	663,044	952,385	379,135
Share of Loss of equity accounted investees (net of tax)	-	-	-	-	(138,039)	(171,202)
Total Sri Lankan Sector	357,977	294,856	1,240,551	663,044	814,346	207,933
South Asian and Middle East Sector	248,519	240,967	1,773,283	1,635,120	1,375,545	1,341,629
Total	606,496	535,823	3,013,834	2,298,164	2,189,891	1,549,562

NOTES TO THE FINANCIAL STATEMENTS

4.3 Analysis of Geographical Segmental Results - Finance Income & Finance Expense

	Group			
	Finance Income		Finance Expenses	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Sector				
Resorts & Hotels	237,912	107,103	384,743	291,008
Others	14,304	7,728	155,639	107,732
Total Sri Lankan Sector	252,216	114,831	540,382	398,740
South Asian and Middle East Sector	10,997	52,782	408,735	346,273
Total	263,213	167,613	949,117	745,013

5 REVENUE

5.1 Revenue Breakdown

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total revenue	18,877,441	16,613,280	824,226	689,545
Less: Intra group revenue	(626,860)	(557,894)	-	-
Revenue	18,250,581	16,055,386	824,226	689,545
Less: revenue tax	(481,042)	(422,348)	(18,119)	(15,089)
Net revenue	17,769,539	15,633,038	806,107	674,456

5.2 Categories of Revenue

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Rendering of hotel services	18,250,581	16,055,386	824,226	689,545
Total	18,250,581	16,055,386	824,226	689,545

5.3 Revenue generated from rendering of hotel services

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment	9,651,180	8,185,055	140,833	219,834
Restaurant	4,554,899	4,128,476	548,187	387,874
Bar	1,485,366	1,358,271	114,114	60,228
Spa related	234,207	209,377	11,893	11,085
Transfers & excursions	1,699,410	1,646,275	523	386
Rent and shop income	250,454	199,328	7,513	9,127
Telephone	16,748	33,481	55	74
Diving and windsurfing	299,293	226,736	-	-
Laundry	10,790	12,516	1,108	937
Management fees	48,234	55,871	-	-
Total	18,250,581	16,055,386	824,226	689,545

The group operates for Sri Lanka hotels a customer reward programme identified as "Diamond Club" as a value addition service to its customers. Reward points are granted to customers who utilises hotel services for more than a designated value. Points could be redeemed in Group Hotels in Sri Lanka.

6 OTHER INCOME/(EXPENSES)

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation	265	1,005	148	69
Dividends (net) from investments	-	-	581,596	844,505
Profit / (Loss) on sale of property, plant & equipment	166	(2,720)	270	(22)
Loss on disposal of investments	(316)	-	-	-
Profit on disposal of Subsidiaries	307,616	-	409,961	-
Net foreign exchange gain / (loss)	(75,046)	(123,457)	13,714	7,155
Insurance claims received	11,699	9,364	-	-
Amortisation of government grant	143	156	-	-
Sundry income	15,321	17,052	1,500	1,440
Total	259,848	(98,600)	1,007,189	853,147

7 OTHER OPERATING EXPENSES - DIRECT

Direct Operating Expenses disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

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8 OTHER OPERATING EXPENSES - INDIRECT

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration & establishment	2,903,650	2,635,073	137,500	128,867
Repairs and maintenance	869,142	897,224	44,044	50,311
Energy	1,006,662	908,115	63,088	68,496
Selling & marketing	1,000,431	820,955	39,686	42,120
Management fees	418,577	293,465	35,132	25,187
Total	6,198,462	5,554,832	319,450	314,981

9 PROFIT FROM OPERATIONS

Profit from Operations is stated after charging all expenses including the following:

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost of inventories & services	3,898,583	3,351,276	(222,821)	178,574
Directors fees and emoluments	5,502	7,272	7	7
Auditors' remuneration				
- KPMG	9,158	8,977	875	815
- Other auditors	1,419	1,030	-	-
Fees paid to Auditors for non audit services				
- KPMG	950	467	437	411
- Other auditors	3,305	8,450	-	-
Impairment / (reversal of impairment) of trade receivables	(11,989)	5,648	1,059	351
Impairment of investment in equity accounted investees	-	-	-	60,777
Depreciation of property, plant and equipment	1,702,725	1,470,418	63,223	59,128
Amortisation of leases and intangible assets	112,529	112,819	656	191
Donations	443	920	157	120
Defined contribution plan cost - EPF	74,345	78,954	11,486	15,939
Defined contribution plan cost - ETF	17,002	16,038	2,799	2,835
Defined contribution plan cost - Oman	5,640	6,372	-	-
Defined contribution plan cost - Maldives	21,301	15,888	-	-
Defined benefit plan cost - retirement benefit	43,430	37,439	6,228	5,680
Legal expenses	3,847	4,828	372	360
Operating lease rentals	389,674	374,539	-	-

10 NET FINANCING INCOME /(EXPENSE)

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Finance income				
Finance income from receivable	263,213	167,613	102,119	29,819
	263,213	167,613	102,119	29,819
Finance expense				
Interest expense on financial liabilities measured at amortised cost	935,992	731,888	216,329	164,221
Interest expense on preference shares	13,125	13,125	-	-
	949,117	745,013	216,329	164,221
Net Finance income /(expense)	(685,904)	(577,400)	(114,210)	(134,402)

11 INCOME TAX EXPENSE

11.1 Aitken Spence Hotel Holdings PLC., being a Company involved in the promotion of tourism is liable to Income Tax at a rate of 12% on the Hotel's operating profits in terms of section 46 of the Inland Revenue Act. No. 10 of 2006.

With the introduction of the Inland Revenue Act No. 24 of 2017, which is effective from 1st April 2018, significant changes have been introduced to the income tax law of the Sri Lanka. No further income tax exemptions are to be granted under the Inland Revenue Act No 24 of 2017 and the present concessionary tax rates enjoyed by the Companies are also amended by the above Act. The Companies which are entitled to concessionary tax rates are based on business operation and would need to ensure they meet the criteria specified in the above Act. Accordingly note 11.5.4 provides a list of significant changes applicable to companies in the Group under the Inland Revenue Act No. 24 of 2017. Further the Department of Inland Revenue has issued a Gazette notification (No. 2064/53) on the transitional provisions that would be applicable in implementing the above Act. The significant changes introduced by the Act and the Gazette notification issued in relation to the transitional provisions are detailed in the paragraphs below.

The Taxation details of the other Companies in the Group are as follows:

11.2 Sri Lankan Sector

11.2.1 The business profits of Aitken Spence Hotel Management Asia (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd are exempt from tax in Sri Lanka, under Section 13 (b) of the Inland Revenue Act No. 10 of 2006. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives. Further profits earned by the Company in Oman is taxed at 12%.

11.2.2 The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd., Kandalama Hotels (Pvt) Ltd., and Turyaa (Pvt) Ltd being Companies involved in the promotion of tourism are liable to tax at a concessionary rate of 12% in terms of section 46 of the Inland Revenue Act No. 10 of 2006.

11.2.3 The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd. arising from leasing out land, is liable for income tax at standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.

11.2.4 The business profits of Turyaa Resorts (Pvt) Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 10 years ending 2026/2027. *

11.2.5 The business profits of Ahungalla Resorts Ltd., would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.*

NOTES TO THE FINANCIAL STATEMENTS

11.2.6 The profits and income earned in foreign currency (other than any commission, discount or similar receipt) from services rendered in or outside Sri Lanka to a party outside Sri Lanka for tax payment in foreign currency are exempt from income tax in terms of section 13(ddd) of the Inland Revenue Act No. 10 of 2006 and amendments thereto.

11.2.7 In addition, a maximum of 25% qualifying payment deduction is available for expansions under section 34 of the Inland Revenue Act No 10 of 2006, for investments not less than Rs.50 million in fixed assets made by any undertaking on investments specified in section 16C or 17A.

The Companies in the Group have claimed the total investment relief available in the year ended 31st March 2017. There was no further investment relief claimed during the year.

11.3 Overseas Sector

11.3.1 The business profits of Jetan Travel Services Co. Pvt Ltd., Cowrie Investment Pvt Ltd., ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd. Ace Resorts (Pvt) Ltd., Crest Star Ltd., Crest Star (BVI) Ltd., P.R Holiday Homes (Pvt) Ltd, Aitken Spence Hotel Services Ltd, Aitken Spence Resorts (Middle East) LLC. and Aitken Spence Hotel Managements South India (Pvt) Ltd being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

11.3.2 The business profits of Jetan Travel Services Co. Pvt Ltd., Cowrie Investment Pvt Ltd., ADS Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd. and Unique Resorts (Pvt) Ltd Companies incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Business Profit Tax Act of Republic of Maldives.

11.3.3 Crest Star Ltd., a Company incorporated in Hong Kong is not liable for Income Tax. Crest Star (BVI) Ltd., a company incorporated in the British Virgin Islands is exempt from Income Tax. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives.

11.3.4 The business profits of P.R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd and Aitken Spence Hotel Services (Pvt) Ltd. being Companies incorporated in India would be liable for tax at a rate of 30.9% in India , when the Company commences commercial operations.

11.3.5 The business profits of Aitken Spence Hotel Managements South India (Pvt) Ltd., being a Company incorporated in India would be liable to an effective income tax rate of 34.61% as per the Indian tax law.

11.3.6 The business profits of Aitken Spence Resorts (Middle East) LLC., being a Company incorporated in Oman would be liable for corporate tax rate of 15% as per the Oman tax law.

11.4 Associate and Joint Venture Companies

11.4.1 The business profits and income of Browns Beach Hotels PLC. arising from leasing of land to "" Negombo Beach Resorts (Pvt) Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.

11.4.2 The business profits of Negombo Beach Resorts (Pvt) Ltd, would be exempt from income tax under section 17 A of Inland Revenue (amendment) Act No. 08 of 2012 for a period of 12 years ending 2029/30.*

11.4.3 The business profits and income of Amethyst Leisure Ltd., is liable for income tax at standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.

11.4.4 The business profits and income of Paradise Resorts Pasikudah (Pvt) Ltd., being a Company involved in the promotion of tourism is liable to tax at a concessionary rate of 12% in terms of section 46 of the Inland Revenue Act No. 10 of 2006.

* The Gazette notification issued in relation to the transitional provisions specifies that unexpired income tax exemptions as at 31st March 2018 granted under section 16C & 17A of Inland Revenue Act No. 10 of 2006 and amended there to would continue to apply under Inland Revenue Act No. 24 of 2017.

11.5 Changes applicable to the Group under Inland Revenue Act No. 24 of 2017.

11.5.1 Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in the Inland Revenue Act No. 24 of 2017, which are expected to be applied to the temporary differences when they reverse. As per provisions of Inland Revenue Act No. 24 of 2017, deferred tax is recognized on the revaluation surplus on freehold land.

11.5.2 Revaluation surplus on freehold land.
As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold lands used for business or investment purpose would be liable to tax at the time of realization. Accordingly deferred tax is recognized on the revaluation surplus of freehold lands which are treated as capital asset used in the business for tax purpose.

Freehold lands which are treated as investment assets for tax purpose would not be considered for deferred tax, since the Act requires deemed cost of the asset to be equal to market value as at 30th September 2017.

11.5.3 Tax losses carried forward
As per the Gazette notification issued in relation to the transitional provisions, any unclaimed loss as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after April 1, 2018 and shall be carried forward up to 6 years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly.

11.5.4 Impact of Inland Revenue Act No. 24 of 2017 (New Act) on the income tax exemptions and tax concessions enjoyed under Inland Revenue Act No. 10 of 2006 and amendments thereto (Old Act).

Statute Reference Under Old Act	Statute Reference Under New Act	Rate Impact
Profits from promotion of tourism under Section 46 Aitken Spence Hotel Holdings PLC Aitken Spence Hotels Ltd Hethersett Hotels Ltd Kandalama Hotels (Pvt) Ltd Paradise Resorts Pasikudah (Pvt) Ltd Turyaa (Pvt) Ltd	Company predominantly* engaged in undertaking for the promotion of tourism	Rate increased from 12% to 14%.(if the predominant criteria is not met, liable for tax at 28%)
Interest income earned on foreign currency denominated instruments specified under section 09	No exemption on interest income and subject to 5% withholding tax	Interest is liable for income tax and credit available on the WHT deducted
Profits and income exempt under 13 ddd	company predominantly* conducting a business of exporting goods and services	Liable for tax at 14%
Profits and income exempt under Section 13 (b) Aitken Spence Hotel Managements Asia (Pvt) Ltd Aitken Spence Hotels International (Pvt) Ltd	company predominantly* conducting a business of exporting goods and services	Liable for tax at 14% and tax credits are available for taxes paid in foreign jurisdictions

* Predominantly under the Inland Revenue Act No. 24 of 2017 means 80% or more calculated based on gross income.

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11.6 Income Tax Expense

		Group		Company	
		2017/2018	2016/2017	2017/2018	2016/2017
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Taxation on current year profits	(Note 11.8)	441,026	410,932	18,500	5,400
(Over) / Under provision relating to previous years		1,604	(21,704)	-	(6,600)
Withholding Tax on dividends paid by subsidiaries		37,309	25,606	-	-
		479,939	414,834	18,500	(1,200)
Deferred tax expense/ (income)	(Note 11.9)				
Impact of change in tax rates		40,619	-	(7,052)	-
Origination and reversal of temporary differences		85,938	120,989	(17,954)	(19,727)
		126,557	120,989	(25,006)	(19,727)
Total		606,496	535,823	(6,506)	(20,927)

Income tax expense excludes, the Group's share of tax expense of the Group's equity-accounted investees recognised in profit and Loss amounting to Rs. 0.9 million. (2016/17 - Nil) which is included in "Share of Profit /(Loss) of equity-accounted investees (net of tax).

11.7 Income Tax expense recognised in Other Comprehensive Income

	Group					
	2017/2018			2016/2017		
	Before Tax	Tax expense/ (income)	Net of Tax	Before Tax	Tax expense/ (income)	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant & equipment	53,104	(174,562)	(121,458)	207,669	-	207,669
Share of other comprehensive income of equity accounted investees (net of tax)	2,193	-	2,193	51,513	-	51,513
Net movement in cash flow hedging	(960,398)	-	(960,398)	-	-	-
Actuarial gains / (losses) arising from retirement benefit obligations	(20,900)	3,088	(17,812)	7,515	(1,160)	6,355
Items that are or may be reclassified to profit or Loss						
Net change in fair value of available for sale financial assets	-	-	-	(75,745)	-	(75,745)
Foreign Currency translation differences of foreign operations	233,308	-	233,308	784,324	-	784,324
Total	(692,693)	(171,474)	(864,167)	975,276	(1,160)	974,116

Tax recognised in other comprehensive income excludes, the Group's share of tax expenses of the equity accounted investees recognised in other comprehensive income of Rs. Nil (2016/17- Nil) which has been included in share of other comprehensive income of equity accounted investees (net of tax).

	Company					
	2017/2018			2016/2017		
	Before Tax	Tax expense/ (income)	Net of Tax	Before Tax	Tax expense/ (income)	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant & equipment	80,093	(96,271)	(16,178)	60,000	-	60,000
Actuarial gains / (losses) arising from retirement benefit obligations	(5,417)	758	(4,659)	6,000	(720)	5,280
Total	74,676	(95,513)	(20,837)	66,000	(720)	65,280

11.8 Reconciliation of Accounting Profit to Tax on current year

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit before tax	2,189,891	1,549,562	916,100	630,361
Consolidated adjustments	138,039	171,202	-	-
Profit after adjustments	2,327,930	1,720,764	916,100	630,361
Profits and income (Net of exempt losses) not liable for income tax	612,908	1,468,093	(410,541)	(465)
* Effect of revenue taxed at source	640,171	562,346	-	-
Adjusted Profits	3,581,009	3,751,203	505,559	629,896
Non taxable receipts gains	(44,200)	(88,400)	(581,596)	(844,505)
Aggregate disallowed expenses	2,109,441	1,943,349	93,702	131,367
Capital allowances	(3,252,448)	(3,449,866)	(60,149)	(48,275)
Aggregate allowable expenses	(131,890)	(198,536)	(11,257)	(26,596)
Utilisation of tax losses	(41,279)	(15,569)	(35,539)	(10,274)
Qualifying payment deductions	-	(6,848)	-	-
Current year losses not utilised	819,975	967,414	155,280	187,467
Taxable Income	3,040,608	2,902,747	66,000	19,080

Income Tax charged at

Standard rate of 28%	75,689	44,610	18,500	5,400
Concessionary rate of 12%	74,922	79,376	-	-
Varying rates on overseas company profits	290,415	286,946	-	-
Taxation on current years profits	441,026	410,932	18,500	5,400
Over/Under provision relating to previous years	1,604	(21,704)	-	(6,600)
Withholding tax on dividends paid by subsidiaries	37,309	25,606	-	-
	479,939	414,834	18,500	(1,200)

NOTES TO THE FINANCIAL STATEMENTS

11.9 Deferred tax expenses / (income)

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Origination / (reversal) of temporary differences arising from:				
Property, plant and equipment	213,579	140,927	11,883	1,763
Defined benefit obligations	(6,084)	(1,132)	(642)	(290)
Tax losses carried forward	(80,938)	(18,806)	(36,247)	(21,200)
Total	126,557	120,989	(25,006)	(19,727)

11.10 Tax Losses Carried Forward

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax Losses brought forward	3,364,917	2,531,268	950,291	773,628
Adjustments to prior year tax liability and tax losses arising during the year	844,547	849,218	158,699	186,937
Utilisation of tax losses	(41,279)	(15,569)	(35,539)	(10,274)
Total	4,168,185	3,364,917	1,073,451	950,291

Group tax expense is based on the taxable profit of individual companies within the group.

Income derived from the provision of services by non resident companies operating in the Maldives is subject to withholding tax of 10%.

- 11.11** As specified in Note No. 11.10, the companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. From these losses, companies in the Group have not accounted for deferred tax assets, amounting to Rs. 450,297,033/- (2016/17 - Rs. 292,593,899/-) since utilisation against future taxable profits are not probable.

For Aitken Spence Hotel Holdings PLC there were no deferred tax assets unaccounted on losses as at 31.03.2018. (2016/17 - Nil)

12 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the profit for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and share data used in the basic earnings per share computation.

	Group		Company	
	2017/2018	2016/2017	2017/2018	2016/2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Amounts used as numerator				
Profit after taxation and non-controlling interest attributable to Aitken Spence Hotel Holdings PLC.	1,169,314,350	675,873,049	922,605,996	651,287,551
Preference dividend	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
	1,154,464,350	661,023,049	907,755,996	636,437,551
Number of ordinary shares used as the denominator				
Weighted Average No. of shares in issue applicable to basic earnings per share	336,290,010	336,290,010	336,290,010	336,290,010
Earnings per ordinary share - (Rs.)	3.43	1.97	2.70	1.89

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings per share is equal to the basic earnings per share.

13 DIVIDENDS

	Company	
	2017/2018	2016/2017
	Rs. '000	Rs. '000
Final Dividends declared and paid for 2016/17		
Preference Dividend		
Preference dividend paid for 2016/17	-	(14,850)
Ordinary Dividend		
Final ordinary dividend paid for 2016/17	(84,073)	(420,363)
	(84,073)	(435,213)
Interim dividends declared and paid for 2017/18		
Preference Dividends		
Preference dividend paid for 2017/18	-	(14,850)
Ordinary Dividend		
Interim ordinary dividend paid for 2017/18	-	(168,145)
Total	(84,073)	(618,208)
Final ordinary dividends proposed	420,363	84,073
Preference dividends proposed	14,850	-
Ordinary Dividend per Share - (Rs.)	1.25	0.75

NOTES TO THE FINANCIAL STATEMENTS

The Directors have declared a final ordinary dividend of Rs. 1.25 per ordinary share for 2017/18 (2016/17 Rs. 0.75) and a 9% cumulative preference dividend for the year ended 31st March 2018. If approved at the Annual General meeting on 29th June 2018. The preference dividends and Rs. 1.14 of ordinary dividends will be paid out of taxable dividends received from Subsidiary Companies from which 10% withholding tax has been deducted and the balance ordinary dividends of cents 11 will be paid out of dividend received from companies incorporated outside Sri Lanka where no withholding tax is deducted.

In accordance with LKAS 10 - Events After the Reporting Period, the recommended final dividends has not been recognised as a liability as at 31st March 2018.

However for the purpose of computing dividends per share, dividends to be approved has been taken into consideration.

14 PROPERTY PLANT AND EQUIPMENT

14.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Capital work-in progress	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation								
Balance as at 01.04.2017	6,489,697	28,311,878	6,715,217	361,999	2,307,373	722,895	2,535,094	47,444,153
Additions	-	252,089	430,809	31,690	128,746	69,942	4,183,804	5,097,080
Subsidiaries disposed during the year	(300,500)	(171,543)	(47,660)	(8,467)	(28,677)	(13,850)	(772)	(571,469)
Capitalisation of amortised leases and lease accruals (Note 15, 16 & 32)	-	-	-	-	-	-	291,997	291,997
Transfers	-	171,110	-	-	-	-	(171,110)	-
Revaluations	53,104	-	-	-	-	-	-	53,104
Disposals	-	-	(12,753)	-	(21)	(13,476)	(1,479)	(27,729)
Effect of movement in exchange rates	79,288	336,062	74,564	5,761	17,171	9,970	60,422	583,238
Balance as at 31.03.2018	6,321,589	28,899,596	7,160,177	390,983	2,424,592	775,481	6,897,956	52,870,374
Accumulated Depreciation								
Balance as at 01.04.2017	-	5,072,965	2,858,494	242,339	994,978	588,217	-	9,756,993
Subsidiaries disposed during the year	-	(60,943)	(30,034)	(5,132)	(19,971)	(10,512)	-	(126,592)
Charge for the year	-	796,468	618,178	29,323	183,980	74,776	-	1,702,725
Disposals	-	-	(10,342)	(659)	(6)	(12,960)	-	(23,967)
Effect of movement in exchange rates	-	91,616	40,311	4,980	10,851	8,669	-	156,427
Balance as at 31.03.2018	-	5,900,106	3,476,607	270,851	1,169,832	648,190	-	11,465,586
Carrying value								
As at 31.03.2018	6,321,589	22,999,490	3,683,570	120,132	1,254,760	127,291	6,897,956	41,404,788
As at 31.03.2017	6,489,697	23,238,913	3,856,723	119,660	1,312,395	134,678	2,535,094	37,687,160

14.1.1 The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Group as at 31st March 2018 was Rs. 2,348,145,726/- (Company Rs.64,381,437/-)

14.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

14.1.3 Assets pledged as security against borrowings are disclosed in Note 29.1.

14.1.4 During the year borrowing cost amounting to Rs. 167,111,675/- was capitalised by the Group. The total interest cost capitalised to date under property plant and equipment amount to Rs. 623,741,332/-. The capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation is 6.83%.

14.1.5 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

14.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation							
Balance as at 01.04.2017	630,207	1,057,789	466,159	647	248,909	116,980	2,520,691
Revaluation	80,093	-	-	-	-	-	80,093
Additions	-	14,315	24,189	-	6,400	12,568	57,472
Disposals	-	-	(79)	-	-	(620)	(699)
Balance as at 31.03.2018	710,300	1,072,104	490,269	647	255,309	128,928	2,657,557
Accumulated Depreciation							
Balance as at 01.04.2017	-	320,130	345,565	647	214,728	97,688	978,758
Charge for the year	-	28,280	19,430	-	4,816	10,697	63,223
Disposals	-	-	(78)	-	-	(595)	(673)
Balance as at 31.03.2018	-	348,410	364,917	647	219,544	107,790	1,041,308
Carrying value							
As at 31.03.2018	710,300	723,694	125,352	-	35,765	21,138	1,616,249
As at 31.03.2017	630,207	737,659	120,594	-	34,181	19,292	1,541,933

NOTES TO THE FINANCIAL STATEMENTS

14.3 FREEHOLD LAND

14.3.1 Land carried at revalued amounts

Company	Location	Last revaluation date	Land extent	Carrying amount as at 31.03.2018 Rs.'000	Revaluation Surplus Rs.'000	Carrying amount at cost Rs.'000
Aitken Spence Hotel Holdings PLC (i)	"Heritance Ahungalla" Galle Road, Ahungalla	30.9.2017	11A 3R 34.02P	695,600	677,398	18,202
	Galle Road, Ahungalla	30.9.2017	39.26P	14,700	9,493	5,207
Heritance (Pvt) Ltd (i)	Moragalla, Beruwala	30.9.2017	5A 3R 6.80P	324,250	313,170	11,080
Meeraladuwa Resorts (Pvt) Ltd (i)	Meeraladuwa Island Balapitiya	30.9.2017	29A 2R 9P	217,020	116,758	100,262
Kandalama Hotels (Pvt) Ltd (i)	Kandalama , Dambulla	30.9.2017	169A 2R 22.40P	9,300	1,916	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i)	Ayurvedic Village, Moragalla, Beruwala	30.9.2017	0A 0R 19.30P	4,500	437	4,063
P.R. Holiday Homes (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	14A, 0R. 7.52P	205,573	66,708	138,865
Turyaa (Pvt) Ltd (i)	418, Parallel Road Kudawaskaduwa, Kalutara	30.9.2017	5A 1R 37.9P	384,160	364,395	19,765
	49, Sea Beach Road, Kalutara	30.9.2017	0A 1R 30.32P	23,000	21,512	1,488
Turyaa Resorts (Pvt) Ltd (i)	Kudawaskaduwa, Kalutara	30.9.2017	1A 3R 33.20P	150,336	93,557	56,779
	Kudawaskaduwa, Kalutara	30.9.2017	0A 1R 34.30P	20,000	10,826	9,174
Ahungalla Resorts Ltd (i)	Galle Road, Ahungalla	30.9.2017	10A 2R 39.25P	773,650	43,650	730,000
	Galle Road Ahungalla	30.9.2017	2A,0R 35.92P	169,000	44,000	125,000
Perumbalam Resorts (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	4A, 0R, 0.9P	52,411	42,478	9,933
Total				3,043,500	1,806,298	1,237,202

The above lands have been revalued by independent, qualified valuers on the basis of current market value.

(i) Valuation of the land was carried out by Mr.K.C.B. Condegama, A.I.V. (Sri Lanka)

(ii) Valuation of the land carried out by Mr. T.T. Kripananda Singh B.S.C. (Engg.) MICA, F.I.E, F.I.V of Messers N. Raj Kumar and Associates (India)

14.3.2 Land carried at Cost

Company	Location	Acquisition date	Extent	Carrying amount as at 31.03.2018 Rs' 000
Aitken Spence Resorts (Middle East) LLC	Muscat, Oman	11.02.2016	5A. 0R. 8.0P	2,717,411
Aitken Spence Hotel Management	144/7, Kottivakkam, OMR	09.06.2014	0A. 3R. 15.4P	560,678
South India (Pvt) Ltd	Chennai			
Total				3,278,089

Revaluation of the above properties have not been carried out as the carrying values are consistent with the market values.

		Group 31.03.2018 Rs. '000	31.03.2017 Rs. '000
14.3.3	Total carrying amount of land		
	Land carried at revalued amounts (Note 14.3.1)	3,043,500	2,425,441
	Land carried at cost (Note 14.3.2)	3,278,089	4,062,120
	Total	6,321,589	6,487,561

14.4 CAPITAL EXPENDITURE COMMITMENTS

The following commitments for capital expenditure approved by the Directors as at 31st March, 2018 have not been provided for in the accounts.

	Group 31.03.2018 Rs. '000	31.03.2017 Rs. '000
Approximate amount approved but not contracted for	2,183,559	1,606,915
Approximate amount contracted for but not accounted	5,480,729	7,979,475
Total	7,664,288	9,586,390

15 LEASEHOLD PROPERTIES

	Group 31.03.2018 Rs. '000	31.03.2017 Rs. '000
Acquisition Cost		
Balance brought forward	2,585,178	2,461,014
Effect of movement in exchange rates	61,402	124,164
Balance carried forward	2,646,580	2,585,178
Accumulated Amortisation		
Balance brought forward	(542,718)	(454,286)
Effect of movement in exchange rates	(13,837)	(24,805)
Amortised during the year	(55,307)	(53,222)
Amortisation capitalised to property, plant and equipment	(10,815)	(10,405)
Balance carried forward	(622,677)	(542,718)
Unamortised leasehold properties as at 31st March	2,023,903	2,042,460

Leasehold properties represents the acquisition cost of leasehold rights of some of the hotel properties in the Maldives.

NOTES TO THE FINANCIAL STATEMENTS

16 PREPAID OPERATING LEASES

	Group	
	31.03.2018	31.03.2017
	Rs. '000	Rs. '000
Cost		
Balance brought forward	2,001,281	1,911,852
Effect of movement in exchange rates	42,635	89,429
Balance carried forward	2,043,916	2,001,281
Accumulated Amortisation		
Balance brought forward	(138,555)	(68,035)
Amortised during the year	(51,426)	(55,321)
Amortisation capitalised to property, plant and equipment	(15,560)	(15,199)
Balance carried forward	(205,541)	(138,555)
Unamortised prepaid operating leases as at 31st March	1,838,375	1,862,726
Current Portion of unamortised operating leases	(66,203)	(71,557)
Non Current portion of unamortised operating leases as at 31st March	1,772,172	1,791,169

Prepaid operating leases represents the amounts paid in advance for leasehold rights of some of the hotel properties.

16.1 Unexpired Lease periods of leasehold land:

Company Name	Location of the Property	Unexpired lease period as at 31st March 2018
Kandalama Hotels (Pvt) Ltd.	Dambulla	24 years
Hethersett Hotels Ltd.	Nuwara Eliya	76 years
Aitken Spence Hotels Ltd.	Beruwela	25 years
Jetan Travel Services Co. (Pvt) Ltd.	Maldives	23 years
Cowrie Investment (Pvt) Ltd. - (existing land)	Maldives	30 years
- (new island)	Maldives	47 years
ADS Resorts (Pvt) Ltd.	Maldives	8 years
Unique Resorts (Pvt) Ltd.	Maldives	27 years
Ace Resorts (Pvt) Ltd.	Maldives	47 years

16.2 Lease Commitments

	Group	
	31.03.2018	31.03.2017
	Rs. '000	Rs. '000
Lease rentals payable within one year	394,902	385,667
Lease rentals payable within one to five years	1,975,736	1,990,146
Lease rentals payable after five years	5,607,515	5,799,497
Total	7,978,153	8,175,310

Lease commitments have been estimated based on remaining lease periods disclosed under Note 16.1 above.

US Dollar conversion rate prevailed as at the Balance Sheet date 31st March 2018 disclosed in Note 37 has been used to convert the future lease commitments of Maldives properties.

17 INTANGIBLE ASSETS

17.1 Group

	Goodwill Rs. '000	Computer Software Rs. '000	Total Rs. '000
Cost or Valuation			
Balance as at 01.04.2017	394,780	77,144	471,924
Effect of movement in exchange rates	9,590	736	10,326
Additions	-	7,633	7,633
Disposal of Subsidiary	-	(1,133)	(1,133)
Balance as at 31.03.2018	404,370	84,380	488,750
Accumulated amortisation / impairment			
Balance as at 01.04.2017	-	(67,312)	(67,312)
Effect of movement in exchange rates	-	(711)	(711)
Amortisation	-	(5,796)	(5,796)
Disposal of Subsidiary	-	1,122	1,122
Balance as at 31.03.2018	-	(72,697)	(72,697)
Carrying value			
As at 31.03.2018	404,370	11,683	416,053
As at 31.03.2017	394,780	9,832	404,612

Goodwill is arisen in respect of acquisition of 70% of equity in Aitken Spence Resorts (Middle East) LLC during the year 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering ten year periods. The key assumptions used are given below.

Business growth	-	Based on the long term average growth rate for each business unit. The weighted average growth rate used is consistent with the forecast included in industry reports.
Inflation	-	Based on current inflation rate.
Discount rate	-	Risk free rate adjusted for the specific risk relating to the industry.
Margin	-	Based on past performance and budgeted expectations

NOTES TO THE FINANCIAL STATEMENTS

17.2 Company

	Computer Software Rs. '000	Total Rs. '000
Cost or Valuation		
Balance as at 01.04.2017	7,137	7,137
Additions	738	738
Balance as at 31.03.2018	7,875	7,875
Accumulated amortisation / impairment		
Balance as at 01.04.2017	(5,714)	(5,714)
Amortisation	(656)	(656)
Impairment during the year	-	-
Balance as at 31.03.2018	(6,370)	(6,370)
Carrying value As at 31.03.2018	1,505	1,505
As at 31.03.2017	1,423	1,423

Intangible assets as at 31st March 2018 includes fully amortised assets of the group having a gross carrying amount of Rs. 64,381,437/- that is still in use (Company Rs. 5,779,845/-) there were no intangible assets pledged by the Group as security for facilities obtained from banks.

18 INVESTMENT IN SUBSIDIARIES

18.1 Investments in Subsidiaries – Unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2018 Rs. '000	31.03.2017 Rs. '000
Subsidiary Companies						
a) Equity Shares						
Aitken Spence Hotels Ltd.	Sri Lanka	14,701,204	98.00%	98.00%	149,736	149,736
Crest Star Ltd.	Hong Kong	10,000	100.00%	100.00%	9,921	9,921
(Ordinary Shares of HK\$ 1 each)						
Crest Star (BVI) Ltd.	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
(Ordinary Shares of US\$ 1 each)						
Cowrie Investment (Pvt) Ltd.	Maldives	52,740	60.00%	60.00%	321,733	321,733
(Ordinary Shares of Mrf 1000 each)						
Aitken Spence Resorts (Middle East) LLC	Oman	10,000	0.10%	0.12%	3,780	3,780
(Ordinary Shares of OMR 1 each)						
Hethersett Hotels Ltd.	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd.	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd.	Sri Lanka	10,744,582	51.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) Ltd	India	12,874,000	8.27%	8.27%	307,000	-
Turyaa (Pvt) Ltd.	Sri Lanka	219,812,322	100.00%	100.00%	1,583,679	1,583,679
MPS Hotels (Pvt) Ltd	Sri Lanka	4,753,025	100.00%	100.00%	-	307,745
Turyaa Resorts (Pvt) Ltd	Sri Lanka	104,600,000	100.00%	100.00%	1,046,000	1,046,000
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
					7,134,781	7,135,526
b) Preference Shares						
Hethersett Hotels Ltd.	Sri Lanka	5,000,000			-	50,000
Aitken Spence Hotels Ltd	Sri Lanka	40,000,000			400,000	400,000
Net carrying amount of Investments in subsidiaries – unquoted as at 31st March					7,534,781	7,585,526

NOTES TO THE FINANCIAL STATEMENTS

18.2 Investments in Sub Subsidiaries

		Group					
	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2018 Rs. '000	31.03.2017 Rs. '000	
Sub Subsidiary Companies							
a) Equity Shares							
Aitken Spence Hotels Ltd.							
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.74%	234,406	234,406	
- Heritance (Pvt) Ltd.	Sri Lanka	2,125,627	100.00%	98.00%	35,751	35,751	
					270,157	270,157	
Crest Star (BVI) Ltd							
- Jetan Travel Services Co. (Pvt) Ltd	Maldives	47,500	95.00%	95.00%	446,928	436,559	
					446,928	436,559	
Aitken Spence Hotels International (Pvt) Ltd							
- ADS Resorts (Pvt) Ltd	Maldives	1,275,000	100.00%	51.00%	103,970	103,970	
- Unique Resorts (Pvt) Ltd	Maldives	6,375,000	100.00%	51.00%	562,663	562,663	
- Aitken Spence Hotel Services (Pvt) Ltd	India	10,000	100.00%	51.00%	271	271	
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	142,799,285	91.73%	46.78%	3,221,946	2,976,264	
- Ace Resorts (Pvt) Ltd	Maldives	8,480,999	100.00%	51.00%	740,155	740,155	
- Aitken Spence Resorts (Middle East) LLC	Oman	10,371,180	99.90%	50.95%	4,009,212	3,088,670	
					8,638,217	7,471,993	
Aitken Spence Hotel Managements Asia (Pvt) Ltd							
- PR Holiday Homes (Pvt) Ltd (ordinary shares)	India	621,310	84.57%	43.13%	174,949	174,949	
- Aitken Spence Hotels International (Pvt) Ltd (preference shares)	Sri Lanka	2,906,138	100.00%	100.00%	581,227	581,227	
					756,176	756,176	
- PR Holiday Homes (Pvt) Ltd							
- Perumbalam Resorts (Pvt) Ltd	India	10,000	100.00%	43.13%	238,952	233,953	
					238,952	233,953	

Kandalama Hotels (Pvt) Ltd., and Heritance (Pvt) Ltd., are Subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Co. Pvt Ltd., is a Subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management (South India) Pvt Ltd., Ace Resorts (Pvt) Ltd and Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

P.R Holiday Homes (Pvt) Ltd is a Subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Ltd)., is a subsidiary of P.R Holiday Homes (Pvt) Ltd.

18.3 Non Controlling Interest - Subsidiaries

The following Subsidiaries have material NCI

Name	Principle place of Business/ Country of incorporation	Operating Segment	Ownership interest held by NCI	
			As at 31.03.2018	As at 31.03.2017
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lanka Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lanka Sector	40%	40%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asian Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Aitken Spence Hotel Management South India (Pvt) Ltd	India	South Asian Sector	44.95%	49%

Except for Ahungalla Resorts Ltd and Cowrie Investments (Pvt) Ltd., the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC.

Summarised financial information of Subsidiaries with material NCI

	Cowrie Investments (Pvt) Ltd		Ahungalla Resorts Ltd	
	2018 Rs'000	2017 Rs'000	2018 Rs'000	2017 Rs'000
For the year ended 31st March				
Revenue	3,535,925	3,217,755	1,903,580	1,166,155
Profit/(Loss) after tax	548,062	583,551	(274,020)	(264,899)
Profit/ (loss) attributable to NCI	219,225	233,420	(109,608)	(105,960)
Other comprehensive income	114,908	203,713	(860,487)	-
Total comprehensive income	662,970	787,264	(1,134,507)	(264,899)
Total comprehensive income attributable to NCI	265,188	314,906	(453,803)	(105,960)
Current Assets	675,058	1,639,824	4,036,943	1,199,744
non current assets	9,956,415	5,670,496	11,148,199	11,429,264
Current Liabilities	(1,109,116)	(976,517)	(3,833,377)	(1,764,521)
Non- Current liabilities	(4,260,700)	(1,747,524)	(6,732,099)	(5,210,736)
Net Assets	5,261,657	4,586,279	4,619,666	5,653,751
Net assets attributable to NCI	2,104,663	1,834,512	1,847,866	2,261,500
Cash flow from operating activities	656,538	709,645	844,484	143,254
Cash flow from investing activities	(4,202,070)	(1,768,484)	(109,383)	(4,470,010)
Cash flow from financing activities	2,332,850	1,139,925	2,194,229	3,056,011
Net increase in cash and cash equivalents	(1,212,682)	81,086	2,929,330	(1,270,745)
Dividends paid to NCI during the year	-	-	-	-

The above figures are before elimination of inter company transactions.

NOTES TO THE FINANCIAL STATEMENTS

19 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

19.1 Investment in Associates

19.1.1 Investment in Associates - Quoted

	Group				Company			
	No. of	Group	31.03.2018	31.03.2017	No. of	Company	31.03.2018	31.03.2017
	Shares	Holding	Rs. '000	Rs. '000	Shares	Holding	Rs. '000	Rs. '000
Browns Beach Hotels PLC (Consolidated with Negombo Beach Resorts (Pvt) Ltd)	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Net book value as at 31st March	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Share of movement in equity value			(200,728)	(81,822)			-	-
Surplus on revaluation			317,218	314,880			-	-
Equity value of Investment as at 31st March			1,041,600	1,158,168	Net Book Value as at 31st March		906,602	906,602
Market value of quoted investment as at 31st March			707,990	1,032,889	Market value of quoted investment as at 31st March		692,854	1,010,807

19.1.2 Investment in Associates - Unquoted

	Group				Company			
	No. of	Group	31.03.2018	31.03.2017	No. of	Company	31.03.2018	31.03.2017
	Shares	Holding	Rs. '000	Rs. '000	Shares	Holding	Rs. '000	Rs. '000
Amethyst Leisure Ltd (Consolidated with Paradise Resorts Pasikudah (Pvt) Ltd)	134,666,055	27.89%	249,169	191,409	134,666,055	27.89%	249,169	191,409
Investments made during the year	-	-	-	57,760	-	-	-	57,760
Net book value as at 31st March	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
Share of movement in equity value			(132,188)	(112,910)			-	-
Equity value of Investment as at 31st March			116,981	136,259			249,169	249,169
Less Provision for Impairment of investment			-	-			(60,777)	(60,777)
			116,981	136,259			188,392	188,392
Total Equity Value of Investments - Quoted (19.1.1)			1,041,600	1,158,168			906,602	906,602
Total Equity Value of Investments - Unquoted (19.1.2)			116,981	136,259			188,392	188,392
Total Equity Value of Investments as at 31st March			1,158,581	1,294,427			1,094,994	1,094,994

19.2 Equity Accounted Investees - Associates

Name	Principle place of Business / Country of incorporation	Nature of relationship with the Group	Ownership interest % Voting rights held As at 31st March 2018	Fair Value of ownership interest (if listed) Rs.000
Browns Beach Hotels PLC	Sri Lanka	Owns" Negombo Beach Resorts (Pvt) Ltd	37.42%	707,990
Negombo Beach Resorts (Pvt) Ltd (100% subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owns and Operates " Heritance Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owns Paradise Resorts Pasikudah (Pvt) Ltd	27.89%	-
Paradise Resorts Pasikudah (Pvt) Ltd (100% Subsidiary of Amethyst Leisure Ltd.)	Sri Lanka	Owns and Operates Amethyst Resorts Pasikudah	27.89%	-

Summarised financial information of Associates with material NCI

	Amethyst Leisure Ltd Consolidated with Paradise Resorts Pasikudah (Pvt) Ltd.		Browns Beach Hotels PLC Consolidated with Negombo Beach Resorts (Pvt) Ltd	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
For the year ended 31st March				
Revenue	94,870	90,093	918,616	580,827
Profit /(Loss) after tax	(69,011)	(66,288)	(319,637)	(482,909)
Other comprehensive income	36	277	5,862	137,468
Total comprehensive income	(68,975)	(66,011)	(313,775)	(345,441)
Attributable to NCI	(49,737)	(47,601)	(196,361)	(216,177)
Attributable to Investees Shareholders	(19,238)	(18,410)	(117,415)	(129,264)
Current Assets	27,455	14,668	273,705	142,601
Non Current Assets	645,382	661,206	5,759,788	5,906,680
Current Liabilities	(166,212)	(100,388)	(363,427)	(1,980,695)
Non- Current liabilities	(360,236)	(359,981)	(2,886,306)	(970,960)
Net Assets	146,389	215,505	2,783,760	3,097,626
Attributable to NCI	105,561	155,401	1,041,683	1,939,458
Attributable to Investees Shareholders	40,828	60,104	1,742,077	1,158,168
Group's interest in net assets of investee at the beginning of the year	136,259	110,261	1,158,168	1,288,124
Investments made during the year	-	57,760	-	-
Total comprehensive income attributable to the Group	(19,278)	(31,762)	(116,568)	(129,956)
Group's interest in net assets of investee at the end of the year	116,981	136,259	1,041,600	1,158,168

NOTES TO THE FINANCIAL STATEMENTS

20 OTHER FINANCIAL ASSETS - NON CURRENT

20.1 Unquoted equity securities, debt securities and unsecured loans

		Group		Company	
		31.03.2018	31.03.2017	31.03.2018	31.03.2017
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Available for sale financial assets					
Unquoted equity securities	Note 20.1.1	103,361	126,650	-	-
Loans and receivables					
Unquoted debt securities and unsecured loans	Note 20.1.2	686,965	-	686,965	-
Carrying amount as at 31st March		790,326	126,650	686,965	-
Current unquoted debt securities	Note 20.1.2	(26,546)	-	(26,546)	-
Non-current unquoted debt and equity securities		763,780	126,650	660,419	-

20.1.1 Unquoted equity securities

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in Floatels India (Pvt) Ltd.				
Balance brought forward (988,764 shares at INR 55/- each)	126,650	202,395	-	-
Disposals	(23,289)	-	-	-
Change in fair value	-	(75,745)	-	-
Balance carried forward (806,946 shares of INR 55/- each)	103,361	126,650	-	-

The balance reflects the recent sale price of remaining equity shares.

20.1.2 Unquoted debt securities and unsecured loans

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Earl's Court Hotel Management (Pvt) Ltd				
(Secured redeemable debentures)	98,213	-	98,213	-
Negombo Beach Resorts (Pvt) Ltd				
(Unsecured loans)	588,752	-	588,752	-
Carrying amount as at 31st March	686,965	-	686,965	-
Current unquoted debt securities	(26,546)	-	(26,546)	-
Non-current unquoted debt securities and unsecured loans	660,419	-	660,419	-

- Redeemable debentures are receivable in 60 equal installments. Interest linked to AWPLR
- Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR

21 DEFERRED TAX ASSETS

21.1 Movement in deferred tax assets

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	157,760	147,969	-	5,349
Effect of movement in exchange rates	3,398	6,727	-	-
Reversal of temporary differences				
- Recognised in income statement	(18,011)	3,708	-	19,727
- Recognised in other comprehensive income	759	(644)	-	(720)
Balance carried forward	143,906	157,760	-	24,356

21.2 Composition of deferred tax assets

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	5,824	4,954	-	3,523
Tax losses carried forward	215,268	314,954	-	114,035
Accelerated depreciation for tax purposes on				
Property, plant and equipment	(77,064)	(162,148)	-	(93,202)
Revaluation surplus on freehold land	(122)	-	-	-
Net deferred tax assets	143,906	157,760	-	24,356

NOTES TO THE FINANCIAL STATEMENTS

21.3 Movement in tax effect of temporary differences - Group

	2017/18				
	Balance as at 01.04.2017	Recognised in profit & (loss)	Recognised in other comprehensive income	Exchange gain/(loss)	Balance as at 31.03.2018
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred Tax Asset					
Defined benefit obligations	4,954	(419)	881	408	5,824
Tax losses carried forward	314,954	(103,120)	-	3,434	215,268
	319,908	(103,539)	881	3,842	221,092
Deferred Tax Liabilities					
Accelerated depreciation for tax purposes on Property, plant & equipment	(162,148)	85,528	-	(444)	(77,064)
Revaluation surplus on freehold land	-	-	(122)	-	(122)
	(162,148)	85,528	(122)	(444)	(77,186)
Net deferred tax assets	157,760	(18,011)	759	3,398	143,906

21.4 Movement in tax effect of temporary differences - Group

	2016/17				
	Balance as at 01.04.2016	Recognised in profit & (loss)	Recognised in other comprehensive income	Exchange gain/(loss)	Balance as at 31.03.2017
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred Tax Asset					
Defined benefit obligations	5,328	240	(644)	30	4,954
Tax losses carried forward	319,454	(14,794)	-	10,294	314,954
	324,782	(14,554)	(644)	10,324	319,908
Deferred Tax Liabilities					
Accelerated depreciation for tax purposes on Property, plant & equipment	(176,813)	18,262	-	(3,597)	(162,148)
	(176,813)	18,262	-	(3,597)	(162,148)
Net deferred tax assets	147,969	3,708	(644)	6,727	157,760

21.5 Movement in tax effect of temporary differences - Company

	2017/2018			2016/2017			
	Balance 31.03.2018	Recognised in profit & (loss)	Recognised in other comprehensive income	Balance as at 31.03.2017	Recognised in profit & (loss)	Recognised in other comprehensive income	Balance 01.04.2016
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax assets							
Defined benefit obligations	-	-	-	3,523	291	(720)	3,952
Tax losses carried forward	-	-	-	114,035	21,200	-	92,835
	-	-	-	117,558	21,491	(720)	96,787
Less: Deferred tax liabilities							
Accelerated depreciation for tax purposes on Property, plant & equipment	-	-	-	(93,202)	(1,764)	-	(91,438)
	-	-	-	(93,202)	(1,764)	-	(91,438)
Net deferred tax assets	-	-	-	24,356	19,727	(720)	5,349

22 INVENTORIES

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	139,990	135,070	6,294	7,116
Beverage	56,325	72,108	4,680	4,504
Maintenance	113,390	153,131	6,615	7,149
Stationery	11,353	12,177	670	669
Housekeeping	48,381	27,189	1,361	1,425
Ayurveda Stocks	2,922	1,982	-	-
Fuel & Others	56,176	75,164	1,620	1,973
Total	428,537	476,821	21,240	22,836

There were no inventories pledged as security for overdraft facilities as at 31st March 2018. (as at 31st March 2017- nil)

23 TRADE AND OTHER RECEIVABLES

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	1,808,604	1,622,098	168,635	102,330
Provision for impairment	(10,886)	(22,875)	(1,754)	(695)
	1,797,718	1,599,223	166,881	101,635
Interest income receivable	12,336	23,811	5,709	3,823
Non trade receivables	32,223	150,189	8,724	3,964
	1,842,277	1,773,223	181,314	109,422
Taxes receivable	67,607	52,843	-	-
Other receivables	168,635	120,924	11,235	697
Total	2,078,519	1,946,990	192,549	110,119

No loans were given to Employees over and above Rs. 20,000/-and no loans have been given to Directors of the company.

NOTES TO THE FINANCIAL STATEMENTS

24 AMOUNTS DUE FROM HOLDING COMPANY

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	1,464,164	355,663	531,570	-
Total	1,464,164	355,663	531,570	-

The above short term investments were made on normal market interest rates.

25 AMOUNTS DUE FROM PARENT'S GROUP ENTITIES

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd.	164,966	269,959	21,197	55,293
Aitken Spence Hotel Managements (Pvt) Ltd.	184,276	166,500	288	161
Aitken Spence Exports (Pvt) Ltd	1,085	225	-	-
Aitken Spence Cargo (Pvt) Ltd.	38	37	-	33
Ace International Express (Pvt) Ltd.	31	68	31	-
Aitken Spence Plantation Management (Pvt) Ltd	14	-	14	-
Aitken Spence Insurance (Pvt) Ltd	28	-	-	-
Ace Distriparks (Pvt) Ltd	7	-	-	-
Ace Containers (Pvt) Ltd	-	18	-	-
Ace Exports (Pvt) Ltd	297	25	-	-
Aitken Spence PLC	391	30	357	2
Clark Spence & Co. Ltd	26	-	-	-
Negombo Beach Resorts (Pvt) Ltd	7,666	36	7,623	-
Ahungalla Resorts Ltd.	-	-	-	196
Aitken Spence Hotels Ltd.	-	-	-	35,941
Hethersett Hotels Ltd	-	-	-	6,300
Aitken Spence Hotels International (Pvt) Ltd	-	-	55,409	31,235
Neptune Ayurvedic (Pvt) Ltd	-	-	1,179	54
Turyaa Resorts (Pvt) Ltd	-	-	161,280	123,018
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	-	-	62,922	55,080
Turyaa (Pvt) Ltd	-	-	885	1,239
MPS Hotels (Pvt) Ltd	-	-	-	8,192
Kandalama Hotels (Pvt) Ltd	-	-	12	-
Meeraladuwa (Pvt) Ltd	-	-	103	57
Paradise Resorts Pasikudah (Pvt) Ltd	9,958	5,198	5,151	5,151
Total	368,783	442,096	316,451	321,952

26 OTHER FINANCIAL ASSETS

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Other financial assets - current (Note 20.1.2)	26,546	-	26,546	-
Bank deposits	502,021	2,349,518	-	100,000
Total	528,567	2,349,518	26,546	100,000

26.1 Cash and Cash Equivalents

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term deposits less than 90 days	945,122	929,153	-	569,962
Cash at bank and in hand	4,473,848	1,386,325	367,291	172,361
Cash and cash equivalents	5,418,970	2,315,478	367,291	742,323
Less: Short term Bank Borrowings	(1,822,230)	(1,746,319)	(23,844)	(117,885)
Total cash and cash equivalents for cash flow statement	3,596,740	569,159	343,447	624,438
Effect of movement in exchange rates	-	10,260	-	13,714
Cash and cash equivalents at the end of the year	3,596,740	579,419	343,447	638,152

27 STATED CAPITAL

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Issued & fully paid				
Ordinary Share Capital				
At the beginning of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Issued during the year	-	-	-	-
At the end of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Preference Share Capital - Redeemable Cumulative				
At the beginning of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Issued during the year	-	-	-	-
At the end of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Total	3,554,587	3,554,587	3,554,587	3,554,587

The holders of Ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)

NOTES TO THE FINANCIAL STATEMENTS

28 RESERVES

		Group		Company	
		31.03.2018	31.03.2017	31.03.2018	31.03.2017
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revaluation reserve	(Note 28.1)	2,570,957	2,610,938	779,303	699,210
General reserve	(Note 28.2)	22,929	22,929	22,929	22,929
Available for sale reserve	(Note 28.3)	-	-	-	-
Foreign currency translation reserve	(Note 28.4)	1,946,932	1,718,952	-	-
Cashflow hedge reserve	(Note 28.5)	(576,239)	-	-	-
Total		3,964,579	4,352,819	802,232	722,139
Transaction movement					
Balance brought forward		4,352,819	3,646,200	722,139	722,139
Transfers to / (from) foreign currency translation reserve during the year		227,980	512,913	-	-
Transfer to / (from) cashflow hedge reserve		(576,239)	-	-	-
Transfer from revaluation reserves to retained earnings on disposal of subsidiaries		(59,324)	-	-	-
Transfer to / (from) available for sale reserve		-	(38,630)	-	-
Surplus on revaluation		19,343	232,336	80,093	-
Balance carried forward		3,964,579	4,352,819	802,232	722,139

28.1 Revaluation Reserves

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

28.2 General Reserves

The general reserve relates to retained earnings set aside by the Group.

28.3 Available for Sale Reserve

This represents the fair value movement of assets classified as available for sale in the statement of financial position.

28.4 Foreign Currency Translation Reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign operations.

28.5 Cash flow hedge reserve

This represents the effective portion of the gain or loss on the hedging instruments.

29 INTEREST BEARING BORROWINGS

29.1 Analysed by Lending Institutions

Lending Institution	Group		Company		Borrowing terms
	31.03.2018	31.03.2017	31.03.2018	31.03.2017	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Habib Bank Ltd	933,400	1,000,000	933,400	1,000,000	Comprises of one LKR loan Loan 1 (in LKR) - Repayable in 15 quarterly instalments commencing from January 2018 for which a Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to AWPLR. (Balance outstanding as at 31st March 2018 in Rs 933.4 million)
Hongkong & Shanghai Banking	9,777,906	13,153,803	-	-	Comprises of three USD loans one Euro loan and one INR loan Loan 1 (USD) -Repayable in 55 monthly instalments commencing from February 2015 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to LIBOR (Balance outstanding as at 31st March 2018 in Rs 110.2 million) Loan 2 (USD) -Repayable in 48 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to LIBOR (Balance outstanding as at 31st March 2018 in Rs 427.9 million) Loan 3 (USD) -Repayable in 49 monthly y instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC. and mortgage over land and buildings of the Hotel Property has been provided as security. Interest linked to LIBOR (Balance outstanding as at 31st March 2018 in Rs. 2.302 billion)
					Loan 4 (Euro) -Repayable in 60 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC. and RIUSA II SA and primary mortgage over the Hotel Property has been provided as security. Interest is fixed for the term. (Balance outstanding as at 31st March 2018 in Rs. 6.248 billion)
					Loan 5 (INR) -Repayable in 16 quarterly instalments commencing from June 2016 for which a Corporate Guarantee from Aitken Spence Hotels International Ltd has been provided as security. Interest linked to marginal lending rate. (Balance outstanding as at 31st March 2018 in Rs.689.2 million)
Hatton National Bank PLC	3,483,906	1,402,910	-	-	Comprises of two loans (in USD) Loan 1 (USD) - Repayable in 84 monthly instalments commencing from October 2017 for which a Corporate Guarantee and indemnity from Aitken Spence Hotels International (Pvt) Ltd. and mortgage over sub lease of Adaaran Select Huduranfushi Resort has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2018 in Rs 1.371 billion) Loan 2 (USD) -Repayable in 96 monthly instalments commencing from November 2020 for which a mortgage over head lease of Aarah Island Resort and Meedhupparu Island Resort has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2018 in Rs 2.112 billion)

NOTES TO THE FINANCIAL STATEMENTS

Lending Institution	Group		Company		Borrowing terms
	31.03.2018	31.03.2017	31.03.2018	31.03.2017	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Sampath Bank PLC	7,484	-	-	-	Comprises of one LKR loan Loan 1 (in LKR) - Repayable in 72 monthly instalments commencing from December 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest is 6% per annum. (Balance outstanding as at 31st March 2018 in Rs 7.4 million)
Peoples Bank	2,800,800	-	-	-	Comprises of one USD loan Loan 1 (USD) -Repayable in 24 quarterly instalments commencing from August 2019 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2018 in Rs 2.800 billion)
Abanca Bank - Spain	3,259,680	-	-	-	Comprises of one Euro loan Loan 1 (Euro) -Repayable in 21 quarterly instalments and one bullet payment payable in July 2024. Quarterly loan instalments will commence in July 2019. Corporate Guarantee from Ruisa II SA has been provided as security. Interest link to EURIBOR (Balance outstanding as at 31st March 2018 in Rs 3.259 billion)
DFCC Bank	2,211,250	2,030,156	-	-	Comprises of one LKR loan and one USD loan Loan 1 (in LKR) - Repayable in 72 monthly instalments commencing from November 2016 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to AWPR. (Balance outstanding as at 31st March 2018 in Rs.668.4 million) Loan 2 (USD) -Repayable in 96 monthly instalments commencing from November 2020 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd, and mortgage over head lease of Aarah Island Resort has been provided as security. Interest linked to LIBOR. (Balance outstanding as at 31st March 2018 in Rs 1.542 billion)
Total Loans	22,474,426	17,586,869	933,400	1,000,000	
Preference Shares					
17,500,000 redeemable cumulative preference shares of Subsidiary Company	-	175,000	-	-	
Total borrowings	22,474,426	17,761,869	933,400	1,000,000	
Current portion of interest bearing borrowings	(4,320,375)	(3,311,162)	(266,400)	(66,600)	
Non Current portion of interest bearing borrowings	18,154,051	14,450,707	667,000	933,400	

17,500,000 redeemable cumulative preference shares of subsidiary Company amounting to Rs. 175,000,000 was redeemed during the year.

29.2 Movement in Interest bearing borrowings

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	17,761,869	10,012,986	1,000,000	-
Effect of movement in exchange rates	1,319,448	375,465	-	-
Liabilities assumed from business combination	-	6,509,164	-	-
Loans received during the year	11,864,095	3,583,830	-	1,000,000
	30,945,412	20,481,445	1,000,000	1,000,000
Loan repayments during the year	(8,470,986)	(2,719,576)	(66,600)	-
	22,474,426	17,761,869	933,400	1,000,000
Current portion of interest bearing borrowings	(4,320,375)	(3,311,162)	(266,400)	(66,600)
Non current portion of interest bearing borrowings	18,154,051	14,450,707	667,000	933,400

29.3 Analysed by Currency equivalent in Rupees

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	1,609,286	2,024,236	933,400	1,000,000
United States Dollars	10,667,825	8,529,186	-	-
Euro	9,508,039	6,353,411	-	-
Indian Rupees	689,276	855,036	-	-
Total	22,474,426	17,761,869	933,400	1,000,000

29.4 Analysed by repayment period

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	4,320,375	3,311,162	266,400	66,600
Payable between one and two years	2,282,591	3,388,563	266,400	532,800
Payable between two and five years	8,000,361	6,257,784	400,600	400,600
Payable after five years	7,871,099	4,804,360	-	-
Total	22,474,426	17,761,869	933,400	1,000,000

NOTES TO THE FINANCIAL STATEMENTS

30 GOVERNMENT GRANTS

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Receipts				
Balance brought forward	1,560	1,560	-	-
Received during the year	-	-	-	-
Balance carried forward	1,560	1,560	-	-
Accumulated Amortisation				
Balance brought forward	(1,417)	(1,261)	-	-
Amortised during the year	(143)	(156)	-	-
Balance carried forward	(1,560)	(1,417)	-	-
Net balance	-	143	-	-

The Group has been awarded a government grants amounting to Rs. 1,560,000/- for the construction of an alternative fuel plant for Boiler operation at Heritage Tea factory - Kandapola Nuwara Eliya. The project has been in operation since December 2007 and the grant, recognised as deferred income, is being amortised over the useful life of the plant.

31 DEFERRED TAX LIABILITIES

31.1 Movement in deferred tax liabilities

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	368,880	237,166	(24,358)	-
Companies disposed during the year	(6,874)	-	-	-
Effect of movement of exchange rates	3,606	6,500	-	-
Origination of temporary differences				
- recognised in income statement	108,545	124,698	(25,006)	-
- recognised in other comprehensive income	172,232	516	95,513	-
Balance carried forward	646,389	368,880	46,149	-

31.2 Composition of deferred tax liabilities

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to:				
Property, plant & equipment	767,950	474,655	105,083	-
Revaluation surplus on freehold land	174,439	-	96,271	-
Defined benefit obligations	(14,349)	(6,501)	(4,922)	-
Carried forward tax losses	(281,651)	(99,274)	(150,283)	-
Net deferred tax liabilities	646,389	368,880	46,149	-

31.3 Movement in tax effect of temporary differences - Group

	2017/2018				
	Balance as at 01.04.2017	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Companies acquired/ (disposed)	Exchange gain/(losses)
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000

Deferred tax - liabilities

Accelerated depreciation for tax purposes on Property, plant & equipment	474,655	299,106	-	(9,117)	3,306
Revaluation surplus on freehold land	-	-	174,439	-	-
Total liabilities	474,655	299,106	174,439	(9,117)	3,306

Deferred tax - assets

Defined benefit obligations	(6,501)	(6,503)	(2,207)	862	-
Tax losses carried forward	(99,274)	(184,058)	-	1,381	300
Total assets	(105,775)	(190,561)	(2,207)	2,243	300
Net deferred tax liabilities	368,880	108,545	172,232	(6,874)	3,606

31.4 Movement in tax effect of temporary differences - Group

	2016/2017				
	Balance as at 01.04.2016	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Exchange gain/(losses)	Balance as at 31.03.2017
		Rs.000	Rs.000	Rs.000	Rs.000

Deferred tax - liabilities

Accelerated depreciation for tax purposes on Property, plant & equipment	309,052	159,190	-	6,413	474,655
Total liabilities	309,052	159,190	-	6,413	474,655

Deferred tax - assets

Defined benefit obligations	(6,125)	(892)	516	-	(6,501)
Tax losses carried forward	(65,761)	(33,600)	-	87	(99,274)
Total assets	(71,886)	(34,492)	516	87	(105,775)
Net deferred tax liabilities	237,166	124,698	516	6,500	368,880

NOTES TO THE FINANCIAL STATEMENTS

31.5 Movement in tax effect of temporary differences - Company

	2017/2018			2016/2017			
	Balance as at 31.03.2018	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 31.03.2017	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 01.04.2016
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax - liabilities							
Accelerated depreciation for tax purposes on							
Property, plant & equipment	105,083	11,882	-	93,201	-	-	-
Revaluation surplus on freehold land	96,271	-	96,271	-	-	-	-
Total liabilities	201,354	11,882	96,271	93,201	-	-	-
Deferred tax - assets							
Defined benefit obligations	(4,922)	(641)	(758)	(3,523)	-	-	-
Tax losses carried forward	(150,283)	(36,247)	-	(114,036)	-	-	-
Total assets	(155,205)	(36,888)	(758)	(117,559)	-	-	-
Net deferred tax liabilities	46,149	(25,006)	95,513	(24,358)	-	-	-

32 OTHER LIABILITIES

32.1 Lease Accruals

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	597,833	-	-	-
Effect of movement in exchange rates	17,817	-	-	-
Lease accruals recognised and capitalised to property plant and equipment	265,622	597,833	-	-
Balance carried forward	881,272	597,833	-	-

This represents the accrued lease rent of operating leases of the island of Aarah Raa Atoll (Cowrie Investment (Pvt) Ltd) and island of Raafushi of Noonu Atoll (Ace Resorts (Pvt) Ltd) resulting from recognising the total lease rent payable over the lease term on a straight line basis

33 EMPLOYEE BENEFITS

33.1 Retirement benefit obligations

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	195,194	177,462	35,162	29,361
Recognised liability for defined benefit obligations	195,194	177,462	35,162	29,361

33.2 Movement in present Value of the defined benefit obligations

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined benefit obligations at the beginning of the year	177,462	174,333	29,361	32,935
Expenses recognised in the income statement	43,430	37,439	6,228	5,680
Expenses recognised in other comprehensive income	20,900	(7,515)	5,417	(6,000)
Benefits paid	(38,850)	(30,347)	(5,844)	(3,254)
Subsidiaries disposed during the year	(9,494)	-	-	-
Effect of movement in exchange rates	1,746	3,552	-	-
Defined benefit obligations at the end of the year	195,194	177,462	35,162	29,361

33.3 Expenses recognised in the income statement

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Expenses recognised in the income statement				
Current service cost	31,141	25,784	2,558	2,057
Interest cost	12,289	11,655	3,670	3,623
	43,430	37,439	6,228	5,680
Expenses recognised in other comprehensive income				
Net actuarial (gains) /losses	20,900	(7,515)	5,417	(6,000)
	20,900	(7,515)	5,417	(6,000)
Total	64,330	29,924	11,645	(320)

NOTES TO THE FINANCIAL STATEMENTS

33.4 Maturity Analysis of the payment

The following payment are expected on defined benefit obligations in future

	Group	Company
	31.03.2018	31.03.2017
	Rs. '000	Rs. '000
Within next 12 months	11,902	5,635
Between 1-2 years	14,978	4,965
Between 2-5 years	27,701	5,921
Beyond five years	140,613	18,641
Total	195,194	35,162

33.5 Sensitivity Analysis

The following table demonstrate the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2017/18. The sensitivity of the Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and on employment benefit obligations as at 31st March 2018.

	Effect on comprehensive income (reduction) increase Rs. '000	Effect on employment benefit liability (reduction)/ Increase Rs. '000
Increase /(decrease) in discount rate		
-1%	(11,013)	11,013
+1%	9,690	(9,690)
Increase /(decrease) in salary escalation rate		
-1%	10,348	(10,348)
+1%	(11,595)	11,595

33.6 The principal actuarial assumptions used in determining the liability were:

- (i) Discount rate of 12.5% (2016/17 - 12.5%)

(ii) Salary increment rate - for executive staff - 11% (2016/17 -11%)
- for non - executive staff - 7.50% (2016/17 -7.5%)

(iii) Retirement age of 55 years.

(iv) The Company will continue in business as a going concern.

(v) Staff turnover rates at each age category

2017/2018

2016/2017

- 20 years0.070.07

- 25 years0.050.05

- 30 years0.050.05

- 35 years0.040.04

- 40 years0.030.03

- Above 40 years0.000.00

33.7 The actuarial valuation was made on 31st March 2018. It is proposed that a valuation is obtained every year.

33.8 The liability is not externally funded.

33.9 The actuarial valuation was carried out by professionally qualified actuaries, Mr. Poopalanathan of M/s Actuarial Management Consultants (Pvt) Ltd using projected unit credit (PUC) method.

34 OTHER PROVISIONS AND PAYABLES

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued payables	1,265,878	1,306,222	58,355	80,889
Advances received	1,159,638	1,038,105	20,523	7,560
	2,425,516	2,344,327	78,878	88,449
Unclaimed dividends	13,469	51,239	7,538	47,912
Taxes and other miscellaneous payables and provisions	511,440	451,951	29,939	33,978
Total	2,950,425	2,847,517	116,355	170,339

35 AMOUNTS DUE TO PARENT'S GROUP ENTITIES

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports Ltd.	1,962	21,073	-	20,314
Aitken Spence Travels (Pvt) Ltd	330	222	-	-
Elevators (Pvt) Ltd.	764	-	-	-
Elpitiya Plantations PLC	180	53	45	-
Aitken Spence Printing and Packaging (Pvt) Ltd.	117	3	-	-
Ace International Express (Pvt) Ltd	1	-	1	-
Ace Distriparks (Pvt) Ltd	167	-	25	-
Aitken Spence Hotel Managements (Pvt) Ltd.	62,866	108,386	5,199	1,681
Aitken Spence Cargo (Pvt) Ltd	99	-	-	-
Aitken Spence Agriculture (Pvt) Ltd	233	179	-	-
Kandalama Hotels (Pvt) Ltd.	-	-	712,015	638,413
Turyaa (Pvt) Ltd	-	-	27	495
Total	66,719	129,916	717,312	660,903

NOTES TO THE FINANCIAL STATEMENTS

36 SEGMENTAL INFORMATION
36.1 Assets

	Group			
	Total Assets		Net Assets	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	3,461,600	2,627,573	1,976,975	1,056,322
Ahungalla Resorts Ltd. Hotel RIU Sri Lanka	15,217,738	12,713,271	4,527,341	5,686,388
Aitken Spence Hotels Ltd. - Heritance Ayurveda Maha Gedara	854,589	877,636	763,349	793,061
Heritance (Pvt) Ltd.	332,201	285,959	328,468	282,784
Meeraladuwa (Pvt) Ltd	217,153	450,963	216,465	450,467
Turyaa Resorts (Pvt) Ltd - Turyaa Kalutara	1,879,400	1,899,096	1,084,303	987,689
Neptune Ayurvedic Village (Pvt) Ltd.	20,966	21,114	21,002	20,861
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	1,293,583	1,288,124	667,867	717,672
Hethersett Hotels Ltd. - Heritance Tea Factory	1,058,670	939,600	906,207	802,468
MPS Hotels (Pvt) Ltd - Hotel Hilltop	-	482,716	-	422,745
Turyaa (Pvt) Ltd - Turyaa Kalutara	1,522,111	1,751,141	1,258,947	1,529,085
	25,858,011	23,337,193	11,750,924	12,749,542
Others				
Aitken Spence Hotels International (Pvt) Ltd	64,738	514,457	(3,447,073)	(2,228,127)
Aitken Spence Hotel Managements Asia (Pvt) Ltd	280,493	196,294	199,469	115,476
	345,231	710,751	(3,247,604)	(2,112,651)
Equity accounted investees				
	1,137,106	1,272,952	1,137,106	1,272,952
Total Sri Lanka Sector	27,340,348	25,320,896	9,640,426	11,909,843
South Asian and Middle East Sector				
Crest Star (BVI) Ltd.	183,144	110,925	158,028	87,550
Cowrie Investment (Pvt) Ltd. - Adaaran Select Meedhupparu	10,579,018	7,315,763	5,225,608	4,622,093
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran Club Rannalhi	2,140,292	1,762,482	1,673,111	1,193,970
ADS Resorts (Pvt) Ltd - Adaaran Select Huduran Fushi	2,408,282	2,436,419	279,755	248,121
Unique Resorts (Pvt) Ltd - Adaaran Prestige Vadoo	3,758,725	3,868,514	2,936,603	2,712,914
Aitken Spence Hotel Management South India (Pvt) Ltd	3,960,226	3,935,397	2,733,374	2,417,827
Ace Resorts (Pvt) Ltd	1,231,479	1,062,229	801,829	782,415
Aitken Spence Hotel Services (Pvt) Ltd	421	412	(6)	(2)
Perumbalam Resorts (Pvt) Ltd	52,410	52,203	52,274	52,070
P. R Holiday Homes (Pvt) Ltd	243,040	239,343	220,606	217,367
Aitken Spence Resorts (Middle East) LLC	6,696,012	6,073,404	4,172,395	3,188,520
Total South Asian and Middle East Sector	31,253,049	26,857,091	18,253,577	15,522,845
Total	58,593,397	52,177,987	27,894,003	27,432,688

36.2 Property, Plant & Equipment

	Group			
	Capital Expenditure		Depreciation & Amortisation	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	57,472	170,273	63,879	59,319
Aitken Spence Hotels Ltd. - Heritance Ayurveda Maha Gedara	14,504	5,201	36,895	36,671
Ahungalla Resorts Ltd. - Hotel RIU Sri Lanka	106,743	2,488,970	478,244	317,282
Turyaa Resorts (Pvt) Ltd. - Turyaa Kalutara	88,850	180,712	107,798	93,904
Neptune Ayurvedic Village (Pvt) Ltd.	-	-	644	644
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	111,383	19,899	63,510	66,104
Hethersett Hotels Ltd. - Heritance Tea Factory	42,072	4,775	21,996	20,282
MPS Hotels (Pvt) Ltd - Hotel Hilltop	1,757	7,708	5,609	11,092
Turyaa (Pvt) Ltd - Turyaa Kalutara	34,049	30,083	97,211	100,547
	456,830	2,907,621	875,786	705,845
Others				
Aitken Spence Hotels International (Pvt) Ltd	128	-	2,915	2,915
Aitken Spence Hotel Managements Asia (Pvt) Ltd	12,082	401	1,126	355
	12,210	401	4,040	3,270
Total Sri Lanka Sector	469,040	2,908,022	879,827	709,115
South Asian and Middle East Sector				
Cowrie Investment (Pvt) Ltd. - Adaaran Select Meedhupparu	4,156,605	1,801,300	184,718	170,738
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran Club Rannalhi	230,298	150,158	108,931	96,394
ADS Resorts (Pvt) Ltd - Adaaran Select Huduranfushi Fushi	78,641	70,698	233,341	230,431
Unique Resorts (Pvt) Ltd - Adaaran Prestige Vadoo	75,869	105,373	201,482	186,142
Ace Resorts (Pvt) Ltd	2,795	6,567	-	-
Aitken Spence Hotel Managements South India (Pvt) Ltd	17,651	11,142	121,581	116,453
P.R Holiday Homes (Pvt) Ltd	-	222	-	28
Aitken Spence Resorts (Middle East) LLC	66,181	78,252	85,374	73,936
Total South Asian and Middle East Sector	4,628,040	2,223,712	935,427	874,122
Total	5,097,080	5,131,734	1,815,254	1,583,237

NOTES TO THE FINANCIAL STATEMENTS

36.3 Liabilities & Non-Cash Expenses

	Group			
	Total Liabilities		Non-Cash Expenses	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	1,484,624	1,571,251	11,904	(342)
Aitken Spence Hotels Ltd. - Heritance Ayurveda Maha Gedara	91,240	84,575	3,940	2,221
Ahungalla Resorts Ltd. - Hotel RIU Sri Lanka	10,690,397	7,026,882	1,767	-
Meeraladuwa (Pvt) Ltd	687	496	-	-
Heritance (Pvt) Ltd	3,733	3,174	-	-
Turyaa Resorts (Pvt) Ltd - Turyaa Kalutara	795,097	911,407	475	3,148
Neptune Ayurvedic Village (Pvt) Ltd.	(35)	253	-	-
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	625,716	570,452	15,895	2,884
Hethersett Hotels Ltd. - Heritance Tea Factory	152,463	137,133	3,207	513
MPS Hotels (Pvt) Ltd - Hotel Hilltop	-	59,971	-	1,718
Turyaa (Pvt) Ltd - Turyaa Kalutara	263,164	222,056	.	224
	14,107,086	10,587,650	37,188	10,366
Others				
Aitken Spence Hotels International (Pvt) Ltd	3,511,811	2,742,584	1,923	261
Aitken Spence Hotel Managements Asia (Pvt) Ltd	81,024	80,819	4,866	4,480
	3,592,835	2,823,403	6,789	4,741
Total Sri Lanka Sector	17,699,921	13,411,053	43,977	15,107
South Asian and Middle East Sector				
Crest Star (BVI) Ltd.	25,116	23,376	-	-
Cowrie Investment (Pvt) Ltd. - Adaaran Select Meedhupparu	5,353,411	2,693,670	-	-
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran Club Rannalhi	467,181	568,512	-	(1,596)
ADS Resorts (Pvt) Ltd - Adaaran Select Huduran Fushi	2,128,527	2,188,297	801	(938)
Unique Resorts (Pvt) Ltd - Adaaran Prestige Vadoo	822,122	1,155,599	-	(2,405)
Ace Resorts (Pvt) Ltd	429,651	279,814	-	-
Aitken Spence Hotel Managements South India (Pvt) Ltd	1,226,852	1,517,571	1,606	1,809
Aitken Spence Hotel Services (Pvt) Ltd	427	414	-	-
P R Holiday Homes (Pvt) Ltd	22,434	21,976	-	-
Perumbalam Resorts (Pvt) Ltd	136	133	-	-
Aitken Spence Resorts (Middle East) LLC	2,523,616	2,884,884	-	14,540
South Asian and Middle East Sector	12,999,473	11,334,246	2,407	11,410
Total	30,699,394	24,745,299	46,384	26,517

37 FOREIGN CURRENCY TRANSLATION

The Principle exchange rates used for translation of assets and liabilities as at the Balance Sheet date is as follows:

	31.03.2018	31.03.2017
	Rs. '000	Rs. '000
US Dollar	155.60	151.99
Indian Rupee	2.39	2.34
Oman Riyal	404.37	394.78
Euro	191.75	162.27

38 CONTINGENT LIABILITIES

The contingent liability as at 31st March 2018 on guarantees given by Aitken Spence Hotel Holdings PLC. to third parties on facilities obtained by subsidiaries amounted to Rs. 13,733,032,000/- (31.03.2017 -Rs. 14,169,092,000) Liability as at 31st March 2018 on guarantees given by subsidiaries to third parties amounted to Rs. 4,475,821,000/- (31.03.2017 - Rs. 2,126,741,000/-)

39 FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are measured on an ongoing basis at either fair value or amortised cost. The following table analyse the carrying amount of financial assets and liabilities by category as defined in LKAS 39- Financial Instruments : Recognition and measurement under headings reported in the Statement of Financial Position.

As at 31st March 2018	Note	Group - 2017/2018			
		Financial Assets Available for Sale	Financial Assets Loans & Receivables	Financial Liabilities Other Financial Liabilities	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
- Unquoted equity and debt securities/loans	20.1	103,361	686,965		790,326
- Bank deposits	26		502,021		502,021
Trade and other receivables	23		1,842,277		1,842,277
Cash and cash equivalents	26.1		5,418,970		5,418,970
Total financial Assets		103,361	8,450,233	-	8,553,594
- Total non current		103,361	660,419		763,780
- Total current			7,789,814		7,789,814
		103,361	8,450,233	-	8,553,594
Financial Liabilities					
Interest bearing borrowings	29			22,474,426	22,474,426
Trade payables				600,229	600,229
Provisions and other payables	34			2,425,516	2,425,516
Short term bank borrowings				1,822,230	1,822,230
Total financial Liabilities		-	-	27,322,401	27,322,401
- Total non current				18,154,051	18,154,051
- Total current				9,168,350	9,168,350
		-	-	27,322,401	27,322,401

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2018	Note	Group - 2016/2017			
		Financial Assets Available for Sale	Financial Assets Loans & Receivables	Financial Liabilities Other Financial Liabilities	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
- Unquoted equity and debt securities/loans	20.1	126,650			126,650
- Bank deposits	26		2,349,518		2,349,518
Trade and other receivables	23		1,773,223		1,773,223
Cash and cash equivalents	26.1	-	2,315,478		2,315,478
Total financial Assets		126,650	6,438,219	-	6,564,869
- Total non current		126,650			126,650
- Total current		-	6,438,219		6,438,219
		126,650	6,438,219	-	6,564,869
Financial Liabilities					
Interest bearing borrowings	29			17,761,869	17,761,869
Trade payables				640,690	640,690
Provisions and other payables	34			2,344,327	2,344,327
Short term bank borrowings				1,746,319	1,746,319
Total financial Liabilities		-	-	22,493,205	22,493,205
- Total non current				14,450,707	14,450,707
- Total current				8,042,498	8,042,498
		-	-	22,493,205	22,493,205

As at 31st March 2018	Note	Company - 2017/18			
		Financial Assets Available for Sale	Financial Assets Loans & Receivables	Financial Liabilities Other Financial Liabilities	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
- Unquoted equity and debt securities/loans	20.1		686,965		686,965
- Bank deposits	26		-		-
Trade and other receivables	23		181,314		181,314
Cash and cash equivalents	26.1		367,291		367,291
Total financial Assets		-	1,235,570	-	1,235,570
- Total non current			660,419		660,419
- Total current			575,151		575,151
		-	1,235,570	-	1,235,570
Financial Liabilities					
Interest bearing borrowings	29			933,400	933,400
Trade payables				38,823	38,823
Provisions and other payables	34			78,878	78,878
Short term bank borrowings				23,844	23,844
Total financial Liabilities		-	-	1,074,945	1,074,945
- Total non current				667,000	667,000
- Total current				407,945	407,945
		-	-	1,074,945	1,074,945

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2018	Note	Company - 2016/2017			
		Financial Assets Available for Sale	Financial Assets Loans & Receivables	Financial Liabilities Other Financial Liabilities	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
- Bank deposits	26		100,000		100,000
Trade and other receivables	23		109,422		109,422
Cash and cash equivalents	26.1		742,323		742,323
Total financial Assets		-	951,745	-	951,745
- Total non current		-		-	-
- Total current		-	951,745	-	951,745
		-	951,745	-	951,745
Financial Liabilities					
Interest bearing borrowings	29			1,000,000	1,000,000
Trade payables				27,109	27,109
Provisions and other payables	34			88,449	88,449
Short term bank borrowings				117,885	117,885
Total financial Liabilities		-	-	1,233,443	1,233,443
- Total non current				933,400	933,400
- Total current				300,043	300,043
		-	-	1,233,443	1,233,443

39.1 Fair value of assets and liabilities

The fair value of financial assets and liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

As at 31st March 2018	Group - 2017/18		Company - 2017/18	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities/loans	790,326	790,326	686,965	686,965
- Bank deposits	502,021	502,021	-	-
Trade and other receivables	1,842,277	1,842,277	181,314	181,314
Cash and cash equivalents	5,418,970	5,418,970	367,291	367,291
Total financial Assets	8,553,594	8,553,594	1,235,570	1,235,570
Financial Liabilities				
Interest bearing borrowings	22,474,426	22,474,426	933,400	933,400
Trade payables	600,229	600,229	38,823	38,823
Provisions and other payables	2,425,516	2,425,516	78,878	78,878
Short term bank borrowings	1,822,230	1,822,230	23,844	23,844
Total financial Liabilities	27,322,401	27,322,401	1,074,945	1,074,945
As at 31st March 2018	Group - 2016/17		Company - 2016/17	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Financial Assets				
Other financial assets				
- Unquoted equity and debt securities	126,650	126,650	-	-
- Bank deposits	2,349,518	2,349,518	100,000	100,000
Trade and other receivables	1,773,223	1,773,223	109,422	109,422
Cash and cash equivalents	2,315,478	2,315,478	742,323	742,323
Total financial Assets	6,564,869	6,564,869	951,745	951,745
Financial Liabilities				
Interest bearing borrowings	17,761,869	17,761,869	1,000,000	1,000,000
Trade payables	640,690	640,690	27,109	27,109
Provisions and other payables	2,344,327	2,344,327	88,419	88,419
Short term bank borrowings	1,746,319	1,746,319	117,885	117,885
Total financial Liabilities	22,493,205	22,493,205	1,233,413	1,233,413

NOTES TO THE FINANCIAL STATEMENTS

A number of the Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following methods.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets making appropriate adjustments for difference in size, nature and location of the property.

Quoted and Unquoted equity Shares

The fair value investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment which is computed based on a loss rate using past three years debtors data.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised.

Financial Liabilities

Fair value of interest bearing borrowings, Trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future.

39.2 Determination of Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Directly or indirectly observable prices in active market for similar assets or liabilities (level 2)
- (iii) Inputs that are unobservable that reflect management own assumptions (level 3)

39.2.1 Fair Value Measurement Hierarchy

As at 31st March 2018	Notes	Group -2017/18				Company 2017/18			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets measured at fair value									
Property, plant and equipment									
- Freehold Land	14.3.1	-	-	3,043,500	3,043,500	-	-	695,600	695,600
Other financial assets									
- Unquoted equity securities	20.1	-	-	103,361	103,361	-	-	-	-
		-	-	3,146,861	3,146,861	-	-	695,600	695,600
Assets for which fair values are disclosed									
Other Financial Assets									
- Quoted equity securities	19.1.1	707,990	-	-	707,990	692,854	-	-	692,854
- Unquoted debt securities	20.1	-	686,965	-	686,965	-	686,965	-	686,965
- Bank deposits	26	-	502,021	-	502,021	-	-	-	-
		707,990	1,188,986		1,896,976	692,854	686,965		1,379,819
Liabilities for which fair values are disclosed									
- Interest bearing borrowings	29.1		22,474,426	-	22,474,426	-	933,400	-	933,400
		-	22,474,426	-	22,474,426	-	933,400	-	933,400

As at 31st March 2017	Notes	Group -2016/17				Company 2016/17			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
		Rs:'000	Rs:'000	Rs:'000	Rs:'000	Rs:'000	Rs:'000	Rs:'000	Rs:'000
Assets measured at fair value									
Property, plant and equipment									
- Freehold Land	14.3.1	-	-	2,425,441	2,425,441	-	-	625,000	625,000
Other financial assets									
- Unquoted equity securities	20.1	-	-	126,650	126,650	-	-	-	-
	-	-	-	2,552,091	2,552,091	-	-	625,000	625,000
Assets for which fair values are disclosed									
Other Financial Assets									
- Quoted equity securities	19.1.1	1,032,889	-	-	1,032,889	1,010,807	-	-	1,010,807
- Bank deposits	26	-	2,349,518	-	2,349,518	-	100,000	-	100,000
		1,032,889	2,349,518	-	3,382,407	1,010,807	100,000	-	1,010,807
Liabilities for which fair values are disclosed									
- Interest bearing borrowings	29.1	-	17,761,869	-	17,761,869	-	1,000,000	-	1,000,000
			- 17,761,869	-	17,761,869	-	1,000,000	-	1,000,000

"Current" represents financial liabilities which are due to mature within one year

39.2.2 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property plant and equipment (land) is given in Note 14.1 and 14.2 to the financial statements.

Unquoted equity securities

	Group		Company	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	126,650	202,395	-	-
Shares disposed during the year	(23,289)	-	-	-
Fair value adjustment	-	(75,745)	-	-
Balance carried forward	103,361	126,650	-	-

39.2.3. Assets and liabilities measured at fair value

Assets	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value
Property, plant and equipment - Freehold land	Market comparable method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land	Estimated fair value would increase (decrease) if price per perch increases (decreases)
Other financial assets - Unquoted equity securities	Valuation determined based on present value of future cash flows discounted at the market interest rates.	Cashflow projection/ Discounted rate	Estimated fair value would increase (decrease) if net cash inflow/outflow and discount rate increases /(decreases)

NOTES TO THE FINANCIAL STATEMENTS

40 FINANCIAL RISK MANAGEMENT

40.1 Overview

The Group has exposure to the following risks from its use of financial instruments

- * Credit risk
- * Liquidity risk
- * Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

40.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management, and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-corporation with the Group's operating units identifies, evaluates and formulates principles for risk management covering specific areas such as foreign exchange risk and interest rate risk.

40.3 Credit risk

Credit risk is the risk of finance loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. There were no off balance sheet exposure as at the year end date.

	Group		Company	
As at 31st March 2018	% Allocation		% Allocation	
	Rs:'000		Rs:'000	
Financial Assets				
Available for sale investments				
Other Investments - Unquoted equity shares	103,361	1%	-	-
Loans and receivables				
Unquoted debt securities and loans	686,965	8%	686,965	55%
Bank deposits	502,021	6%	-	-
Trade and other receivables	1,842,277	22%	181,314	15%
Cash and cash equivalents	5,418,970	63%	367,291	30%
Total credit exposure	8,553,595	100%	1,235,570	100%

Credit Exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

	Note	Group	Company
As at 31st March 2018		Rs:'000	Rs:'000
Trade receivables	23	1,808,604	168,635
Total		1,808,604	168,635

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 0.5 million. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Impairment losses

The group establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade receivables. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstandings. A collective loss component established for groups of similar aging in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data for past three years.

The aging of trade receivables - out side the Group as at the reporting date was:

	Group	Company
As at 31st March 2018	Rs:'000	Rs:'000
Less than 30 days	1,187,406	97,364
30-60 days	418,927	32,346
60-90 days	141,078	31,967
90-180 days	57,167	10,789
180-365 days	28,100	3,376
more than 365 days	28,525	1,433
Advances received	(52,599)	(8,640)
	1,808,604	168,635
Less: Impairment on trade receivable	(10,886)	(1,754)
Carrying value of trade receivables	1,797,718	166,881

NOTES TO THE FINANCIAL STATEMENTS

The movement in the allowance for impairment in respect of trade receivables during the year was:

	Group	Company
As at 31st March 2018	Rs.'000	Rs.'000
Balance brought forward	(22,875)	(695)
Impairment provision derecognised	9,597	(1,059)
Written off during the year	2,760	-
Effect of movement in exchange rate	(368)	-
Balance carried forward	(10,886)	(1,754)

Short term deposits

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below.

	Group		Company	
		% Allocation		% Allocation
As at 31st March 2018	Rs.'000		Rs.'000	
Government owned Banking Institutions	31,874	6%	-	-
Commercial Banks	470,147	94%	-	-
Total	502,021	100%	-	-

Commercial Banks

Investments made with other Commercial Banks consist of fixed deposits and term deposits held with government owned banks and private commercial banks.

Credit exposure on available for sale assets

Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also use broad investment, portfolio and limit investments with a single counterparty.

40.4 Liquidity risk

Liquidity risk is the risk that the group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The group continuously prepare and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing time deposits or with group treasury. At the reporting date, the group held term deposits that are expected to readily generate cash inflows for managing liquidity risk.

The table below analyses the group's non-derivative financial liabilities into relevant maturity grouping based on the maturity of liabilities as at the reporting date.

	Group			
	Carrying Amount	Current	Non Current	Payable on demand
As at 31st March 2018	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial Liabilities				
Interest bearing borrowings	22,474,426	4,320,375	18,154,051	-
Trade payables	600,229	558,972	41,257	-
Other provisions and payables	2,425,516	1,896,413	529,103	-
Short term bank borrowings	1,822,230	-	-	1,822,230
Total	27,322,401	6,775,760	18,724,411	1,822,230

	Company			
	Carrying Amount	Current	Non Current	Payable on demand
As at 31st March 2018	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial Liabilities				
Interest bearing borrowings	933,400	266,400	667,000	-
Trade payables	38,823	35,715	3,108	-
Other provisions and payables	78,878	34,287	44,591	-
Short term bank borrowings	23,844	-	-	23,844
Total	1,074,945	336,402	714,699	23,844

"Current" represents financial liabilities which are due to mature within one year

40.5 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimising the return.

40.5.1 Foreign exchange risk

The Group being involved in hoteliering operates internationally and is exposed to foreign exchange risk arising from various currency exposures primarily with respect of the US dollar. Certain room contracts are entered into in foreign currencies and invoiced in LKR using the conversion rates established by the industry. Purchases such as import of capital goods for hotel operations are also transacted in foreign currency.

The Group has investment in foreign operations, who's net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs.8.5 million . All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments.

However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

NOTES TO THE FINANCIAL STATEMENTS

The Group's exposure to foreign currency risk as at 31st March 2018 and sensitivity analysis to Profit & loss and Equity if exchange rate increase/(decrease) by Rs.1/=.

40.5.1.1 Profit & Loss

		Group	Company
Foreign Currency exposure for 2017/18			
Foreign currency denominated income	-USD	120,705	27,463
Foreign currency denominated expenses	-USD	(985,782)	-
Foreign currency denominated expenses	-Euro	(589,413)	-
Net exposure - in foreign currency	-USD	(865,077)	27,463
Net exposure - in foreign currency	-Euro	(589,413)	-
Avg conversion rate used for the year 2017/18	-USD	153.40	153.40
Avg conversion rate used for the year 2017/18	-Euro	180.73	-
Net USD exposure - in Rs'000		(132,705)	4,213
Net Euro exposure - in Rs'000		(106,524)	-
Sensitivity Analysis			
Avg USD conversion rate with Rs. 1.00 increase		154.40	154.40
Avg USD conversion rate with Rs. 1.00 decrease		152.40	152.40
Avg Euro conversion rate with Rs. 1.00 increase		181.73	181.73
Avg Euro conversion rate with Rs. 1.00 decrease		179.73	179.73
Net exposure - in LKR with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		(133,570)	4,240
Net exposure - in LKR with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		(131,840)	4,185
Net exposure - in LKR with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(107,113)	-
Net exposure - in LKR with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(105,935)	-
Impact to Profit & Loss			
with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		(865)	27
with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		865	(27)
with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(589)	-
with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		589	-

40.5.1.2 Equity

	Group				Company		
	USD	GBP	EURO	OMR	USD	GBP	EURO
Foreign Currency denominated financial assets as at 31st March 2018							
Trade and other receivables	-	1,095,559	2,422,265	91,841	1,158,664	832,276	937,964
Other financial assets	1,038,576	-	-	-	-	-	-
Cash and cash equivalents	1,983,218	-	19,321,886	-	1,645,106	-	135,625
Trade payables	-	-	(476,036)	-	-	-	-
Interest bearing borrowings	(20,750,000)	-	(49,585,601)	-	-	-	-
Net exposure - in foreign currency	(17,728,206)	1,095,559	(28,317,486)	91,841	2,803,770	832,276	1,073,589
Conversion rate used as at 31st March 2018	155.60	219.05	191.75	404.37	155.60	219.05	191.75
Net exposure - in Rs. 000	(2,758,509)	239,982	(5,429,878)	37,138	436,267	182,310	205,861
Sensitivity Analysis							
Avg conversion rate with Rs. 1.00 increase	156.60	220.05	192.75	405.37	156.60	220.05	192.75
Avg conversion rate with Rs. 1.00 decrease	154.60	218.05	190.75	403.37	154.60	218.05	190.75
Net exposure - in LKR with Rs. 1.00 increase in the average conversion rate -Rs'000	(2,776,237)	241,078	(5,458,195)	37,230	439,070	183,142	206,934
Net exposure - in LKR with Rs. 1.00 decrease in the average conversion rate -Rs'000	(2,740,781)	238,887	(5,401,560)	37,046	433,463	181,478	204,787
Impact to Profit and Loss							
with Rs. 1.00 increase in the average conversion rate - Rs'000	(17,728)	1,096	(28,317)	92	2,804	832	1,074
with Rs. 1.00 decrease in the average conversion rate - Rs'000	17,728	(1,096)	28,317	(92)	(2,804)	(832)	(1,074)

The above table demonstrate the sensitivity to a reasonably possible change in the USD exchange rate by Rs. 1/- with all other variables held constant.

40.5.1.3 Cash Flow Hedge

During the year under review a subsidiary company in the Group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales.

The risk management strategy is to use the foreign currency variability (gains /losses) arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement

NOTES TO THE FINANCIAL STATEMENTS

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs (when the forecasted revenue is realised). If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2018 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected be set of from the variability of exchange rates form highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from 1st quarter of 2017/2018 up to the tenor of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/2019 for an extended tenor

Hedged item – Highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from April 2017 to March 2029.

The effective portion of the gain or loss on the hedging instrument of Rs. 960 Mn is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement (2017/18 – LKR 1.7 Mn) under net foreign exchange gain/ (loss) in other operating income.

In respect of the cash flow hedge instrument, Group recognized Rs. 576.2 m under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

Cash flow Hedge Reserve

	Group		Company	
	2018 Rs. '000	2017 Rs. '000	2018 Rs. '000	2017 Rs. '000
As at 31st March				
Balance at the beginning of the year	-	-	-	-
Net Movement in Cash flow hedge reserve	576,239	-	-	-
Balance at the end of the year	576,239	-	-	-

40.5.2 Interest rate risks

Interest rate risk is the risk of fluctuation of the value or cash flows of an instrument due to changes in the market interest rates.

The Group has borrowings with variable interest rates such as AWDR, AWPLR, EURIBOR and LIBOR and would expose the Group to cashflow/ profits as the amount of interest paid would be changed depending on market interest rates.

The Group's exposure to interest rate risk as at 31st March 2018 and sensitivity analysis to Profit & loss if interest rate increased / decrease by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans.

Financial year - 2017/18	Increase/decrease in basis points	Effect on Profit before Tax	
		Group Rs.000	Company Rs.000
Sri Lanka rupee loans	+100	16,093	9,334
USD loans	+10	10,668	-
Euro loans	+10	4,959	-
Sri Lanka rupee loans	-100	(16,093)	(9,334)
USD loans	-10	(10,668)	-
Euro loans	-10	(4,959)	-

The above table demonstrate the sensitivity to a reasonably possible change in interest rates on loans where floating rates are applicable by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans with all other variables held constant.

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiate with banks and obtains best possible interest rates for the Group's borrowings. listed below are steps adopted by the group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re negotiating with banks on interest rates when ever there is favorable fluctuations in the market rates.

40.5.3 Equity prices

The Group has adopted that its investments in joint ventures and associates are recorded at cost as per LKAS 27 and 28 and therefore scoped out from LKAS 32 and 39 - Financial Instruments.

The Group does not carry quoted investments other than investment in equity accounted investees in their Consolidated Statement of Financial Position which is scoped out as stated above. Equity investments carried in the Consolidated Statement of Financial Position as available for sale are non quoted and there is no risk of variations in the prices. Non quoted investments are fair valued as at each reporting date.

NOTES TO THE FINANCIAL STATEMENTS

41 CAPITAL MANAGEMENT

The Groups objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

The group monitors capital on the basis of the debt equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and total equity consist of total equity less preference shares capital. The following factors are also objectively taken into consideration in managing capital of the group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

42 DIRECTOR'S FEES

The Directors of the Company have received fees amounting to Rs. 28,800/- from subsidiaries for the year ended 31st March 2018. (2016/17 - Rs. 28,800)

43 RELATED PARTY TRANSACTIONS

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Mr. D.H.S. Jayawardena Chairman of the Company is also the Chairman of the Parent Company Aitken Spence PLC. and Aitken Spence Hotel Management Asia (Pvt) Ltd. He is also the Chairman of Browns Beach Hotels PLC, and Negombo Beach Resorts (Pvt) Ltd which are associate companies of the Group and the Chairman, of Distilleries Company of Sri Lanka PLC, Stassen Exports (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Bell (Pvt) Ltd., Periceyl (Pvt) Ltd. Lanka Diaries (Pvt) Ltd. and Pattipola Live Stock Company Ltd. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note. No. 43.1.1, 43.1.2, 43.1.3 and 43.1.5.

Mr. J.M.S. Brito, Managing Director of the Company is also the Managing Director of the Parent Company Aitken Spence PLC. He is also the Chairman, Deputy Chairman or a Director of Browns Beach Hotels PLC, Crest Star (BVI) Ltd., Ace Resorts (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Resorts (Middle East) LLC., Aitken Spence Hotels International (Pvt) Ltd., P.R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotels Ltd., Heritance (Pvt) Ltd., Aitken Spence Hotel Managements (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Ahungalla Resorts Ltd., Hethersett Hotels Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Turyaa (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Elevators (Pvt) Ltd. and Elpitiya Plantations PLC., which are Subsidiaries, joint ventures and equity-accounted investees of the Group and Parent company. Transactions carried out by the group with these companies in the ordinary course of business is disclosed in Note No. 43.1.1. 43.1.2, 43.1.3 and 43.1.4.

Ms. D.S.T Jayawardena a Director of the Company is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotels International (Pvt) Ltd.,Ahungalla Resorts Ltd., and Aitken Spence Hotel Managements Asia (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 43.1.2,

Ms. D.S.T Jayawardena is also a Director of the parent Company Aitken Spence PLC. and a Director of Amethyst Leisure Ltd., Paradise Resorts Pasikudah (Pvt) Ltd, Browns Beach Hotels PLC., and Negombo Beach Resorts (Pvt) Ltd., which are equity accounted investees of the Group. She is also the Chairperson of Splendor Media (Pvt) Ltd. and a Director of Stassen Exports (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No 42.1.1, 42.1.3 and 42.1.5.

Mr. C.H. Gomez a Director of the company is also a Director of the Parent Company Aitken Spence PLC.

Mr. N.J. De S Deva Aditya a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Distilleries Company of Sri Lanka PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 43.1.1 and 43.1.5.

Mr. R. N. Asirwatham a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of CIC Holdings PLC,Browns Beach Hotels PLC and Royal Ceramics PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 43.1.1, and 43.1.5.

Mr. G.P.J Goonewardena who was a Director of the Company resigned with effect from 30th June 2017 and re-appointed with effect from 30.03.2018.

Mr. C.M.S Jayawickrama a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., a Director of Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd.,Ahungalla Resorts Ltd., Crest Star (BVI) Ltd, Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., P R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd. Aitken Spence Hotel Managements South India (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 43.1.2 Mr. C.M.S Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd., which is a equity accounted investees of the Group.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 43.1.1 to 43.1.5.

NOTES TO THE FINANCIAL STATEMENTS

43.1 Details of transactions carried out with Related Party Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Balance as at 31.03.2018	Transaction Value	Balance as at 31.03.2018
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
43.1.1. Transactions with Parent Company and ultimate Parent Company							
Aitken Spence PLC	Parent Company	Interest earned/(paid) - net Lease Rent paid	Market terms Contractual Payment	81,487 1,500		3,134 -	
		Corporate guarantee fees	Market terms	20,000		20,000	
		Fees paid for services	Market terms	105,188		15,926	
		Long term borrowings	Market terms	333,400		233,400	
		Short term borrowings	Market terms	482,664	(834,985)	534,503	(276,489)
Milford Exports (Ceylon) (Pvt) Ltd.	Ultimate Parent Company	-	-	-	-	-	-
43.1.2 Transactions with Subsidiaries							
Aitken Spence Hotel Management (Asia) Pvt Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	165,463	-	-	62,922
Aitken Spence Hotels International (Pvt) Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	177,836	-	-	55,409
Turyaa (Pvt) Ltd.	Subsidiary	Short term advances	Market terms	-	-	354	885
Turyaa Resorts (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	-	161,280
Kandalama Hotels (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	73,602	(712,015)
Neptune Ayurvedic Village (Pvt) Ltd	Subsidiary	Dividends receivable	Short term	-	-	-	1,179
Meeraladuwa (Pvt) Ltd	Subsidiary	Short term advances	Market Terms	-	-	-	103
43.1.3 Transactions with Equity Accounted Investees							
Paradise Resorts Pasikudah (Pvt) Ltd	Associate	Transactions with Parent Company					
		Interest due on shareholder loan granted	Market terms	-	-	-	5,151
		Transactions with Parents Group Entities					
		Sale of Hotel Rooms	Market terms	2,790	-	-	-
		Central Purchasing unit handling charges	Market terms	219	9,958	-	-

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Balance as at 31.03.2018	Transaction Value	Balance as at 31.03.2018
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Negombo Beach Resorts (Pvt) Ltd	Associate	Transactions with Parent Company					
		Shareholder Loan	Market terms	588,752	588,752	588,752	588,752
		Interest received for shareholder loan	Market terms	58,935	7,666	58,935	7,623
		Transactions with Parents Group Entities					
		Sale of Hotel Rooms	Market terms	62,136			
		Printing of hotel promotional literature	Market terms	1,561			
		Central purchasing / merchandising unit handling charges	Market terms	4,007			
		Purchase of mineral water	Market terms	655			
		Clearing of imported items	Market terms	137	-	-	-
43.1.4 Transactions with Parent's Group Entities							
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	1,199,796	164,966	159,086	21,197
		Purchase of Air Tickets for overseas travel	Market terms	7,067	(330)	-	-
Aitken Spence Exports (Pvt) Ltd.	Subsidiary of the Parent Company	Purchase of mineral water	Market terms	2,586	1,085 (1,962)	739	-
Aitken Spence Printing & Packaging (Pvt) Ltd.	Subsidiary of the Parent Company	Printing & Typesetting hotel promotional literature and Annual Reports	Market terms	4,179	(117)	2,747	-
Aitken Spence Hotel Managements (Pvt) Ltd.	Subsidiary of the Parent Company	Management fees for managing the hotels	Percentage of revenue and profits	218,162	-	35,132	-
		Central Purchasing & Merchandising unit handling charges	Market terms	33,996	-	9,282	-
		Export of Hotel Supplies to Maldives	Market terms	243,925	184,276 (62,866)	-	288 (5,199)
Elevators (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and Maintenance of Hotel Elevators	Market terms	9,445	(764)	1,110	-
Elpitiya Plantations PLC	Subsidiary of the Parent Company	Purchase of tea leaves	Market terms	1,548	(180)	624	(45)

NOTES TO THE FINANCIAL STATEMENTS

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Balance as at	Transaction Value	Balance as at
				Rs. '000	31.03.2018 Rs. '000	Rs. '000	31.03.2018 Rs. '000
Ace International Express (Pvt) Ltd	Subsidiary of the Parent Company	Courier Services	Market terms	716	31	-	31
Ace Distriparks (Pvt) Ltd	Subsidiary of the Parent Company	Hiring of freezer truck	Market terms	167	(167)	-	-
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	152	(99)	-	-
Aitken Spence Agriculture (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of vegetables	Market terms	2,119	(233)	-	-
43.1.5 Transactions with Other Related Companies							
Distilleries Company of Sri Lanka PLC	Other related Company	Purchase of beverages	Market terms	20,718	(2,399)	5,345	(619)
Stassen Exports (Pvt) Limited	Other related Company	Purchase of food items	Market terms	464,429	(28,762)	44,869	(3,824)
Lanka Milk Foods (CWE) PLC	Other related Company	Purchase of milk powder	Market terms	10,657	(133)	2,139	(133)
Lanka Diaries (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	677	(31)	465	-
Lanka Bell Ltd.	Other related Company	Provision of telecommunication services.	Market terms	3,243	(78)	1,055	(73)
Periceyl (Pvt) Ltd	Other related Company	Purchase of beverages	Market terms	23,094	(2,220)	9,220	(1,739)
CIC Holdings PLC	Other related Company	Purchase of food items	Market terms	1,231	-	318	-
Pattipola Live Stock Company Ltd	Other related Company	Purchase of food items	Market terms	1,308	(122)	-	-
Royal Ceramic PLC	Other related Company	Purchase of goods	Market terms	539	-	148	-
Splendor Media (Pvt) Ltd	Other related Company	Purchase of services	Market terms	450	-	-	-

43.1.6 The Company and the Subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain Tour operators, for whom Aitken Spence Travels (Pvt) Ltd., has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2018 is disclosed above.

43.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs. 13.2 million (Company Rs 5.7 million) from sale of hotel packages to Aitken Spence PLC and its Subsidiaries (excluding Hotel Companies). Balances outstanding from these companies as at 31st March 2018 is reflected in Note No. 25 - Amounts due from Parent's Group Entities.

43.2 Non Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2018 Rs.000	Value of the related party transactions as a % of total Assets. Rs.000	Value of the related party transactions as a % of total Assets. Rs.000	Terms and conditions of the related party transaction
43.2.1 Transaction with Parent Company						
Aitken Spence PLC	Parent Company	USD Term Loan to Invest in equity in Aitken Spence Hotel Management South India (Pvt) Ltd	307,000	1%	1%	Repayable in four quarterly installments commencing from March 2018 Interest linked to LIBOR
		USD /EURO Loan to Ahungalla Resorts Ltd	382,655	1%	1%	Repayable in 10 monthly installments commencing from March 2018. Interest linked to LIBOR and EURIBOR
43.2.2 Transaction with Subsidiaries						
Aitken Spence Hotel Managements South India (Pvt) Ltd	Subsidiary	Investment in equity	307,000	1%	0.59%	Market Terms
43.2.3 Transaction with Equity Accounted Investees						
Negombo Beach Resorts (Pvt) Ltd	Associate	Shareholder Loan & interest due	588,752 58,752	2%	1%	Repayable in 7 years with grace period of 2 years. Interest linked to AWPLR

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

43.3 Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2018 Rs.000	Value of the related party transactions as a % of Revenue	Terms and conditions of the related party transaction
43.3.1					
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of Parent Company	Sale of Hotel rooms in the ordinary course of business	1,199,796	7.47%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the group.

NOTES TO THE FINANCIAL STATEMENTS

43.4 Transactions with Key Management Personnel

Aitken Spence Hotel Holdings PLC., considers its Board of Directors as the key management personnel of the Company. The Board Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary Companies are considered as key management personnel of Group Companies.

There were no transactions other than employments benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures.

	Group		Company	
For the year ended	2018	2017	2018	2017
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term employment benefits	36,188	18,168	-	-
Post employment benefits	-	-	-	-
Total	36,188	18,168	-	-

44 ACQUISITION OF NON CONTROLLING SHARES

The Company made an offer to the Minority Shareholders of Aitken Spence Hotels Ltd. on 8th June, 1999 to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share) . During this financial year no shares were acquired . The Company as at 31 st March, 2018 held 98% of the equity share capital of Aitken Spence Hotels Ltd.

45 EVENTS AFTER REPORTING DATE

The Board resolved to recommend the payment of :

A first and Final Dividend of Rs. 1.25 per Ordinary Share for the financial year 2017/18 once approved by the shareholders at the Annual General Meeting.

There has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the Financial Statements.

46 CAPITAL EXPENDITURE COMMITMENTS

There are no capital expenditure commitments other than those disclosed in Note No 14.4 to the financial Statements.

47 AVERAGE NUMBER OF EMPLOYEES

The average number of employees as at 31st March 2018 amounts to 3,166 (2016/2017 - 3,215)

48 COMPARATIVE INFORMATION

No comparative information were changed during the year which require disclosure or adjustments in the financial statements.

However the presentation and classification of financial statements of the comparative year has been amended where relevant to be comparable with those of the current year.

49 DIRECTORS RESPONSIBILITY.

The Board of Directors of the Company are responsible for the preparation of financial statements.

QUARTERLY STATISTICS

INCOME STATEMENT - GROUP

	30th June	30th September	31st December	31st March
For the quarter ended	2017	2017	2017	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net Turnover	3,418,484	3,670,743	4,497,280	6,183,032
Other income	61,392	364,977	21,859	(188,380)
Staff Costs	(768,774)	(744,161)	(783,303)	(807,016)
Depreciation	(416,736)	(436,064)	(425,328)	(424,597)
Amortisation	(28,152)	(27,648)	(28,197)	(28,532)
Other Operating Expenses - Direct	(873,119)	(821,745)	(1,098,214)	(1,105,505)
Other Operating Expenses - Indirect	(1,377,535)	(1,634,928)	(1,447,342)	(1,738,657)
Profit from operations	15,560	371,174	736,755	1,890,345
Finance Income	42,138	71,436	73,580	76,059
Finance Expenses	(230,880)	(261,298)	(223,662)	(233,277)
Share of Profit of equity accounted investees net of tax	(57,558)	(30,689)	(42,154)	(7,638)
Income Tax Expense	(68,516)	(131,087)	(125,290)	(281,603)
Net Profit /(Loss) for the period	(299,256)	19,536	419,229	1,443,886
Profit attributable Equity holders of the Parent	(220,599)	105,484	288,332	996,097
Non - controlling interests	(78,657)	(85,948)	130,897	447,789
	(299,256)	19,536	419,229	1,443,886

STATEMENT OF FINANCIAL POSITION - GROUP

As at	30th June	30th September	31st December	31st March
	2017	2017	2017	2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets				
Non Current Assets	44,416,014	44,917,893	45,862,154	47,114,431
Current Assets	5,986,055	6,373,774	7,147,713	11,478,966
Total Assets	50,402,069	51,291,667	53,009,867	58,593,397
Equity and Liabilities				
Equity	18,729,750	18,573,717	18,874,410	19,771,215
Non - controlling interest	8,135,461	7,802,637	7,990,732	8,122,788
Total Equity	26,865,211	26,376,354	26,865,142	27,894,003
Non Current Liabilities	16,826,065	15,252,542	17,288,392	19,876,906
Current Liabilities	6,710,793	9,662,771	8,856,333	10,822,488
Total Equity & Liabilities	50,402,069	51,291,667	53,009,867	58,593,397

SHARE INFORMATION - GROUP

Earnings Per Ordinary Share	(Rs)	0.67	0.30	0.85	2.95
Net Asset Value Per Share	(Rs)	55.20	54.74	55.63	58.30
Market Price Per Share					
Highest	(Rs)	42.00	38.60	33.90	35.00
Lowest	(Rs)	34.10	31.50	28.00	28.00
Last Trade Price	(Rs)	38.00	31.50	29.50	33.50

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED INCOME STATEMENT IN US \$

For the year ended 31 st March	2018 US \$ '000	2017 US \$ '000
Revenue	117,292	105,634
Revenue tax	(3,092)	(2,779)
Net revenue	114,200	102,855
Other income / (expenses)	1,670	(649)
Staff costs	(19,944)	(18,073)
Depreciation	(10,943)	(9,674)
Amortisation	(723)	(742)
Other operating expenses - direct	(25,055)	(22,049)
Other operating expenses - indirect	(39,836)	(36,548)
Profit from operations	19,369	15,120
Finance income	1,692	1,103
Finance expenses	(6,100)	(4,902)
Net finance income / (expenses)	(4,408)	(3,799)
	14,961	11,321
Share of profit of equity accounted investees net of tax	(887)	(1,126)
Profit before income tax	14,074	10,195
Income tax expenses	(3,898)	(3,525)
Profit for the year	10,176	6,670
Attributable to:		
Equity holders of the parent	7,515	4,447
Non - controlling interest	2,661	2,223
	10,176	6,670
Earnings per ordinary share (US \$.)	0.03	0.02
Exchange rate used for translation (One Us \$)	155.60	151.99

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN US \$

For the year ended 31 st March	2018 US \$ '000	2017 US \$ '000
Profit for the year	10,176	6,670
Other Comprehensive Income		
Items that will never be reclassified to profit or loss		
Revaluation of property, plant and equipment	341	1,366
Share of other comprehensive income of equity accounted investees	14	339
Actuarial gains/ (losses) on defined benefit plans	(134)	49
Income tax on other comprehensive income	(1,102)	(8)
	(881)	1,747
Items that are or may be reclassified to profit or Loss		
Foreign currency translation differences of foreign operations	1,499	5,160
Net movement in cashflow hedging	(6,172)	
Net change in fair value of available for sale financial assets	-	(498)
	(4,673)	4,662
Other comprehensive income for the year net of tax	(5,554)	6,409
Total comprehensive income for the year net of tax	4,622	13,079
Attributable to:		
Equity holders of the parent company	4,221	9,139
Non - controlling interests	400	3,939
	4,622	13,079
Exchange rate used for translation (One Us \$)	155.60	151.99

CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN US \$

As at 31st March	2018	2017
	US \$ '000	US \$ '000
ASSETS		
Non-Current Assets		
Property, plant & equipment	266,098	247,958
Leasehold properties	13,007	13,438
Prepaid operating leases	11,389	11,785
Intangible assets	2,674	2,662
Investment in equity accounted investees	7,446	8,517
Other financial assets	4,909	833
Deferred tax assets	924	1,038
	306,447	286,231
Current Assets		
Inventories	2,754	3,137
Trade and other receivables	13,358	12,810
Amounts due from ultimate holding company	9,410	2,340
Amount due from parent's group entities	2,370	2,909
Deposits & prepayments	3,427	4,635
Prepaid operating leases	425	472
Current tax receivable	149	74
Other financial assets	3,397	15,458
Cash and cash equivalents	34,827	15,234
	70,117	57,069
TOTAL ASSETS	376,564	343,299
EQUITY AND LIABILITIES		
Equity Attributable to Equity Holders of the Company		
Stated capital	22,844	23,387
Reserves	25,479	28,639
Retained earnings	78,741	74,047
	127,064	126,073
Non -controlling interests	52,203	54,417
Total Equity	179,267	180,490
Non-Current Liabilities		
Interest - bearing borrowings	116,671	95,077
Government grants	-	1
Deferred tax liabilities	4,154	2,427
Other liabilities	5,664	3,933
Employee benefits	1,254	1,168
	127,743	102,606
Current Liabilities		
Trade payables	3,858	4,215
Other provisions and payables	18,962	18,735
Amounts due to ultimate holding company	5,366	2,292
Amounts due to parent's group entities	429	855
Interest bearing borrowings	27,766	21,785
Current tax payable	1,462	831
Short term bank borrowings	11,711	11,490
	69,554	60,203
Total Liabilities	197,297	162,809
TOTAL EQUITY AND LIABILITIES	376,564	343,299
Exchange rate used for translation (One Us \$)	155.60	151.99





It's a matter of fact that whenever you
make your stay at one of our hotels...
You'll always feel at home.



Supplementary Information

In view of our commitment towards maintaining effective two-way communication with all investors, the Board conducts regular discussions with Institutional Investors based on mutual understanding of objectives, particularly those relating to governance and strategy.

INVESTOR INFORMATION

1. STOCK EXCHANGE LISTING

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN.N0000"

2. SHAREHOLDERS

There were 3,411 registered ordinary shareholders as at 31st March 2018 distributed as follows:

Range			31.03.2018			31.03.2017		
			No.of Shareholders	No. of Shareholding	%	No.of Shareholders	No. of Shareholding	%
1	to	1,000 shares	1,932	664,707	0.21	1,926	658,059	0.20
1,001	to	10,000 shares	1,115	3,797,944	1.13	1,096	3,700,814	1.10
10,001	to	100,000 shares	288	8,287,479	2.46	301	8,495,477	2.53
100,001	to	1,000,000 shares	61	19,651,497	5.84	65	21,469,308	6.38
1,000,001	&	Above	15	303,888,383	90.36	14	301,966,352	89.79
			3,411	336,290,010	100.00	3,402	336,290,010	100.00

3. ANALYSIS OF SHAREHOLDERS

Category		31.03.2018		31.03.2017	
		Shareholding	%	Shareholding	%
Nationals		333,961,728	99.31	333,426,960	99.15
Non - Nationals		2,328,282	0.69	2,863,050	0.85
		336,290,010	100.00	336,290,010	100.00
Category		Shareholding	%	Shareholding	%
Aitken Spence PLC, and subsidiaries		250,530,518	74.50	250,507,418	74.49
Other Institutions		64,201,863	19.09	63,437,350	18.86
Individuals		21,557,629	6.41	22,345,242	6.65
		336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2018 is 25.40% Number of public shareholders as at 31st March 2018 is 3,400

4. SHARE TRADING

	2017/18	2016/17	2015/16	2014/15	2013/14
Number of Shares traded during the year	4,738,492	5,053,600	8,188,438	14,623,056	5,879,926
Value of Shares traded during the year (Rs.)	150,129,013	256,834,808	530,954,107	1,171,857,188	418,255,629
Number of Transactions	2,833	2,362	2,335	3,395	2,404

5. MARKET VALUE

Financial Year	Highest Rs.	Lowest Rs.	Year End Rs.
2013-14	81.00	62.10	70.00
2014-15	87.00	67.00	67.00
2015-16	83.90	50.00	53.00
2016-17	64.00	34.00	35.20
2017-18	42.00	28.00	33.50

6. RATIOS

	2017/18	2016/17	2015/16	2014/15	2013/14
Earnings per Share (Rs.)	3.43	1.97	4.13	6.60	6.92
Price Earnings Ratio (Times)	9.76	17.91	12.83	10.15	10.12
Net Asset per Share as at 31st March (Rs.)	58.30	56.49	54.24	50.75	45.24

7. DIVIDENDS

The Directors recommended a first and final dividend of Rs.1.25 per ordinary share for the financial year 2017/18.

Year	Dividend per share Rs.	Dividend Yield %
2013/2014	1.50	2.14%
2014/2015	1.50	2.24%
2015/2016	1.25	2.36%
2016/2017	0.75	2.13%
2017/2018	1.25	3.73%

8. MARKET CAPITALIZATION (AS AT 31ST MARCH)

	Stated Capital & Reserves (Rs.'000)	Market Capitalization (Rs.'000)
2013/14	15,378,288	23,540,301
2014/15	17,231,215	22,531,431
2015/16	18,405,792	17,823,371
2016/17	19,161,826	11,837,408
2017/18	19,771,215	11,265,715

The float adjusted market capitalisation as at 31st March 2018 was Rs. 2,861,660,680.82 with reference to the rule no.7.6 (iv) of the listing rules of the Colombo stock exchange.

As the float adjusted market capitalisation is over 2.5 Bn Aitken Spence Hotel Holdings PLC complies under option 3 with the minimum public holding requirement.

INVESTOR INFORMATION

9. GROUP EFFECTIVE HOLDING IN SUBSIDIARY, JOINT VENTURES AND ASSOCIATE COMPANIES

	%	
As at 31st March	2018	2017
Company		
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	51.00	51.00
Aitken Spence Hotels Ltd.	98.00	98.00
Crest Star (BVI) Ltd.	100.00	100.00
Cowrie Investment (Pvt) Ltd.	60.00	60.00
Aitken Spence Hotels (International) (Pvt)Ltd.	51.00	51.00
PR Holiday Homes (Pvt) Ltd. (India)	43.13	43.13
Floatels India (Pvt) Ltd.	4.58	5.61
Heritance (Pvt) Ltd.	98.00	98.00
Kandalama Hotels (Pvt) Ltd.	61.74	61.74
Jetan Travel Services Co. (Pvt) Ltd.	95.00	95.00
Ace Resorts (Pvt) Ltd.	51.00	51.00
ADS Resorts (Pvt) Ltd.	51.00	51.00
Unique Resorts (Pvt) Ltd.	51.00	51.00
Aitken Spence Hotel Services (Pvt) Ltd. India	51.00	51.00
Aitken Spence Hotel Management (South India) Pvt. Ltd.	55.05	51.00
Aitken Spence Resorts (Middle East).	50.95	50.90
Perumbalam Resorts (Pvt) Ltd. (India)	43.13	43.13
Amethyst Leisure (Pvt) Ltd.	27.89	27.89
Turyaa Resorts (Pvt) Ltd.	100.00	100.00
Turyaa (Pvt) Ltd.	100.00	100.00
Browns Beach Hotels PLC	37.42	37.42
MPS Hotel (Pvt) Ltd.	0.00	100.00
Hethersett Hotels Ltd.	94.44	87.65
Ahungalla Resorts Ltd.	60.00	60.00
Neptune Ayurvedic Village (Pvt) Ltd.	100.00	100.00
Nilaveli Holidays (Pvt) Ltd.	100.00	100.00
Nilaveli Resorts (Pvt) Ltd.	100.00	100.00
Galle Heritage (Pvt) Ltd.	100.00	100.00
Meeraladuwa (Pvt) Ltd	100.00	100.00
Paradise Resorts Pasikudah (Pvt) Ltd.	27.89	27.89
Negombo Beach Resorts (Pvt) Ltd.	37.42	37.42

10. SHAREHOLDING OF DIRECTORS TOGETHER WITH THEIR SPOUSES IN AITKEN SPENCE HOTEL HOLDINGS PLC.

As at 31st March	2018	2017
Deshamanya D H S Jayawardena	-	-
Mr. J M S Brito	314,346	278,023
Ms. D S T Jayawardena	16,000	16,000
Mr. C M S Jayawickrama	-	-
Mr. R N Asirwatham	1,000	1,000
Mr. N J De Silva Deva Aditya	-	-
Mr. C H Gomez	-	-
Mr. G P J Goonewardena	5,460	5,460
Total	336,806	300,483

11. TWENTY LARGEST SHAREHOLDERS AS AT 31ST MARCH.

Twenty Largest Shareholders as at 31st March		2018 No.of Shares	%	2017 No.of Shares	%
1	Aitken Spence PLC-A/C No. 1	239,472,667	71.21	239,472,667	71.21
2	Employees Provident Fund	31,501,601	9.37	31,501,601	9.37
3	Sri Lanka Insurance Corporation Ltd - Life Fund	5,518,727	1.64	5,518,727	1.64
4	Ace Cargo (Private) Limited	4,423,601	1.32	4,423,601	1.32
5	Aitken Spence Hotel Managements (Pvt) Ltd.	3,530,639	1.05	3,530,639	1.05
6	Aitken Spence Aviation (Pvt) Ltd.	2,604,140	0.77	2,604,140	0.77
7	Bank Of Ceylon No. 1 Account	2,547,422	0.76	2,547,422	0.76
8	Employees Trust Fund Board	2,370,705	0.71	2,370,705	0.71
9	The Ceylon Guardian Investment Trust PLC A/C No. 02	2,245,982	0.67	2,245,982	0.67
10	National Savings Bank	2,102,133	0.63	2,102,133	0.63
11	Mr. G C Wickremasinghe	2,082,241	0.62	2,082,241	0.62
12	J B Cocoshell (Pvt) Ltd.	1,913,304	0.57		
13	The Ceylon Investment PLC A/C No. 02	1,283,675	0.38	1,283,675	0.38
14	Miss. A T Wickremasinghe	1,245,004	0.37	1,245,004	0.37
15	Bank Of Ceylon A/C Ceybank Century Growth Fund	1,046,542	0.31	1,037,815	0.31
16	Mr. M J Fernando	1,000,000	0.30	1,000,000	0.30
17	Mrs. K Fernando	991,149	0.30	991,149	0.30
18	Ceylon Investment PLC A/C No. 01	985,900	0.29	985,900	0.29
19	Phoenix Ventures (Pvt) Ltd.	831,390	0.25	831,390	0.25
20	Rubber Investment Trust Limited A/C No. 01	826,548	0.25	792,093	0.24
Total Ordinary Shares		308,523,370	91.74	306,566,884	91.16

INVESTOR INFORMATION

12. HISTORY OF MOVEMENT IN ORDINARY SHARE CAPITAL

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M. P. S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue (1 for 4)	9,608,286
	Share Split (7 for 1)	288,248,580
	Total as at 31st March, 2018	336,290,010

13. HISTORY OF MOVEMENT IN PREFERENCE SHARE CAPITAL

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	(40,000)
1983/84	Redemption	(40,000)
1984/85	Redemption	(40,000)
1985/86	Redemption	(40,000)
1990/91	Redemption	(40,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000
	Total as at 31st March 2018	16,500,000

DECADE AT A GLANCE

Rs. '000										
Year ended 31st March	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
OPERATING RESULTS										
Revenue	18,250,581	16,055,386	13,378,071	13,270,918	12,947,076	12,035,870	9,614,828	8,059,152	7,137,672	6,611,893
Profit / (Loss) before Taxation	2,189,891	1,549,562	2,520,651	3,920,116	4,078,450	3,204,882	2,427,770	1,394,853	792,853	845,333
Taxation	(606,496)	(535,823)	(432,889)	(484,494)	(561,435)	(464,895)	(346,299)	(37,242)	(18,056)	(20,975)
Profit/(Loss) after Taxation	1,583,395	1,013,739	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471	1,357,611	774,796	824,358
Profit/(Loss) attributable to Equity	1,169,314	675,873	1,403,766	2,234,804	2,340,934	1,785,154	1,377,976	1,304,073	523,776	592,587
Holders of the parent										
SHAREHOLDERS' FUNDS										
Stated Capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	1,056,433	1,056,433
Reserves and Retained Earnings	16,216,628	15,607,239	14,851,205	13,676,628	11,823,701	9,371,120	7,614,992	5,468,654	4,132,761	3,667,632
Shareholders' Funds	19,771,215	19,161,826	18,405,792	17,231,215	15,378,288	12,925,707	11,169,579	9,023,241	5,189,194	4,724,065
LIABILITIES										
Non-Current Interest bearing	18,154,051	14,450,707	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308	3,007,565	2,962,320	3,746,361
Borrowings										
Amount due to ultimate Holding	834,985	348,329	155,804	37,518	92,315	109,340	204,779	59,861	646,434	779,109
Company										
Current Liabilities	9,987,503	8,801,945	5,859,232	5,173,696	3,481,725	3,326,203	3,249,987	2,164,471	2,004,139	2,001,455
Other Liabilities & Charges	1,722,855	1,144,318	411,798	344,196	321,148	304,726	287,278	147,925	163,131	114,317
Non-Controlling Interest	8,122,788	8,270,862	5,429,111	4,638,017	3,789,554	2,903,733	2,189,351	1,372,530	1,589,136	1,346,064
Total Equity and Liabilities	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354	12,711,371
ASSETS										
Property, Plant & Equipment	41,404,788	37,687,160	23,101,360	16,402,491	12,571,903	11,962,472	11,087,739	8,879,249	8,756,041	8,686,707
Leasehold Property	2,023,903	2,042,460	2,006,728	1,906,526	1,461,100	1,463,930	1,521,100	1,354,026	1,516,449	1,554,651
Prepaid Operating Leases	1,772,172	1,791,169	1,811,071	1,067,063	1,048,621	1,020,553	1,067,800	46,500	-	-
Intangible Assets	416,053	404,612	380,166	2,842	13,390	26,929	26,862	-	-	1,524
Investments	1,158,581	1,294,427	4,982,212	3,098,474	1,336,814	1,302,694	1,227,371	960,878	192,915	185,118
Long-Term Investments	763,780	126,650	202,395	180,191	197,478	221,072	233,207	222,395	211,770	218,081
Deferred Tax Assets	143,906	157,760	147,969	119,017	115,977	132,722	130,018	48,399	2,713	-
Current Assets	10,910,214	8,673,749	5,816,313	10,011,662	9,231,645	6,229,427	4,597,185	4,254,320	1,874,466	2,065,290
Assets Held for sale	-	-	-	-	-	-	-	9,826	-	-
Total Assets	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354	12,711,371
CASH FLOW										
From Operating activities	2,801,992	2,587,485	3,479,769	3,986,229	3,820,890	3,528,361	3,156,697	663,257	1,484,828	1,503,360
From Investing activities	(3,050,809)	(2,279,588)	(6,507,608)	(6,137,472)	(3,446,368)	(1,686,804)	(2,533,371)	(1,023,336)	(662,377)	(2,025,844)
From Financing activities	3,266,138	120,782	1,409,694	2,412,926	(607,312)	(389,776)	(765,864)	1,965,198	(638,280)	605,561
Net Cash Inflow/(Outflow)	3,017,321	428,679	(1,618,145)	261,682	(232,790)	1,451,781	(142,538)	1,605,119	184,171	83,077
KEY INDICATORS										
Earnings per ordinary share (Rs.)	3.43	1.97	4.13	6.60	6.92	5.26	4.05	3.03	1.77	2.15
Net Assets value per share (Rs.)	58.30	56.49	54.24	50.75	45.24	37.95	32.72	26.34	14.93	16.95
Market value per share (Rs.)	33.50	35.20	53.00	67.00	70.00	74.00	70.00	98.00	385.00	90.00
Dividend per share (Rs.)	1.25	0.75	1.25	1.50	1.50	1.00	0.70	0.50	0.21	0.50
Dividend cover (Times)	3.43	2.62	3.30	4.40	4.61	5.26	5.79	6.06	8.42	30.06
Price to Earnings Ratio (Times)	9.76	17.91	12.83	10.15	10.12	14.07	17.28	32.33	29.08	5.99
Gearing (Debt/(Debt+Equity)) %	39.78	34.90	26.08	20.30	13.94	15.87	18.30	23.67	32.11	39.84
Interest cover (Times)	3.45	3.31	8.73	22.21	22.03	13.71	12.40	7.08	3.09	3.30
Return on Average	5.98	3.55	7.87	13.75	16.63	14.90	13.73	14.68	10.57	13.97
Shareholders' funds (%)										

REAL ESTATE HOLDINGS OF THE GROUP

Description of the Property	No of Rooms	Location	Building in Sq.ft	Land Extent Acres		Net Book Value as at 31/03/18 (Rs.'000)	
				Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC							
Heritance Ahungalla	152	Ahungalla	253,590	11.96	-	710,300	723,694
Meeraladuwa (Pvt) Ltd							
Meeraladuwa Island	-	Balapitiya	-	29.55	-	217,020	
Kandalama Hotels (Pvt) Ltd							
Heritance Kandalama	152	Dambulla	426,553	169.64	50.00	9,300	448,925
Hethersett Hotels Ltd							
Heritance Tea Factory	54	Nuwara Eliya	50,999	-	25.00	-	116,605
Aitken Spence Hotels Ltd							
Heritance Ayurveda Maha Gedara	64	Beruwala	125,349	-	6.44	-	371,201
Heritance (Pvt) Ltd	0	Beruwala	-	5.79	-	324,250	-
Neptune Ayurvedic Village (Pvt) Ltd	0	Beruwala	12,500	0.12	-	4,500	14,167
Turyaa (Pvt) Ltd	110	Kalutara	192,686	5.93	-	407,160	735,758
Turyaa Resorts (Pvt) Ltd	90	Kalutara	113,060	2.42	-	170,336	1,166,754
Ahungalla Resorts Ltd							
Hotel RIU Sri Lanka	501	Ahungalla	601,751	12.97	-	942,650	8,486,685
Jetan Travel Services Co. (Pvt) Ltd							
Adaaran Club Rannalhi	130	Maldives	105,553	-	11.69	-	801,687
Cowrie Investments (Pvt) Ltd							
Adaaran Select Meedhuparu	235	Maldives	299,989	-	44.45	-	2,262,077
Island of Aarah in Raa Atoll	-		-	-	26.90	-	-
ADS Resorts (Pvt) Ltd							
Adaaran Select Hudhuranfushi	215	Maldives	181,779	-	78.00	-	825,794
Unique Resorts (Pvt) Ltd							
Adaaran Prestige Vadoo	50	Maldives	42,606	-	4.48	-	1,618,580
Ace Resorts (Pvt) Ltd							
Rafushi Island Maldives	-	Maldives	-	-	45.25	-	-
Aitken Spence Hotel Managements							
(South India) Pvt Ltd							
Turyaa Chennai	140	Chennai/India	126,825	0.84	-	560,678	2,795,940
Perumbalam Resorts (Pvt) Ltd	-	Chennai/India	-	4.05	-	52,411	-
P.R Holiday Homes (Pvt) Ltd	-	Chennai/India	-	14.04	-	205,573	-
Aitken Spence Resorts (Middle East) LLC							
Al Falaj Hotel	150	Oman	16,408	5.05	-	2,717,411	2,631,625

GROUP DIRECTORY

Ace Resort Private Limited *
Owns the Raafushi island for the construction and development of a Resort in the Maldives.

Directors:
J.M.S. Brito,
C.M.S. Jayawickrama (Managing Director),
Ms. D.S.T. Jayawardena,
A.K.M.P. Wijesekara,
M. Mahdy.

A.D.S Resorts Private Limited *
Owns and operates Adaaran Select Hudhuran Fushi – Maldives.

Directors:
Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M. Mahdy,
A.K.M.P. Wijesekara.

Aitken Spence Hotel Holdings PLC *
The holding company of the group's hotel interests. Owns and operates the Heritage Ahungalla Hotel.

Directors:
Deshamanya D.H.S. Jayawardena (Chairman),
J.M.S. Brito (Managing Director),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
G.P.J. Goonewardena (Appointed w.e.f. 30th March 2018),
R.N. Asirwatham,
C.H. Gomez,
N.J. de Silva Deva Aditya.

Aitken Spence Hotel Managements (Private) Limited *
Manages resorts in Sri Lanka.

Directors:
J.M.S. Brito,
Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
D.T.R. de Silva.

Aitken Spence Hotel Managements (South India) Private Limited
Owns and operates a 143 room hotel property "Turyaa" in Chennai.

Directors:
J.M.S. Brito (Chairman),
C.M.S. Jayawickrama,
T.K. Dewanarayana,
A. Durairaj.

Aitken Spence Hotel Managements Asia (Private) Limited *
Manages resorts in Oman and in the Maldives.

Directors:
Deshamanya D.H.S. Jayawardena,
Ms. D.S.T. Jayawardena,
Dr. R.M. Fernando,
Ms. N. Sivapragasam,
G.P.J. Goonewardena (Resigned w.e.f. 31st March 2018).

Aitken Spence Hotels International (Private) Limited *
Overseas investment company of the Hotels' sector and provides international marketing services to the resorts in the Republic of Maldives and the Sultanate of Oman.

Directors:
J.M.S. Brito,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

Aitken Spence Hotel Services Private Limited
Local marketing company of hotels in India.

Directors:
R.S. Rajaratne,
A.K.M.P. Wijesekara.

Aitken Spence Hotels Limited *
Holding company of Kandalama Hotels (Private) Limited and Heritage (Private) Limited. Owns and operates Heritage Ayurveda Maha Gedara.

Directors:
J.M.S. Brito,
Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama.

Aitken Spence Resorts (Middle East) LLC*
Owning company of the Al Falaj Hotel in Muscat, Sultanate of Oman.

Directors:
J.M.S. Brito,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
A. Perera,
A.K.M.P. Wijesekera,
S.N. de Silva.

GROUP DIRECTORY

Aitken Spence Resources (Private) Limited * Human resource management, foreign employment and recruitment company. Directors: Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama, G.P.J. Goonewardena, A.K.M.P. Wijesekera (Appointed w.e.f. 15th March 2018).
Ahungalla Resorts Limited * A joint venture company with RIUSA NED BV and owns and operates the RIU Hotel Sri Lanka at Ahungalla. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama, L. Riu Guell, J.T. Riu (Appointed w.e.f. 12th January 2018), C.L.M. Riu Guell (Resigned w.e.f. 12th January 2018).
Cowrie Investment Private Limited * Owns and operates Adaaran Select Meedhupparu – Maldives. Directors: J.M.S. Brito (Chairman and Managing Director), Ms. D.S.T. Jayawardena, C.M.S. Jayawickrama, I.M. Didi, M. Salih.
Crest Star (B.V.I.) Limited The holding company and managing agent of Jetan Travel Services Company Private Limited. Directors: J.M.S. Brito (Chairman), C.M.S. Jayawickrama.
Crest Star Limited Directors: J.M.S. Brito, C.M.S. Jayawickrama.
Heritance (Private) Limited * Owns a land in Beruwela for a proposed hotel project. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.

Hethersett Hotels Limited * Owns and operates Heritance Tea Factory - Kandapola. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Jetan Travel Services Company Private Limited * Owns and operates Adaaran Club Rannalhi – Maldives. Directors: Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama (Managing Director), H. Mohamed, M. Mahdy, A.K.M.P. Wijesekara.
Kandalama Hotels (Private) Limited * Owns and operates Heritance Kandalama. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Meeraladuwa (Private) Limited * Owns the island of Meeraladuwa. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Neptune Ayurvedic Village (Private) Limited * Leases company owned land and building to Aitken Spence Hotels Limited. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Nilaveli Holidays (Private) Limited * To operate a future hotel project. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.

Nilaveli Resorts (Private) Limited * To operate a future hotel project. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Perumbalam Resorts Private Limited A fully owned subsidiary of PR Holiday Homes Private Limited. Directors: J.M.S. Brito, C.M.S. Jayawickrama, A.K.M.P. Wijesekera, M.R. Narayanan, K.K.M. Rawther, R. Narayanan.
PR Holiday Homes Private Limited Owns a land in Cochin, India for a future hotel project. Directors: J.M.S. Brito, C.M.S. Jayawickrama, A.K.M.P. Wijesekera, M.R. Narayanan, K.K.M. Rawther.
THE GALLE HERITAGE (PRIVATE) LIMITED * Proposed for constructing and operating a heritage hotel within the Fort of Galle. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Turyaa (Private) Limited * Owns and operates "Turyaa" resorts in Kalutara. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.
Turyaa Resorts (Private) Limited * Owns and operates a 90 room hotel property "Turyaa" in Kalutara. Directors: J.M.S. Brito, Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama.

Unique Resorts Private Limited * Owns and operates Adaaran Prestige Vaadhoo – Maldives. Directors: Ms. D.S.T. Jayawardena (Chairperson), C.M.S. Jayawickrama (Managing Director), A.K.M.P. Wijesekara, M.D.B.J. Gunatilake.
Amethyst Leisure Limited * Holding company of Paradise Resort Pasikudah (Private) Limited. Directors: Ms. D.S.T. Jayawardena (Chairperson), V.J. Senaratne, A. Mahir, J.C. Weerakone, M.Z.H. Hashim (Resigned w.e.f. 01st April 2018).
Browns Beach Hotels PLC * Owns the property leased out to Negombo Beach Resorts (Private) Limited. Directors: Deshamanya D.H.S. Jayawardena (Chairman), J.M.S. Brito, A.L. Gooneratne, Ms. D.S.T. Jayawardena, R.N. Asirwatham, N.J. de Silva Deva Aditya, C.R. Stanislaus.
Negombo Beach Resorts (Private) Limited * Owns and operates Heritance Negombo. Directors: Deshamanya D.H.S. Jayawardena (Chairman), Ms. D.S.T. Jayawardena, C.M.S. Jayawickrama, C.R. Stanislaus.
Paradise Resort Pasikudah (Private) Limited * Owning Company of Amethyst Resort, Pasikudah. Directors: Ms. D.S.T. Jayawardena (Chairperson), V.J. Senaratne, A. Mahir, J.C. Weerakone, M.Z.H. Hashim (Resigned w.e.f. 01st April 2018).
The companies' financial statements are audited by KPMG

INDEPENDENT ASSURANCE STATEMENT



SCOPE AND APPROACH

DNV GL represented by DNV GL Business Assurance Lanka (Private) Limited has been commissioned by the management of Aitken Spence Hotel Holdings PLC ('Aitken Spence Hotels' or 'the Company') to carry out an independent assurance engagement for the non-financial - qualitative and quantitative information (sustainability performance) reported in Aitken Spence Hotels Annual Report 2017/18 ('the Report') in its printed format for the financial year ending 31st March 2018. The sustainability disclosures in this Report is prepared by Aitken Spence Hotels, based on the 'in accordance' – Core reporting option of the Global Reporting Initiative (GRI) Standard 2016 for Sustainability Reporting.

We performed our assurance engagement (Type 2, Moderate level) using AccountAbility's AA1000 Assurance Standard 2008 (AA1000 AS) and DNV GL's assurance methodology VeriSustain™, which is based on our professional experience, international assurance best practice including International Standard on Assurance Engagements 3000 (ISAE 3000) Revised* and GRI guidelines. Our assurance engagement was planned and carried out in November 2017 – May 2018.

The intended user of this assurance statement is the Management of Aitken Spence Hotels ('the Management'). We disclaim any liability or responsibility to a third party for decisions, whether investment or otherwise, based on this assurance statement. The reporting aspect boundary of sustainability performance is based on internal and external materiality assessment carried out by the Company and predominantly covers operations in Sri Lanka, Maldives and India.

The Report does not include performance data and information related to the hotels in Sri Lanka (Earl's Regency, Earl's Regent, Bandarawela Hotel) and Oman (Desert Nights Camp, Sur Plaza Hotel, Al Wadi Hotel) i.e. entities which Aitken Spence Hotels does not own and managers on behalf of principles thus does not have control on investment decisions and also for Hotel RIU Sri Lanka wherein though majority of stake is owned by Aitken Spence Hotel Holdings PLC, but day to day Management is done by RIU International. The exclusion are clearly described within the Report.

We planned and performed our work to obtain the evidence we considered necessary to provide a basis for our assurance opinion and the process did not involve engagement with external stakeholders.

RESPONSIBILITIES OF THE DIRECTORS OF COMPANY AND OF THE ASSURANCE PROVIDERS

The Management of Aitken Spence Hotels have the sole responsibility for the preparation of the Report as well as the processes for collecting, analysing and reporting the information presented in the Report. In performing our assurance work, DNV GL responsibility is to the Management of Aitken Spence; however, this statement represents DNV GL's independent opinion and is intended to inform the outcome of assurance to the stakeholders of the Company.

DNV GL's assurance engagements are based on the assumption that the data and information provided by the client to us as part of our review have been provided in good faith and free from mis-statements. We were not involved in the preparation of any statements or data included in the Report except for this Assurance Statement. DNV GL expressly disclaims any liability or co-responsibility for any decision a person or an entity may make based on this Assurance Statement.

BASIS OF OUR OPINION

A multi-disciplinary team of sustainability and assurance specialists performed work at Company's Corporate Office, and as part of assurance we visited sample Hotel/resort operations in Oman, India and Sri Lanka. We undertook the following activities:

- Review the approach to stakeholder engagement and materiality determination process and the outcome as stated in this Report. We did not have any direct engagement with external stakeholders;
- Interviews with selected senior managers responsible for management of sustainability issues and review of selected evidence to support issues discussed. We were free to choose interviewees and interviewed those with overall responsibility to deliver the Company's sustainability objectives;
- Site visits to sample operations related to Tourism Sector i.e. (i) Heritance Negombo, Negombo (ii) Turyaa, Chennai, India (iii) Al-Falaj, Musket, Oman and the Head Office of Aitken Spence Hotel Managements (Pvt) Ltd. to review processes and systems for preparing site level sustainability data and implementation of management approach. We were free to choose sites we visited;
- Review of supporting evidence for key claims and data in the Report;



- Review of the processes for gathering and consolidating the specified performance data and, for a sample, checking the data consolidation. The reported data on economic performance and other financial data are based on audited financial statements issued by the Company's statutory auditors;
- An independent assessment of non-financial reporting against the Global Reporting Initiative (GRI) Standard 2016 and the reporting requirements for its 'in accordance' – Core option of reporting.

During the assurance process, we did not come across limitations to the scope of the agreed assurance engagement.

OPINION

On the basis of the verification undertaken, nothing came to our attention to suggest that the Report does not properly describe adherence to the GRI reporting requirements including the Principles for Defining Report Content, identified material topics, related Strategies and Disclosures on Management Approach and Performance Indicators as below:

Economic

- GRI 201: Economic Performance 2016 – 201-1; 201-2; 201-3
- GRI 202: Market presence 2016 – 202-1; 202-2,
- GRI 203: Indirect economic impact 2016 – 203-1; 203-2
- GRI 204: Procurement practices 2016 – 204-1
- GRI 205: Anti-corruption 2016 – 205-1; 205-2; 205-3
- GRI 206: Anti-Competitive Behavior 2016 – 206-1

Environment

- GRI 302: Energy 2016 – 302-1; 302-3; 302-4; 302-5
- GRI 303: Water 2016 – 303-1; 303-2; 303-3
- GRI 304: Biodiversity 2016 – 304-1; 304-2; 304-3; 304-4
- GRI 305: Emissions 2016 – 305-1; 305-2; 305-5
- GRI 306: Effluent & Waste 2016 – 306-2,306-3,306-5
- GRI 307: Environmental compliance 2016; 307-1

Social

- GRI 401: Employment 2016 – 401-1; 401-2
- GRI 402: Labor/management relations 2016 - 402-1
- GRI 403: Occupational Health & Safety 2016 - 403-1; 403-2
- GRI 404: Training & education 2016 - 404-1; 404-2; 404-3
- GRI 405: Diversity and equal opportunity 2016 – 405-1; 405-2
- GRI 406: Non-discrimination 2016 – 406-1
- GRI 407: Freedom of association and collective bargaining 2016 – 407-1
- GRI 408: Child labor 2016 – 408-1
- GRI 409: Forced or compulsive labor 2016 – 409-1
- GRI 410: Security practices 2016 – 410-1
- GRI 412: Human rights assessment 2016 -412-2
- GRI 413: Local communities 2016 – 413-1; 413-2
- GRI 414: Supplier social assessment 2016 – 414-1; 414-2
- GRI 416: Customer health and safety 2016 – 416-1; 416-2
- GRI 417: Marketing and labeling 2016 – 417-1; 417-2; 417-3
- GRI 418: Customer privacy 2016 – 418-1
- GRI 419: Socioeconomic compliance 2016- 419-1

OBSERVATIONS

Without affecting our assurance opinion, we also provide the following observations. We have evaluated the Report's adherence to the following AA1000As principles.

Materiality

The process of determining the issues that is most relevant to an organization and its stakeholders.

During the reporting year there was a review of material topics based on the Materiality Principle and Report has articulated identified material topics relevant for the Hotel and Resort sector, Based sustainability context. It is suggested that materiality exercise may involve entities across geolocations to identify significant material issues related to the Leisure sector including its supply chain.

INDEPENDENT ASSURANCE STATEMENT

DNV·GL

Inclusivity

The participation of stakeholders in developing and achieving an accountable and strategic response to Sustainability.

The report has articulated the established process to identify key stakeholders to engage with, the engagement mechanism and process, and key outcomes of stakeholder engagement. The Report has fairly attempted to describe the process of engagement with Key stakeholders through various channels, modes of engagement and key concerns.

Responsiveness

The extent to which an organization responds to stakeholder issues.

The identified materiality of topics are fairly explained in the Report along with the Policies, Strategies, Management systems and management approach, and Governance mechanisms in place across the business sectors to be sustainable on long term basis. The Report may further bring out reasons for underperformance and challenges during the period with respect to achieving its medium and long term targets.

The Report brings out how Aitken Spence Hotels has demonstrated its commitment towards ensuring sustainable performance on its identified material topics to respond to its stakeholder issues through its policies, strategies, management systems and governance mechanisms, and these are fairly reflected within the Report. The Company has set and deployed targets, objectives and action plans for key material issues especially stakeholder grievances and environmental aspects such as energy, water, waste and compliance, on a frequent basis.

Reliability

The accuracy and comparability of information presented in the report, as well as the quality of underlying data management systems.

The majority of data and information verified at Corporate Office and at sampled operational sites were found to be based on established data management system. Some of the data inaccuracies identified during the verification process were found to be attributable to transcription, interpretation and aggregation errors and the errors have been communicated for changes. It would be worthwhile if the mechanism established by the organization to effectively monitor the measurement systems for sustainable disclosures could be reinforced with internal audit processes companywide to further enhance the reliability.

Specific Evaluation of the Information on Sustainability Performance

We consider the methodology and process for gathering information developed by Aitken Spence Hotels for its sustainability performance reporting to be appropriate, and the qualitative and quantitative data included in the Report was found to be identifiable and traceable; the personnel responsible were able to demonstrate the origin and interpretation of the data. We observed that the Report presents a faithful description of the reported sustainability activities for the reporting period.

Additional principles as per DNV GL VeriSustain

Completeness

How much of all the information that has been identified as material to the organisation and its stakeholders is reported?

The Report has fairly attempted to disclose its sustainability performance for the reporting period based on the identified scope and boundary for the chosen option of reporting based on GRI Standards' - 'in accordance' – Core option of reporting.

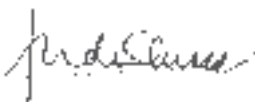
DNV·GL

Neutrality

The extent to which a report provides a balanced account of an organization's performance, delivered in a neutral tone.

The disclosures related to sustainability issues and performances are presented in a neutral tone, in terms of content and presentation; however, the Report could further bring out responses related to the key risks and challenges faced during the reporting period at its various geographical locations of operations.

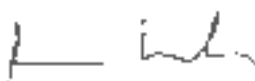
For DNV GL



Rathika de Silva
Country Head
DNV GL Business Assurance Lanka (Private) Limited, Colombo, Sri Lanka.



Vadakepatth Nandkumar
Lead Verifier,
Head – Regional Sustainability Operations – Region India and Middle East
DNV GL Business Assurance India Private Limited, India.



Prasun Kundu
Assurance Reviewer
Global Service Responsible – Social Accountability
DNV GL Business Assurance India Private Limited, India.

29th May 2018, Colombo, Sri Lanka.



DNV GL Business Assurance Lanka (Private) Limited is part of DNV GL – Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnvgl.com

GRI CONTENT INDEX

THE GLOBAL REPORTING INITIATIVE (GRI) CONTENT INDEX

This report contains Standard Disclosures from the Global Reporting Initiative (GRI) Sustainability Reporting Standards and is in accordance with the GRI Core Option.

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GRI 307: Environmental Compliance 2016	307-1	Non-compliance with environmental laws or regulations	None	
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	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	Financial Information - Employee Benefits	279-280
GRI 402: Labour/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes	Human Capital - Regulatory Compliance	134

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	403-2	Types of injury and rates of injury, occupational diseases, lost days and absenteeism and number of work-related fatalities.	Human Capital - Occupational Health & Safety	132
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	Human Capital	131
	404-2	Programs for upgrading employee skills and transition assistance programs	Human Capital	131
	404-3	Percentage of employees receiving regular performance and career development reviews	Human Capital - Employee Relationship Management	133
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	Human Capital	129
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HUMAN RIGHTS				
GRI 406: Non-Discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	None	
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Social & Relationship Capital	139
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GRI 409: Forced or Compulsory Labour 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour	Social & Relationship Capital - Suppliers	139
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GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	Social & Relationship Capital - Supplier Engagement Table	140
	414-2	Negative social impacts in the supply chain and actions taken	Social and Relationship Capital-Supply Chain	136
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	Human Capital - Regulatory Compliance	133
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	None	
GRI 417: Marketing and Labeling 2016	417-1	Requirements for product and service information and labeling	Social & Relationship Capital - Supplier Engagement Table	140
	417-2	Incidents of non-compliance concerning product and service information and labeling	None	
	417-3	Incidents of non-compliance concerning marketing communications	None	
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	None	
GRI 419: Socioeconomic Compliance 2016	419-1	Non-compliance with laws and regulations in the social and economic area	None	

CORPORATE INFORMATION

NAME

Aitken Spence Hotel Holdings PLC

LEGAL FORM

A Public Quoted Company with limited liability, incorporated in Sri Lanka on 14th March 1978

COMPANY REGISTRATION NUMBER

PQ 97

REGISTERED OFFICE

No. 315, Vauxhall Street Colombo 2, Sri Lanka

DIRECTORS

Deshamanya D H S Jayawardena - *Chairman*
J M S Brito LLB, FCA, MBA - *Managing Director*
D S T Jayawardena
C M S Jayawickrama FCMA
R N Asirwatham FCA
N J De Silva Deva Aditya
C H Gomez
G P J Goonewardena (*Retired on 30th June 2017 and appointed w.e.f. 30th March 2018*)

GROUP AUDIT COMMITTEE

R.N. Asirwatham – *Chairman*
G.C. Wickremasinghe
C.H. Gomez
N.J. De Silva Deva Aditya/A.L. Gooneratne (*Alternate Director to N.J. De Silva Deva Aditya*)

GROUP REMUNERATION COMMITTEE

G.C. Wickremasinghe - *Chairman*
R.N. Asirwatham
C.H. Gomez

GROUP NOMINATION COMMITTEE

G.C. Wickremasinghe - *Chairman*
D.H.S. Jayawardena
R.N. Asirwatham

GROUP RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

R.N. Asirwatham - *Chairman*
G.C. Wickremasinghe
C.H. Gomez
N.J. De Silva Deva Aditya/A. L. Gooneratne (*Alternate Director to N.J. De Silva Deva Aditya*)

SECRETARIES

Aitken Spence Corporate Finance (Private) Limited
No. 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
T: (94 11) 2308308
F: (94 11) 2308099

REGISTRARS

P W Corporate Secretarial (Private) Limited
3/17, Kynsey Road,
Colombo 08.
T: (94 11) 4640360-3
F: (94 11) 4740588

AUDITORS

KPMG
Chartered Accountants
32A, Sir Mohamad Macan Marker Mawatha,
P.O Box 186,
Colombo 03.

BANKERS

Hatton National Bank PLC
People's Bank
Bank of Ceylon
Hongkong and Shanghai Banking Corporation
Citibank N A
Union Bank
ICICI Bank
Nations Trust Bank
DFCC Bank
Deutsche Bank
Standard Chartered Bank
Commercial Bank

HOLDING COMPANY

Aitken Spence PLC

CONTACT DETAILS

No. 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
T: (94 11) 2308308
F: (94 11) 2445406
www.aitkenspencehotels.com

GLOSSARY OF FINANCIAL TERMS

Accounting Policies - The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis - Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Amortisation - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held For Sale - The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) - Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

Asset Turnover - Total revenue divided by average total asset.

Capital Employed - Total shareholders' funds plus debt and minority interest.

Cash Equivalents - High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Compound Annual Growth Rate (CAGR) - The year-over-year growth rate of an investment over a specified period of time.

Contingent Liabilities - A condition or situation at the Balance Sheet date of which the financial effect will be determined only on the occurrence, or non-occurrence of one or more uncertain future events.

Collateral - Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Current Ratio - Current assets divided by current liabilities.

Debt/Equity Ratio - Ratio between interest bearing borrowing and shareholder's equity.

Deferred Income Tax - The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Derivative - A security whose price is dependent upon or derived from one or more underlying assets.

Dividend Pay Out Ratio - The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio - The yield a company pays out to its shareholders in the form of dividends.
(Ordinary dividend per share divided by market value per share)

Earnings Per Share (EPS) - Profit attributable to Equity Holders of the Company divided by weighted average number of ordinary shares in issue.

EBIT - Earnings before interest and tax.

EBITDA - Earnings before interest, taxes, depreciation and amortization.

Effective Rate of Taxation - Income tax over profit before tax.

EPS Growth - Percentage of increase in the EPS over the previous year.

Financial Leverage - Total average assets divided by total average equity.

Gearing - Borrowings to capital employed.

Impairment - This occurs when recoverable amount of an asset is less than its carrying amount.

Interest Cover - This indicates the ability of an entity to cover long-term and short-term interest expenses with EBIT.

(Profit before Interest & Taxation divided by total Interest charged for the year).

Market Capitalisation - The number of ordinary shares in issue multiplied by the market price per share as at the reported date.

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the end of the year.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

Price Earnings Ratio (PER) - Market price per share divided by the earnings per share.

Price To Book Value Ratio (PBV) - Market price per share divided by net assets per share.

Return on Capital Employed - Profit before Tax divided by total shareholder's funds, minority interest, non-current interest bearing borrowings and differed taxation.

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Return on Shareholder's Funds - Attributable profits divided by average Shareholders' funds.

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

Yield to Maturity - The discount rate that equals present value of all expected interest payment and the repayment of principal.

NOTICE OF MEETING

Notice is hereby given that the Forty First Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at the Institute of the Chartered Accountants of Sri Lanka, 30A, Malalasekera Mawatha, Colombo 7, at 10.30 a.m. on Friday, 29th June 2018, for the following purposes: -

1.

To receive and consider the Annual Report of the Board of Directors together with the Financial Statements for the year ended 31st March 2018 with the Report of the Auditors thereon.
2.

To declare a dividend as recommended by the Directors.
3.

To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

“IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who is 75 years of age and that he be re-appointed a Director of the Company.”

4.

To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

“IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 75 years of age and that he be re-appointed a Director of the Company.”

5.

To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

“IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who is 71 years of age and that he be re-appointed a Director of the Company.”

6.

To re-appoint Mr. N.J. De Silva Deva Aditya who attained the age of 70 years on 11th May 2018 as a Director by passing the following Resolution as an Ordinary Resolution:

“IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. De Silva Deva Aditya who attained the age of 70 years on 11th May 2018 and that he be re-appointed a Director of the Company.”

7.

To re-elect Mr. C.M.S. Jayawickrama who retires in terms of Article 83 of the Articles of Association, as a Director.
8.

To elect Mr. G.P.J. Goonewardena who retires in terms of Article 90 of the Articles of Association, as a Director.
9.

To authorise the Directors to determine contributions to charities.
10.

To re-appoint the retiring Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.
11.

To consider any other business of which due notice has been given.

By Order of the Board
Aitken Spence Hotel Holdings PLC



Aitken Spence Corporate Finance (Private) Limited
Secretaries
28th May 2018
Colombo

Note:

1.

A member entitled to attend and vote at the meeting is entitled to appoint a Proxy to attend, speak and vote in his/her stead and a Form of Proxy is enclosed for this purpose. A Proxy need not be a member of the Company.
2.

The completed Form of Proxy must be deposited at the Registered Office of the Company No. 315, Vauxhall Street, Colombo 2, not less than forty eight hours before the time fixed for the meeting.
3.

Should the Dividend recommended is approved by the Shareholders at the Annual General Meeting, it is proposed to post the dividend warrants on 10th July 2018 and in accordance with the Rules of the Colombo Stock Exchange, the shares of the Company will trade ex-dividend with effect from 02nd July 2018.

FORM OF PROXY

I/We
of being a member/members of
Aitken Spence Hotel Holdings PLC hereby appoint
of
..... (whom failing)

Don Harold Stassen Jayawardena

(whom failing)

Joseph Michael Suresh Brito

(whom failing)

Don Stasshani Therese Jayawardena

(whom failing)

Chrisanthus Mohan Susith Jayawickrama

(whom failing)

Rajanayagam Nalliah Asirwatham

(whom failing)

Charles Humbert Gomez

(whom failing)

Niranjan Joseph de Silva Deva Aditya

(whom failing)

Gemunu Prasanna Jayasundera Goonewardena

as my/our Proxy to represent me/us, to speak and to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on the 29th June 2018, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this day of June Two Thousand Eighteen.

.....
Signature

Note : Instructions as to completion are noted on the reverse hereof

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

- 1. Kindly perfect the form of proxy by filling in legibly your full name and address, signing in the space provided and filling in the date of signature.
- 2. If the proxy form is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
- 3. In the case of a Company/Corporation, the proxy must be under its Common Seal (if required), which should be affixed and attested in the manner prescribed by its Articles of Association.
- 4. The completed form of proxy should be deposited at the Registered Office of the Company, No. 315, Vauxhall Street, Colombo 02 not later than 10.30 a.m. on 27th June 2018.

INVESTOR FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return the page to -

Chief Financial Officer,
Aitken Spence Hotel Holdings PLC
No. 315, Vauxhall Street,
Colombo 02.
Sri Lanka

Name :

Permanent Mailing Address :

Contact Number - (Tel) :

Country CodeArea CodeNumber

E-mail :

Name of Company :

(If Applicable)

Designation :

(If Applicable)

Company Address :

(If Applicable)

Queries/Comments

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